Meeting of the Board
27 – 30 October 2025
Incheon, Republic of Korea
Provisional agenda item 10

GCF/B.43/02/Add.29

14 October 2025

Consideration of funding proposals – Addendum XXIX

Funding proposal package for FP264

Summary

This addendum contains the following seven parts:

a) A funding proposal summary titled “Prosperete Growth Fund” by Prosperete Investment Management Ltd;
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Secretariat’s assessment of the Project-specific Assessment Approach (PSAA) Applicant;
e) Independent Technical Advisory Panel’s assessment;
f) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
g) Gender documentation of the funding proposal.

Table of Content

Funding Proposal

Project/Programme title:	*Prosperete Growth Fund*
Country(ies):	*Bangladesh, India, Mauritius*
Accredited Entity:	*Prosperete Investment Management Ltd. (Submission under PSAA)*
Date of first submission:	*[2024/05/18]*
Date of current submission	*[2025/05/12]*
Version number	*[V.020]*

GREEN CLIMATE FUND

Contents

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROJECT/PROGRAMME SUMMARY

A.1. Project or programme	Programme	**A.2. Public or private sector**	Private
A.3. Request for Proposals (RFP)	*If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+.* Not applicable		

A.4. Result area(s)

*Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of **GCF and Co-financers' contribution** devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.*

	GCF contribution	Co-financers' contribution[1]
Mitigation total	**70 %**	**70 %**
☒ Energy generation and access	25 %	25 %
☒ Low-emission transport	25 %	25 %
☒ Buildings, cities, industries and appliances	20 %	20 %
☐ Forestry and land use	0 %	0 %
Adaptation total	**30 %**	**30 %**
☒ Most vulnerable people and communities	10 %	10 %
☒ Health and well-being, and food and water security	10 %	10 %
☒ Infrastructure and built environment	10 %	10 %
☐ Ecosystems and ecosystem services	0 %	0 %

A.5. Expected mitigation outcome *(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)*	9.2mn tonne	**A.6. Expected adaptation outcome** *(Core indicator 2: direct and indirect beneficiaries reached)*	3.2mn	
			Direct: 1.7mn	Indirect: 1.5mn
			0.1%	0.1%
A.7. Total financing (GCF + co-finance[2])	USD 220 million	**A.9. Project size**	Medium (Upto USD 250 million)	
A.8. Total GCF funding requested	USD 50 million			

[1] Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

[2] Refer to the Policy of Co-financing of the GCF.

A.10. Financial instrument(s) requested for the GCF funding	*Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.* ☐ Grant Enter number ☐ Loan Enter number ☐ Guarantee Enter number ☒ Equity – Junior / Concessional USD 50 million ☐ Results-based payment Enter number		
A.11. Implementation period	12 years (10 years plus two 1-year extensions) Investment period – five years from initial close	**A.12. Total lifespan**	12 years maximum fund life
A.13. Expected date of AE internal approval	*This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.* Click or tap to enter a date.	**A.14. ESS category**	I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	**A.18. Is this FP included in the country programme?**	Yes ☐ No ☒
A.19. Complementarity and coherence	*Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.* Yes ☐ No ☒		
A.20. Executing Entity information	The Accredited Entity (AE) is: • **Prosperete Investment Management Ltd.:** An investment manager ("IM"), incorporated as a company limited by shares with a Global Business License (GBL) and licensed as a Collective Investment Scheme (CIS) Manager by the Financial Services Commission, Mauritius (FSC). The executing entities are: • **The Fund: Prosperete Growth Fund I:** A fund in Mauritius (the "Fund" or "Prosperete Growth Fund") incorporated as a company limited by shares with a GBL and licensed as a closed-ended fund ("CEF") by the FSC. • **The Investment Manager i.e.** Prosperete Investment Management Ltd. • **The Sub- Advisor:** Prosperete Growth Advisors LLP, a Limited Liability Partnership established under the laws of India. This entity is the investment sub-advisor to the Mauritius IM.		

A.21. Executive summary (max. 750 words, approximately 1.5 pages)

Climate change problem

1. Climate change has emerged as the paramount challenge confronting humanity, particularly pronounced in Emerging Markets (EMs) worldwide. These regions face heightened vulnerability to the impacts of climate change, which necessitates building resilience of the vulnerable population, which can be achieved by increasing access to mitigation and adaptation solutions in these markets along their financial capacity. The Intergovernmental Panel on Climate Change (IPCC) forecasts that temperature increases in various EMs will surpass the global mean rise, leading to significant repercussions in health, agriculture, and food security.
2. Countries such as Bangladesh, India and Mauritius (Target Countries) are significantly impacted by climate change, experiencing a variety of effects from rising temperatures and sea levels to increased frequency of extreme weather events. Nearly 1 billion people in developing countries live in low-elevation coastal zones, with mega-cities like Dhaka, Mumbai, and large parts of Bangladesh are at very high risk of flooding[1]. 2.3 billion face water stress, with emerging markets particularly affected due to under-developed food and water systems.[2] Small Island Nations have been facing severe effects of climate change, for instance accentuated beach erosion has shrunk the width of the beaches around certain coastal areas by up to 20 m over the last few decades in Mauritius.[3]
   a. **Excessive Rainfall/Flooding** In Bangladesh, flooding damages crops and infrastructure, affecting regions like Chattogram. India faces crop damage and infrastructure issues, resulting in $1.5 billion in damages since 2019. Future scenarios predict increased rainfall variability and intensity.
   b. **Drought/Water Scarcity** currently affects millions; 30% of Bangladesh's population and 18.75 million people in India face chronic water scarcity. Projections indicate worsening drought conditions due to increased temperatures and erratic rainfall, threatening water resources and agricultural productivity. Rainfall in Mauritius has seen a decline of 8% on average since the 1950s.[4]
   c. **Heat Waves** are increasingly frequent and intense, with Bangladesh experiencing record-breaking temperatures and India seeing a 14.7% rise in heat-related mortality.
   d. **Tropical Cyclones** Cyclone Amphan in Bangladesh affected 2.6 million people, while Cyclone Tauktae in India caused $8.3 billion in damages. Future projections suggest an increase in cyclone intensity and frequency.
   e. **Sea Level Rise** threatens coastal areas; Bangladesh, India and Mauritius face annual rises of 3-6 mm, with projections of up to 1.5 meters by 2100, leading to land loss, displacement, and economic impacts.
   f. Annexure 23 presents a summary of hazards baseline and future scenario for Bangladesh, India and Mauritius
3. Emerging economies need to balance the dual objectives of ensuring inclusive growth and fighting climate change. By 2050, nations currently classified as EMs are projected to house 88% of the global population and their share of global GDP is expected to increase from 50% today to 62%[5]. Estimates suggest 88% of the growth in electricity demand between 2019 and 2040 is expected to come from EMs[6]. A focus on climate-friendly growth is essential as most of the factories, buildings, vehicles, and power plants for emerging economies are yet to be built. Ensuring such growth in EMs will be critical for global climate goals, particularly for the most vulnerable. According to the IFC, the climate transition presents a USD 29.4 trillion investment opportunity in Emerging Markets[7].
4. Target countries contribute to 7.9% of global GHG emissions, this share has increased from 5.6% at the turn of the century[8]. There exists an urgent need to decouple growth and environmental degradation. Investments in energy transition and cooling are critical as India's per capita cooling demand was 69 kWh in 2020, far below the world average, but is expected to increase as India faces increasingly frequent heat waves[9]. In Bangladesh, fossil fuels make up 77% of the energy mix, contributing to 34% of emissions. The transportation sector is heavily reliant on fossil fuels and the country's NDC prioritizes energy efficiency investments. Similarly, coal and oil form more than 85% of the energy mix for Mauritius[10].
5. Prosperete has received a **NOL from the Economic Relations Division, Ministry of Finance, Bangladesh.** Prosperete has **a NOL issued by the Ministry of Environment, Forests and Climate Change, India,** the NDA for GCF. Mauritius is key for Prosperete to catalyse climate finance for emerging markets in general and SIDS countries in particular, as it is a globally accepted investment destination for investors, **and Prosperete has received an NOL from Ministry of Finance, Mauritius**. There has been consultation with all three country NDAs and strong country ownership from Bangladesh, India and Mauritius. Prosperete is collaborating with the Government of Mauritius to build climate capacity on island nation, including assistance in development of climate programs, promoting global climate finance awareness, and establishing green finance education initiatives to position Mauritius as a regional hub for sustainable finance.
6. While many emerging markets are actively developing climate solutions, progress is not uniform. Some markets remain in the nascent stages of establishing robust climate ecosystems. It might take years for these economies to tread growth trajectories and develop climate solutions. The world is in urgent need of accelerating climate action. An integrated approach is essential, wherein markets exchange solutions with one another. A collaborative approach not only provides nascent markets access to climate solutions but also accelerates progress by avoiding duplicate efforts. Furthermore, it fosters the continued creation and expansion of climate ecosystems on a global scale.
7. As part of this integrated approach, **technology transfer** among emerging markets is essential for developing resilient ecosystems and addressing climate change. Sharing innovations across mitigation and adaptation solutions can

accelerate the transition to low-carbon economies. This exchange enhances technological capabilities, reduces costs, and promotes the adoption of best practices, fostering economic growth and creation of new climate companies.

Proposed interventions

Prosperete invests in scalable climate solutions and facilitates technology transfer across emerging markets for widescale adoption to mobilize large-scale private capital. Proliferation and exchange of the best technologies will create a shared climate funding ecosystem across emerging markets, accelerating development in each country and benefitting communities by enabling access to affordable climate solutions.

8. **Prosperete is raising a USD 220mn growth equity fund to promote SMEs and startups** focused on climate mitigation and adaptation by leveraging technology and / or business models to provide solutions at scale. The fund utilizes a blended structure to catalyse private capital for climate investments into emerging markets, which are not able to mobilize the funding required with the required urgency.
9. The Fund will invest across both mitigation and adaptation solutions, and has identified four thematic verticals that represent the new landscape of low-carbon solutions:
   9.1 Energy Transition: The Fund is looking to invest in companies that provide energy storage solutions, distributed energy systems, and solutions that modernize grids to increase renewable energy adoption. In energy efficiency, the Fund intends to address challenges such as knowledge gaps and high upfront costs by investing in monitoring, pay-as-you-go models, and industrial efficiency solutions.
   9.2 Low Emission Transport: Transportation and logistics sectors are witnessing significant transformations. These advancements are fostering rapid innovation across battery technology, equipment manufacturing, charging and swapping ecosystems. Growth of these sectors also requires investment in appropriate financing solutions.
   9.3 Food and Water Security: The Fund aims to invest in agriculture and food security by promoting superior technologies, sustainable farming techniques and increasing climate resilience, aiming to increase productivity. Additionally, the Fund plans to address water security by implementing energy-efficient water systems and improving waste-water treatment, aiming to enhance adaptive capacity.
   9.4 Urban environment and data systems: The Fund's investments target the development of sustainable urban infrastructure and climate information systems to mitigate barriers like inadequate waste treatment and emissions monitoring. By promoting low-carbon building materials and renewable energy solutions, the Fund aims to reduce GHG emissions, enhance urban resilience, and improve disaster preparedness.
10. Prosperete has done extensive work, for more than two years, to develop a pipeline of climate companies and design appropriate interventions for growth in climate solutions. Prosperete enables global expansion through a multi-pronged approach – i) Evaluate global scalability of companies before investment and help develop country-specific expansion plans and ii) Work with portfolio companies utilizing its global network and expertise to execute expansion, and iii) Leverage partnerships with institutions and funds across its focus markets to enable flow of knowledge and investments amongst different markets. Prosperete has been working with its pipeline companies to enable expansion to other markets using experience and network.
11. Prosperete has identified and evaluated several climate solutions that can scale and expand across emerging markets that are encountering similar challenges. These companies have developed solutions across solar-powered water pump, low-carbon building material etc. and are now seeking growth equity to fulfil increasing demand. With Prosperete's investment, these companies will be able to scale. Increase affordability and achieve their goal of deploying these solutions across different markets and enable technology transfer. Ability to enable technology transfer and work across multiple geographies is a key evaluation criterion for Prosperete. Several of sample pipeline companies already have multi-country presence or planning for in the near-term.
12. Such exchange of solutions will help companies increase addressable market, reduce cost due to scale, and solve climate problems at large. As solutions scale in nascent markets, they are expected to enable creation of ecosystems through increased entrepreneurship, expertise of local financiers in climate, and increased availability of capital.
13. Creating more growth stage funds is critical to advancing progress on climate change in emerging markets. Our research highlights **only 9% of climate companies in EMs successfully transition to growth stage after seed funding, compared to the global average of 27% for similar companies**[11]. This stark difference underscores the critical funding gap, which hinders the efforts of promising climate start-ups to expand operations. This creates higher risk perception for the climate investing ecosystem, while the underlying reason is missing growth stage capital. Without such growth capital, climate solutions plateau at early stages of development. IEA estimates *that approximately 75% emissions reduction by 2050 is expected to come from technologies not yet mature, with 41% reduction from technologies currently under early adoption*[12].
14. Prosperete is focused on growth stage climate start-ups, Small and Medium Enterprises (SMEs), and companies, investing ticket sizes of USD 5 million – USD 20 million and on Prosperete team's core expertise of scaling businesses. Prosperete has identified 2,000+ companies and solutions in the climate and sustainability space undertaking market study, and spoken to more than 100+ companies, receiving feedback that founders find it difficult to raise funds at the growth stage.

Climate results/benefits

15. The purpose of the Prosperete Fund is to help create global enterprises that address climate mitigation and adaptation in Emerging Markets and can attract large scale commercial institutional capital and thereby urgently address the needs of vulnerable populations in these markets. The Fund will provide growth capital along with support for market expansion, technology and strategic decision making, team building, and ESG. This growth capital will ensure the company transitions to a large organisation, including by replicating its innovations and success across Emerging Markets.
16. Prosperete's approach of technology transfer and development of local financiers' capacity will allow markets to evolve rapidly. This evolution of markets will be achieved through better availability of affordable climate mitigation and adaptation solutions, increased number of growing startups, as well as increased flow of climate investments through local financier's capacity building and reduced perceived risk of international investors. Over the coming years and subsequent funds, these markets will be able to foster development of solutions and enable multiple interventions in newer markets.
17. Prosperete addresses the missing middle of growth stage between early-stage capital and late-stage capital. Growth equity, along with Prosperete's support for portfolio companies for multi-country expansion, enables creation of large-scale enterprises that can successfully crowd-in late-stage private capital. Prosperete has extensively engaged with late-stage investors, who are keen to invest in climate sectors in emerging markets but fail to find large scale companies that can attract investments of USD 100mn+ ticket size.
18. Identification of most-suitable solution across markets and scaled deployment can not only reduce emissions, but also enhance access to services, create jobs, increase resilience of infrastructure assets, and build local capacity. Additionally, deployment of these solutions at scale will ensure that these critical climate related solutions and products are available at affordable prices to underserved communities.
19. **Mitigation Impact** (MRA 1, MRA 2, MRA 3)**:** Prosperete's investment diligence includes mandatory climate assessment, including product lifecycle emissions to present a comprehensive view, in-line with global standards. Based on a sample portfolio, Prosperete Growth Fund will enable direct and indirect mitigation of estimated 9 million tons+ of carbon emissions based on a USD 220mn fund.
20. **Adaptation Impact (**ARA 1, ARA 2, and ARA 3)**:** Through its investments, Prosperete will enhance resilience of climate hazards and increase access to resources (energy, water, building materials, etc.) for about 3.2 million direct and indirect beneficiaries. Focus areas for the fund include agriculture productivity, water conservation, and infrastructure resilience.
21. Prosperete enables companies with solutions in the Target Countries to verify emissions reductions by mapping operations to relevant CDM, Verra or Gold Standard methodologies for estimating the mitigation impact created by virtue of the company's operations. The calculations for emissions are done in accordance with ISO 14064 (for company level consolidation) and/or ISO 14067 (for product level consolidation) standards.
22. Prosperete team has seen the positive impacts of the scale up of technologies such as mobile telephony and distributed solar energy which, when scaled, have transformed the lives of people across developing countries. The Fund intends to replicate these outcomes in emerging climate solutions to enable widespread adoption.

Prosperete's Project Development with GCF

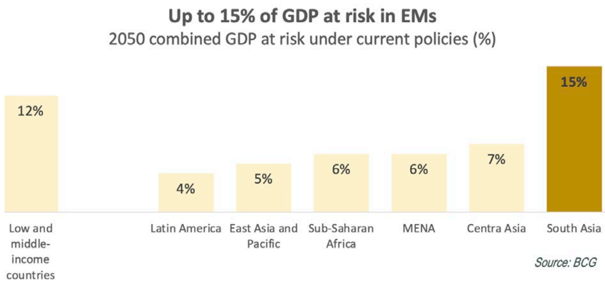
23. The Prosperete team began engaging with GCF in 2023 and, since then, the GCF secretariat has conducted detailed diligence, including external reviews, of Prosperete's proposal. The location of the AE entity in the structure is in line with the fund thesis with Mauritius being a Target Country.
24. In 2025, climate action faces growing opposition amid economic uncertainty, geopolitical tensions, and domestic pressures, leading to a more cautious investment environment. Capital is increasingly directed toward domestic priorities in developed markets, while cross-border climate investments, especially in emerging markets, are declining. **This double hit of reduced climate finance and reallocation is widening the investment gap in regions most vulnerable to climate change.** Concessional instruments like GCF's junior equity can play a catalytic role by de-risking investments and attracting commercial capital.
25. Prosperete has garnered interest from several institutional investors who support the Fund's investment thesis but exhibit low-risk tolerance due to their capital profile. **An anchor contribution from GCF in the form of junior equity (capped at 25% of the fund) would be a key catalyst in Prosperete's progress by providing the necessary signal to other investors**. GCF's due diligence would serve as an endorsement, encouraging investors to consider investing in a climate fund. The availability of junior capital would further address investor concerns by offering downside protection. Prosperete has garnered interest from multiple investors, with potential contributions exceeding USD 200 million, basis a commitment from GCF.
    25.1 GCF's additionality to the Fund is already being demonstrated as Prosperete has attracted interest from another junior capital provider. The ability of GCF to mobilize complementary junior capital, de-risk private sector investment, and attract interest from multilaterals underscores both the strength of the Prosperete Growth Fund's thesis and Prosperete's capacity to attract a diverse investor base around climate-focused opportunities in emerging markets.

B. PROJECT/PROGRAMME INFORMATION

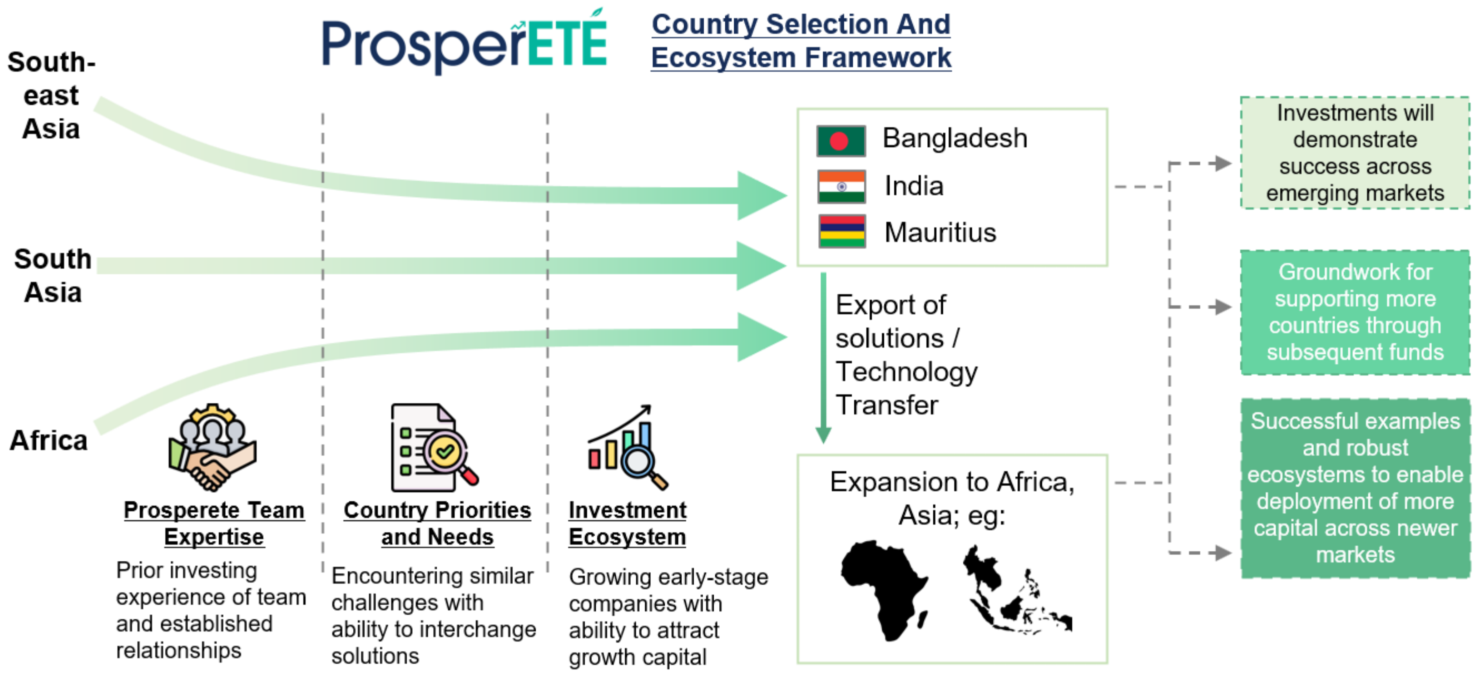
B.1. Climate context (max. 1000 words, approximately 2 pages)

Section 1: Overview and Focus Countries

1. Emerging market economies are the most vulnerable to climate change impacts under all climate scenarios. Despite having contributed the least to global warming historically, these markets face exponential collateral damage, posing systemic risks to economies, infrastructure investments, water and food systems, public health, agriculture, and livelihoods, threatening to undo development gains.



2. Many emerging markets are in tropical or subtropical regions, making them particularly susceptible to the impacts of climate change. For instance, countries in sub-Saharan Africa, South Asia, and Southeast Asia face significant risks from rising sea levels, desertification, and increased frequency of extreme weather events. Research indicates that a 2-meter rise in sea levels could displace 190 million people in Southeast Asia alone[13]. Heatwaves pose a significant threat to public health in these countries due to air conditioning.
3. Prosperete has selected target countries basis (i) Prosperete team expertise (ii) country needs and priorities (iii) evolving early-stage ecosystems that require growth capital to scale climate solutions, and (iv) ability to interchange solutions through export of solutions and expanding presence.
4. Prosperete has identified Bangladesh, India, and Mauritius (together referred to as 'Target Countries'[3]). Prosperete continues to identify more emerging countries where the growth fund can participate in the acceleration of climate solutions. Prosperete has received the NOL from Government of Bangladesh, Government of India, and Government of Mauritius. Prosperete may add countries to the program, subject to receiving NOLs from the relevant NDA and GCF's approval. Below is an overview of our country selection framework:



5. The identified countries offer strong markets where low-cost solutions can scale due to supportive ecosystems of customers, financiers, talent, and institutions. These nations face pressing climate challenges and vulnerable populations, making scale-up capital critical for climate mitigation and adaptation. Prosperete's bespoke approach targets climate solutions, scaling them across Asia, Africa and other emerging markets. This cross-border strategy leverages similarities in climate needs, facilitating faster technology rollouts and creating global enterprises.

---

[3] *Prosperete is working with the NDA of Indonesia to obtain a compliant NOL. Additional countries may join the program following the Board approval, provided they submit an NOL in compliance with the GCF's no-objection procedures and receive subsequent approval from the GCF Board.*

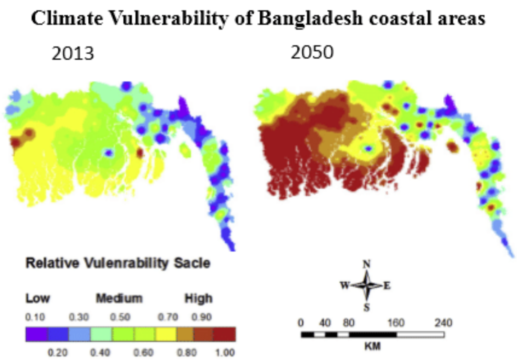
6. Prosperete has received encouraging feedback from the NDA of its target countries. Set out below is a table highlighting how the Fund is aligned with the Nationally Determined Contributions (NDC) of its focus countries.

Country	Prosperete Contribution to NDC / National Plans
Bangladesh	Prosperete contributes to 6 out 9 sub-sectors (Power, Transport, Industry, Agriculture, Residential and commercial, and Waste) where the mitigation actions are being implemented. This will help achieve Bangladesh's conditional 89.47 MtCO2e by 2030 compared to business as usual. Similarly, Prosperete address all 5 action areas for Adaptation (Sustainable Livelihood, Disaster Management, Agriculture and Food Security, Water Management, and Surface Water Use and Management) Notably, Bangladesh identifies infrastructure as a key pillar for adaptation measures. Prosperete's focus on technologies that allow for real time monitoring and predictability of performance, will help Bangladesh improve infrastructure resilience to climate change.
India	Prosperete contributes to 6 of 8 out of India's NDC commitments (#2 to #4, #6 to #8), including achieving Green Growth, building Adaptation & Resilience, reducing Emission Intensity, increasing Renewable Energy capacity and adoption. Prosperete further contributes to India's NDC for mobilizing funds from developed markets. One key pillar of India's NDC is to build capacities, create domestic framework and international architecture for quick diffusion of cutting-edge climate technology in India and for joint collaborative R&D. To enable this, Prosperete is focused on scaling viable solutions across EMs for large scale impact, building institutional capacity and creating an eco-system for climate.
Mauritius	Prosperete contributes to 4 out of 5 sectors (Energy, Transport, Waste, Agriculture) where Mauritius is implementing mitigation measures under its NDC. Prosperete addresses 4 out 8 sectors (Infrastructure Risk, Agriculture, Water, Cross Cutting) for adaptation in Mauritius, In its updated NDC, Mauritius raised its ambition to reduce greenhouse gas emissions by 40% in 2030 compared to business-as-usual, instead of the initial NDC target of 30%. Prosperete will enable such reduction in emissions through deployment of solutions across renewable energy and energy efficiency, in line with country priorities. Mauritius has taken significant strides to establish Mauritius as a climate finance hub, especially for Africa. Initiatives include the creation of the Mauritius International Financial Centre, which offers a conducive environment for green finance and sustainable investments.

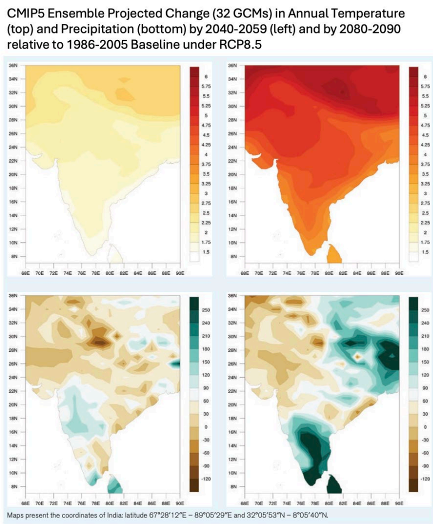
Section 2: Adaptation Impact

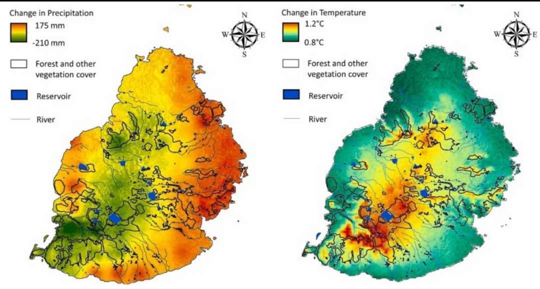
Country Specific Contexts:

7. Bangladesh is the world's seventh most climate risk-affected country, with 185 extreme events recorded and 0.38 fatalities per 100,000 inhabitants over the past two decades. Bangladesh faces heightened risks from climate-related natural hazards, with frequent cyclones, storm surges, and flooding threatening coastal areas and livelihoods. Sea level rise exacerbates these risks, increasing asset vulnerability and impacting agriculture, water supply, and ecosystems. Challenges related to health, food, and water security are prevalent, including issues such as untreated water discharge into rivers, high mortality rates linked to waterborne diseases, and limited access to clean cooking fuels for a significant portion of the population. Water resources will diminish due to salinity intrusion and altered rainfall patterns, impacting drinking water, agriculture, and coastal livelihoods. Eighty percent of wastewater is discharged into rivers without treatment, and 8.5% of deaths are attributed to waterborne diseases.[14] Notably, Bangladesh identifies infrastructure as a key pillar for adaptation measures.



8. India experiences diverse climate impacts, including temperature rise, extreme weather events, water scarcity, and agricultural challenges. Future climate projections anticipate heightened intensity in extreme weather events and erratic rainfall patterns, with a potential 10% increase in monsoon precipitation by the century's end.[15] Resilient infrastructure is paramount, given the anticipated increase in grid variability and peak demand, coupled with the substantial amount of infrastructure yet to be built. Approximately 70% of urban infrastructure in India needed by 2047 is yet to be built[16], and the country has proactively adopted the Coalition for Disaster Resilient Infrastructure to enhance resilience against disasters[17].
Approximately 820 million people in India have water availability close to or lower than Falkenmark Index for water scarcity[18]. Approximately 60% of the country's cultivated area relies on rain-fed agriculture and is significantly influenced by climatic conditions[19]. India is an agrarian economy and expected to witness increased vulnerabilities in the sector. Wheat yields might decline by 6-25% by 2100, and rice yields could decrease by 4-6% by 2050.[20]





9. According to UNFCCC data, Mauritius contributes only 0.01 percent to global GHG emissions. However, it is among the most vulnerable to natural disaster shocks and ranks low in adaptive capacity, as indicated by the World Risk Index 2021. As a Small Island Developing State (SIDS), the Republic of Mauritius is particularly susceptible to the adverse effects of climate change, especially in its coastal zones. Here, the convergence of accelerating sea level rise and the increasing frequency and intensity of tropical cyclones—characterized by more intense rainfall events and stronger winds—poses significant risks, including substantial economic losses, humanitarian crises, and environmental degradation. Mauritius frequently experiences climate-related shocks, averaging four adverse events, predominantly tropical cyclones, every decade. The past decade has witnessed a notable increase in the number of people affected by such shocks, particularly during tropical storm *Berguitta* in 2018. Data from the Emergency Events Database (EM-DAT) reveals that between 1960 and 2022, Mauritius endured 22 extreme weather events, each causing socio-economic damages ranging from USD 160 to 245 million, equivalent to 1.5-2.3 percent of the FY2021/22 GDP.[21]

Table 1: Country-specific projections for climate hazards (Source: IPCC WGI Interactive Atlas)

Region	**Extreme Heat**	**River Flood**	**Heavy precipitation and pluvial flood**	**Coastal flood**	**Drought**	**Projected change in annual exceedance probability of largest 1-day precipitation of a 50-year event**
Bangladesh	High confidence of increase	Medium confidence of increase	High confidence of increase	High confidence of increase	-	2.07 times from baseline
India						2 times from baseline
Mauritius	High confidence of increase	Low confidence in direction of change	High confidence of increase	High confidence of increase	Medium confidence of increase	1.43 times from baseline

10. Presented below is the summary of climate hazards addressed by Prosperete across its target geographies and potential solutions. Further details on climate hazards and future scenarios are provided in Annexure 23.
11. <u>Excessive Rainfall and Flooding:</u> Heavy rains in Bangladesh disrupt agriculture and cause severe urban waterlogging in cities like Dhaka, leading to health hazards and infrastructure damage. In India, several states are experiencing widespread impacts, including crop damage and power outages, with financial damages since 2019 totalling $1.5 billion (Mongabay-India, SpringerLink, Down To Earth). Future projections show increased rainfall variability and intensity, doubling the risk of extreme events by 2050 (IPCC WGI Interactive Atlas).
12. <u>Drought and Water Scarcity:</u> Bangladesh's drought worsens due to climate change, affecting 30% of the population (World Bank, SpringerLink, Mongabay). India faces severe agricultural and infrastructural challenges from erratic rains, affecting 180 million people (Nature, World Bank). Future projections indicate worsening conditions, reducing water availability and impacting agriculture, with river flows in India decreasing by 8-20% by mid-century (IPCC). Mauritius has faced a decrease of mean annual rainfall by 104 mm between 1951-2020 – a decrease of around 8% since the 1950s.
13. <u>Heat Waves:</u> Bangladesh's temperature rise by 0.5°C causes health and agricultural impacts, increasing cooling demands by 15% (World Bank, Down to Earth, Environmental Challenges). India sees a 14.7% increase in mortality during heat waves, with over 400 deaths reported since 2019 (Environment International, Business Standard, EM-DAT). Future projections indicate worsening heat waves, with frequency in India increasing 2.5 times by mid-century (Indian Institute of Tropical Meteorology).
14. <u>Tropical Cyclones:</u> Bangladesh, India and Mauritius face severe impacts from cyclones, causing deaths and extensive damage (EM-DAT). Future projections suggest increased cyclone frequency and intensity, worsening impacts due to warming seas (United Nations, World Bank, Climate Dynamics, MDPI, SpringerLink).
15. <u>Sea Level Rise:</u> Bangladesh faces severe vulnerability with a current rise rate of 3 mm/year, impacting coastal regions. India's coastline, with a similar rise rate, affects cities like Mumbai. In Mauritius, the data analysis from Port Louis tide gauge shows an increase of the sea level with a mean rise of 4.7 mm per year during 1987-2020.[22] Climate change-induced sea-level rise in SIDS is estimated to be up to four times the global average according to UNEP. Prosperete's mitigation activities, play a crucial role in helping island nations tackle the severe impacts of climate change.

Climate Hazard	**Vulnerable Systems**	**Impacts of hazard on system**			**Impact Community / Suggested intervention: Invest in companies that:**
		in Bangladesh	**In India**	**In Mauritius**	

Excessive rainfall / Heavy precipitation and flooding	Electricity generation and distribution	Excessive rainfall leads to flooding that affects the operation of power plants, particularly those located near rivers. Flooding can cause prolonged outages and damage to electrical infrastructure, impacting energy distribution and reliability (World Bank, 2023).	Excessive rainfall affects hydropower generation due to siltation in dams and reservoirs. Heavy rains also lead to flooding, which can damage energy infrastructure, disrupt coal supplies, and impact thermal power plants. The variability in monsoon patterns poses challenges for consistent energy production (Nature, 2023; MOSPI, 2023). Floodwaters can damage critical infrastructure, requiring extensive repairs and investment. This is especially problematic in states like Bihar and Assam (World Bank, 2023).	Mauritius faces climate-related threats to electricity generation due to its coastal power infrastructure. Flooding, a major hazard, can cause power outages, damage electrical equipment, and disrupt energy supply. Coastal inundation also hampers fuel transportation and storage, compounding risks to electricity production. These vulnerabilities threaten the island's energy security, highlighting the urgent need for resilient infrastructure and adaptive strategies to safeguard power generation systems.. (ReliefWeb)	**Low- to middle-income groups:** • provide efficient and affordable battery storage systems
	Agriculture- including farm and supply chain	Heavy rains damage rice crops, forcing farmers to replant. This is particularly severe in coastal regions prone to flooding and saltwater intrusion (Eco-Business, 2023). Annual floods affect millions, destroying crops and reducing food security. The coastal areas are particularly vulnerable, with flooding impacting rice yields significantly (PLOS ONE, 2023). Heavy rains cause logistical bottlenecks, affecting the supply chain efficiency. Storage facilities often get inundated, leading to spoilage of stored grains and perishables (World Bank, 2023). Floodwaters inundate warehouses and cold storage units, leading to significant losses in perishable goods. This disrupts the supply chain and increases food prices (Eco-Business, 2023).	Excessive rainfall leads to waterlogging, delayed planting, and crop damage. In Kerala, variations in rainfall significantly affect crop productivity, particularly in rainfed regions where 40% of agriculture is unirrigated (Krishnakumar et al., 2021). Furthermore, the flooding that occurs as a result from heavy precipitation impact agricultural activities, especially in the IGP region, resulting in income losses. Excessive rainfall disrupts transportation and storage, leading to delays and spoilage. Flooded roads and railways slow down the movement of goods from farms to markets, causing financial losses and food wastage (McKinsey, 2023). Storage facilities in flood-prone areas suffer significant damage, leading to food spoilage and economic losses (World Bank, 2023). Flooded roads and railways slow down the movement of goods from farms to markets, causing financial losses and food wastage (McKinsey, 2023).	In 2024, Cyclone Belal triggered flash floods in Mauritius, severely affecting agricultural production. Floodwaters can damage crops, soil quality, and farming infrastructure. These disruptions extend to the supply chain, hindering transport and distribution of produce. As extreme weather events become more frequent, the agricultural sector faces increasing vulnerability, threatening food security and farmer livelihoods across the island. (Government of Mauritius)	**Farming Community:** • provide solutions on climate resilient horticulture • provide solutions on smart farming (data and IoT based farming solutions, climate data monitoring and optimization solutions are indicative examples) • provide solutions on climate resilient storage and warehousing of agricultural produce • provide solutions on decentralized cold-storage for agricultural produce
	Urban areas and infrastructure	Heavy rainfall often results in flooding in Dhaka's urban slums, leading to the destruction of makeshift homes and contamination of drinking water sources. This exacerbates health issues, including outbreaks of waterborne diseases such as cholera and diarrhea. The flooding also disrupts daily activities and access to	Urban flooding caused by excessive rainfall disrupts transportation and damages infrastructure. The requirement of land for waste and wastewater management will increase as more towns urbanize (World Bank, 2021). Excessive rainfall leads to severe flooding in urban slums, damaging homes and infrastructure. Poor drainage systems	Mauritius' disaster risk profile by the Global Facility for Disaster Reduction and Recovery highlights that flooding is the second largest risk after cyclones, causing 20 per cent of the direct economic losses associated with disasters. Most of these costs arise from damage to people's homes. Floods and storms account for 80% of	**Urban slum dwellers or BOP segment:** • provide climate-resilient building construction material • provide decentralized and affordable drinking water solutions • provide decentralized solutions for sanitation in water-logged areas • provide solutions for managing critical

		essential services, further marginalizing the urban poor (Springer, 2023).	exacerbate the issue, causing waterlogging and creating breeding grounds for waterborne diseases. The 2018 Kerala floods resulted in over $4.25bn in damages, affecting buildings and infrastructure (Nature, 2023).	disasters by Frequency (CDRI)	public health infrastructure
Drought or increasing water scarcity/ stress	Agriculture- including farm and supply chain	Climate projections indicate that Bangladesh will experience increased temperatures and more erratic rainfall patterns, which will intensify drought conditions. By 2050, the frequency and duration of droughts are expected to increase, leading to severe water shortages. The Intergovernmental Panel on Climate Change (IPCC) projects a rise in temperature of up to 2.6°C by the 2060s, which will exacerbate evapotranspiration rates and reduce water availability. This will particularly impact agricultural productivity, with significant declines in yields for staple crops like rice and wheat, thereby threatening food security (World Bank, 2021).	The agricultural sector, which is highly vulnerable to climatic changes, will be significantly impacted by future drought and water stress. Wheat yields are projected to decline by 6-25% by 2050 under moderate to high emission scenarios, and rice yields could decrease by 4-6% per decade due to increasing temperatures and changing precipitation patterns. This decline in crop productivity will have severe implications for food security and rural incomes. Moreover, as water becomes scarcer, competition for water resources between agricultural, industrial, and domestic users will intensify, leading to conflicts and further stressing the already overburdened water supply systems (World Bank, 2021).	According to the UN report 'SIDS in Numbers 2017', Mauritius is projected to become a water stressed country by 2025 and its agricultural production may decline by as much as 30% . Due to the temporal and spatial distribution of rainfall, Mauritius is said to have inadequate water resources, especially during the dry months of October to December, to meet the growing demand. Thus, the island experiences seasonal water scarcity. (SADRI, 2020) Prolonged dry spells are also a major emerging constraints that are being encountered by the food sector. (Government of Mauritius)	**Farming community:** • provide solutions on climate resilient horticulture • provide solutions on water-efficient agricultural practices (including efficient water pumps) • provide solutions on smart farming (data and IoT based farming solutions, climate data monitoring and optimization are indicative examples) • provide solutions on climate resilient storage and warehousing of agricultural produce • provide solutions on decentralized cold-storage for agricultural produce
	Electricity generation and distribution	The reliability of hydropower is threatened by variability in rainfall and increased evaporation rates. Hydropower potential is expected to decrease by up to 30% in some regions by 2050 due to reduced water availability (World Bank, 2021). Moreover, drought reduces the water available for cooling in thermal power plants and for hydroelectric generation. This can lead to decreased power output and increased operational costs. Water scarcity also affects coal mining operations, further impacting power generation (Nature, 2023). Lastly, water shortages limit the operation of thermal and hydroelectric power plants, leading to reduced power generation and reliability issues. Drought conditions also increase the reliance on imported fuels, raising energy costs (World Bank, 2023).			**Low- to middle-income groups:** • provide efficient and affordable battery storage systems • provide decentralized renewable energy generation systems
	Urban areas and infrastructure	Drought conditions lead to severe water shortages in urban slums, affecting sanitation and hygiene. This increases the prevalence of waterborne diseases and impacts the overall health of the residents. The economic impact is also significant as the cost of water rises (World Bank, 2023). In Dhaka, drought conditions lead to reduced groundwater levels, causing buildings to settle and foundations to crack. This structural damage requires costly repairs and increases the vulnerability of buildings to future climatic events (Springer, 2023).	Droughts impact urban slums by exacerbating water scarcity. This leads to reduced access to clean water, affecting hygiene and increasing the risk of diseases. The economic burden on slum dwellers increases as they have to pay higher prices for water. Drought impacts buildings by causing the soil to dry and shrink, leading to foundation settling and cracking. This is particularly evident in regions with clayey soils. The lack of moisture also increases the risk of fires, which can damage buildings and infrastructure (Nature, 2023).	Mauritius is also highly vulnerable to climate change, whose negative impacts are being already felt in the last decade through longer dry seasons, shorter wet seasons and increased intensity of droughts. This results in more than 20% of the population suffering recurrent intermittent water supply under normal conditions (i.e. even during the wet season) – a figure that can rise to 75% during the dry season. (SADRI, 2020[23])	**Low- to middle-income groups:** • Water treatment services
Heat Waves	Agriculture- including farm and supply chain	Agriculture faces severe risks from increased temperatures and	Heat waves reduce wheat yields and damage heat-sensitive crops like rice.	Increasing heat waves due to climate change pose a significant threat to	**Farming community:**

		changing rainfall patterns, which are likely to result in reduced crop yields, especially for rice, the staple food crop (World Bank, 2021). Recent research reveals that human health can also be affected by the physical impact of the heat wave on the food system, particularly with regard to diet-related impacts and food-borne diseases within vulnerable communities (Environmental Challenges 14, 2024)	The greatest risk from extreme heat waves is in the densely populated agricultural regions of the Ganges and Indus river basins (IMD, 2023). According to the ICAR, average maximum temperature of more than 30°C during the grain filling stage of the wheat crop adversely affects plant growth and for every 1-degree rise in temperature, there is a 3-4% drop in wheat yield. In 2022, due to strong heat wave activity, wheat production was expected to have fallen by 4.5 per cent, in some regions losses could be up to 15 per cent (IMD, 2023). High value horticulture crops like grape may get negatively impacted by high temperatures and yields may reduce 63% (Springer India, 2013)	agriculture in Mauritius. The island nation's tropical climate, already characterized by high temperatures, is becoming even hotter. This can lead to crop stress, reduced yields, and changes in plant growth cycles. Additionally, heat waves can increase water evaporation and soil moisture loss, making it more difficult to maintain healthy crops. (FAO)	• provide solutions on climate resilient horticulture • provide solutions on water-efficient agricultural practices (including efficient water pumps) • provide solutions on smart farming (data and IoT based farming solutions, climate data monitoring and optimization solutions are indicative examples) • provide solutions on decentralized cold-storage for agricultural produce • provide solutions on climate resilient storage and warehousing of agricultural produce
	Urban areas and infrastructure	Expected health impacts include increased incidences of heat-related illnesses and vector-borne diseases like malaria and dengue. Further, the incidence of waterborne diseases such as cholera could increase by 3-5% with every 1°C rise in temperature. Moreover, urban areas will face compounded risks from heat stress and flooding, exacerbated by the urban heat island effect. This could impact labor productivity and infrastructure stability (World Bank, 2021). High temperatures also increase energy costs, which many slum dwellers cannot afford (SEforALL, 2023). Furthermore, climate-induced urban migration could exacerbate these challenges, with millions potentially displaced by 2050. Lastly, in countries like India, the economic cost of heatwaves in urban areas (especially urban slums), in terms of lost labor productivity, could exceed $450 million per year by 2030 (World Bank, 2021).			**Low- to middle-income groups:** • Sustainable HVAC systems
	Urban transport	Heat waves impact the transportation sector by increasing the need for cooling systems in vehicles and infrastructure, which raises operational costs. The heat also makes travel uncomfortable (especially low-income transportation providers like rickshaw pullers in the EMs), affecting the overall efficiency and reliability of transportation services (Springer, 2023). Furthermore, heat waves exacerbate traffic congestion as more people opt for private vehicles over public transport to avoid the heat, increasing the load on urban roads. This leads to higher emissions and deteriorates air quality (MDPI, 2023).			**Low- to middle-income groups:** • Electrified climate-resilient transportation fleets (especially for last-mile connectivity)
	Electricity generation and distribution	Heat waves lead to higher electricity consumption for cooling, increasing the load on power plants. This can result in power cuts and blackouts during peak demand periods (ADB, 2023). Moreover, increased air temperatures reducing the efficiency of thermal power generation. Thermal power plant efficiency could decrease by 0.45% for every 1°C increase in temperature (World Bank, 2021).			**Low- to middle-income groups:** • provide efficient and affordable battery storage systems • provide decentralized renewable energy generation systems
Tropical cyclone	Urban areas and infrastructure	Cyclones cause extensive damage to urban slums, destroying homes and infrastructure. Furthermore, cyclones result in large-scale migration as in the case of Bangladesh (Springer, 2023). The resulting displacement and loss of livelihoods exacerbate poverty and health risks. The recovery process is slow due to the lack of resources and support for slum dwellers (Nature, 2023). The most common natural hazards posing a significant risk to Mauritius include tropical cyclones and flooding. Tropical cyclones and floods have contributed to Mauritius experiencing approximately US$110 million in combined direct losses each year. Tropical cyclones account for about 80% of average annual losses for all hazards, while flooding accounts for the remaining 20%. (ReliefWeb, 2024[24])			**Urban slum dwellers or BOP segment** • provide climate-resilient building construction material • provide decentralized and affordable drinking water solutions • Provide decentralized solutions for sanitation in water-logged areas
	Electricity generation and distribution	Cyclones cause extensive damage to energy infrastructure, including power plants, transmission lines, and substations. Coastal power plants are particularly vulnerable to storm surges and high winds, leading to prolonged outages and costly repairs (Nature, 2023). Recovery and repair efforts are costly and time-consuming, affecting energy supply stability (ADB, 2023).			**Low- to middle-income groups:** • provide efficient and affordable battery storage systems • provide decentralized renewable energy generation systems
Sea Level Rise	Agriculture- including farm and supply chain	Rising sea levels lead to increased salinity, reducing the productivity of rice paddies in coastal areas. It affects approximately 8 million people currently, expected to rise to			**Farming community:**

B

		13.5 million by 2050. Sea level rise impacts coastal storage facilities, leading to frequent flooding and spoilage of stored goods. This disrupts the supply chain and affects food security (Eco-Business, 2023).	• provide solutions on smart farming (data and IoT based farming solutions, climate data monitoring and optimization solutions are indicative examples) • provide solutions on climate resilient storage and warehousing of agricultural produce • provide solutions on decentralized cold-storage for agricultural produce
	Urban areas and infrastructure	Rising sea levels threaten coastal slums, leading to increased flooding and erosion. This impacts the livelihoods and homes of slum dwellers, increasing displacement and health risks. The economic impact is significant as many residents lose their homes and sources of income (Nature, 2023). Additionally, rising sea levels threaten coastal buildings with increased flooding and salinity. This leads to structural damage and higher maintenance costs. Long-term exposure to saltwater corrodes building materials, reducing their lifespan and increasing repair needs (Nature, 2023).	**Urban slum dwellers or BOP segment:** • provide climate-resilient building construction material • provide decentralized and affordable drinking water solutions • provide decentralized solutions for sanitation in water-logged areas • provide solutions for managing critical public health infrastructure
	Electricity generation and distribution	Rising sea levels threaten coastal power plants and infrastructure, leading to increased salinity and corrosion. This affects the longevity and reliability of energy infrastructure in coastal areas (Nature, 2023). This leads to higher maintenance costs and potential relocations of critical facilities (ADB, 2023).	**Low- to middle-income groups:** • provide efficient and affordable battery storage systems • provide decentralized renewable energy generation systems

Section 3: Mitigation Impact

16. The below presents mitigation narrative with sectoral context for each country:
17. Bangladesh: The country's contribution to climate change stems from its increasing greenhouse gas emissions, primarily from energy generation and transportation, with fossil fuels comprising a significant portion of the energy mix. In 2020, Bangladesh emitted approximately 225 million metric tonnes of CO2 equivalent, projected to rise to 409.4 million metric tonnes by 2030 under business-as-usual scenarios[25], reflecting a substantial increase in emissions contributing to global climate change. Energy generation remains a key contributor to emissions, with fossil fuels comprising 77% of the energy mix and contributing to 34% of emissions. Similarly, transportation is heavily reliant on fossil fuels, with oil constituting 72% of the energy mix and natural gas accounting for the remainder[26].
18. India: India's substantial emissions come from power generation, transport, and industry. In 2022, India emitted approximately 3.9 gigatonnes of CO2 equivalent[27], with a projected 41% increase in greenhouse gas emissions by 2030 under business-as-usual conditions. The energy sector is the largest emitter, accounting for 37% of India's greenhouse gas emissions[28]. Efforts to transition towards renewable energy and improve energy efficiency are critical, as highlighted by India's target of achieving 500 gigawatts of renewable energy capacity by 2030, requiring investments totalling USD 223bn[29]. Additionally, Climate Policy Initiative estimates India needs USD 10 trillion+ of investment to achieve Net-Zero by 2030, alongside previous commitments requiring USD 2.5 trillion by 2030[30]. Further, efforts to promote low-emission transport, including increasing electric vehicle penetration to 30% by 2030, could potentially save up to 846 million tonnes of CO2 equivalent[31].
19. Mauritius: The primary energy source for Mauritius is imported fossil fuel. As part of its NDC, the Mauritian Government has implemented a comprehensive renewable energy policy aimed at achieving 60% renewable energy by 2030 and to completely phase out coal by 2030. In 2019, Mauritius developed the Renewable Energy Roadmap 2030 for the Electricity Sector, outlining the development of renewable energy technologies, diversifying the country's electricity mix, and adopting cleaner energy sources. The plan includes installing solar photovoltaic systems on the rooftops of 10,000 low-income households. The Mauritian power system acknowledges that reduction in demand for electricity is just as important as growing renewable sources of generation. The plans encourage consumers to participate in energy-saving. measures through education and incentive programs.

20. Through its investments in energy transition, low-emission transportation, and built environment, Prosperete is expected to enable mitigation of close to 9.2mn tonnes of GHG emissions (direct and indirect). Mitigation estimates quantifying emission reduction strategies based on activity data and emission factors for the company have been estimated basis activity emission / mitigations with use CDM, IPCC measurement, and other methodologies.

Theme	Country	Baseline Country Context	Future Country Context	Prosperete's Interventions
Energy Transition	Bangladesh	Heavy reliance on fossil fuels (70% of total energy). Only 3% renewable energy in energy mix. 20 million people without access to electricity.	Increase renewable energy to 20% by 2030. Implement smart grid technologies to reduce losses by 15%. Achieve 100% electricity access by 2030.	Investments in distributed energy resource systems (DERS) and modernization of grids to enhance resilience. Supporting clean energy production equipment and energy storage solutions. Investments in real-time data analytics to improve grid resilience.
	India	55% of power generation from coal. Renewable energy capacity at 100 GW (as of 2021). 24 million people lack electricity access. ~93% of energy supply from fossil fuels; 2nd largest source of emissions (39% of GHG emissions) Plans to increase RE share to 44% by 2030 from around 12% in 2022	Increase renewable energy capacity to 500 GW by 2030. Achieve 40% of energy from non-fossil sources by 2030. 100% electricity access by 2025.	Investment in technologies increasing renewable energy adoption such as grid monitoring, rooftop solar, and energy efficiency measures. Supporting energy-efficient industrial solutions to reduce energy intensity and GHG emissions.
	Mauritius	In 2021, the percentage of emissions from coal represented 71.9% of the total emissions.[32]	The government aims to achieve 60% of energy production from green sources by 2030, phasing out the use of coal and increasing energy efficiency by 10% based on a 2019 baseline.	Investment in technologies increasing renewable energy adoption such as grid monitoring, rooftop solar, and energy efficiency measures. Supporting energy-efficient industrial solutions to reduce energy intensity and GHG emissions.
Low Emissions Transport	Bangladesh	95% of vehicles run on diesel or petrol. Only 1% electric vehicles (EVs) in the market. High urban air pollution levels (PM2.5 at 83 μg/m^3 in Dhaka).	Increase EV share to 15% by 2030. Expand public transport by 30% by 2030. Reduce urban air pollution by 25%.	Investments in EV supply chain, charging solutions, and fleet solutions. Supporting green financial services to improve the affordability of EVs. Development of clean mobility infrastructure to reduce emissions and increase low-emission transport adoption.
	India	Transport sector contributes ~28% of energy-related GHG emissions 90% of transport sector dependent on fossil fuels. Only 2% EV penetration. Air pollution causing 1.2 million deaths annually.	Achieve 30% EV penetration by 2030. Expand metro networks in 10 major cities. Reduce transport sector emissions by 35% by 2030.	Investments in the electric mobility ecosystem including charging, financing, and manufacturing EVs. Support for green financial services to improve livelihoods and adoption of low-emission transport. Facilitating the development of low-carbon pathways for urban ecosystems.
	Mauritius	In transport, which forms ~28% of country's emissions, the vast majority of emissions in most countries come from cars, which are still overwhelmingly reliant on oil-based fuels.	Expand rail and public transportation system. Increase electric vehicle penetration.	Investments in EV supply chain, charging solutions, and fleet solutions. Supporting green financial services to improve the affordability of EVs. Development of clean mobility infrastructure to reduce emissions and increase low-emission transport adoption.
Urban Environment and Data Systems	Bangladesh	Urban population growth at 3.2% annually. 60% of urban waste goes untreated. Poor air quality with PM2.5 levels often exceeding 100 μg/m^3. NDC conditionally targets achieving 20% energy efficiency in the Industry sub-sector by 2030	Implement smart city initiatives in 5 major cities by 2030. Treat 90% of urban waste by 2030. Reduce PM2.5 levels by 30%.	Support for low-carbon building materials and circular economy practices. Enhancing urban infrastructure with sustainable solutions and advanced monitoring systems.
	India	Urban population growth at 2.4% annually. 70% of urban waste goes untreated. Air pollution levels among highest globally.	Develop smart city projects in 100 cities by 2030. Achieve 80% waste treatment and recycling by 2030. Reduce air pollution by 40%.	Investments in advanced data systems for emissions monitoring and smart farming techniques. Support for sustainable urban infrastructure and low-carbon production methods. Promoting real-time data analytics for better urban management and resilience.
	Mauritius	Over 10 million tons of wastes already buried at the Mare Chicose landfill since its establishment in 1997. Projections show an alarming increase in waste intake, reaching 650,000 tons in 2023 with an annual growth rate of 2.5%[33]	Divert up to 70% of wastes from Mauritius' landfill and strong public-private partnerships to transition to a circular economy.	Investments in waste and wastewater management to improve health and resilience. Promoting circular economy practices and low-carbon infrastructure to enhance urban sustainability.

Section 4: Need for Technology Transfer in Emerging Markets

1. Many emerging markets are still in the early stages of developing robust climate ecosystems, and it may take years for these economies to establish growth trajectories and climate solutions. The urgent need for accelerated climate action necessitates an integrated approach, where emerging markets exchange solutions. This collaboration grants emerging markets faster access to essential climate technologies, thus speeding up progress and avoiding duplication of efforts. It also fosters the continued creation and expansion of global climate ecosystems.
2. **Currently, many critical technologies for transitioning to low-carbon practices in emerging markets are restricted to individual markets, leading to high costs, duplication and the absence of global climate companies serving these regions.** To overcome these challenges, technology transfer among emerging markets is crucial. Sharing innovations in energy transition, low-emission transport, sustainable agriculture, and waste management can significantly accelerate the shift to low-carbon economies and contribute to the development of resilient climate

ecosystems. Prosperete's investment thesis is built on identifying best solutions across emerging markets and expanding them to other countries in order to have the highest possible mitigation and adaptation impact from the fund.

3. Multiple benefits accrue to the company and to the "receiving" emerging markets in which climate solutions are accelerated.
   - Larger climate outcomes as the company is able to serve a bigger market through expansion and growth;
   - Scale creates economies which enhance the affordability of solutions thereby wider adoption of such solutions; and
   - The demonstration effect of a success story coming out of the emerging markets is stronger as it motivates others from similar markets to emulate such success in climate. This will incentivize both investors and investee companies to work on scaling climate solutions.
4. **Prosperete Growth Fund will invest in companies with operations in Bangladesh, India, and Mauritius, then focus on expansion of these solutions to other emerging markets across Asia and Africa.** Nigeria, Indonesia, and South Africa, markets where there is nascent climate ecosystem but demand for climate-friendly solutions, present as examples of Prosperete's technology transfer thesis. Prosperete is in the process of formalizing partnerships across each of these countries while engaging with national stakeholders to ensure smooth development and execution of the Fund's plans.

4.1 Nigeria confronts climate hazards like floods, droughts, and heatwaves, impacting water resources, agriculture, and economic sectors. Nigeria emits approximately 128 million metric tonnes of CO_2 equivalent annually, with projections indicating a rise to 900 million metric tonnes by 2030 under business-as-usual scenarios[34]. Emissions primarily come from energy generation and transport, highlighting the need for sustainable development strategies and resilience-building measures. Despite being the largest emitter in the region, less than half of Nigeria's population has access to grid-connected electricity, and power supply only meets an estimated third of demand creating strong opportunities for off grid solutions.[35]Therefore, Energy generation and access remain critical concerns, with energy poverty affecting 57% of the population, and energy accounting for 60% of emissions.

Vulnerable communities face significant challenges, with floods displacing approximately 1.9 million people in 2019 alone[36]. Moreover, health, food, and water security issues persist, with 70% of the population lacking access to clean drinking water[37] and 25 million people at risk of food insecurity by 2023[38]. Addressing these multifaceted challenges is essential to ensuring the resilience and well-being of Nigeria's population.

4.2 In 2020, Indonesia's emissions averaged 1.5 gigatonnes of CO2 equivalent, with projections indicating a rise to 2.9 gigatonnes by 2030 under business-as-usual scenarios[39]. These emissions primarily come from the energy sector, with fossil fuels constituting approximately 93% of the energy supply. Efforts are underway to increase renewable energy adoption to 44% by 2030, up from around 12% in 2022[40]. Initiatives such as establishing electric vehicle charging stations align with Indonesia's commitment to reducing emissions from the transport sector and addressing climate change impacts. Indonesia's Nationally Determined Contribution (NDC) commits to a 31.89% (unconditional) and 43.2% (conditional) emission reduction by 2030 and includes the development of an action plan on adaptation. The country faces rising temperatures, sea level rise, and intensified climate hazards, with vulnerability heightened by its heavy reliance on fossil fuels for energy. Despite challenges, the costs of building resilience are estimated to be only around 3% of overall investment needs[41], highlighting the potential for impactful interventions in Indonesia's infrastructure sector. Health, food, and water security remain pressing concerns, with issues such as stunted growth in over 20% of children and significant levels of food waste production[42]. Water resources are expected to decline, impacting dry season supplies amid growing demand. Agriculture, especially rice production, faces yield reductions due to changing rainfall patterns and higher temperatures. While hydropower reliability is threatened, opportunities exist for expanding renewable energy sources.

4.3 South Africa grapples with temperature increases, water scarcity, and urban challenges from climate change, driven by emissions from energy and industry. The country's emissions range from 398 to 510 million metric tonnes of CO2 equivalent annually, with a commitment to reduce emissions to 350-420 million metric tonnes by 2030. These emissions come primarily from the energy sector, emphasizing the importance of decarbonization efforts and infrastructure resilience to mitigate climate impacts.

South Africa aims to achieve deeper decarbonization in transportation beyond 2030. Efforts to address emissions from building, cities, industries, and appliances are also underway, recognizing that construction and operations contribute approximately 7% of direct emissions. South Africa commits to a fixed target for GHG emission levels of 398-510 $MtCO_2e$ by 2025, and 350-420 $MtCO_2e$ by 2030. To achieve such emission reduction targets, South Africa aims to utilize USD 8 billion per annum by 2030.[43]

Vulnerabilities persist, particularly among vulnerable communities facing income inequality, exacerbated by the projected increase in climate-related incidents, especially in farming communities. The country is increasingly vulnerable to natural hazards like droughts and floods, with the Western Cape experiencing decreased rainfall exacerbating drought conditions, while the east anticipates increased rainfall and flooding. Urban areas are at heightened risk of heatwaves, water shortages, and flooding, impacting infrastructure resilience and urban productivity, with increased demand for waste and wastewater management land as towns urbanize. Water security is a significant concern, with projections indicating a 17% demand-supply gap by 2030, especially in water-stressed western areas[44]. Agricultural productivity may decline due to temperature rises and altered rainfall patterns, potentially reducing maize yields by up to 20% by 2050.

5. There are existing funds that are looking to invest in climate solutions. There are several early-stage funds as well as debt providers such as Infrastructure Development Company Limited (IDCOL) in Bangladesh who look to scale solutions in their markets through the availability of growth equity. They act as key stakeholders in expansion of solutions as well as a credible source of deal pipeline for Prosperete. Prosperete is also in active conversation with financiers in Africa who can help portfolio companies with local expertise and potential financing as they look to expand to the continent.
6. Prosperete aims to establish a supportive ecosystem for climate solutions by leveraging investments from other funds, exporting solutions to diverse markets, and sharing best practices. This initiative will drive the creation of climate solutions across emerging markets and build the capacity of regional funds and local financiers. By facilitating technology transfer and reducing perceived investment risks, Prosperete enhances the availability of affordable climate mitigation and adaptation solutions, increase the number of startups, and attract more climate investments. Over time, these efforts will enable the development of new solutions and interventions in its target markets already underway and in additional markets, promoting sustainable growth and resilience across the global south.

Section 5: Focus Sectors

7. **While the focus areas highlighted below are indicative, most of Prosperete's investments are intended to overlap and create climate impact with interventions across multiple sectors.** Similarly, there are activities which contribute to both climate change mitigation and climate change adaptation.

7.1 **Energy Transition:** Reliable access to energy is still a major gap across emerging markets. Prosperete aims to invest in sectors like energy access and power generation, identifying barriers such as unreliable and high-carbon energy sources and adoption issues like financing availability for clean energy. Potential interventions include Distributed Energy Resource Systems (DERS) and modernization of grids to enhance grid resilience and increase renewable energy adoption, resulting in sustainable energy access and reduced greenhouse gas emissions. In energy efficiency, Prosperete plans to address barriers like knowledge gaps and high upfront costs by investing in energy monitoring, pay-as-you-go models, and industrial efficiency solutions, leading to reduced energy intensity in industries and GHG emissions.

Energy access and power generation are critical components of global development, particularly in emerging markets. Projections indicate that a substantial 88% of the growth in electricity demand between 2019 and 2040 will originate from these regions[45], highlighting the significance of addressing energy needs in these areas. However, despite this growing demand, investment spending on battery storage has been notably inadequate in emerging markets during the period spanning from 2016 to 2020. This deficit in investment poses a challenge to ensuring reliable and sustainable energy access, underscoring the urgent need for increased investment and attention in this crucial sector. Addressing these gaps in investment and infrastructure is essential for facilitating inclusive economic growth and meeting the energy needs of communities in emerging markets.

Energy efficiency remains a crucial aspect of global energy management, yet recent trends highlight significant challenges. In 2021, the rate of primary energy intensity improvement stood at just 1.9%, falling short of historical growth rates[46]. Specifically, this rate was below the historic five-year compound annual primary energy intensity growth rate of 2.3% observed in the previous decade and notably lower than the 4.2% deemed necessary in the International Energy Agency's (IEA) Net Zero Emissions by 2050 Scenario for the current decade leading up to 2030[47]. Despite these challenges, energy efficiency continues to stand out as the most cost-effective energy source, with costs ranging between 3 to 5 cents per kilowatt-hour (kWh). This underscores the importance of prioritizing and investing in energy efficiency initiatives to maximize energy savings and mitigate environmental impacts.

Sectors	**Identified Mitigation Solutions** (non-exhaustive)			**Identified Adaptation Solutions** (non-exhaustive)		
	Barriers	**Potential Intervention / Investment**	**Illustrative Impact**	**Barriers**	**Potential Intervention / Investment**	**Illustrative Impact**

Energy access and power generation (20%)	• Unreliable and high-carbon energy generation • Adoption issues: financing availability and upfront cost of clean energy • Limited ability of grid to meet load demand with increasing RE share	• Distributed Energy Resources (DERS) • Energy Supply Chain: Clean energy production equipment such as hydrogen electrolysers and solar panels • Modernization of Grids: Grid resilience using analytics to increase RE adoption despite variability	• Increased in sustainable energy access • Increase renewable energy mix in the grid • Reduced GHG emissions	• Increasing load on grid due to extreme weather events such as heat or cold waves • Increased grid failure instances with varied generation and demand peaks due to unpredictable climate patterns	• Smart Grids: Real time data and analytics leading to more effective maintenance, reliable and predictable performance, and a more resilient grid	• Reduced number of grid outages to ensure reliable energy access • Faster grid expansion to improve access • Improved recovery and/or resilience of energy system post extreme weather events
Energy efficiency (10%)	• Limited adoption due to knowledge gaps • High-upfront cost of energy efficient systems	• Energy Monitoring: Monitoring and development of better processes for lower energy consumption • Pay-As-You-Go: Use of efficient equipment and reduction in HVAC services consumed for savings • Industrial Efficiency: Energy efficient equipment across HVAC, motors, pumps etc.	• Reduced energy intensity of industries leading to GHG emissions reduction	-	-	• Adaptation benefits of businesses receiving a more reliable power supply • Improved resilience of the energy network through use of more energy-efficient appliances.

7.2 **Low Emission Transport:** Prosperete plans to invest in clean mobility to address barriers like high-carbon transportation systems and adoption obstacles such as charging anxiety and upfront costs. Interventions include supporting electric vehicle (EV) manufacturers, developing EV supply chains, providing charging solutions, and implementing fleet solutions, resulting in reduced greenhouse gas emissions, increased adoption of low-emission transportation, and the establishment of low-carbon pathways for urban ecosystems. Prosperete aims to mitigate high upfront costs of low-emission transport through investments in green financial services, thereby improving livelihoods and enabling greater participation of low-skill workers.

Low emission transport initiatives play a pivotal role to mitigate greenhouse gas emissions. Currently, transportation constitutes approximately 24% of direct greenhouse gas emissions stemming from fuel combustion on a global scale[48]. However, there exists a notable disparity in car ownership between emerging economies and developed markets. While the average car ownership stands at around 120 units per 1,000 people in emerging economies, it significantly surpasses this figure at approximately 500 units in developed markets[49]. This discrepancy underscores the importance of implementing strategies to promote low emission transport solutions, particularly in emerging economies where transportation emissions are significant contributors to overall greenhouse gas emissions. By prioritizing the adoption of cleaner and more sustainable transportation alternatives, such as electric vehicles and public transportation systems, countries can work towards reducing their carbon footprint and fostering a more environmentally friendly transport sector.

Sectors	Identified Mitigation Solutions (non-exhaustive)			Identified Adaptation Solutions (non-exhaustive)		
	Barriers	**Potential Intervention / Investment**	**Illustrative Impact**	**Barriers**	**Potential Intervention / Investment**	**Illustrative Impact**
Low emission transport (25%)	• High-carbon and inefficient transportation systems • Adoption barriers due to charging / range anxiety / upfront cost • Limited supply chain to support growth of industry	• EV Manufacturers: Sale of electric vehicles, help increase affordability • EV Supply Chain: Components for EVs such as motors, battery technology / manufacturers • Charging Solutions: Helps reduce barriers for EV • Fleet Solutions: Reduction of emissions through use of EVs	• Reduced GHG emissions with clean transportation • Improved adoption of low-emission transportation • Development of low-carbon pathways for urban ecosystems	• High upfront cost of low-emission transport limited ability to adapt to low-carbon economy	• Green Financial Services: Improve livelihoods of vulnerable communities through improved affordability of EVs and other income generating assets	• Improved livelihoods and participation of low-skill workforce in low-carbon economy

7.3 Food and Water Security: Prosperete aims to invest in agriculture and food security by investments that are projected to increase farm productivity and build climate resilience. Additionally, Prosperete plans to invest in water security by focusing on energy-efficient water systems to ensure water availability. Further interventions involve improving waste-water treatment for health and water security, enhancing irrigation methods, and implementing smart farming techniques. These efforts aim to enhance the adaptive capacity of communities to cope with changing water levels and improve overall food and water security.

Agriculture and food security are critical concerns, particularly in emerging markets (EMs), where a significant portion of global food production originates. Despite working on less than two hectares of land, approximately 600 million smallholder farmers, predominantly in EMs, contribute substantially to crop production, accounting for 28-31% of the total output[50]. However, projections indicate looming challenges for the agricultural sector. By 2030, crop yields are expected to decline by 10-50%, while the demand for food production must escalate by 30-60% by 2050 to accommodate the needs of a growing global population and shifting dietary patterns. These forecasts underscore the urgent need for innovative agricultural practices, sustainable farming techniques, and investments in agricultural infrastructure to ensure food security and mitigate the potential impacts of climate change on crop yields.

Water security is a pressing global concern, with projections indicating a significant challenge in the coming years. By 2025, an estimated 1.8 billion people are expected to reside in countries or regions facing absolute water scarcity, as reported by UN-Water. This scarcity not only affects basic needs but also has far-reaching health implications. Inadequate access to clean water and sanitation is closely linked to up to 80% of illnesses in the developing world. These statistics underscore the critical importance of prioritizing initiatives aimed at ensuring sufficient and safe water sources for communities worldwide.[51]

Sectors	**Identified Mitigation Solutions** (non-exhaustive)			**Identified Adaptation Solutions** (non-exhaustive)		
	Barriers	**Potential Intervention / Investment**	**Illustrative Impact**	**Barriers**	**Potential Intervention / Investment**	**Illustrative Impact**
Agriculture and food security (5%)	-	-	-	• Reduced agricultural productivity and crop yield due to increasing temperatures • High food wastage due to improper storage • Interseason rainfall variability threatening livelihoods	• Smart Farming: Crop monitoring facilitating climate informed advisory and risk management services • Cold Chain: Enables food to last longer	• Increased resilience of agriculture, particularly smallholder farmers, to climate change effects • Increased food security reducing vulnerability to other climate events
Water security (10%)	• Use of energy intensive methods • Limited availability of urban space for treatment	• Water Systems: Energy efficient / clean-energy powered water systems that reduce emissions	• Availability of water through energy efficient treatment	• Increasing water scarcity due to changing weather patterns • Lack of access to clean drinking water	• Waste-Water treatment: Improve health and water security through efficient treatment • Water Systems: Enhance food and water security through improved irrigation methods	• Enhanced adaptive capacity of populations to changing water levels

7.4 Urban environment and data systems: Prosperete plans to invest in cities, buildings, and urban systems and address barriers such as undeveloped low-emission, climate-resilient cities and improper waste treatment. Interventions include deploying distributed renewable energy systems with storage solutions, promoting low-carbon building materials, and implementing circular economy practices to reduce emissions. These investments aim to increase sustainable energy access, construct low-carbon resilient infrastructure, and adopt low-carbon production methods. Additionally, Prosperete intends to invest in climate information and early warning systems by focusing on emissions monitoring to design effective interventions and improving climate information systems for health and water security. These efforts seek to reduce GHG emissions, enhance resilience to climate hazards, and improve urban planning.

Cities, buildings, and urban systems play a pivotal role in shaping the future sustainability of our planet. Projections indicate that by 2050, nearly 75% of all infrastructure expected to be developed globally will be concentrated in cities that are yet to be built[52], highlighting the immense potential for urban development and its associated environmental impact. Moreover, the building and construction sector stands out as a significant contributor to carbon emissions, accounting for approximately 35% of final energy use CO2 emissions[53]. Addressing the environmental footprint of urban development and construction activities is imperative for mitigating climate change and promoting sustainable urbanization. By implementing energy-efficient building designs, adopting low-carbon building materials, and investing in renewable energy sources for urban infrastructure, cities can play a crucial role in reducing their carbon footprint and fostering a more sustainable future.

Climate information and early warning systems are indispensable tools for mitigating the impact of weather, water, and climate-related hazards on communities worldwide. Over the period spanning from 1970 to 2019, an overwhelming 79% of disasters recorded globally were associated with these hazards, underscoring the critical importance of preparedness and risk management strategies[54]. Furthermore, the frequency of recorded disasters has surged dramatically, increasing by five times, while economic losses have soared by a factor of seven since 1970. These statistics highlight the escalating risks posed by climate-related events and emphasize the urgent need for robust early warning systems and comprehensive climate information platforms. By investing in these systems and enhancing global cooperation on disaster preparedness and response, nations can better protect vulnerable communities and build resilience in the face of climate change-induced disasters.

Sectors	**Identified Mitigation Solutions** (non-exhaustive)			**Identified Adaptation Solutions** (non-exhaustive)		
	Barriers	**Potential Intervention / Investment**	**Illustrative Impact**	**Barriers**	**Potential Intervention / Investment**	**Illustrative Impact**
Cities, buildings, and urban systems (20%)	• Undeveloped low-emission climate resilient cities • Improper segregation and treatment of waste	• DERS: Distributed renewable energy systems including storage solutions • Building Materials: Low-carbon building material • Circular Economy: Reduce emissions from virgin mining and procurement	• Increase in sustainable energy access • Construction of low-carbon resilient infrastructure • Low-carbon production methods and procurement of resources	• Increased exposure of urban infrastructure to climate hazards • Limited visibility on infrastructure operating conditions leading to frequent service breakdowns	• Building Materials: Building materials that enable infrastructure to last longer • Infra Monitoring: Infrastructure monitoring, analytics, and predictive maintenance solutions through digitization	• Increased adaptive capacity of urban infrastructure and populations to risk of climate hazards and events
Emission Monitoring Systems (10%)	• Limited availability of information to design effective carbon reduction interventions	• Emissions Monitoring: Helps gather source of emissions by a particular source to design appropriate intervention	• Reduced GHG emissions • Improved monitoring of emissions to ensure accountability	• Lack of preparedness for climate hazards due to non-availability of climate information • Non availability of risk mitigation products to safeguard from weather changes	• Climate Information systems: Ensuring health and water security through modelling effect of climate change on regions and sectors • Parametric insurance systems: Protect livelihoods with insurance outcomes based on climate events	• Increased resilience of populations to climate hazards • Improved availability of climate information for urban planning

Section 6: Climate Finance Context

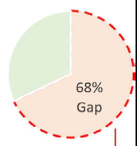
8. Emerging markets need climate financing as they need to balance the dual objectives of ensuring inclusive growth and fighting climate change. Fulfilment of this vision requires a well-executed multi-step strategy and the need to balance preferences of investors and stakeholders. Prosperete has selected target countries to establish the foundations for an emerging market focused financing ecosystem. The fund showcases the viability of climate solutions in EMs, attracting more capital for future funds and encouraging investors.
9. Emerging markets face higher real-GDP losses, with losses of up to 15% of per capita GDP in South Asia and 6% in Africa and the Middle East by 2050[55], if the scale of investments remains unchanged. Developing economies alone will require up to USD 5.8-5.9 trillion by 2030 for climate change action[56], compared to USD 400 billion of investments planned currently[57]. The public sources of capital in EMs have fewer financial resources and lack institutional capacity to adapt to the impacts of climate change. Therefore, foreign investment, especially private capital, will be needed for Emerging Markets to achieve their climate goals. The International Monetary Fund (**IMF) estimates that the private sector will need to supply about 80% of the required climate investment for EMs, and this share rises to 90% exc. China**[58]. The perceived dual risk of financing EMs as well as climate solutions has restricted the flow of investments required to scale such solutions.

A summary of climate financing gaps by country is highlighted below						
Country	**Aspect**	**Agriculture and Food Security**	**Water Treatment and Water Security**	**Energy Access and Power Generation**	**Energy Efficiency**	**Low Emission Transport**
Bangladesh	Current	$5 billion	$2 billion	$8 billion	$1 billion	$3 billion

	Finance Gap	$27 billion	$9 billion	$25 billion	$10 billion	$30 billion
India	Current	$50 billion	$45 billion	$100 billion	$25	$30 billion
	Finance Gap	$200 billion	$291 billion	$500 billion	$150 billion	$600 billion
Mauritius [59,60]	Current	$3 million	$50 million	$90 million	-	$2 million
	Finance Gap	$1 billion	$1 billion	$2 billion	$1 billion	$2 billion

10. **There are only a few climate funds focused on Emerging Markets and based in Emerging Markets**. Our research highlights the difficulty, with only 9% of companies in EMs, in the climate space, **successfully transitioning to Series B after seed funding, compared to the global average of 27% for similar companies**. This stark difference underscores the critical funding gap hindering the efforts of promising climate start-ups to expand and scale operations, often leading to premature closure.
11. The existing funds in these regions have built capacity to finance renewable energy projects but lack sectoral expertise to underwrite upcoming climate solutions. **In Bangladesh, climate companies have access to incubation and early-stage capital but need capital to scale operations post development of product / service.** Prosperete has done a landscaping of Venture Capital and Private Equity funds in Bangladesh and found that 80% of the private funds operating (exc. DFIs) in Bangladesh are restricted to early-stage venture capital investments.

USD 5.2bn of under-investment at Growth Stage across Emerging Markets (2017-2022)



Growth Stage Under-investment (USD bn)	
India	2.0
Indonesia	1.6
Mauritius	0.1
South Africa	0.5
Nigeria	0.6
Bangladesh	0.5

12. As an example, India itself has a capital availability gap of USD9 bn+ for climate solutions and this is most acute at the "missing middle" i.e., Growth stage, with an 85% gap based on the number of active climate funds.
13. Addressing the funding gap is key to a vibrant climate ecosystem in EMs. Prosperete' growth stage fund is targeted to fill this gap. In fact, the success of early-stage funds depends on the availability of growth stage capital to provide successful exits for their portfolio investments. Furthermore, these markets should be leverage to export climate solutions to other emerging markets and accelerate the creation of climate ecosystems across different markets.
14. Through the creation of scaled companies, Prosperete will be able to attract large-scale commercial capital to climate finance. Currently, commercial and institutional investors find climate solutions unattractive due to limited scale and low-ticket size. A key emphasis is laid upon scaling Prosperete's portfolio companies for investment by large institutional investors. Prosperete has also developed a strong network of partner funds across key markets to co-invest in growth stage companies across EMs.
15. Driving a substantial increase in investment through blended finance mechanisms is imperative to attain climate objectives effectively. The Fund has a blended structure and include a concessional layer to crowd in commercial investors, who have a high-risk perception due to the dual perceived risks of emerging markets and adoption risks of climate solutions. This strategic approach aims to broaden the spectrum of climate investors and expand private sector climate financing beyond traditional multilateral and development finance institutions. Investing at an inflection point for company growth and scale, Prosperete crowds in equity co-investors in company financing rounds, as well as provide the critical equity layer that allows for additional debt leveraging.

Section 6: Prosperete's interventions designed to help vulnerable communities

16. Prosperete's focus countries are highly susceptible to increasing hazardous climate effects. As outlined in Annex 23, these nations face significant risks from flooding, heatwaves, and droughts. IPCC AR6 identifies South Asia along with SIDS such as Mauritius as global hotspots of high vulnerability. Vulnerability is higher in locations with poverty and high levels of climate-sensitive livelihoods[61]. In line with UNDRRR[62], vulnerability is defined as "The conditions determined by physical, social, economic, and environmental factors or processes which increase the susceptibility of an individual, a community, assets, or systems to the impacts of hazards". Several of Prosperete's interventions lead to direct benefit to vulnerable communities by enhancing their income / greater resilience and indirect benefit by using technology to make climate solutions affordable.
17. A few of illustrative vulnerabilities and Prosperete's interventions are highlighted below:
    - The AR6 highlights that climate change will increasingly put pressure on food production and access, especially in vulnerable regions, undermining food security and nutrition. Reports suggest 70% of smallholder farmers in India have lost 50% or more of a crop in the past three years due to climate related challenges such as rainfall variability[63], putting a pressure on the livelihoods and food security of the farmers. Prosperete may invest in increasing livelihood stability in climate vulnerable sectors such as agriculture through climate-resilient inputs, precision agriculture, and other interventions.
    - Research suggests that climate change can exacerbate energy poverty, especially in rural areas[64]. Prosperete's investments are intended to increase the access to climate resilient livelihood by enabling access to reliable energy. Access to reliable energy can increase climate resilience for vulnerable households by powering essential services, enabling the use of energy-efficient technologies, and providing opportunities for income generation. Furthermore, Investments in innovations in the agriculture-energy nexus such as solar powered irrigation and cold storage are expected to increase resilience of rural communities through productive use assets

- IPCC AR6 Chapter 8 highlights poor households often lack the financial resources, social networks, and access to information needed to adapt to climate change impacts[65]. Prosperete will enable access and affordability of productive use assets for communities through investment and support for financiers who provide low-cost, often unsecured, lending to poor households. This can help people move from heat-wave prone manual labour activities such as peddled-rickshaws to more productive use assets such as e-rickshaws, increasing income and reducing climate-related hazards.

18. Prosperete invests in scalable climate solutions and effectuate technology transfer across emerging markets for widescale adoption to mobilize large-scale private capital. Proliferation and exchange of best technologies will create a shared climate funding ecosystem across emerging markets, accelerating development in each country and benefitting communities with affordable climate solutions.
19. The above are just illustrations of how Prosperete's interventions will particularly benefit lower strata of society, enhancing their income, financial inclusion and reducing vulnerability of such citizens. Prosperete will particularly focus on gender outcomes as well to make sure its interventions benefit female members of society as well, as highlighted in section D.3.

Section 7: Strategic Alignment

How Prosperete complements existing projects

20. **Prosperete Growth Fund, through its themes, structure and investment instruments is designed to complement existing climate financing projects**, as follows:
The Prosperete Growth Fund, driven by private sector leadership, distinguishes itself from existing public interventions like the Global Environment Facility and the Climate Investment Fund by operating as a private sector fund that complements public sector energy transition endeavours. It addresses the dual challenge of leveraging catalytic capital to unlock private and institutional investments for the development of low-carbon solutions, while simultaneously delivering essential services to underserved populations across the continent.
While public sector initiatives play a vital role in realizing the goals of the Paris Accord through substantial interventions, emerging markets require approximately $1 trillion annually for mitigation and adaptation actions, with 90% of this financing expected to come from private capital. The Prosperete Growth Fund, through equity investments, aims to identify replicable business models in these sectors and provide equity financing to support further capital leveraging in their structures. This approach complements other GCF-funded projects, such as the KawiSafi II (FP210), and Avaana Sustainability Fund (SAP037), which offer capital across early stage companies and the Green Growth Equity Fund (FP164) that focuses on later stages of climate infrastructure solutions. Prosperete is a bridge between regional funds looking to expand their solutions to, as well as implementing solutions from, other emerging markets. Prosperete is also working with debt capital providers to enable availability of additional funding for climate solutions.
21. **The Fund helps enhance the outcomes of climate-focused early-stage capital programs and green infrastructure programs:**
Emerging markets have attracted more than USD 2bn of early-stage capital in climate solutions between 2017-2022. Without growth capital, such early-stage capital is at risk as investee companies will fail to scale. This is already visible in 3x mortality rate (vs. global climate companies) by the companies reach Series B or growth stage. Without adequate growth capital, the climate ecosystem will not mature and may face drying up of funding.
Resilience and monitoring solutions are critical for trillions of dollars invested across infrastructure as well as security of clean energy investments. More than 1TW of global solar capacity is at risk of physical damage due to extreme weather conditions caused by climate change. Insurance premiums in the solar industry are up 15%-45% and are becoming a major concern for the industry. Assets in high-hazard zones are finding it difficult to get insurance coverage from a single carrier beyond USD 5 million[66].
Investments in digitization of green infrastructure will lead to higher utilization and life of infrastructure assets. Furthermore, data analytics will help study and design future climate resilient infrastructure. Prosperete's investments will complement low-carbon infrastructure by enabling lower costs, improving reliability, helping consumer adoption, and/or improving performance and resilience of infrastructure assets. Prosperete's investee companies will therefore be able to improve the risk-return profile of existing and new climate infrastructure.

Alignment with GCF's Private Sector Strategy

Prosperete Growth Fund is closely aligned to the key priorities set out in GCF's Private Sector Strategy (19 May 2022):

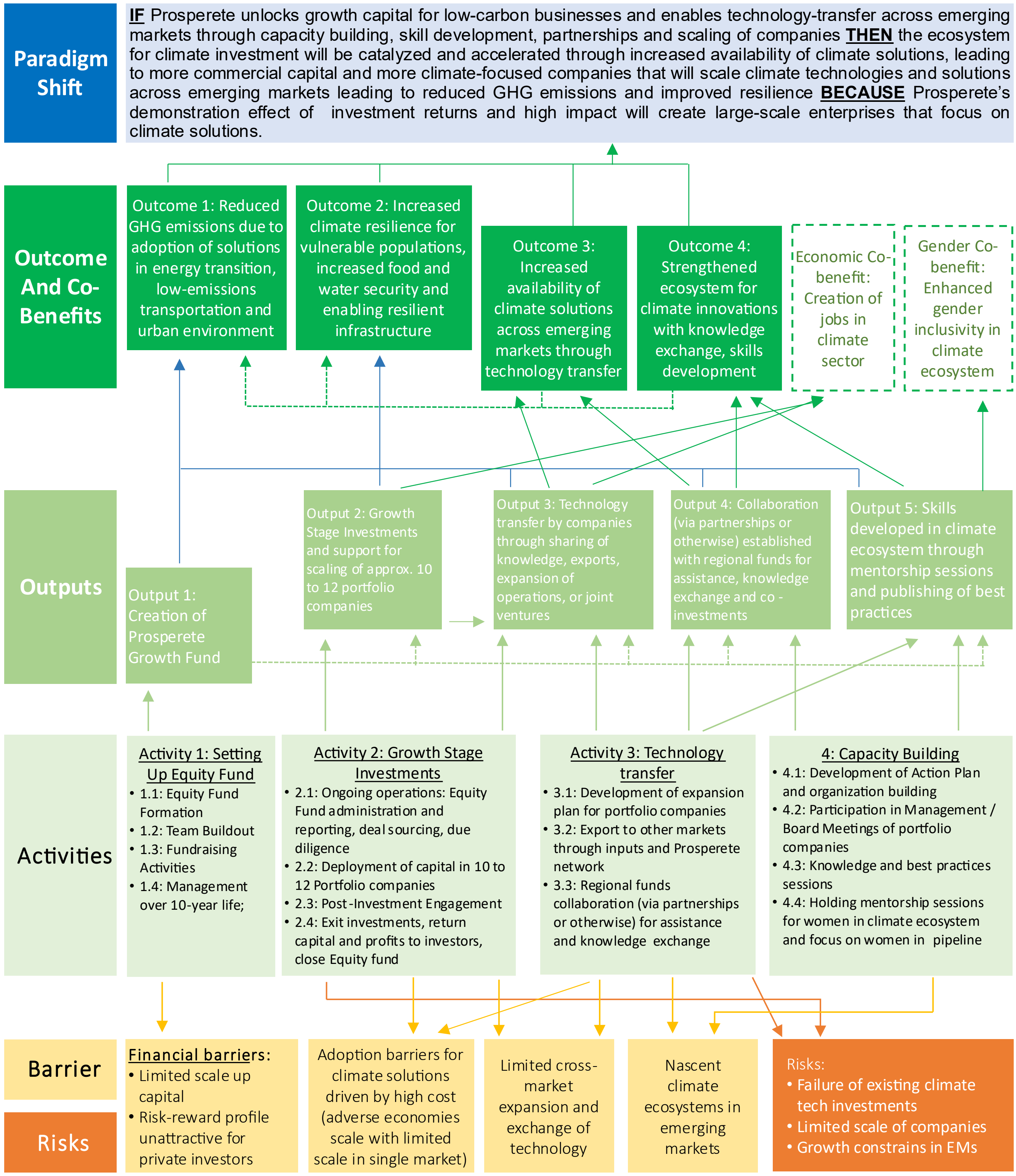
22. *Promote a conducive investment environment for combined climate and economic growth activities:*
The Prosperete Growth Fund plays a pivotal role in fostering an enabling investment environment within its targeted nations, thereby catalysing climate-friendly growth. It achieves this by showcasing the viability of private equity investment in these markets and actively contributing to the evolution of the investment ecosystem. This involvement encompasses engagement in consultations with the public sector and civil society, as well as the provision of support

for ecosystem development initiatives. By undertaking these measures, the fund not only facilitates sustainable economic development but also cultivates an environment conducive to long-term investment and growth.

23. *Accelerate innovation for business models, financial instruments and climate solutions:*
The Prosperete Growth Fund is structured to provide strategic support to pioneering enterprises and firms utilizing climate technologies within its designated sectors. Employing equity and quasi-equity financial instruments, the fund is distinguished by its adeptness in introducing innovative and adaptable terms into its investment agreements. This approach ensures that incentives are aligned, benefits are shared, and risks are effectively mitigated. Prosperete Growth Fund, through its equity investments, is dedicated to filling the gap of growth capital that is constraining the scale up of climate solutions.
24. *De-risk market-creating investments to crowd in private climate finance:*
The investment from the GCF in the Junior Equity tranche of the Prosperete Growth Fund will be pivotal to catalysing private climate finance to the climate solutions sector in Emerging Markets. Investors have the option of investing in developed markets (which they are closer to) and there are proactive government support programs in these countries such as the Inflation Reduction Act in USA, and the Green Deal in Europe. By mitigating investment risks and enhancing the appeal of risk-adjusted returns, the GCF's involvement will effectively address perceived and real risks for greater participation from private investors, thereby bolstering the flow of capital into climate-related initiatives.
25. *Strengthen domestic and regional financial institutions to scale up private climate finance:*
Prosperete investments in climate solutions will be a catalyst for investments from other financial institutions. Further, as portfolio companies scale and expand to other EMs, Prosperete will partner with regional funds for co-investment in such companies. Co-investment with Prosperete will help these funds underwrite deals and develop sector expertise. Furthermore, regional funds would provide local market understanding and support to expanding portfolio companies. The similarities in the climate needs and solutions across these countries and regions suggest clear benefits from following a cross-border approach to scaling. This will create an ecosystem for climate investing across EMs.
26. *Leverage improvements in the accreditation process, including a project-specific assessment approach and enhance GCF engagement with non-accredited entities.*
Prosperete Growth Stage Fund is an innovative fund utilizing a unique global emerging market collaborative approach to enable climate outcomes. Prosperete, backed by the extensive experience of its team, is approaching GCF directly through the PSAA route.
GCF will act as Prosperete Growth Fund's anchor investor, which will enable Prosperete to leverage GCF's resources for enhancing climate outcomes of companies. By leveraging PSAA and programme-specific assessment, Prosperete will be able to work with GCF directly and leverage GCF's expertise in assisting portfolio companies. Success of Prosperete will serve as a template of how GCF supports innovative climate strategies in creating scaled outcomes for EMs.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

1. Prosperete Growth Fund aims to achieve climate mitigation and adaptation outcomes in emerging markets by investing for green growth. Unlike developed countries, emerging markets are not able to mobilize the funding required to scale climate solutions with the necessary urgency. While developed countries have large internal programs (Inflation Reduction Act in the US and the European Green Deal) to address climate mitigation and adaptation, emerging markets have limited resources to run such programs.
2. An encouraging trend is a growing number of companies, both global and from emerging markets, have the ability to create cost-effective solutions that improve access for people vulnerable to climate impacts in emerging societies. In most markets, such climate solutions have access to early-stage capital, allowing them to establish proof of concept. However, the lack of growth capital poses a significant challenge in scaling and accelerating climate solutions in developing countries.
3. Prosperete is therefore utilizing the innovative approach of undertaking a multi-country approach and utilizing technology transfer to ensure availability of climate solution in different markets and enable creation of ecosystems.
The Prosperete Growth Fund theory of change is centred around the following paradigm shift:
    a) **IF** Prosperete unlocks growth capital for low-carbon businesses and enables technology-transfer across emerging markets through capacity building, skill development, partnerships and scaling of companies
    b) **THEN** the ecosystem for climate investment will be catalyzed and accelerated through increased availability of climate solutions, leading to more commercial capital and more climate-focused companies that will scale climate technologies and solutions across emerging markets leading to reduced GHG emissions and improved resilience
    c) **BECAUSE** Prosperete's demonstration effect of investment returns and high impact will create large-scale enterprises that focus on climate solutions



Assumptions

- Availability of attractive growth stage climate companies in participating countries
- Continued ability of emerging market economies to export climate solutions to each other
- Continued macro-economic stability in focus markets with ability to continue business operations and access financing
- Rising demand for clean energy, mobility, and productive use products and services offered by Prosperete investees.
- Costs of clean technologies and key companies continue to fall with economies of scale
- Ability of GCF and Prosperete's investments to create demonstration effect, attracting private capital to climate companies
- Increasing maturity of climate capital markets and maturing of PE industry, including large climate funds looking to invest l arger amounts, which offer exit opportunities for Prosperete portfolio companies
- Supportive policy and regulative environment and an ability to influence the same

4. The theory of change addresses the key market barriers and risks as follows:

a) **Barrier 1: Limited scale up capital and Risk-reward profile unattractive for private investors**

Limited access to growth equity is one of the most significant barriers hindering the transfer of necessary low-carbon and climate resilient technologies. In earlier tech funding waves, and to a large extent even today, the focus has been on asset-light solutions, which do not require large amounts of capital. However, the development of climate solutions requires technology to work on physical assets, leading to significantly higher capital needs and longer gestation periods. Absence of growth capital affects companies' ability to scale and create the required impact which in turn reduces their ability to provide attractive returns to commercial investors. Emerging markets have sector agnostic funds providing initial capital but face a dearth of capital for growth stage.

This gap has been widely acknowledged, with IEA stating *"outside major hubs like the US and China, most countries do not have available local investment funds to match the needs of their clean energy start-ups, especially during scale-up"* [67]

At an early stage, the funding requirements for climate solutions are not substantial. As a result, a number of early-stage climate funds have been established using domestic capital. However, as climate solutions progress and scale, several founders across emerging markets have highlighted the absence of the larger fundraising required during the growth stage. There is a need for growth equity capital to catalyse capital crowd-in to climate solutions. There is not enough local institutional capital available with a mandate to invest in green projects. There is an urgent need for innovative financial solutions to de-risk institutional investors, pool funds at scale and provide the much-needed equity capital.

b) **Barrier 2: Adoption barriers for climate solutions driven by high cost**

Climate change solutions often encounter limited scalability when confined to a single market as they are local and contextualised, inhibiting their overall impact. Expanding into multiple markets not only broadens their reach but also unlocks a larger Total Addressable Market (TAM), fostering greater adoption and accelerating the transition to sustainable practices on a global scale. Serving the larger number of businesses and consumers provides climate solutions the critical scale required and helps them reduce cost through economies of scale, thereby increasing the affordability of the solution. This broader reach allows for more comprehensive implementation of solutions, thereby maximizing their effectiveness in mitigating climate change impacts.

c) **Barrier 3: Limited cross-market expansion and exchange of technology**

Many essential technologies vital for facilitating the transition to low-carbon practices in Emerging Markets remain restricted to a single market. The current approach of independently developing technologies creates duplication of effort as many of these markets have created effective solutions. Consequently, there exists no global climate company that serves emerging markets.
This siloed approach is due to limited market knowledge and availability of capital. Overcoming these barriers requires an integrated approach which can help companies think beyond home markets, reduce cost and increase adoption, creating positive outcomes for the customers, company, and climate ecosystem at large.
Additionally, the current lack of partnerships between funds for knowledge exchange exacerbates this issue, hindering the efficient dissemination of innovative solutions. As a result, efforts are often duplicated, leading to inefficiencies and the suboptimal use of the already limited resources available. This siloed approach partially results from experience at the intersection of having a global network and expertise along with investments in climate technology.

d) **Barrier 4: Nascent climate ecosystems in emerging markets**

Currently, only a handful of emerging markets boast thriving climate ecosystems capable of fostering innovative solutions and attracting growth capital. Prosperete analysis shows only a handful of countries have developed markets which can attract growth stage capital. These markets require the adoption of climate solutions to a viable threshold to demonstrate to budding entrepreneurs to develop solutions which can attract growth stage capital for scale.

To catalyse progress, efforts must focus on exporting successful models and collaborating with global funds to cultivate similar ecosystems elsewhere. This entails leveraging successful case studies and utilizing co-investments with regional funds, facilitating knowledge transfer, and establishing conducive regulatory frameworks. By nurturing robust climate ecosystems in more emerging markets, Prosperete is able to unlock immense potential for scalable climate solutions, driving sustainable development and resilience worldwide.
Due to existing gender norms in emerging markets, there is limited participation of women in development of climate solutions. The establishment of climate ecosystems in emerging markets presents a unique opportunity to foster gender equality outcomes for women. By ensuring women's active participation and leadership in climate initiatives, Prosperete can not only address environmental challenges but also empower women economically and socially, contributing to more inclusive and sustainable development pathways.

e) **Risks: Potential failure of existing climate investments, limited scale of companies and growth constraints in Emerging Markets**

Over the last six years, emerging markets have drawn in excess of USD 4 billion in early-stage capital directed towards climate solutions. However, the sustainability and scalability of these investments are contingent upon the availability of growth capital. Failure to secure such capital jeopardizes the ability of investee companies to expand their operations effectively. Moreover, the absence of sufficient growth capital poses a significant risk to the maturation of the climate ecosystem, potentially leading to a depletion of funding resources over time.

Without access to growth capital, Prosperete has witnessed number of companies face plateauing revenue, leading to sub-optimal impact and growth returns. Emerging markets require scaled solutions in order to overcome challenges posed by climate change. Without adequate capital being attracted to Emerging Markets, key solutions to address climate change, which already exist, will remain limited to developed markets for the most part. Climate Change has to be addressed globally and Prosperete's goal is to make sure that climate solutions are expanded across Emerging Markets and scaled enough to attract capital from institutional investors. Without such capital the emerging markets stand may be exposed to several adverse consequences such as:

1. Limited Mitigation Efforts: Emerging markets may struggle to invest in renewable energy projects, energy efficiency measures, and other initiatives aimed at reducing greenhouse gas emissions. This could result in higher levels of pollution and exacerbate climate change.
2. Vulnerability to Climate Impacts: Without adequate resources to adapt, emerging markets may be more vulnerable to the impacts of climate change, such as extreme weather events, sea-level rise, and disruptions to agriculture and water resources. This could lead to economic losses, displacement of populations, and increased poverty. United Nations estimates that the annual economic costs of natural disasters in Asia and the Pacific could reach $160 billion by 2030 if adaptation measures are not implemented.[68]
3. Missed Economic Opportunities: Climate change presents opportunities for innovation and investment in green technologies and sustainable infrastructure. Without climate capital, emerging markets may miss out on these opportunities and fall behind in the global transition to a low-carbon economy.
4. Increased Dependency on Fossil Fuels: In the absence of alternative sources of funding, emerging markets may continue to rely on fossil fuels for energy generation and economic development. This could lock them into high-carbon pathways and make it more difficult to transition to cleaner energy sources in the future.
5. International Cooperation: Climate finance often involves support from developed countries and international organizations to help developing nations tackle climate change. A study by the London School of Economics (LSE) estimates that the financial impacts of climate change on emerging market economies could range from $400 billion to $1.2 trillion per year by 2100, depending on the severity of climate change and the effectiveness of adaptation measures.[69]

Overall, the lack of climate capital could hinder the ability of emerging markets to effectively address climate change, resulting in environmental degradation, social disruption, and economic setbacks.

5. <u>Prosperete Growth Fund addresses the above-mentioned barriers and risks as follows:</u>

Through investment of growth capital in the scaling of climate businesses, Prosperete Growth Fund supports the rapid acceleration of supply of essential products and services to millions of people which is expected to in turn demonstrate the technological suitability of these products and commercial viability of these businesses. The Fund will lead to identification and development of well selected companies that have developed and deployed climate and sustainability solutions that can be applied across EMs to have impact at a global scale. Prosperete's sample pipeline demonstrates the company's ability to achieve scale, generate financial returns, as well as serve multiple markets. Post the creation of the fund, further diligence on investments and selection of the best climate solutions, along with support for organization building and global operations, will create positive outcomes from these investments.

Prosperete is also promoting a unique business model of working with partner funds in Emerging Markets. By doing so, Prosperete contributes to creating an ecosystem for climate investments and increase capacity in evaluating and investing in climate mitigation and adaptation solutions across EMs. This will include evaluating investee companies of partner funds to see if the solutions they offer can be scaled to India/South and South-East Asia and other EMs. The similarities in the climate needs and solutions across these countries and regions suggest clear benefits of following a cross-border approach to scaling.

Prosperete takes a nuanced approach of differentiating its value-add approach and activities basis the needs of the target country. This unique model of partnerships across EMs will lead to proliferation of climate investing because of Prosperete's regional partnerships and multiplication of large-scale climate investments across EMs. Prosperete has already identified several funds looking to establish such a partnership and is in the process of formalizing these partnerships for sharing of pipeline companies, knowledge exchange, and portfolio support.

6. Prosperete Growth Fund aims to complement governmental initiatives by investing in strategic areas primed for private sector engagement, such as two and three-wheeler electric vehicles (EVs), battery manufacturing, and associated charging infrastructure. This investment is intended to facilitate the introduction of new technologies, validate innovative financing models aimed at enhancing affordability and accessibility to electric transportation. At scale, these solutions are projected to substantially reduce emissions from the transportation sector, which currently contributes to approximately a quarter of all energy-related CO2 emissions. Further, Prosperete Growth Fund seeks to invest in businesses that utilize innovative pay as you go models in energy transition. The fund will also invest in agricultural infrastructure and technologies that supports income generation and increases smallholder farmers adaptive capacity to the effects of climate change. Increasing access to these products will likely also empower small holder farmers. Prosperete Growth Fund also focuses on mitigation and adaptation outcomes through distributed renewable energy systems, low-carbon building materials, circular economy practices, and constructing resilient infrastructure, which enhance sustainable energy access and reduce emissions from urban development.

7. By establishing a USD 220 million fund, Prosperete will enable an estimated 9+ million tons of CO_2 savings (directly and indirectly) and help more than 3 million people adapt to climate change during the fund's life. Prosperete will invest to help scale enterprises, attract commercial capital from institutional investors and drive transformative change. As these companies scale, they will (i) generate employment (ii) provide access to low-carbon and climate-resilience solutions in different emerging markets, and (iii) improve affordability of such solutions. The companies supported will continue to have additional impact post Prosperete's exit as well. (iv) Prosperete's model of working in partnership with other funds in the region will create co-investment opportunities, more awareness, knowledge sharing and cross fertilization across emerging markets to address climate change at an accelerated pace.

8. The following table summarizes the key barriers and how they are addressed through the theory of change (activities and outputs):

Barrier	Output Area	Activities / Sub-activities that address the identified barrier
Barrier 1: Limited scale up capital and Risk-reward profile unattractive for private investors	Output 2: Growth Stage Investments and support for scaling of approx. 10 to 12 portfolio companies	Activity 2: Growth Stage Investments Sub-Activity 2.1: Ongoing operations: Equity Fund administration and reporting, deal sourcing, due diligence Sub-Activity 2.2: Deployment of capital in 10 to 12 Portfolio companies Sub-Activity 2.3: Post-Investment Engagement Sub-Activity 2.4: Exit investments, return capital and profits to investors, close fund
Barrier 2: Adoption barriers for climate solutions driven by high cost	Output 2: Growth Stage Investments and support for scaling of approx. 10 to 12 portfolio companies Output 3: Technology transfer by companies through sharing of knowledge, exports, expansion of operations, or joint ventures	Activity 2: Growth Stage Investments Sub-Activity 2.3: Post-Investment Engagement Activity 3: Technology transfer Sub-Activity 3.1: Development of expansion plan for portfolio companies Sub-Activity: 3.2: Export to other markets through inputs and Prosperete network

		Sub-Activity 3.3: Regional funds collaboration (via partnerships or otherwise) for assistance and knowledge exchange
Barrier 3: Limited cross-market expansion and exchange of technology	Output 2: Growth Stage Investments and support for scaling for 10 to 12 portfolio companies Output 3: Technology transfer by companies through exports, expansion of operations, or joint ventures	Activity 2: Growth Stage Investments Sub-Activity 2.2: Deployment of capital in 10 to 12 Portfolio companies Sub-Activity 2.3: Post-Investment Engagement Activity 3: Technology transfer Sub-Activity 3.1: Development of expansion plan for portfolio companies Sub-Activity: 3.2: Export to other markets through inputs and Prosperete network Sub-Activity 3.3: Regional funds collaboration (via partnerships or otherwise) for assistance and knowledge exchange
Barrier 4: Nascent climate ecosystems in emerging markets	Output 4: Collaboration (via partnerships or otherwise) established with regional funds for assistance, knowledge exchange and co-investments Output 5: Skills developed in climate ecosystem through mentorship sessions and publishing of best practices	Activity 3: Technology transfer across EMs Sub-Activity 3.3: Regional funds collaboration (via partnerships or otherwise) for assistance and knowledge exchange Activity 4: Capacity Building Sub-Activity 4.1: Development of Action Plan and helping with growth Sub-Activity 4.2: Participation in Management / Board Meetings of portfolio companies Sub-Activity 4.3: Knowledge and best practices sessions Sub-Activity 4.4: Holding mentorship sessions for women in climate ecosystem and focus on women in pipeline

9. Commercial investors globally are increasingly directing capital towards climate solutions. However, large investors typically require organizations to operate at a certain scale to deploy such capital. The perceived risks associated with investing in emerging markets (EMs), coupled with adoption risks related to climate solutions, impede capital flows.

   Prosperete, through its investment at growth stage, will facilitate market development by leading growth stage investment rounds and leveraging its extensive network to attract co-investors in its investment rounds. Additionally, Prosperete focuses on scaling climate solution companies to appeal to institutional investors, with support from the Green Climate Fund (GCF) serving as a crucial signal of viability and scalability in the climate sector, ultimately encouraging further investment from other stakeholders.

   Prosperete estimates that the Fund will be able to mobilize more than a USD 1 billion in climate financing from public and private financing. This will be enabled through investments in rounds where Prosperete invests and further fundraises by the company Prosperete team will proactively help portfolio companies to have the right capital structure and have access to debt.

10. The Fund activities intend to directly contribute to making wider options for low carbon productive use available and accessible to lower income people; ensuring companies have necessary liquidity and capital to scale and deliver low carbon business models and meeting high standards in environmental and social risk management. In turn, these drive the following long-term outcomes:

11. **Outcome 1: Reduced GHG emissions due to adoption of solutions in energy transition, low-emission transportation and urban environment**

    The increased emissions from emerging markets could undermine global efforts to mitigate climate change, as they could grow their economies significant contributors to global emissions. This could make it more challenging to limit global warming to well below 2 degrees Celsius, as agreed upon in the Paris Agreement.

    Most Emerging Markets have growing and young populations, and energy demand is expected to grow. To make sure that the growth in demand for energy is met from renewable and non-emitting sources, alternatives to fossil fuels at affordable costs and equivalent reliability and hours of service is imperative. Prosperete is focusing on companies that provide such solutions through multi-renewable energy sources, increasing energy productivity of existing solar and wind farms, battery and pump storage solutions that address intermittency of renewable energy and grid-based solutions that improve the offtake of renewable energy. If EMs were to meet their increasing energy demands primarily through fossil fuels, there would likely be several significant impacts on the climate, such as:

1. Greenhouse Gas Emissions: Increased reliance on fossil fuels for energy generation would lead to a significant rise in emissions, contributing to global warming and climate change.

2. Air Pollution: Burning fossil fuels releases not only CO2 but also other pollutants such as sulphur dioxide (SO2), nitrogen oxides (NOx), and particulate matter. This can worsen air quality, leading to health problems and environmental degradation, including smog, acid rain, and respiratory diseases.

4. Water Consumption: Fossil fuel extraction and power generation can be water-intensive processes, particularly in regions already facing water scarcity. This increased water consumption can strain freshwater resources, affecting ecosystems and communities dependent on them.

5. Vulnerability to Climate Impacts: Continued reliance on fossil fuels perpetuates a high-carbon development pathway, making these countries more vulnerable to the impacts of climate change.

This presents an opportunity for an accelerated energy transition. These economies have already shown rapid deployment over the past decade as development of renewable energy technology such as solar has matured, but often there are barriers to adoption to renewable energy such as ability of the grid to adapt to increased variability, energy storage etc. Investments into solutions that enable energy transition and adoption of renewable energy are expected to lead to significant climate outcomes, such as reduced energy intensity of industries leading to GHG emissions reduction and availability of reliable clean energy to households and businesses.

Mobility and logistics constitute the distributed infrastructure vital for facilitating market transactions and driving economic growth. in car ownership in EMs, issues such as traffic congestion, air pollution, infrastructure strain, pressure on fuel demand and energy security and environmental concerns arise. Comparatively, in developed markets, where car ownership levels are already high, the focus is often on managing the negative impacts of automobile use, such as reducing emissions, promoting alternative transportation modes, and investing in sustainable urban planning. Policies and regulations related to vehicle emissions standards, fuel efficiency, congestion pricing, and public transportation infrastructure are more established in developed economies. This disparity disproportionately affects poorer populations, leading to increased prices of essential goods and restricted mobility. Integrating advanced data and sensor technology and optimizing vehicle efficiency offer promising avenues to enhance service quality, extend coverage, and lower costs, thus alleviating these burdens.

Moreover, higher upfront cost of electric vehicles often reduces affordability of underserved communities. Prosperete will invest in green financing solutions which helps such communities increase their income through such productive-use assets, very similar to how ICE 2 and 3-wheeler industry grew with the availability of targeted financing, that makes the product more affordable.

Investing in clean technologies for urban environments is critical to reducing greenhouse gas emissions and improving air quality, which directly enhances public health and sustainability. Such investments drive the development of resilient infrastructure, promote energy efficiency, and foster sustainable urban growth, ensuring cities can meet the challenges of climate change effectively. This is particularly important in emerging markets, which are witnessing a rapid pace of urbanization.

Low-carbon infrastructure emits less carbon emissions than traditional infrastructure and is also more resilient to the impacts of severe climate events. Climate-resilient infrastructure, on the other hand, can enhance the dependability of service delivery, extend the lifespan of assets, and safeguard investment returns. Emerging markets are growing rapidly and are expected to account for majority of future construction activity in the world. To meet this demand for infrastructure and built environment sustainably, Prosperete would, through their portfolio companies, provide these countries an opportunity to adopt low-carbon practices in new buildings. Prosperete will invest in sustainable building materials, not only mitigating emissions from hard to abate sectors such as cement, concrete and steel, but also enable creation of affordable housing and prefabrication to build with speed, acting as a mitigant and means to adapt against vulnerabilities from climate change.

Prosperete will invest in sustainable building materials, not only mitigating emissions from hard to abate sector but also enable creation of affordable housing, acting as a key mitigant against vulnerabilities from climate change. Built environment reduces climate vulnerability by providing a safe and stable environment that protects individuals and communities from extreme weather events such as storms, floods, and heatwaves. Well-designed built forms and infrastructure can incorporate climate-resilient features such as insulation, ventilation, and durable construction materials, which help to minimize risks and damages during climate-related disasters. Further, access to affordable housing and shelters contributes to overall community resilience by ensuring people have a place to seek refuge and recover in the aftermath of such extreme events.

Prosperete's portfolio companies will enhance infrastructure asset longevity and resilience by offering real-time data and analytics. This improves performance predictability and enables quick responses to climate change impacts across various sectors, enabling tailored interventions to mitigate climate risks effectively, thereby advancing adaptation efforts. These can be achieved through the portfolio companies employing principles of: circular economy, use of low carbon building materials, lower land and water footprint. Furthermore, the integration of AI in industrial processes enhances efficiency, leading to significant mitigation benefits. AI-driven predictive maintenance reduces equipment downtime and defects, optimizing resource utilization. Real-time monitoring and data analytics streamline operations, minimizing energy consumption and waste generation. Ultimately, AI fosters sustainable industrial practices, mitigating environmental impacts.

12. **Outcome 2: Increased climate resilience for vulnerable populations, increased food and water security and enabling resilient infrastructure**

Enhancing the resilience of lower-income populations involves providing access to climate-friendly productive solutions, bolstering food security, and offering a wider array of reliable climate-resilient opportunities for employment, income generation, and economic advancement. An ancillary advantage of this heightened resilience is the expansion and encouragement of work opportunities for both men and women. As outlined in section B.1., emerging markets confront significant climate hazards such as heightened droughts, extreme rainfall, and exposure to severe heat waves, alongside increased weather variability. Investing in the specified energy and climate solutions is anticipated to fortify the resilience of the businesses served, enabling them to more effectively cater to low-income clientele amidst these challenges. Thus, it becomes essential to foster businesses that empower communities to diversify their incomes, whether through increasing affordability or promoting adaptation measures that enhance community resilience. For example, the solar-powered water pump company can help reduce water stress and at the same time increase farmer income generation due to higher yields.

13. **Outcome 3: Increased availability of climate solutions across emerging markets through technology transfer**

Prosperete is focused on creating advanced climate development ecosystems in emerging markets by exporting clean technologies and partnering with regional investment funds. Through collaboration with investors and institutions, Prosperete is building a strong market pipeline, assessing global scalability, and devising tailored expansion plans for portfolio companies in various countries.
Technology transfer is about the sharing among stakeholders of knowledge, experience, products, solutions and equipment for mitigating and adapting to climate change. It is a process of learning to understand, utilize and replicate technology, including the capacity to choose it, adapt it to local conditions and integrate it with indigenous technologies. This also includes export of products and services across different geographies. Technology transfer is essential for building resilient ecosystems and tackling climate change. Sharing innovations in energy transition, low-emission transport, sustainable agriculture, and waste management will hasten the shift to low-carbon economies, lower costs, and promote best practices, driving economic growth and fostering new climate-focused enterprises.

Our work has shown that there are multiple companies and solutions that can be replicated and deployed across emerging markets. However, investors need to see examples of successful companies and robust ecosystems in order to deploy more capital in such solutions across newer markets. To ensure technology transfer, Prosperete has set targets across:

- Building a geographically diversified pipeline (certain % of pipeline from each participating country)
- A minimum % of proposed investee companies to have technology transfer action plan agreed prior to the investment
- Monitoring of execution of technology transfer plan by companies
- Partnership with other funds for local expertise and sharing of pipeline

14. **Outcome 4: Strengthened ecosystem for climate innovations with knowledge exchange, skills development**
Few emerging markets currently possess thriving climate ecosystems. Developing these requires a tailored approach, ensuring the best solutions are scaled to optimize climate investments. Partnerships with institutions facilitates knowledge and investment flows, bridging gaps to accelerate climate action. This strategy will lower costs through economies of scale, expand market reach, and address climate challenges. As companies grow through technology transfer, local ecosystems will mature, boosting investor confidence and creating a shared climate funding ecosystem across emerging markets, benefiting global communities.

Furthermore, Prosperete would work on gender outcomes to ensure that such ecosystems are most inclusive. This will ensure increased economic participation, safer working environment and accelerated climate action in these markets on a sustained basis.

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	**GCF Mitigation Results Area (MRA 1-4)**				**GCF Adaptation Results Area (ARA 1-4)**			
	MRA 1 Energy generation and access	**MRA 2** Low-emission transport	**MRA 3** Building, cities, industries, appliances	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable people and communities	**ARA 2** Health, well-being, food and water security	**ARA 3** Infrastructure and built environment	**ARA 4** Ecosystems and ecosystem services
Reduced GHG emissions due to adoption of solutions in energy transition, low-emission transportation and urban environment	☒	☒	☒	☐	☐	☐	☐	☐
Increased climate resilience for vulnerable populations, increased food and water security and enabling resilient infrastructure	☐	☒	☐	☐	☒	☒	☒	☐
Increased availability of climate solutions across emerging markets through technology transfer	☒	☒	☒	☐	☒	☒	☒	☐
Strengthened ecosystem for climate innovations with knowledge exchange, skills development	☒	☒	☒	☐	☒	☒	☒	☐

Co-benefit number	**Co-benefit**					
	Environmental	**Social**	**Economic**	**Gender**	**Adaptation**	**Mitigation**
Creation of jobs in climate sector	☐	☐	☒	☐	☐	☐
Enhanced gender inclusivity in climate ecosystem	☐	☐	☐	☒	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

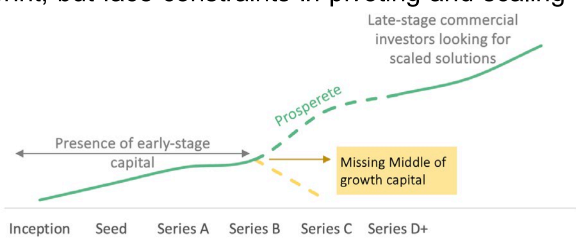
<u>Setting up and operating USD 220 million Investment Fund</u>

1. Prosperete is setting up a USD 220mn growth equity fund to promote SMEs and start-ups focused on climate mitigation and adaptation by leveraging technology and business model innovation to provide solutions at scale.
   Prosperete's market assessment over the last two years across select markets, shows a lack of growth equity that limits the ability of innovative start-ups and Small and Medium Enterprises (SMEs) to achieve scale and create large scale impact.
2. Prosperete Growth Fund will leverage private and institutional capital at the fund level for further investment into low-carbon projects in Emerging Markets. The key output of the program is long-term investment of Equity capital in (1) Energy Transition, (2) Food and Water Security, (3) Low-emission transport, and (4) Urban Environment and Data

Systems projects with strong climate impact and innovation potential. These sectors correspond to the following GCF result areas:

2.1 MRA – 1: Energy Generation and Access
2.2 MRA – 2: Low Emission Transport
2.3 MRA – 3: Buildings, Cities, industries, and appliances
2.4 ARA – 1: Most vulnerable people and communities
2.5 ARA – 2: Health, well-being, food and water security
2.6 ARA – 3: Infrastructure and Built Environment

3. Prosperete's fund is targeted to address the missing middle of growth stage between early-stage capital and such late-stage capital. Growth equity, along with Prosperete's support for portfolio companies for market expansion, will enable creation of large-scale global enterprises that can successfully crowd-in late-stage private capital to climate sectors.
4. Prosperete Growth focuses on growth stage companies with ticket sizes of USD 5 million - USD 20 million and on its core expertise of scaling businesses across different markets through its global experience and network. Prosperete will create positive outcomes by investing in and scaling mitigation and adaptation solutions that have achieved product market fit. The Fund will also invest in transitioning companies that have existing businesses and are looking to transition to greening their operations and reducing their carbon footprint, but face constraints in pivoting and scaling such solutions. The constraints include high risk perception towards relatively newer businesses, limited availability of capital, lack of understanding of global markets, affordability of climate solutions and talent pool for building at scale. These legacy businesses can utilise their expertise across different markets, complex supply chains, and customer understanding for efficient deployment of climate solutions.



5. Prosperete has identified and evaluated founders whose companies offer climate solutions scale and expand their reach across emerging markets that are encountering similar challenges. Prosperete will catalyse private finance supported by concessional equity from GCF to invest in growth stage companies that address climate challenges in EMs effectively and improve the livelihoods of those affected by climate change.
6. Without adequate growth capital, these solutions remain confined to small-scale operations, thereby inherently limiting their impact on mitigating climate change. One significant barrier to the adoption of such solutions, particularly in Emerging Markets, is the affordability factor. **Many climate solutions come with initial investment costs that can be prohibitive for businesses and communities with limited resources.** To foster widespread adoption, it is essential to make these solutions more economically viable and accessible. Prosperete will help climate solutions grow, reducing costs through economies of scale, and provide transition finance to make these solutions more accessible. This is expected to accelerate the deployment of affordable and scalable climate solutions, facilitate their integration into people's daily lives, and promote sustainable development on a global scale.
7. Prosperete would invest USD 5 million to USD 20 million (excluding co-investments), giving the Fund a significant minority stake to ensure that Prosperete can guide the investee/founders with strategic inputs and ensure adherence to environmental, social and governance standards. It is expected that the Fund will make 10-12 such investments over the Fund's life.
8. The Prosperete Growth Fund's comprehensive sector mapping and expertise underscore the significant market opportunities within the target sectors. Within the fund's investment pipeline, the Prosperete team has curated an indicative advanced pipeline featuring investment opportunities across our focal verticals where it can deploy money post availability of capital.
9. The program is uniquely designed to address financial, technical, policy and knowledge gaps hindering the uptake of innovative technologies and business models required for the transition to low carbon and climate resilient pathways. The program is in line with NDCs as outlined in section B.1.
10. **Prosperete's Growth Fund is of ESS risk category I-2**. Prosperete primarily invests in solutions with environmental or safety risks in category B or category C. However, given climate solutions' link to physical assets, some solutions such as recycling, sustainable HVAC solutions, or battery manufacturing may have operation centres. Using the weakest link approach, the programme has been categorized in risk category I-2.

Investments from Prosperete Growth Fund:

1. Prosperete's investment criteria is multi-faceted to ensure both commercial and climate outcomes from its investments. The preliminary eligibility criteria utilized while identifying companies at screening stage is highlighted below:
   - Focus Areas: Green Projects in the sectors/focus areas of Prosperete which have carbon mitigation / adaptation impact. Sectors to include energy, energy efficiency, food and water security, mobility and transportation, urban environment and data systems. Prosperete applies the IFC exclusion list.

- Exposure norms: Single company investment capped at 20% of fund size and single sector exposure capped at 40% of fund size.
- Stage: Companies looking for scale-up capital to expand their climate-focused offerings
- Any E&S Category A projects would not be eligible for financing

2. Geographical Considerations: Prosperete invests in companies wherein Prosperete investment is utilized substantially in in one or more of the focus countries where NOLs have been obtained i.e., Bangladesh, India, and Mauritius.
3. Prosperete evaluates companies' ability to enable technology transfer through export or expansion of company's offerings. Possibility of such transfer and proposed expansion plan, if any, will be an input for growth projections.
4. Prosperete further evaluates a company's climate thesis against possible technologies and sub-sectors as enlisted below and climate impact of investment as per Eligibility Criteria.
5. **Technologies/sub-sectors:** Prosperete Growth Fund invests in low-carbon productive business deploying climate technologies in the focus countries. The below list provides indicative set of sub-sectors where Prosperete may invest, these may be in companies solely designed for such purpose or existing players who are expanding their businesses into such products / solutions. Prosperete also considers investments in solutions that accelerate adoption of these products / services. The Fund may add additional sectors basis development of solutions at growth stage and mitigation / adaptation impact:

Segment / sub-sector	Description
Energy Transition	
Distributed renewables (+ storage)	Solar home systems for households and commercial and industrial solar, including minigrids
Energy storage (primarily battery energy storage systems)	Grid-connected storage Energy storage solutions for consumers and businesses, specifically those that increase the usability of renewable energysolutions (e.g. home energy storage)
Battery recycling / 2nd life models	Recycling/upcycling of used Li-ion and other batteries for reuseof component materials or repurposing for 2nd life batteries
Smart metering	Smart metering systems for grid-connected and off-grid distribution networks, to make power grids more capable ofefficiently and reliably operating with renewables
Renewable energy financing	Financing platforms and fintech solutions for renewable energycompanies and projects, leveraging AI and credit algorithms for optimal credit risk management
Modernization of Grids and Software	Software platforms focused on energy sector, including workforce management platforms, procurement solutions,marketplaces, AI and data tools - all to better performing energy supply chain; Integrated software and smart device systems for remotemonitoring and control of energy generation assets, and reduction in energy consumption
Energy Supply Chain	Clean energy production equipment such as hydrogen electrolysers and solar panels
New forms of clean energy	New forms of clean energy such as green hydrogen, new solar technologies etc.
Energy Efficiency	Monitoring and development of better processes for lower energy consumption or Use of efficient equipment and reduction in HVAC etc. services consumed for savings; Industrial Efficiency: Energy efficient equipment across HVAC, motors, pumps etc. Target improvements in energy efficiency must be at least 20% against a conservative baseline.
Urban environment and data systems	
Infra Monitoring	Infrastructure monitoring and predictive maintenance solutions through digitization
"Green" manufacturing	Manufacturing processes and equipment that use less rawmaterial, produce less waste and consume less energy.
Sustainable packaging and other materials	Alternatives to traditional packaging and other materials that offer smaller carbon footprints (during production, transport, useor disposal) – e.g. bioplastics, multi-use plastics, recycled paperand cardboard, etc.
Low-carbon building material	Materials – such as concrete, recycled panels that have lower carbon footprints (during production, transport, use ordisposal) than baseline alternatives over lifetime
Waste management and circular economy	Solutions that avoid waste generation (e.g. composting, recycling) or reduce the GHG emissions from stored waste (e.g.landfill management), including plastics recycling
Sanitation	Technologies and processes that reduce GHG emissions associated with sewage management – e.g. variable-speed pumps, energy efficient stirring, methane avoidance or capture,etc.
Waste to energy	Pyrolysis and other energy recovery processes that utilize wasteconversion technologies to generate heat and electricity from non-reusable and non-recyclable waste materials
Renewables-based ESCOs	Renewable power for mobile connectivity, including ESCOmodels for solar-powered mobile towers
Low-emission transport	
EV Manufacturers or equipment suppliers	Electric vehicles and associated supply chain to change user behaviour to use electric alternatives to fossil-fuel

EV charging	Models for roll-out and management of EV charging networks,including fast-charge technology, batter swap models, and software platforms for battery network optimization
EV financing	Financing solutions for electric vehicles and fleet transition toEVs, such as asset finance, pay as you drive, etc.
EV Fleets	Reduction of emissions through use of electric vehicles as commercial fleet vehicles
Shared mobility	Business cases around shared mobility solutions (commuterbuses, last-mile solutions, etc.).
Smart mobility	Route planning; apps for minimising fuel/energy consumption intransport systems and public/private fleet management
Logistics platforms	Solutions focused on reducing emissions in supply chain, including optimization of logistics systems, reduction of food lossin supply chains
Food and Water Security	
Farm Equipment:	Energy-efficient equipment to reduce emissions
Smart Farming	Sustainable food production methods; Weather monitoring facilitating climate informed advisory and risk management services
Cold Chain	Enables food to last for longer and reduces food wastage
Water Systems	Energy efficient / clean-energy powered water systems that reduce emissions, improve irrigation methods
Waste-Water treatment	Improve health and water security through efficient treatment

Key Outputs from Prosperete Growth Fund

11. **Output 1: Creation of Prosperete Growth Fund**

    Creation of fund entities and achieving first close and final close. Prosperete targets to raise USD 220mn by final close. The establishment of the fund and related structure have been further described in section B.4.

12. **Output 2: Growth Stage Investments and support for scaling of approx. 10 to 12 portfolio companies**

    Post setup of the fund and fundraise, Prosperete will be able to lead investment rounds into companies providing climate solutions. Prosperete will invest at growth stage and transitioning companies focussed on providing mitigation and or adaptation solutions.

    By leading investment rounds, Prosperete will be able to mobilize capital within that round itself (expected to be 1.5-2x of Prosperete's investment). Such growth stage investments will allow companies to grow their solutions beyond demonstrations and initial clients, developing capacity to serve institutional clients across different regions.

13. **Output 3: Technology transfer by companies through sharing of knowledge, exports, expansion of operations, or joint ventures**

    Working with portfolio companies, Prosperete supports them in expanding to other emerging markets in need of climate solutions. Climate solutions that cater to multiple emerging markets have the potential to generate greater impact and are more likely to succeed due to their scalability and broader reach. By addressing common challenges across various regions, such solutions can leverage economies of scale, optimize resource utilization, and foster knowledge sharing, resulting in more efficient and effective implementation. Additionally, serving multiple markets enhances resilience to market-specific risks and facilitates the dissemination of best practices, driving transformative change on a global scale.

14. **Output 4: Collaboration (via partnerships or otherwise) established with regional funds for assistance, knowledge exchange and co-investments**

    Prosperete looks to create an enabling ecosystem for climate solutions through leveraging investments from other funds, export of solutions to other markets, and sharing of best practices. Such an ecosystem will enable creation of climate solutions across different emerging markets, with capacity building across regional funds looking to invest in climate and proliferation of climate entrepreneurs on the back of success of climate solutions.

15. **Output 5: Skills developed in climate ecosystem through mentorship sessions and publishing of best practices**

    Prosperete's commitment to knowledge sharing and ecosystem building within the climate tech sector plays a pivotal role in fostering innovation and accelerating the adoption of sustainable solutions. By facilitating the transfer of expertise, best practices, and lessons learned among entrepreneurs, researchers, and investors, Prosperete connects innovators with seasoned mentors and industry experts, thereby speeding up the development and commercialization of climate technologies. This ecosystem approach aims to break down silos, reduce duplication of efforts, and promote resource and insight sharing, ultimately strengthening the ecosystem.

Once an investment is made, Prosperete diligently monitors portfolio companies on climate and social impact aspects during the holding period, ensuring adherence to the principles of 'Responsible Investing.' Active monitoring is crucial to minimizing risks and capitalizing on opportunities to enhance investments through continuous improvements. Additionally, efforts to understand data tracking methods and build impact capacity are essential as the organization scales beyond its early stages. Supporting increased and measurable climate impact remains critical, often central to a portfolio company's thesis. GCF's institutional support and expertise in climate measurement provide invaluable benefits to portfolio companies, adding credibility to their impact results and bolstering investor confidence and interest. Through these efforts, Prosperete deepens the understanding of mitigation and adaptation impacts, promoting best practices in climate impact knowledge and data across its portfolio companies and markets. Furthermore, Prosperete mandates that all investee companies commit to gender diversity targets and actively seeks out companies with female founders and those with a higher representation of women in senior leadership roles.

Key Activities under Prosperete Growth Fund

16. **Activity 1: Setting Up Equity Fund**

Sub-Activity 1.1 and 1.3: Equity Fund formation and Fundraising Activities: Prosperete is establishing a $220M Growth Equity Fund. The fundraising process is ongoing and will continue over the coming months. Prosperete will look to have the final close within 30 months from first close.

The fund will utilize blended-finance structure to unlock private sector climate investment into emerging markets. The Fund targets business models that deploy low-carbon solutions in an inclusive and sustainable way and that enables people to participate in a greener economy and have a more sustainable growth path out of poverty.

Fund formation. Establishment of the Fund entity and all partnership terms have been agreed

Fundraising. Engagement with development finance institutions, institutional investors, and family offices to achieve final close of the $220M Fund.

Sub-Activity 1.2: Team Buildout:

The organization is being built-out at both at senior and junior levels with strong values of trust, integrity, and collaboration. Prosperete is forming a multi-generational institution a team which will grow with the organization. The team is also supported in fund operations by team consisting of finance experts and CFO having decades of experience working with private equity and venture funds.

The team is also working with experienced E&S consultants to provide dedicated resources to Prosperete for E&S risk and climate impact evaluation, working with the investment team for effective assessment.

Sub-Activity 1.4: Management over 10-year life;

As fiduciary, the Investment Manager will oversee the fund deployment for a 5-year investment period, followed by 5 years of portfolio monitoring. Prosperete will ensure prudent management, strategizing exits, and timely capital returns to investors, maintaining rigorous oversight to maximize returns and ensuring achievement of climate outcomes.

17. **Activity 2: Growth Stage Investments**

Sub-Activity 2.1: Ongoing operations: Equity Fund administration and reporting, deal sourcing, due diligence

Prosperete Growth Fund strategically identifies investment opportunities, ensuring alignment with its impact and financial objectives. Leveraging partner networks, it gains proprietary access to established companies, fostering deeper understanding. Additionally, it collaborates with early-stage capital providers to track promising ventures and conducts sector analysis to identify lucrative investment avenues, nurturing potential winners closely.

18. Prosperete Growth Fund will invest across both mitigation and adaptation solutions, and has identified four thematic verticals that represent the new landscape of low-carbon solutions:

18.1 **Energy Transition:** Prosperete focuses on investing in energy access and power generation, aiming to overcome barriers like unreliable energy sources and financing issues for clean energy adoption. The Fund will deploy Distributed Energy Resource Systems (DERS) and modernize grids to increase renewable energy adoption, ensuring sustainable energy access and reducing greenhouse gas emissions. In energy efficiency, Prosperete Growth Fund intends to address challenges such as knowledge gaps and high upfront costs by investing in monitoring, pay-as-you-go models, and industrial efficiency solutions, leading to reduced energy intensity and GHG emissions.

18.2 Low Emissions Transport: enterprises operating within the rapidly evolving mobility and logistics sectors are witnessing significant transformations driven by innovative electric vehicle battery models and artificial intelligence technologies. These advancements are fostering rapid innovation within fragmented markets, paving the way for the development of climate-resilient transportation systems

18.3 Food and Water Security: Prosperete aims to invest in agriculture and food security by promoting sustainable farming techniques, aiming to increase productivity. Additionally, the Fund plans to address water security by implementing energy-efficient water systems and improving waste-water treatment, aiming to enhance adaptive capacity and overall food and water security amidst looming challenges and growing global demand.

18.4 Urban environment and data systems: Prosperete's investments target the development of sustainable urban infrastructure and carbon monitoring systems to mitigate barriers like inadequate waste treatment and emissions monitoring. By promoting low-carbon building materials and renewable energy solutions, Prosperete aims to reduce GHG emissions, enhance urban resilience, and improve disaster preparedness, thus contributing to a sustainable future amidst increasing urbanization and climate risks.

Equity Investment via investment decisions to most impactful, fast growth companies**.** Prosperete follows a rigorous and structured investment process from sourcing through evaluation, due diligence and transaction documentation. Climate diligence is incorporated at all stages as Prosperete evaluates pipeline companies.

Prosperete Investment Process:

In selecting and diligencing companies in which to invest, Prosperete Growth Fund applies a rigorous screening approach to assess eligibility. Alongside is the summary of investment and portfolio process, with impact assessment integrated at every stage, and a highlight on the screening and assessment criteria.
Prosperete's investment process is guided by its Investment and Portfolio Process Policy. The policy describes the eligibility criteria, and elaborate how the Prosperete team evaluates and ensures positive climate impact and the approach to managing environmental, social and governance (ESG) risks and performance in its investments.

Prosperete invests in high-impact low carbon projects. Prosperete applies the IFC Exclusion List and has created a list of Excluded investment activities that the Prosperete will use to guide investment process. Furthermore, Prosperete does not invest in any Category A projects. Prosperete also screens the investments for factor such as operations in conflict area and risk to workers, in line with Prosperete ESMS. The Prosperete team uses the exclusion list as a screening tool for investments.

<u>Screening and Initial diligence</u>

At this stage, Prosperete Growth Fund identifies investment opportunities and selects them based on their ability to achieve and align with the stated impact and financial goals of the Fund. Prosperete uses the following approach to build a strong pipeline of investee companies:

19. Proprietary access to companies – Leverage experience of its Partners to get access to companies which are known to them for several years. Having known these companies for many years, gives them the ability to understand companies better. Several growth stage companies have approached the Prosperete team based on their global network, access to sources of debt capital, deep domain expertise and overall reputation as value adding investors.

20. Work with eco-system – Prosperete uses its eco-system of early-stage capital providers to keep track of young companies. Such ecosystem includes partnerships with capital providers, incubators, accelerators, and knowledge institutions. This is used to build pipeline of attractive companies for investment as well as develop in-depth domain expertise

21. Top-down sector work – Prosperete undertakes sector studies and identify attractive sub-sectors for investments. Prosperete then identifies potential candidates for investments, and progress with further diligence and analysis.

<u>Alignment and Impact Assessment of Companies:</u>

Following the initial assessment of companies during company meetings, each opportunity undergoes meticulous evaluation during pipeline meetings, initiation memos, and a comprehensive due diligence process. Through this rigorous diligence process, Prosperete aims to inform investment decision-making and pinpoint areas where it can enhance financial and impact management within the investee company.

22. Screening and Initial diligence: Prosperete identifies investment opportunities and select them based on their ability to achieve and align with the stated impact and financial goals of the fund.

23. Screening Against Eligibility Criteria: At the screening stage itself, Prosperete applies its eligibility criteria to (i) apply the Exclusion List (ii) check alignment of the prospective opportunity with focus sectors for potential sectors and sub-sectors in which Prosperete could potentially invest), and (iii) check if the company's solution can create meaningful mitigation and adaptation outcomes. An early assessment of viability of proposed business and potential investment returns is also undertaken. This work is led by Prosperete's Climate Lead.

    As part of assessing a potential investment's eligibility, Prosperete also assigns preliminary E&S assessment to a pipeline opportunity, with any E&S Category A projects not being eligible for financing.

24. Financial/Commercial assessment: Prosperete assesses the information provided by the company against the team's market knowledge and research. This includes assessing the business model for aspects such as unit economics, management team experience, fit for the local market, potential for regional expansion, poverty and climate impact. The team also assesses the viability of the business based on strength of existing constraints / economic situation.

25. Climate/Impact assessment: Impact assessment at Prosperete is guided by: Impact Policy, Impact Measurement and Management procedures, Responsible Investing Policy and the Environmental and Social Management System. Assessment of the climate impacts of potential investments takes place during the 'initial DD" and "Impact assessment" stages. Investment must demonstrate i) their potential to make a significant contribution to Prosperete's two overarching climate targets: (1) avoiding / averting tonnes of CO2 during Fund life cycle and (2) strengthening resilience and adaptation for individuals.

    Prosperete assesses each firm against the following to assess their eligibility:

    25.1 Mitigation impacts: Aligned with the Prosperete methodology (leveraging global standards such as CDM methodology) to calculate emissions reduction impacts, potential investments are assessed for their mitigation potential. Financial projections are used together with the Prosperete mitigation calculation methodology to estimate potential future mitigation impacts. Investments are then categorized as having High, Medium or Low mitigation potential. Decisions to progress Is based on the outcomes of this assessment.

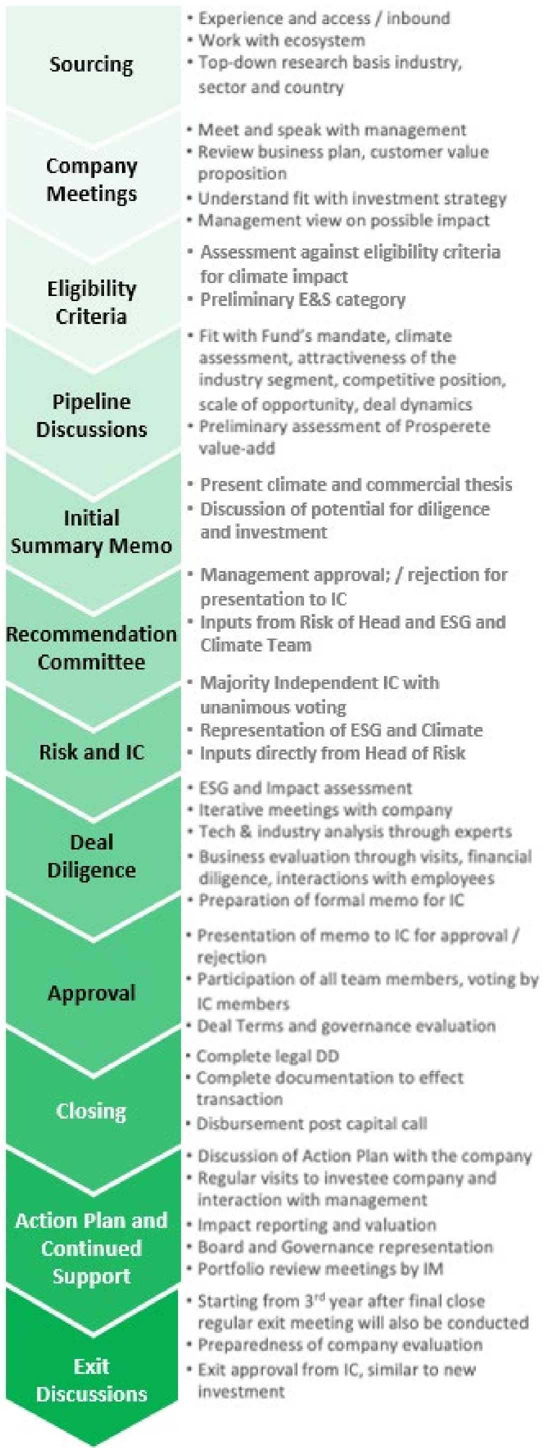
    25.2 Adaptation impacts: The Prosperete team conducts an assessment of each investment opportunity's potential for adaptation impacts, scoring across three criteria; direct adaptation benefits, maladaptation assessment, and broad adaptation benefits. This assists in assessing overall contribution/mission alignment with Prosperete's adaptation targets. Prosperete also use its adaptation project selection tool to assess adaptation impacts.

    25.3 ESG audit: The ESG risks screening is undertaken based on initial assessment of the potential portfolio company. Potential investments will be screened using information provided and categorized according to inherent risks factors affecting various E&S aspects with the following objectives: Minimize the negative impacts and E&S risks of its activities and, in addition, generate positive financial, social and environmental impacts, Act in accordance with applicable laws and regulations, Align with relevant international standards and principles i.e., IFC Performance Standards. Prosperete has a comprehensive ESMS which includes, an ESG check-list and assessment tool to assess ESG factors

26. Technology Transfer: Each investment is evaluated for its global scalability and replicability across other emerging markets. Such expansion can happen either through company setting up operations, export of solutions, or working with partner companies for effective and low-cost deployment of climate solutions in other markets.

27. Gender Lens and Gender Opportunity and alignment: Prosperete lays a deep emphasis on gender opportunity and expects to set a target that 30% of its investees at origination will meet the 2x criteria. As part of its due diligence, Prosperete confirms that each investee meets IFC's exclusion list which covers the 2x framework's basic ESG criteria. Prosperete has made a clear commitment to investing with a gender lens. A key output in its Gender Action Plan is also to partner with Fund portfolio companies to increase female workforce participation across their organizations, including in senior leadership. To this end, Prosperete agrees a gender action plan with each portfolio company with clear timebound requirements and responsibilities. Each portfolio company will also include impact measurement and management measures that explicitly consider gender, diversity and inclusion.

28. Our approach involves identifying companies with the potential to emerge as climate industry leaders, focusing on those demonstrating market traction and scalability within their respective sectors, supported by robust product-market fit and proven technological capabilities and their commitment to creating measurable impact in the countries they operate in. Emphasis is placed on partnering with management teams exhibiting maturity, ambition, and a clear vision for regional or global leadership.
29. Our transactional methodology prioritizes disciplined valuation practices and meticulous deal execution.
30. Prosperete is committed to nurturing portfolio companies towards scale and maturity. Drawing upon our team's extensive market knowledge, Prosperete will work with investee companies for organization building and demand creation. Prosperete actively engages with companies at the board level for strategic alignment and growth. Creation of scaled companies will allow Prosperete to work with large scale commercial capital investors who actively seek to invest in such scaled organizations. Most importantly the scaling up of climate solutions will create a positive impact in addressing climate mitigation and adaptation.



<u>*Sub-Activity 2.1.1:*</u> *Company Meetings:* During the initial diligence phase, thorough assessments are conducted through extensive engagement with company management and scrutiny of the founder's vision and strategic direction. Company's thesis and business undergoes rigorous testing against the team's market expertise and research findings. Companies demonstrating alignment with criteria encompassing unit economics, management proficiency, local market suitability, regional expansion potential, and impact on poverty and climate, proceed to subsequent stages.

<u>*Sub-Activity 2.1.2:*</u> Pipeline Discussions: These meetings include evaluation of fit with Fund's investment mandate, climate assessment, attractiveness of the industry segment, competitive position of the target, scale of the opportunity, deal dynamics including reason to sell and competition, potential exit options and any preliminary assessment of Prosperete angle.

<u>*Sub-Activity 2.1.3:*</u> Initial Summary Memo: Basis initial assessment, each investment is screened by Recommendation Committee, which takes into consideration the climate impact, management quality, financial and commercial assessment, ability to create gender outcomes before recommending any investment to Prosperete Fund Investment Committee. The recommendation committee also considers inputs from Head of Risk as well as ESG and Climate team during its decision making.

Post approval from Recommendation Committee, the Initial Summary Memo is presented to the Investment Committee. Comprising seasoned investment professionals with extensive expertise in private equity, development finance, and operations, Prosperete's Investment Committee meticulously evaluates opportunities at this pivotal stage.

<u>*Sub-Activity 2.1.4:*</u> Deal Diligence. Following the Investment Committee approval based on the Preliminary Investment Memo, the team proceeds to full commercial diligence. Prosperete employs a comprehensive diligence process for each investment, encompassing evaluation of the founder and track record, management assessment, industry and technology evaluation, business analysis, and legal scrutiny, and climate impact validation. During such detailed deal diligence, a key evaluation criteria is ex-ante mitigation or adaptation estimates.

Basis the team's diligence, the investment thesis is presented to the Head of Risk for recommendations and suggestions to the Investment Committee. The Head of Risk considers several factors, including (but not limited to) portfolio construction, macro and currency risk, business risk et al., including compliance with Prosperete policies.

Prosperete undertakes a comprehensive risk assessment of each investment:

- Every investment and portfolio performance is reviewed by the Head of Risk, who shares recommendations and suggestions with the Fund's Investment Committee. This separation of roles between the Head of Risk and the Fund's IC and Board ensures a comprehensive risk appraisal is undertaken of each investment.
- The Prosperete Growth Fund implements a thorough due diligence procedure, encompassing comprehensive analyses of financial, legal, operational, market, competition, and ESG factors.
- Any investments made by Prosperete are subject to full background check on key parties behind the investee company and their founders. These checks include checks on their history, checks on international database including UN Sanctions List, litigation history etc. In cases such checks throw a red flag typically Prosperete does not deal with such entities unless a detailed investigation proves otherwise. Furthermore, Prosperete also has an AML officer to investigate such matters and keep a tab on all Prosperete activities in relation to money laundering and terrorist financing risks.
- Prosperete undertakes in-depth ESG assessment of companies prior to making investments. Prosperete has a comprehensive ESMS which includes, an ESG check-list and assessment tool to assess ESG factors. Any high risk / cat A project is not taken up by Prosperete. An E&S action plan is agreed with the company and its implementation closely monitored. The team is also working with experienced E&S consultants to provide dedicated resources to Prosperete for E&S risk and climate impact evaluation, working with the investment team for effective assessment.

The investment team prepares memos for the Investment Committee, adhering to Prosperete's policies and investor guidance. The IC members also provide input on critical areas for further diligence. This information is presented to the IC at an interim meeting, where parameters for investment terms are discussed and agreed in principle.

Sub-Activity 2.2: Deployment of capital in 10 to 12 Portfolio companies

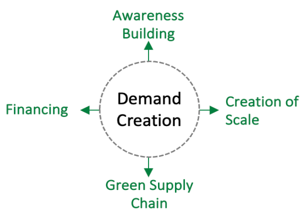
Prosperete will deploy capital in climate companies post approval from the Investment Committee, largely providing growth equity for primary capital raises. Based on the approval from the Investment Committee, the team negotiates terms with the company to execute a term sheet. Terms are determined based upon the Fund team's insight from a range of local transactions and structured to manage the specific risks and opportunities of each investment. Upon execution, the team engages external advisors for legal and ESG due diligence. Any findings from the external diligence are reflected in the transaction documents, which include an ESG Action Plan and, where applicable, a 100-Day Operational Plan. The final terms and diligence findings are presented to the IC for final approval.

The investment terms are formally documented with external counsel advising. Investment documentation may include technology transfer plan, impact, gender,and ESG provisions.

Sub-Activity 2.3: Post-Investment Engagement

Prosperete intends to take a board seat and otherwise being actively involved in the oversight and management of its investments. The team's deep experience with scaling enterprises is complementary to investee management teams. In particular, the investment team's perspective on industry best practices and local context are sought out by entrepreneurs and co-investors alike, considering the unique challenges of building a fast-growing business in emerging markets. Prosperete adds value to portfolio companies, including the following:

Demand Creation will require work across several aspects, including awareness building among customers and working with key customers, utilizing sector expertise to enable suitable policies and regulations etc. Vulnerable populations constitute the biggest users and beneficiaries of such products. To enable demand in this segment, it is important that relevant solutions (financial and otherwise) are available, and these solutions are affordable for them. Affordability, in turn, depends on making sure that companies have the right supply chain, appropriate economies of scale and appropriate capital costs. In addition, customers have low-risk appetite to transition from legacy systems to climate-friendly solutions unless their requirements are met. Without growth equity, companies are often unable to integrate customer requirements into their climate solutions. Patient capital can support companies through the long-sales cycle and build required critical



mass to establish trust. There have been industries where such scaling up has been established such as solar and the 2 and 3-wheeler sectors in Asian markets.

Investing in players in hard to abate sectors which are looking to decarbonize and become more resource efficient will further catalyse demand for climate solutions. As these existing companies seek to decarbonize, a chain reaction is expected from the demand for green products that they create and the work they do with their vendors to green their supply chains. Several SMEs, that are the biggest job creators in EMs, are embarking on reinventing themselves both for domestic and global markets to have a lower carbon footprint and improve resource efficiency. Prosperete will also invest in companies that provide financing for SMEs and start-ups to transition to net zero.

Attracting anchor customers, developing critical scale, and availability of financing will create network effects for these solutions. After a company gains a significant share in one-market, Prosperete will seek to ensure that these globally competitive solutions scale to other emerging markets as well.

<u>Periodic financial and impact reporting received from the portfolio companies</u>

Prosperete conducts regular portfolio reviews, with a maximum gap of 3 months between meetings. Each review entails a detailed examination of at least one company, covering performance versus projections, action plan follow-ups, exit strategies, and new strategies. Information from these reviews informs quarterly and annual reports, including industry trends, investment summaries, impact assessments, and ESG improvements. Additionally, the team tracks news on portfolio companies and conducts impact deep dives to optimize climate and social impacts.

Active monitoring is crucial to minimizing risks and capitalizing on opportunities to enhance investments through continuous improvements. Once invested, Prosperete works closely with investee companies to monitor risks

- Quarterly meetings with portfolio companies to closely monitor performance
- Proactively identify any signs of financial or operational distress

The Prosperete team will receive periodic financial and impact reporting from portfolio companies - including cash flow, management reports, board reports and impact reach. The team will utilize this information to track the progress and company and suggest redressals, if any are required. The team will also track news on each of the portfolio companies.

<u>Portfolio support across financial management and capital raise</u>

The Prosperete team will seek to provide value addition and support to portfolio companies to help them professionalize, scale, and raise further equity capital and access appropriate debt financing for growth

Sub-Activity 2.4: Exit investments, return capital and profits to investors, close fund

At the heart of Prosperete's investment philosophy lies the objective of fostering the development of scalable climate enterprises with measurable impact, with the aim of achieving exit upon investment maturity, typically within a 4 to 6-year timeframe. The exit strategy encompasses various avenues, including company sales to strategic or financial buyers, initial public offerings (IPOs), or management buyouts, as well as secondary sales of shares to later-stage investors may be pursued. Prosperete is committed to ensuring sustained positive impact post-exit by cultivating sustainable business models aligned with a robust policy and operations framework and actively seeking buyers who share a commitment to continuing scaling up of impact.

Pursue Exits: As the fund progresses in its investment period, regular exit meeting will also be conducted. The sole purpose of this meeting will be to keep a tab on the preparedness of companies for potential exit, and ensuring both value and impact maximization to make companies ready for a successful exit by the Fund. Each Company will be included in exit meetings after 2 years of its investment or indicated timeline for exit (if earlier).

31. Activity 3: Technology Transfer

Expansion across EMs presents an opportunity for climate focused growth stage companies. Exporting to other markets can create impact at scale while contributing to their commercial success. During the diligence process, **each opportunity is evaluated on current and potential application across home market and other EMs**. While Prosperete is initially focused on companies with home markets in Bangladesh, India, and Mauritius, the management of the investee company is expected to have ability and scale-up plans for such expansion across Asia and Africa particularly in Prosperete’s focus countries i.e. Bangladesh, India, and Mauritius as well as market such as Nigeria, Indonesia, and South Africa.

At the time of investment, Prosperete collaborates with each company to create an expansion plan, evaluating target countries and devising action plans. Prosperete provides expertise from regional funds and partners, facilitating interventions such as operations setup, exports, or partnerships, and supports companies with access to partner funds for development and execution.

Prosperete also utilizes its network to help with the expansion of these companies as well as tie-up with regional financiers. Such partnerships enable local expertise and customer relations in support of these companies.

Prosperete Framework for Technology Transfer across EMs

Sourcing and Evaluation
- Actively build a geographically diversified pipeline
- Evaluate companies for expansion beyond home market
- Work with accelerators and early-stage investors to help nurture their cohort

Engagement for Expansion
- Development of expansion plan beyond home market at investment stage
- Interventions: setting up operations, exports, or partnerships
- Support companies with expertise and access to partner funds for development and execution

Continued Assistance
- Investment from partner funds
- Financial, regulatory, and other assistance for expansion in target countries
- KPI Monitoring of operations and beneficiaries

Mentorship and knowledge exchange sessions to develop ecosystems

Some of Prosperete's pipeline companies are already deploying their products and services beyond their home markets. Prosperete has played a proactive role helping their pipeline companies to grow beyond their original market to other EMs by providing access to networks, relationships, capital from partner funds and local financial institutions.

Other EMs face similar challenges of limited affordability and low access to climate solutions. There have been several successful examples of solutions developed in Asian countries expanding to Africa such as 2 wheelers, battery solutions, and telecom. Such expansion enables technology transfer as well as enables access to low-cost solutions which are low carbon, increase climate resilience and ensure inclusive growth.

Prosperete works with its pipeline and investee companies to expand and setup operations in Africa. Such expansion will help the companies address larger markets / increase the Total Addressable Market (TAM) and at the same time increase availability of solutions for participating countries. South-South collaboration and distribution of solutions is central to Prosperete's investment thesis towards climate action.

Prosperete is working with multiple regional funds as partner funds to have 'boots on the ground' for companies expanding to other markets as well as act as co-investment partners. These funds look to partner with Prosperete as they understand the growing importance of technology for accelerated climate solutions (outside infrastructure and traditional VC) and look to develop expertise through these deals. Prosperete will evaluate investee companies of partner funds to see if the solutions they offer can be scaled to its Target Countries. Prosperete will partner with local business houses and local debt financiers. Such partnerships and expansion of solutions would not only enable exchange of technologies from one region to another, but also develop local funding ecosystems which catalyse further climate finance.

While partnering, Prosperete continually evaluates the need for having its own team members in different regions basis the opportunities for deploying solutions that address climate mitigation and adaptation. As Prosperete's investment in each targeted market grows, Prosperete will follow a measured approach, expanding to such markets alongside the growth of its portfolio companies. Over the medium term, Prosperete will have a couple of colleagues based regionally to cover these countries, in addition to strong regional partnerships.

Prosperete Is Building a Global Network for Expansion of Climate Solutions

++

Sub-Activity 3.1: Development of expansion plan for portfolio companies

Sub-Activity 3.2: Export to other markets through inputs and Prosperete network

Sub-Activity 3.3: Regional funds collaboration (via partnerships or otherwise) for assistance and knowledge exchange

32. Activity 4: Capacity Building

Sub-Activity 4.1: Development of Action Plan and organization building

At the time of investment, Prosperete will work with each company to develop an expansion plan to evaluate potential countries for expansion and action plan for the same. Prosperete would provide expertise from regional funds and partners.

For developing the Action Plan, Prosperete works the company to identify areas to improve and suggested steps for the same. Such Action Plan would also include evaluation of company's expansion plan beyond its home market. Prosperete intends to be a key part of the process while developing action plan and provide additional resources such as access to experts, regional financiers, and others to ensure there is buy-in from all stakeholders involved.

Action Plan for investee companies would also detail the plan for climate impact monitoring and enhancement. Such plan would at the minimum encompass tracking the carbon footprint, and in some cases measures to enhance their climate impact. The Action plan could also cover action items for addressing ESG related concerns, if any. The formulation, implementation and monitoring of the Action Plan would be overseen by Prosperete's ESG Officer along with the active involvement of the investment team.

<u>Organization Building and Team Buildout</u>

At the growth stage, a company requires capital as well as operating expertise to move beyond early-adopter customers and build an organization that can last for decades. Apart from continued product excellence, investee companies need to build pillars across **management, teams, processes, systems, and capital** to be able to support the growth of its climate solution. Another key component of this is to make sure that the companies work closely with their stakeholders including customers and suppliers. Building in a comprehensive Environmental, Social and Governance (ESG) system into the operations and investments of the companies is a core part of the support that Prosperete will provide to its portfolio companies.

As a company's solution is scaled and provided to customers across multiple geographies, it is essential to ensure consistency and process replicability for smooth operations. Prosperete would help the company build these pillars and invest in the **right talent and supply chain** to be able to fulfil the solution's growth potential. Prosperete would help its portfolio companies in identifying gaps for hiring and finding suitable candidates. Another key component of Prosperete's support is establishing appropriate systems and processes to ensure execution and governance over the long-term. Through its investment, Prosperete will enable long-lasting enterprises, that serve large markets, and attract late-stage capital, creating impact over multiple decades. <u>Assist companies with and help companies develop capacity in impact/ESG management through knowledge sessions, assistance with consultants</u>

Currently, there is limited understanding of links between climate mitigation and adaptation, and how to integrate practices into company operations to enhance impact further. Further work is also required to understand the methods of data tracking as well as building impact capacity within the organization as it scales beyond early stages of operation. Providing support on increasing and measuring climate impact is critical as it is often central to a portfolio company's purpose and objective. GCF's institutional support and expertise on climate measurement will be highly valuable for the portfolio companies. GCF's support would also add credibility to their impact results which will enhance investor confidence and interest. Prosperete's efforts would deepen understanding of mitigation and adaptation impact and promote best practices in climate impact knowledge and data across its portfolio companies and markets.

At the fund level, Prosperete will undertake comprehensive reporting and impact assessment. Prosperete will also sign up to disclosure standards such as the UN Principles of Responsible Investing, and other leading multilateral agency frameworks. Prosperete invests in companies with **high standards of ESG**. The ESG due diligence will be based on IFC Performance Standards and cover several ESG-related issues. Post-investment, the Prosperete team will work with investee companies to build their in-house ESG capacity.

Sub-Activity 4.2: Participation in Management / Board Meetings of Portfolio Companies

Prosperete, through substantial minority investments, will pursue board representation in portfolio companies, guided by its commitment to robust corporate governance and strategic guidance. Emphasizing adherence to best practices in corporate governance, the team rigorously upholds these policies internally and advocates for their strict implementation within portfolio companies.

Sub-Activity 4.3: Knowledge and best practices sessions

Prosperete will assist in capacity building across different markets for climate investments, and measurement and reporting. This will foster ecosystem awareness by sharing best practices and promoting diversity and inclusion initiatives.

Prosperete will utilize research publications, knowledge transfer sessions to increase climate awareness across different sectors and emerging markets. Such activities are intended to create awareness across multiple stakeholders: entrepreneurs, regional investment funds, policy, and others. Such ecosystem activities are needed as only a few markets currently have the ability to create scale solutions. Through export of solutions and market making activities, Prosperete intends to accelerate development of solutions where it is not present and provide growth capital where such ecosystems are at nascent stage.

Sub-Activity 4.4: Holding mentorship sessions for women in climate ecosystem and focus on women in pipeline

The Prosperete team believes in promoting gender equality and its leadership has been participating in multiple programs. Prosperete will spearhead these initiatives as a fund by creating mentorship programs for women to develop skillset in climate and investing.

Furthermore, Prosperete will require all its investee companies to sign up to gender diversity targets and adhere to the achievement of those targets. Prosperete will actively seek out companies with female founders and those with greater share of women in senior leadership. Inclusion of people from vulnerable sections in customer, supplier and employee base will be another added monitorable.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

1. Prosperete has setup a fund in Mauritius, Prosperete Growth Fund I (the “**Fund**” or “**Prosperete Fund**”) incorporated as a company limited by shares and holding a global business license (“**GBL**”). The Fund is licensed as a closed-ended fund (“**CEF**”) by the Mauritius Financial Services Commission (“**FSC**”). The Fund will be an Executing Entity.
2. Pursuant to Mauritius law, the Fund requires an investment manager and, as such, Prosperete has also established an investment manager Prosperete Investment Management Ltd. (“**Mauritius IM**”), incorporated as a company limited by shares and holding a GBL. The Mauritius IM is licensed as a CIS Manager by FSC. **This entity will be the Accredited Entity for GCF for the purposes of this programme**. It will also be an Executing Entity.
3. Prosperete Growth Advisors LLP is a limited liability partnership established and existing under the laws of India (“**India LLP**” or “**Sub-Advisor**”). The India LLP is the sub-advisor to the Mauritius IM.
4. GCF’s investment in the fund will be in the form of junior or pari-passu equity and the shares will be issued and held in GCF’s name.

Role of the AE and Flow of Funds

Prosperete Investment Management Ltd will execute the Subscription and Shareholders Agreements as described above on behalf of GCF. Since Prosperete Investment Management Ltd is also the investment manager of the Fund, it is well placed to ensure adoption and implementation of GCF policies by the Fund and at the portfolio companies’ level, including by way of execution of necessary legal arrangements.

Investment Manager

The Mauritius IM manages the day-to-day operations of the Fund. The Mauritius IM will report to the investors in the Fund through quarterly and annual reports (including independent valuer’s valuation report and financial statements).

The Mauritius IM is supported in its work by the Sub-Advisor and the Mauritius Administrator. Pursuant to the sub-advisory agreement described above, the Mauritius IM benefits from the Sub-Advisor’s extensive experience and track record in sourcing, diligence and recommending investment opportunities to it.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

1. Globally, most countries are focused on achieving their NDCs and addressing the needs of their citizens. In developed countries, ageing infrastructure, ageing populations and the need to revamp older more polluting assets creates more pressure to increase domestic green investments. In addition, many developed countries have created incentives to support the greening of their economies such as the Inflation Reduction Act in the US and support for energy transition across Europe. This has meant that Emerging Markets have to compete for funds to meet their climate commitments. Climate solutions have a long sales cycle and require time to scale in comparison to traditional venture investments, which increases the risk for commercial investors to invest in a climate fund. Emerging markets have investors willing to take the risk at early-stages of the development of technology or other solutions but do not have the larger capital to scale these solutions. Institutional capital is necessary for climate solutions to be present across multiple geographies and create large-scale impact.

2. Prosperete has interest from several institutional investors who believe in the fund's investment thesis but have low-risk tolerance due to their capital profile. There is high-risk perception due to the dual perceived risks of emerging markets and adoption risks of climate solutions. To be effective, a growth stage climate fund needs to have a minimum viable size. Achieving this size is difficult without both concessional and commercial capital. Commercial capital typically resists investing in first time funds without risk protection mechanisms. Companies focused on climate solutions require longer holding periods whereas commercial investors typically prefer shorter periods. GCF's concessionality will help bridge this gap between risk appetite of commercial investors and their return expectations. Therefore, GCF's Funding is critical to help create the foundation that, in turn, enables scaled and timely solutions that help address climate change in emerging economies.
3. <u>Challenging Macroeconomic Environment:</u>
    a. In 2025, climate action is facing growing headwinds. Amid economic uncertainty, geopolitical instability, and rising populist sentiment in some parts of the world, there has been increasing pushback against ambitious climate agendas. Public discourse in several major economies has questioned the pace and cost of decarbonization, leading to delays in policy implementation and a more cautious investment environment.
    b. Under these conditions, many investors are prioritizing domestic challenges—such as aging infrastructure, energy security, and economic resilience—over cross-border climate investments. Developed markets, bolstered by government incentives and policy support, are seeing more capital flow into local green initiatives, often at the expense of international climate efforts.
    c. This reallocation of capital, combined with an overall reduction in the availability of climate finance, creates a double burden for emerging markets. These regions, which are both highly vulnerable to climate impacts and essential to global mitigation goals, are now facing a shortfall in urgently needed investment. While there is widespread recognition that emerging markets must be part of the solution to climate change, current financial trends risk leaving them behind at a critical moment.
    d. GCF's junior equity funding can truly be the catalyst that attracts capital to EMs to accelerate climate solutions due to its concessional nature and its ability to mitigate perceived and real risks of investing in Emerging Markets and in Climate. The presence of GCF would enable commercial investors to see lower risk as well as improve their returns thereby making EM Climate investments attractive to commercial and institutional investors. Once experienced Fund Managers such as Prosperete are able to demonstrate a combination of financial returns and climate impact, commercial capital will become more comfortable investing in EMs. A similar trend has been observed in technology investments such as in Renewable Energy farms, which initially required blended finance from Development Finance institutions and subsequently were able to attract institutional capital. The availability of concessional GCF capital will have the catalytic impact to help scale climate investments in EMs and improving access and affordability and resilience of agriculture, infrastructure and all basic services to vulnerable populations.

4. <u>Need for Technology Transfer</u>
    a. Prosperete's innovative approach of have a multi-country approach to expansion of solutions and providing them assistance throughout the investment to be able to deploy their solutions across different emerging markets requires the support of GCF.
    b. Current climate investments in emerging markets have a country-specific focus and are therefore unable to exchange solutions, leading to development of inefficient solutions which do not maximize impact as well as create limited markets for such solutions, leading to commercially undesirable outcomes.
    c. GCF, with its global mandate, can help Prosperete create a global emerging markets platform over the long-term which can provide capital and adequate support to mitigation and adaptation solutions suited for these markets.

5. <u>Need for Growth Investing Ecosystem:</u>

a. As highlighted early, emerging markets lack sufficient growth stage capital, resulting in only 9% of companies in EMs, in the climate space, successfully transition to Series B after seed funding, compared to the global average of 27% for similar companies. The investing ecosystem, especially in emerging markets, is going through one of its most severe funding winters, with funding for climate solutions companies at Series B to Series C stage falling by more than 50% in 2022-2023 in India, SE Asia, Africa and MENA.

b. In such a scenario, and given the urgency for viable climate solutions, GCF's concessional support will provide a catalysing impact and attract private capital through the creation of a growth-stage fund such as Prosperete which would enable much needed funding and creation of the ecosystem for climate solutions across EMs.

6. <u>Signalling effect:</u>

a. The participation of the GCF in Prosperete Growth Fund holds significant value as it brings to the table unparalleled expertise in climate finance on a global scale. GCF's involvement enhances the project by providing essential guidance in establishing climate eligibility criteria and validating our methodology for assessing climate impact. Given GCF's influential role and widespread support, its endorsement is crucial, particularly as other Development Finance Institutions (DFIs) and investors increasingly prioritize investments aligned assurances regarding climate neutrality in their portfolios. Within our impact thesis, emphasis on adaptation and resilience has grown paramount, and GCF emerges as a pivotal partner, offering invaluable thought leadership and resources as Prosperete develops methodologies to monitor and evaluate adaptation outcomes. Moreover, GCF's partnership reinforces our commitment to environmental and social best practices, reassuring investors of robust risk management policies and procedures. Prosperete has implemented several governance and policy enhancements as recommended by GCF and its advisors. This demonstrates Prosperete strong commitment to global best practices.

b. GCF's in-depth diligence, governance mechanisms, and strong credentials will provide a strong signal to these investors and family offices who wish to invest in climate funds but often lack resources or expertise for in-depth evaluation.

c. Moreover, such capital will enable the Prosperete to mitigate private sector investors' stance of not considering first-time funds.

d. GCF's concessional investment would catalyse commercial investors and allow for large streams of capital to target the scaling of climate-positive solutions. GCF's anchor investment will allow Prosperete to raise a fund of appropriate size by attracting investors to contribute and fill the missing middle for climate solutions.

e. Prosperete has early interest from multiple investors, with potential contributions of more than ~USD 200 million, looking to invest in Prosperete Growth Fund subject to commitment from GCF.

7. <u>Concessionality:</u>

The Prosperete Growth Fund has a blended structure including a concessional layer of junior capital to crowd in commercial investors who perceive emerging markets and climate investments as high-risk.

Private capital contributions to the Fund are essential to provide adequate growth capital to climate start-ups. A key part of Prosperete's theory of change is to mobilize capital from large institutional investors, such as global asset management firms. Prosperete has interests from family offices and private institutional investors across USA, Europe, and India. However, during our conversations, these have noted that while they are interested in Prosperete's investment thesis and recognize the expertise of the Prosperete team, they perceive expected returns from climate as low and risk perception as high. Further, historically, newly launched funds focussed on emerging areas have been able to raise capital from multilateral organisations only, leading to sub-optimal size. Commercial investors contribute to these strategies only at the stage of the second or third fund. GCF's concessionality will provide a fillip to catalyse investment from such risk-averse investors and help bring in private capital to the climate sector sooner through the Prosperete Growth Fund, thereby allowing an optimum scale and capital mix to the Fund, and ultimately accelerating action on climate change from the first fund itself. Concessional capital from GCF will help bridge the gap between perceived returns from climate investments and the desired returns of commercial investors. Prosperete has assessed the relative size of the Junior and Senior Equity components based on direct feedback from potential investors as well as our internal fund modelling. In addition, Prosperete has assessed structures successfully utilized by other fund managers to attract an appropriate blend of capital from the target investor base. As a result, the Junior Equity is sized at 25% of the total fund size and below 1.0X the Senior A component.

The requested concessionality has additionality for the following attributes and reasons:

a. **GCF concessional equity investment of up to USD 50 million will be used as junior capital providing additional risk protection for investors.** The junior capital will act as concessional capital to improve the risk-reward attributes by protecting the eligible investors in case of lower-than-expected returns.

b. Sustainability investments require long tenor of 10 to 12 years whereas commercial investors prefer shorter investment periods of 5 to 7 years. First pay-out for commercial investors would reduce their average duration and alleviate any tenor concerns.

Prosperete requests up to $50 million Junior Equity commitment from GCF. The Junior Equity is designed with following features: 1) first loss protection (to manage downside risk) and 2) a differential preferred return (to improve upside potential). The first loss protection absorbs any losses of the Prosperete Growth Fund in the event that the Fund does not achieve positive returns. Thereafter, each would proportionately share in Fund excess returns of the Fund above the hurdle rate. The Junior Equity is intended to benefit only private investors in the Senior A tranche. Other capital providers are expected to participate in a separate, Senior B tranche which will be treated as pari-passu to fund distributions.

The junior equity would mitigate downside risks for commercial and private investors, enabling Prosperete to raise a fund of viable size for growth equity investments. The junior equity is expected to reduce the payback period for commercial investors by 1 to 2 years, further reducing the risk for these investors.

Without the requested concessionality, Prosperete may not be able to able to raise a fund of sufficient size, thereby leaving the scarcity of growth capital for climate solutions unaddressed.

Institutional backing from GCF, along with the Prosperete team's strong investment track record and the fact that the investment team has worked together for more than fifteen years, will alleviate the concerns of such investors. Therefore, this investment has strong additionality for the climate ecosystem in Emerging Markets. It also provides EM a fighting chance to urgently address climate mitigation and adaptation needs through accelerated solutions that leverage technology or business models to enhance affordability and access to such solutions. We are also seeking Junior Equity investments from other investors to collaborate alongside GCF.

GCF's investment of USD 50mn will be used as junior capital providing risk protection to commercial and institutional investors; GCF's investment could catalyse capital by alleviating private investors' concerns around risk profile, tenor, first-time fund, and enabling co-financing at portfolio companies. GCF's investment will provide critical signalling (described in paragraph 6 above) to other potential co-financiers for the fund as well as enable Prosperete portfolio companies to attract private capital through verified evaluation of climate impact adhering to GCF standards and processes. Greater flows of private capital enabled by GCF's funding are critical to accelerate climate action while pursuing economic growth for sustainable well-being of communities.

B.6. Exit strategy (max. 500 words, approximately 1 page)

1. As described in previous sections, Prosperete is a growth-equity investment fund focussed on investing in and scaling climate solutions across Emerging Markets. Having done extensive program development, funded by a very experienced team, the Prosperete Growth Fund will be ready to start committing capital to its investee companies, right from the first close of the Fund. Prosperete's investment in these solutions would result in build out of several large-scale enterprises. Thereafter, Prosperete would bring in long term investors by selling its stake in its investee companies to institutional investors who are looking to invest at scale and thereby return capital to investors in Prosperete.
2. With the creation of scaled climate companies, vulnerable communities in emerging economies will be able to access affordable solutions which help them mitigate their carbon footprint and, in some cases, adapt better to climate crises. Scaled climate solutions will help create both direct and indirect employment for several people besides improving livelihoods for many. Expansion across emerging economies will make sure that people get these solutions faster and in a manner that takes care of local realities. This will create a virtuous cycle of more private capital and effective solutions being developed for vulnerable communities in emerging economies.
3. *Return of Capital to Investors:* Each of the investments will typically be held for a period of 5 to 8 years. Post Year 2 of any investment, Prosperete will hold quarterly exit committee meetings to discuss the potential to exit the company and discuss key action items to add value to the company and the best method of obtaining optimum value from the exit. Typical exit options from investee companies include sale to a strategic buyer, sale to a financial buyer, a public listing, or share buyback by the company or a buyout by the sponsors. As Prosperete generates returns on its invested capital, it would distribute its capital to GCF and other investors. Prosperete has confidence that there will be exit opportunities across the focus themes.
   a) Many firms are pursuing joint-ventures and acquisitions as part of their growth strategy, and are looking to acquire solutions that generate impact and have achieved certain scale
   b) The burgeoning interest in mergers and acquisitions (M&A) within the climate and renewable energy sectors is becoming more pronounced globally. This trend is gradually gaining traction in emerging markets as well, where strategic and commercial financial buyers are increasingly investing across various sectors, signalling a growing convergence of interests and opportunities in these markets.
   c) Late-stage investors looking for large climate focussed companies to invest. Prosperete has spoken to multiple late stage investors looking to invest more than 200 million dollars+ in each investment
   d) Increased availability of debt to finance working capital and CAPEX, which is expected to further maximize equity investor returns. Increased debt availability (local currency) in the industry is encouraging.
   e) Increasing appetite of public investors in climate, as highlighted by listing of companies such as IREDA in India.

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount	Currency
	50	million USD ($)

GCF financial instrument	Amount	Tenor	Grace period	Pricing
(i) Senior loans	-	-	-	-
(ii) Subordinated loans	-	-	-	-
(iii) Equity	50	-		hurdle rate + shared-return
(iv) Guarantees	-	-		
(v) Reimbursable grants	-	-		
(vi) Grants	-	-		
(vii) Results-based payments	-	-		

(b) Co-financing information	Total amount	Currency
	170	million USD ($)

Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
Discussions ongoing (foundations, family offices)	Equity	20	million USD ($)	-	-	-
Discussions ongoing (DFIs)	Equity	80	million USD ($)	-	-	-
Discussions ongoing (private institutions)	Equity	70	million USD ($)	-	-	-

(c) Total financing (c) = (a)+(b)	Amount	Currency
	220	million USD ($)

(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)

Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee).

Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets.

Please also include parallel financing associated with this project or programme (refer to the co-financing policy).

Prosperete is in active conservations with multiple multilateral and private investors for investment in the Prosperete Growth Fund for a total of USD220 million, including GCF concessional investment of USD50 million. The prospective investors appreciate the deep expertise of the team and are keen to invest in climate solutions but would need the mitigation of EM risk through the participation of GCF.

C.2. Financing by component

Component	Output		GCF financing	Co-financing

		Indicative cost million USD ($)	Amount million USD ($)	Financial Instrument	Amount million USD ($)	Financial Instrument	Name of Institutions
Prosperete Growth Fund	1: Setting Up Equity Fund	2.2	0.5	Equity	1.7	Equity	See note 1 below
	2: Growth Stage Investments	217.8	49.5	Equity	168.3	Equity	See note 1 below
	3 and 4:Technology Transfer and Capacity Building	0	Cost internalized by Investment Manager (Prosperete Investment Management Ltd.)				
Indicative total cost (USD)		220 million	50 million		170 million		

(1) All Fund activities to be co-financed Pari-passu with all Fund investors, expected to include development finance institutions, private global philanthropy, family offices, pension funds, commercial asset managers, etc.

Note: For illustrative purposes only. Actual budget by component is subject to change.

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☒ No ☐

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

Prosperete’s investment thesis is built upon ability of emerging markets to develop and interchange solutions for collective development, including through technology transfer. Prosperete will catalyse the development of climate ecosystems in emerging markets by employing a two-pronged strategy.

Initially, by investing in developed solutions in target countries, Prosperete can establish a robust presence and cultivate partnerships with local stakeholders to develop and implement tailored climate solutions. Leveraging the insights and experiences gained from this endeavor, Prosperete can export successful models and solutions to other emerging markets, facilitating knowledge transfer and fostering cross-border collaboration. As described in Activity 3, transfer of technology amongst different emerging markets and subsequent development of ecosystems is central to Prosperete’s thesis.

Concurrently, Prosperete can collaborate with regional funds to co-invest in targeted markets, thereby enhancing market-making capacity and bolstering the adoption of climate solutions across diverse geographies. This approach not only amplifies Prosperete's impact but also contributes to the broader goal of accelerating climate action and sustainable development in emerging markets globally.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. 500 words, approximately 1 page)

1. Overall Impact Targets: Prosperete Growth Fund will identify and scale investments that offer low-carbon solutions, increase affordability, and help emerging markets pursue climate-friendly growth. Through these solutions, approximately 3.2 million lives will build resilience to climate change directly and indirectly, and 9 million tonnes of CO2eq will be averted. Through this intervention, emerging markets will be able to make the much needed leapfrog to climate-friendly solutions with wide adoption.

2. Prosperete expects to achieve the following Mitigation objectives:
Through its investments in low-carbon solutions, avert 9 million tonnes of carbon dioxide equivalent (t CO2 eq) during the fund's lifetime. Given the fund's focus on scaling investee companies, these companies will continue to have mitigation impact post Prosperete's exit. Through investments in solutions removing barriers for low-carbon products such as electric vehicle equipment, clean-energy equipment, sustainable building material, and others, Prosperete will focus on using economies of scale to reduce the cost of these offering and enabling financing solutions so underserved communities can access these offerings (ARA 1).
Prosperete's investment focus spans multiple sectors crucial for addressing climate change. Firstly, in the realm of energy, the emphasis is on promoting wider adoption of renewable energy sources like energy storage, smart grids, and rooftop installations to meet the burgeoning power demand in emerging markets, where an 80% increase is anticipated by 2030. Concurrently, Prosperete is actively exploring opportunities in low-emission transport, including electric vehicles and related infrastructure, to mitigate carbon emissions while enhancing economic opportunities, particularly for last-mile workers. Lastly, in alignment with efforts to green operations and supply chains, Prosperete is evaluating investments in low-emission building materials and industrial use cases, aiming to reduce emissions from challenging sectors such as buildings, cities, and industries. (MRA 1, MRA 2, MRA 3)

3. Prosperete expects to achieve the following Adaptation objectives:
Prosperete will primarily reduce vulnerabilities of vulnerable populations by increasing access to affordable and productive offerings, with the targeting of benefitting 3 million+ lives directly and indirectly. For example, a large of section of society in emerging markets look to procure income-generating assets such as electric vehicles, but are often constrained due to high upfront cost and unavailability of financing at viable cost. By enabling such solutions, Prosperete will be able to increase income of such populations while contributing to mitigation outcomes. (ARA 1)
Among Prosperete's pipeline companies, initiatives span agricultural resilience, solar-powered water pumps, and modular wastewater treatment plants aimed at water conservation, as emerging markets face water duress under projected climate scenarios. Additionally, investments in cold chain infrastructure are anticipated to enhance farming predictability and prolong the shelf life of produce, thereby mitigating post-harvest losses. (ARA 2)
Furthermore, Prosperete's portfolio companies are poised to enhance infrastructure asset resilience, providing real-time data and analytics to bolster performance predictability and monitor the impact of climate change on various sectors including infrastructure, agriculture, supply chains, and industrial operations. Access to such data is fundamental for designing effective interventions to adapt to climate change impacts. (ARA3)

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

1. Recent S2G Ventures' (a global climate tech investor) analysis shows that while developed market investors have raised USD 270bn for energy transition between 2017 and 2022 of that only USD 50bn (18%) was for growth stage capital[70]. This funding gap problem at the growth stage, is much more severe in Emerging Markets. Capital flows are constrained by the dual risk of Emerging Markets and climate investments being considered "risky". The early-stage investments being smaller in size and more widespread, investors tend to spread themselves across several small investments. At the growth stage, there is a need for deep diligence, selectivity, and the market test of customer preferences, scaled enough operations to show a path to profitability, and the need to serve emerging market consumers for whom affordability is a key constraint. At the growth stage, companies compete with mature industrialized sectors with incumbent technologies and products across several markets. To be able to compete, the climate solutions have to be affordable, be scalable across markets, and achieve these while building their organizations and operational processes.

2. **Prosperete is creating an integrated platform that can identify solutions in one market and then scale them across different EMs through technology transfer.** Prosperete will enable globalization of climate solutions that will not only create impact at scale but also reduce costs further, enhancing affordability and creating a virtuous cycle. Presence of growth capital will help enhance success of climate solutions and create more avenues for later stage climate investments by large commercial investors. Investments in transitioning solutions will lead to faster adoption of climate technology and greening of supply chains.

   As these organisations scale, their climate impact will continue to grow and benefit society even after Prosperete's exit. Today there are few companies offering climate solutions at scale that large private and institutional capital can invest in. Prosperete's portfolio will become a pipeline for large funds to invest in and provide an exit for Prosperete's investment.

3. **Potential for scaling up and replication**

   Scaling climate solutions across EMs will lead to opening-up of these markets for investors and attract additional global capital to accelerating climate solutions in EMs. Innovative technology exchange between the global south and adoption of best-in-class global technologies will be facilitated. Deployment of these solutions will create green supply chains and ecosystems of financiers and investors with expertise in climate solutions. Enablement of climate funding across countries where funds can deploy money with attractive risk adjusted returns will scale climate solutions across all continents.

Emerging Markets Can Create Global Solutions

There are several examples of emerging market companies building global solutions. Indian two-wheeler players used the large market in India to develop low-cost motorcycles for its population transitioning from legacy modes of transport. These players took their two-wheeler expertise to Africa and garnered a 50%+ market share. They also setup manufacturing plants via tie-ups with local partners in several countries such as Kenya, Uganda, and Nigeria. Such partnerships have helped create regional manufacturing hubs, generating employment and entrepreneurial opportunities for 1 million+ people in EM. This global expansion has in-turn allowed further improvement in products and reduction in costs.

As the electrification of 2 and 3-wheeler vehicles grows in India, the trend could also take off in Africa leading to lower vehicular emissions. The transfer of global energy and water efficient technologies creates an opportunity to conserve resources, enhance affordability of such technologies and benefit Emerging Markets just as much as Developed Markets.

   Building successful climate companies plays a pivotal role in catalysing broader climate action by serving as inspiring examples and demonstrating the economic viability of sustainable practices. Prosperete, with its technical expertise and network of growth and late-stage investors, will enable creation of such enterprises, de-risking the sector for commercial investors. Prosperete, along with its investee companies, will conduct knowledge sessions for building an ecosystem focussed on climate solutions, spreading best practices, accelerating innovation, and attracting more talent to the sector. Investments by large investors (financial as well as strategic) and public listing of scaled Prosperete portfolio companies will create a strong signalling effect through public recognition, fostering investor confidence and driving capital allocation towards impactful solutions. Additionally, positive media coverage raises public awareness and fosters consumer demand for sustainable products and services. This positive reinforcement loop can inspire a new generation of entrepreneurs to launch their own climate-focused ventures, creating a domino effect that propels progress towards a more sustainable future.

   Success stories not only attract attention and investment to the green economy but also provide tangible evidence that innovative climate solutions can address pressing environmental challenges while generating financial returns and improving livelihoods.

4. **Potential for knowledge sharing and learning**

   As portfolio companies scale and expand to other EMs, Prosperete's regional funds partner could look at co-investment in such companies.

   Co-investment with Prosperete will help these funds underwrite deals and develop sector expertise in the sectors of electric mobility, green supply chains, energy transition, and data analytics for infrastructure. During the investment process, regional funds will also get access to Prosperete's expert network to deepen their understanding of climate technologies. Furthermore, regional funds would provide local market understanding and support to expanding portfolio companies. Prosperete also evaluates investee companies of partner funds to see if the solutions they offer can be scaled to other relevant EMs. The similarities in the climate needs and solutions across these countries and regions suggest clear benefits from following a cross-border approach to scaling. This will create an ecosystem for climate investing across EMs.

Through Prosperete Growth Fund, the team intends to share these learnings through webinars, publications, as well as annual impact reports to stakeholders. Prosperete team continues to actively participate in public conferences and share our expertise with the community.

5. **Contribution to the creation of an enabling environment**

Globally, commercial investors are increasingly allocating capital to climate solutions. The UN-Convened Net Zero Asset Owners Alliance now has investors with more than USD 11 trillion of capital[71]. However, large commercial investors seek organizations operating at a certain minimum scale to deploy this capital. The perception of dual risk of investing in EMs and the adoption risks of climate solutions restricts capital flows. This is then further constrained by the small scale of these companies. Through growth equity, Prosperete will be able to mitigate these barriers and crowd-in investments.

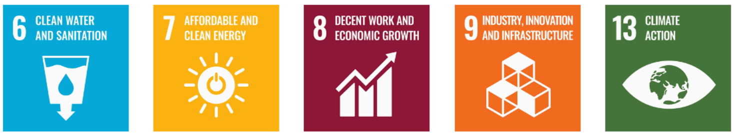
Prosperete has been working on its pipeline of climate solutions for more than 2 years, identifying more than 150 investment opportunities in India alone, which have received early-stage funding for climate action. Additionally, Prosperete has forged strong partnerships with partner funds across pivotal markets, facilitating co-investment opportunities in growth stage companies across emerging markets (EMs).

Secondly, Prosperete prioritizes the Creation of Scaled Climate Solutions Deployment by emphasizing the scaling of portfolio companies to appeal to large institutional investors. Recognizing the current disinclination of commercial and institutional investors towards investing in climate solutions in Emerging Markets due to perceived limitations in scale and investment ticket size, Prosperete seeks to mitigate these concerns with the support of the GCF through junior capital and its comprehensive approach and knowledge of the target sectors and target countries. By demonstrating the scalability and financial viability of green technologies, Prosperete aims to set a precedent for other investors to engage in the development of climate-focused solutions.

Lastly, Prosperete recognizes the importance of Attracting Talent to drive the success and growth of potential investee companies. Beyond climate action, the achievements of these companies are poised to attract engineering and financial talent, fostering a broader ecosystem conducive to the creation of climate-focused and sustainable businesses. The influx of skilled talent is anticipated to play a pivotal role in enabling the scale-up and success of these companies, further contributing to the advancement of climate solutions across EMs.

D.3. Sustainable development (max. 500 words, approximately 1 page)

The need for green growth in Emerging Markets is paramount to address both environmental sustainability and economic development challenges. These regions are experiencing rapid population growth, urbanization, and industrialization, which, if not managed sustainably, could lead to very poor outcomes for the globe. Green growth initiatives offer a viable pathway to simultaneously address these challenges by fostering economic development while minimizing negative environmental impacts. Investing in scalable solutions that have climate action at the core not only reduces the carbon footprint but also creates jobs, enhances energy security, and promote resilience to climate change. Additionally, green growth can attract international investments, spur innovation, and position these Emerging Markets as leaders in the global transition to a more sustainable and resilient future.



Through its growth fund, Prosperete directly contributes to UN's Sustainability Development Goals (SDGs) 6, 7, 8, 9, and 13. Prosperete will work towards these SDGs through its investments in water-use efficiency, clean energy, and other low-carbon solutions. Prosperete will take SMEs and start-ups from Emerging Markets and help them scale globally, transitioning into global enterprises, leading to economic growth. Furthermore, through partnerships and growth of sustainable industries, Prosperete will also contribute to SDG 17, SDG 12, SDG 11, and SDG 5.

<u>Economic Co-Benefits:</u> Establishing large scale companies and export hubs forms a key pillar in sustained growth of economies. Prosperete will provide a substantial contribution to the economic development and sustainable growth in participating countries. The fund will enable business development and job creation in target countries as well as attract more talent towards establishing climate companies. Furthermore, the success of the fund will de-risk the climate sector in these economies to enable larger pools of institutional capital investments in local companies.

<u>Environmental Co-benefits:</u> Prosperete is focussed on generating environmental co-benefits across all its investments. The team follows IFC Performance Standards for diligence and monitoring of investments, and transparently report to

GCF on all investments. All portfolio companies are required to monitor emissions and develop an impact action plan as well as follow ESG standards.

Social Co-benefits: Social objectives form a key part of Prosperete's investment thesis. The Fund is working with organisations such as Dasra (a non-profit that works on measurement and reporting of industrial working conditions) to develop a comprehensive plan to evaluate various aspects of portfolio companies such as rights of informal workers, gender equality and safety requirements. Further, by investing in increased affordability and easier access to solutions such as green transportation, Prosperete is creating increased livelihood and resilience for people at the base of the pyramid.

Gender-sensitive development benefit: Prosperete is founded and led by a woman, and its senior leadership is more than 50% female. Prosperete is focussed on achieving positive gender outcomes and applies an Intersectional Gender Lens and is Aligned with the 2x criteria.

Ecosystem level: ensure increased access to funding for women led companies and engage in transformative activities to help counter regressive gender norms.

Prosperete will monitor and ensure that it tracks and measures relevant data and reports on gender metrics.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

The vulnerability of specific populations in Bangladesh, India and Mauritius to climate impacts necessitates innovative solutions from businesses specializing in climate and environmental technologies.

The increasing urbanization and the vulnerability of infrastructure to climate hazards underscore the need for green building materials. Businesses can supply materials that reduce the urban heat island effect and improve the energy efficiency of buildings, catering to the growing demand for sustainable urban planning.

Further, these countries have advocated for the needs in sustainable mobility creating a demand for cost and time-effective solutions in the EV landscape, to reduce their transportation-based GHG emissions and create green jobs. Scaling-up manufacturing of EV batteries can reduce costs and make electric vehicles more accessible, fulfilling both the supply need for localized production and the demand for sustainable transportation solutions. Financing remains a significant barrier to the adoption of green technologies. Companies providing green financing can bridge the gap by offering loans, subsidies, or other financial products specifically designed to support the procurement and installation of EV infrastructure, thereby stimulating both the supply of capital and the demand for eco-friendly transport solutions. As a complement to electric vehicles, battery swapping stations can address any concerns related to range per charge of battery and reduce downtime for charging, particularly in urban areas where space is a premium. This infrastructure supports the rapid deployment of EVs by meeting the growing demand for convenient and fast recharging solutions.

Significant percentages of the population in these countries face inadequate access to improved drinking water and sanitation facilities. Businesses can invest in decentralized wastewater treatment technologies and water purification systems that require a lower land footprint, meeting the critical need for clean water and sanitation.

Climate change significantly impacts agricultural outputs due to changes in rainfall patterns and increasing temperatures. For example, in Bangladesh, the irrigated area under wheat cultivation faces medium-high drought risk, and net trade deficits are expected to increase significantly by 2030. Businesses can offer AI-based climate solutions for agriculture, providing predictive analytics for weather and soil health, and introduce drought-resistant crop varieties to enhance food security. Moreover, for projected decrease in water availability and altered rainfall patterns, solar-powered water pumps could provide a sustainable solution to irrigation needs, reducing reliance on inconsistent rainfall.

On the supply side, enduring financial shortfalls in the region necessitate increased private investment characterized by a relatively higher tolerance for risk. This is to support innovative enterprises committed to the inclusive growth of Asia and Africa, particularly those that have shown promising results. Summary of vulnerable population in the target countries is provided below.

Bangladesh[72]	• Coastal Zone: Sea level rise could displace nearly one million people from southern divisions by 2050 due to loss of shoreline, agriculture, and fishery yields. • High Climate Exposure Areas: More than 90 million Bangladeshis (about 56% of the population) live in high climate exposure areas that are affected by multiple hazards like cyclones, floods, and droughts. • River Flooding: By 2035-2044, an additional 6-12 million people could be affected by extreme floods, a 40% increase in population exposure to river flooding. • Drought-Affected Areas: Droughts of varying intensity affect three to four million hectares of arable land each year, influencing food security and livelihoods, particularly in the northwest regions like Rangpur and Rajshahi.

India[73]	• Marginal farmers, estimated to be around 150-200 million people, who rely on rain-fed agriculture and are vulnerable to changes in precipitation patterns and water availability. • Coastal communities, particularly in states like Tamil Nadu, Andhra Pradesh, Orissa, and West Bengal, who are at risk from cyclones, storm surges, and sea-level rise. • South Asia, including India, is expected to experience an estimated 17 to 36 million internal climate migrants by 2050, with many coming from communities dependent on rain-fed croplands for their livelihoods. • Additionally, without adaptation measures, extreme river floods are expected to affect an additional 13 to 34 million people by the 2040s, and coastal flooding is expected to affect an additional 5 to 18 million people by the 2070s to the end of the century.
Mauritius	• Around 90 percent of Mauritius' households are aware of climate change, and a great majority perceives it as a threat, including to food and water security • 17% of the coastline of Mauritius has eroded over the long-term (1967-2012) which represent 13 km of coastline in Mauritius. • Mauritius is highly vulnerable to adverse impacts of climate change. According to the World Risk Report of 2018, Mauritius is ranked as the 16th country with the highest disaster risk and ranked 10th on the list of countries most exposed to natural hazards

D.5. Country ownership (max. 500 words, approximately 1 page)

The Prosperete team has a long history of having worked in the target countries in policy dialogues and investments in energy and renewable sectors, ports, telecoms, roads, gas flaring, water and energy efficiency, financial services, among others.

Prosperete has consulted with various governments during the design of the program. Prosperete has received encouraging feedback and **NOL from the Economic Relations Division, Ministry of Finance, Bangladesh.** Additionally, Prosperete is exploring a potential partnership with IDCOL (Infrastructure Development Company Ltd.), a GCF-accredited entity, for pipeline development as well as local expertise for companies looking to expand to other emerging markets.

Prosperete has broad-based support from the Government of India and its ministries (inc. Agricultural Ministry and Ministry of Finance). Subsequently, the **Ministry of Environment, Forests and Climate Change**, the NDA has issued an NOL for the Prosperete program on 29th July 2024.

Prosperete has setup the Fund and the Investment Manager in Mauritius and both entities are regulated by the Financial Services Commission, Mauritius. Mauritius, widely considered a global investment destination by investors, is key for Prosperete to catalyse climate finance for emerging markets. Given the country's climate needs and its sophisticated financial and investment ecosystem, **Mauritius is a key hub to mobilize climate finance for the Global South.** The government has taken significant steps, including creation of the Mauritius International Financial Centre (MIFC), which offers a conducive environment for green finance and sustainable investments. The government is actively working on introducing a sustainable finance framework[74]. **Prosperete has received an NOL from Ministry of Finance, Mauritius.** Prosperete is working in close partnership with the Government of Mauritius to strengthen climate capacity across the island nation, through joint efforts in developing climate mitigation and adaptation programs, advancing global climate finance awareness, and establishing green finance education initiatives, with the shared goal of positioning Mauritius as a leading regional hub for sustainable finance.

Each of the Governments are enthusiastic about investments to accelerate climate solutions. The governments are keen to improve reliable energy access, affordable clean mobility, resilient infrastructure, and other technology solutions for their people. Prosperete has presented its thesis to participating countries and initial discussions indicate strong interest from governments and the private sector in collaborating closely, as described in the table below.

The fact that Prosperete has developed these relationships through their work in key sectors in the target countries has further strengthened the relationship and the credibility of Prosperete in these target markets.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

1. Prosperete Growth fund is requesting Junior Equity infusion of USD 50mn from GCF. Enabled by GCF's anchor investment, will be able to raise a fund of requisite size and attract institutional capital from other like-minded investors who wish to invest in climate but are currently hindered by perceived risks of investing in emerging markets and in new areas such as climate solutions. We believe we can leverage GCF's investments in a 3.4:1 ratio, raising a USD 220mn fund basis the anchor investment of 50mn. In turn, the Fund's investments would further mobilize up to USD 1 billion.

2. Prosperete has garnered interest from numerous institutional investors who align with the Fund's investment thesis but exhibit a cautious approach due to their conservative capital profile and hesitation to back first-time funds. The prevailing high-risk perception stems from concerns regarding both the uncertainties associated with emerging markets and the adoption risks inherent in climate solutions. A significant challenge for a growth-stage climate fund is attaining a minimum viable size, which is particularly daunting without a mix of concessional and commercial capital. Commercial investors typically hesitate to invest in first-time funds lacking risk protection mechanisms. The concessional support from GCF serves as a crucial bridge, facilitating the creation of a solid foundation that enables the implementation of scaled and timely solutions to combat climate change in emerging economies. GCF would not be crowding out private capital, but rather catalysing investment by private capital managers seeking to achieve social impact and financial return.
3. Prosperete seeks to generate positive financial and impact outcome for our investors and stakeholders. This desire promotes sustainable business models in the underlying investee companies, keeping a focus on strong product-market fit, and appropriate pricing and credit policies, to ensure strong businesses achieve significant scale. In turn, it also builds the track record of impact funds to support future investment from return-seeking investors.
4. Based on our proposed investment vehicle and the resulting reduction cost of $23.65 per tCO2eq, we believe this proposal to be competitive amongst other interventions that have aimed to reduce CO2 emissions.
5. EPA and other federal agencies use the social cost of carbon (SCC) to estimate the climate benefits of rulemakings. The SCC is an estimate of the economic damages associated with a small increase in carbon dioxide (CO2) emissions, conventionally one metric ton, each year. This dollar figure also represents the value of damages avoided for a small emission reduction (i.e., the benefit of a CO2 reduction). The EPA estimates the social cost of CO2 to be between $14 and $138.61[75]
6. Prosperete is convinced our proposal presents a cost-effective approach to reducing CO2 emissions, accompanied by substantial mitigation and adaptation benefits for low-income customers by improving affordability of climate solutions and thus enabling them to become mainstreamed.
7. Furthermore, the program is being designed in consultation with national stakeholders as well as commercial investors. There is very strong additionality that GCF will have by supporting one among a few growth stage Climate Funds focused on the EMs. Prosperete will work on a model of strong collaboration among the targeted countries and bringing best in class technologies to Emerging Markets; crowding in commercial capital into climate solutions for Emerging Markets that make basic services more accessible and affordable. Prosperete has a highly experienced team, with strong gender diversity and hands on experience / track record in scaling climate solutions across Emerging Markets.

E. LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	There is a growing investment in climate solutions, which is contributing to the development of carbon and climate resilient solutions. However, this development is currently limited to early-stage and the sector is still in its nascency (compared to other sectors), as solutions are often restricted to their home markets	Low	Availability of capital across all stage of development of a climate solution, across different markets which have availability of climate solutions. This would result in creation of large viable businesses that offer low-carbon and climate resilient solutions, ultimately reducing GHG emissions and improving resilience of vulnerable communities	Prosperete Growth Fund aims to mobilize capital at growth stage to enable creation of scaled climate enterprises through technology transfer. Prosperete will help with the global expansion of these enterprises across different emerging markets, thus supporting the deployment of low-carbon and climate resilient solutions over the life and post. Such scale is expected to reduce the cost of solutions, in turn increasing affordability and access, as well as attract late-stage commercial capital to climate solutions.
Replicability	There are currently limited number of growth funds for climate solutions in emerging markets. Prosperete's focus countries have more than 2 billion growth stage under-investments,	Low	Influx of institutional capital into the sector from multiple providers, deploying the much-needed equity capital at scale for growth stage climate solutions in emerging markets. A vibrant market needs multiple funds investing to support climate companies adequately.	It is expected that the success of Prosperete and investee organisations will lead to a strong signalling effect for capital and talent that green technologies can scale and become large commercial enterprises. This is expected to catalyse further innovation in technologies and investments from other industry participants. Prosperete will also partner with local funds across different markets and enable market making, creating more pools of capital across emerging markets.
Sustainability	Investments into the climate sector and climate solutions are growing, however sustainable and profitable business models at large scale across various sub-sectors are yet to be established, especially in emerging markets	Low	A shared climate landscape across emerging markets with the exchange of best technologies will create wide-scale adaptation and mitigation impact. Creation of an enabling environment where viable climate solutions are able to attract capital at all stages of their development and growth. Ensuring continuous access to financing for vital segments within the climate sector and climate solutions, particularly in areas with substantial potential for reducing greenhouse gas emissions	The exit strategy entails selling investee companies to new or existing market participants, such as late-stage investors, who will sustain and expand the companies' impact. This divestment signifies market maturity and ensures continuity of intervention.

			and enhancing climate resilience at both household and business levels.	

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target[4]		Assumptions / Note
				Mid-term	Final[5]	
All Mitigation Areas	Core 1: GHG emissions reduced, avoided or removed/sequestered	As described below	0	2.3mn tCO2e	9.2mn tCO2e	Core 1 target is additive of emissions reduction targets from MRA1, MRA 2, and MRA 3. GHG emission reductions (direct and indirect) for MRA1, MRA 2, MRA 3 are calculated as the total emission reductions achieved by Prosperete portfolio companies to be invested in during the course of the programme. The emission profile has been modelled based on pipeline company's current operations and indicated sales growth. The estimate is a 'best guess' of climate impact enabled by a set of investments in portfolio companies whose identities are not known in advance. The growth achieved by these companies is also an indeterminate factor in advance.
MRA1 Energy generation and access	Core 1: GHG emissions reduced, avoided or removed/sequestered	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of	0	0.5mn tCO2e	2.2mn tCO2e	Prosperete will invest in solutions that help increase RE adoption through software services, energy storage, and distributed solar, and energy efficient equipment. The team would include only incremental savings against grid factor from the mentioned solutions through defined

[4] Note: Assuming a 10-year Fund Life, mid-term point is estimated at 5 years after first close. Final targets as at 2035 (assuming two one-year extensions)
[5] The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

		the Impact measurement systems and ESMS				methodologies. These would include: AMS-I.F Renewable electricity generation for captive use and mini-grid; AM0091 Energy efficiency technologies and fuel switching in new and existing buildings AM0060 Power saving through replacement by energy efficient chillers AM0120 Energy-efficient refrigerators and air-conditioners AMS-I.B.: Mechanical energy for the user with or without electrical energy AMS-II.P.: Energy efficient pump-set for agriculture use --- Version 1.0- Small Scale
	Supplementary 1.1: Annual energy savings		0	30mn KWh p.a.	60mn KWh p.a	Same as above
MRA2 Low-emission transport	Core 1: GHG emissions reduced, avoided or removed/sequestered	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	0	0.9mn tCO2e	3.6mn tCO2e	Demand for low-carbon emitting transport alternatives is increasing in the delivery of sustainable transport systems across the continent Methodology: CDM approved methodologies for electric vehicle emissions reduction, including: AMS-III.C for Emission reductions by electric and hybrid vehicles; AMS-III.S.: Introduction of low-emission vehicles/technologies to commercial vehicle fleets.
MRA3 Buildings, cities, industries and appliances	Core 1: GHG emissions reduced, avoided or removed/sequestered	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data	0	0.9mn tCO2e	3.5mn tCO2e	Demand for low carbon-solutions is increasing across emerging markets

		Additional verification occurs through the implementation of the Impact measurement systems and ESMS				Use of defined methodologies (if available), otherwise use of independently verified bottom-up estimates; Methodologies currently used for pipeline: Use of bottom-up estimates as there are no CDM/Verra methodologies aligning to Ultra High-Performance Concrete's LCA Savings based on energy efficiency using grid factor; Use of CDM methodology for methane recovery in wastewater treatment
All adaptation result areas	Core 2: Direct and indirect beneficiaries reached	As described below	0	Total: 0.8mn Indirect: 0.4mn Direct: 0.4mn Male: 0.5mn Female: 0.3mn	Total: 3.2mn Indirect: 1.5mn Direct: 1.7mn Male: 1.9mn Female: 1.3mn	Core 2 target is additive of emissions reduction targets from ARA1, ARA 2, and ARA 3. Female beneficiaries expected to be 40% of total beneficiaries. Given the climate landscape of the target countries, there is a clear need for adaptation solutions, especially the ones that directly/indirectly impact the marginalized and vulnerable communities.
ARA1 Most vulnerable people and communities	Core 2: Direct and indirect beneficiaries reached	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS Surveys carried out by third party evaluators to confirm the beneficiaries will be carried out periodically and during the mid-point and final evaluation.	Direct 0 males 0 females Indirect 0 males 0 females	20,000	0.1 million	The target countries have repeatedly emphasized funding need to fulfil their adaptation needs. As such, there are no distorting subsidies or market barriers to entry in the target customer segment. Increased cost savings/wealth generation or by securing green jobs (eg EV infrastructure and operations linked jobs); or provide reliable climate change data to farming community;
	Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options		TBD	25,000	50,000	

ARA2 Health, well-being, food and water security	Supplementary 2.5: Beneficiaries (female/male) adopting innovations that stregthen climate change resilience	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	Direct 0 males 0 females Indirect 0 males 0 females	0.6 million	2.2 million	No distorting subsidies or market barriers are in in focus countries Create health outcomes through resolving cold chain storage solutions for medicine, helping increase access to medicines through transportation and energy access Lastly, the portfolio company engaged in green financing of EVs has huge potential for indirect beneficiaries (or commuters) that face issues of last mile connectivity in the target emerging economies. For EVs, many social issues, especially for women are associated with poor last-mile connectivity in these emerging economies. While these impacts are qualitative at this stage, Prosperete will ensure that the portfolio company develops a robust monitoring and evaluation framework to quantify these positive socio-economic impacts, once the programme is in the implementation stage.
	Supplementary 2.3: Beneficiaries (female/male) with more climate-resilient water security		0	0.1 million	0.3 million	Investments in companies providing climate-smart, and clean and efficient energy-water nexus solutions to small holder farmers Additionally, increased penetration of products and companies targeting household climate resilience through productive use and income diversifying alternatives.

ARA3 Intrastructure and built environment	Core 2: Direct and indirect beneficiaries reached	KPI monitored through Annual ESG, Impact reporting, and regular portfolio company reported data Additional verification occurs through the implementation of the Impact measurement systems and ESMS	0	0.2 million	0.9 million	The portfolio companies to be funded have significant direct and indirect benefits to enhance climate resilience in the 2 EMs. There are indirect beneficiaries served through application of low-carbon building material towards affordable housing in urban areas of the target geographies. Investments in technologies creating sustainable urban solutions, such as reactor for waste-water treatment

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
Core Indicator 6: Degree to which GCF investments contribute to technology deployment, dissemination, development or transfer and innovation	Early-stage investments have led to development of climate solutions at an early stage in some markets. However, these markets are unable to scale solutions due to confinement in single market. At the same time, many emerging markets are unable to develop solutions and therefore unable access to affordable mitigation and adaptation solutions. There is a need for innovative financing along with an ecosystem approach to scale climate solutions and enable transfer from these solutions across emerging markets.	low	Development of an ecosystem working across emerging markets to develop climate solutions suited for these markets and transfer such solutions across multiple emerging markets.	Prosperete Growth Fund seeks to identify investment opportunities that promote affordability of essential services, demonstrating that nations can leapfrog fossil-fuels to green growth. Prosperete will also leverage key markets to export climate solutions to other emerging markets and accelerate the creation of climate ecosystems across different markets.	Multi-countries
Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at	GCF investments have led to development of solutions in multiple markets but these often plateau at early-stage. Despite the existence of regulatory and policy frameworks, many	medium	Robust financial markets providing diverse products to facilitate capital investment across the sector, thereby fostering the adoption of low-	Prosperete not only provides growth financing to investee companies across different sectors which enables their scaling but also promotes these companies to expand to multiple	Multi-countries

the sectoral, local, or national level	sub-sectors within the market still exhibit limited development. There is a critical need for increased capital, particularly at growth stage, to facilitate large-scale investments that will advance overall market maturity.		carbon and climate-resilient solutions. This dynamic is expected to drive down costs and enhance the appeal of these solutions relative to traditional fossil fuel alternatives.	markets and help develop low-carbon ecosystems there. Prosperete plans to collaborate with regional funds to co-invest in portfolio companies as they scale across emerging markets. This partnership aims to assist these funds in assessing deals and cultivating sector expertise climate sectors, with access to Prosperete's expert network enhancing their understanding of climate technologies	
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	The development of best practices and a diverse range of financing solutions within this sector is still ongoing. Many local financial institutions lack the capability to provide financing due to limited understanding perceived risks associated with factors like unproven technology, limited operating history, and inadequate data on residual value. While there are some newcomers targeting specific market segments or products, enhancing the capacity to offer a comprehensive range of financing solutions is crucial for scaling up the adoption of climate solutions	low	Expertise in financing products and optimal practices across various sub-sectors is being refined. Enhanced capacity among financial institutions to offer tailored financing solutions to companies and customers in climate, under favourable terms, is imperative. Additionally, financiers contribute insights and experiences to inform the formulation of policies and regulations within this sphere.	Prosperete will provide growth capital and help develop solutions for climate that currently do not exist. Furthermore, Prosperete works with regional financiers in different markets to undertake capacity building for climate sectors. Prosperete management team also regularly participates in forums of knowledge sharing to support regulations and policy in the space.	Multi-countries

E.5. Project/programme specific indicators (project outcomes and outputs)

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Output 1: Creation of Prosperete Growth Fund	Creation of Prosperete Growth Fund	Audited Fund financials	-	USD 220mn	USD 220mn	Assumes willingness of investors to invest in Prosperete post GCF Contribution; Final target same as mid-term target as fundraise to be completed before mid-term.
	Number of companies in which Prosperete leads the investment round	Audited financial statement of companies	-	1	3	Assumes willingness of investors to invest subject to availability of lead investor Source: Audited financial statements

	Transaction amount invested into portfolio companies	Audited Fund financials will validate disbursements made into the Companies.	-	USD120mn	USD 170mn	Relates to funding provided to climate-focussed companies; Assumes availability of investment opportunities
Output 2: Growth Stage Investments and support for scaling of approx. 10 to 12 portfolio companies	Number of companies and initiatives supported through equity investments	Investment Manager reports (Quarterly and Annual)	-	8	8	Source: Investment Manager Reporting
	Volume of capital raised by portfolio companies from time of investment, inc. equity, debt, grant	Audited financial statement of companies	-	2x of Prosperete Investments	3x of Prosperete Investments	Assumes availability of investment opportunities within targeted sectors. Prosperete will support companies to raise further capital by supporting companies to be attractive to diverse investors. Assumes macro-economic in countries of focus. Assumes supportive policy and regulatory environment. Assumes that climate change and energy transition efforts remain critical to potential co-investors including DFI's, and institutional investors. Data Sources: Self-reported Company data; Audited Company Financial statements.
	Reporting on investment performance and value addition in portfolio companies	Annual independent evaluations of fund performance. To be shared with investors by way of quarterly and annual reports.	n/a	Quarterly and annual reports	Quarterly and annual reports	Investment manager will regularly prepare reports for investors covering fund performance and updates at the portfolio level. Data Sources: Self reported performance data from portfolio Companies; Financial statements.
	Successful exit as indicative of positive IRR, demonstrating commercial viability of investment assets, and maturation of markets.	Investment Manager reports (Quarterly and Annual)	n/a	0	8	The fund envisages to exit all its investments by the end of the life of the fund. Assumes continued deepening and growth of EM capital markets for climate; Source: Investment Manager Reporting
Outcome 3: Increased availability of climate solutions across emerging markets through technology transfer	Number of companies expanding beyond home market	Audited financial statement of companies	-	1	3	Assistance from Prosperete identifying network to enable expansion; availability of customer in other markets Assumes supportive policy and regulatory environment.

						Ability of countries to export solutions from one market to another Data Sources: Self-reported Company data; Audited Company Financial statements.
Output 3: Technology transfer by companies through sharing of knowledge, exports, expansion of operations, or joint ventures	Companies with expansion / technology transfer plan	Investment Manager reporting to GCF	TBD	5	7	Assumes ability of pipeline companies to expand beyond home market
	Number of companies demonstrating technology transfer	Audited financial statement of such companies and management surveys	-	1	3	Demonstration of technology transfer includes knowledge transfer, demonstration of relevance of technology through exports, license revenue Data Sources: Self-reported Company data; Audited Company Financial statements.
Output 4: Collaboration (via partnerships or otherwise) established with regional funds for assistance, knowledge exchange and co-investments	Number of partnerships with regional funds established	Review of partnership agreements signed by fund	-	6	6	Interest of funds in emerging markets to develop expertise in climate Prosperete ability to develop and share market expertise
Outcome 4: Strengthened ecosystem in EMs for creation of scaled climate companies	# of new climate-focussed startups created in target countries		-	50 in each country by Mid-term	150 in each country by Mid-term	
	Investors / Funds apart from Prosperete investing in climate-focussed companies		-	5 in each country	10 in each country	
Output 5: Skills developed in climate ecosystem through mentorship sessions and publishing of best practices	Number of portfolio companies reporting sustainability metrics in an improved manner	Investment Manager reporting to GCF	-	5	10	Capacity building within organization for following best practices on sustainability and execution of ESG plan
	Number of climate and ESG action plans developed and (successfully) implemented	Investment Manager reporting to GCF	-	3	7	
	Preparation of gender action plans for portfolio companies	Investment manager reporting to GCF	-	3	6	Prosperete ability to develop and share market expertise Continue to interest of women and men entrepreneurs to develop solutions in climate
	Preparation of Action Plan for Companies	Investment manager reporting to GCF	-	4	8	
	Number of female employees, management team members and board directors recruited,	Company audited financials with verification	-	200	500	

	trained, and supported at portfolio companies					Data Source: investment Manager Reporting
	Number of markets studies and best practices papers published	Investment manager reporting to LPs basis public disclosure	-	5	8	
	Number of mentorship sessions held	Investment manager reporting to LPs	-	10	20	
Project/programme co-benefit indicators						
Co-Benefit 1: Economic Co-Benefit of Creation of Jobs in Climate Sector	Direct and indirect work opportunities created at portfolio company level	Periodic portfolio company data and independent verifications	-	500	1,500	Jobs created would heavily depend on business model of the selected portfolio companies. Baseline and targets will be established basis portfolio company selection and growth projections.
Co-Benefit 2: Enhanced gender inclusivity in climate ecosystem	30% women workforce	Periodic portfolio company data and independent verifications	-	10%	30%	To be implemented through company-specific Gender Action Plans
	30% investment pipeline qualifies under the 2x Criteria	Fund internal tracking	-	30%	30%	Prosperete would implement this target through internal review

E.6. Project/programme activities and deliverables

Activities	Description	Sub-activities	Deliverables
Activity 1: Setting Up Equity Fund	Prosperete Growth Fund is targeting to raise USD 220 million with the help of anchor contribution from GCF. The fund is advised by Prosperete, which screens investments and diligence for financial and impact returns. The portfolio will be actively monitored till exit decisions.	• Sub-Activity 1.1: Equity Fund Formation • Sub-Activity 1.2: Team Buildout • Sub-Activity 1.3: Fundraising Activities • Sub-Activity 1.4: Management over 10-year life;	o Fund Entity Formation and signing binding agreements o Buildout of team towards first and final close o Achieving final close for Prosperete Growth Fund
Activity 2: Growth Stage Investments	Prosperete will actively work with pipeline companies to enable scaling of climate solutions, through strategic input, organization building, connect with clients.	• Sub-Activity 2.1: Ongoing operations: Equity Fund administration and reporting, deal sourcing, due diligence • Sub-Activity 2.2: Deployment of capital in 10 to 12 Portfolio companies • Sub-Activity 2.3: Post-Investment Engagement	o Final IC Approval and Disbursement o Capital calls based on portfolio company requirements o Periodic impact reports prepared and distributed quarterly, with two independent evaluations (mid- term and final) also undertaken. o Presentation of Exit thesis to Investment Committee o Approval of Exit, Exit Process, and Distribution of Capital to Investors

		• Sub-Activity 2.4: Exit investments, return capital and profits to investors, close fund	
Activity 3: Technology transfer	Expansion of solutions to other emerging markets through export and building partnerships with other funds for interchanging of solutions and expertise	• Sub-Activity 3.1: Development of expansion plan for portfolio companies • Sub-Activity 3.2: Export to other markets through inputs and Prosperete network • Sub-Activity 3.3: Regional funds collaboration (via partnerships or otherwise) for assistance and knowledge exchange	o Formulation of expansion strategy beyond home markets o Sharing of portfolio company insights for enhanced understanding and knowledge of sector along with periodic cadence o Investments from partner / other funds into Prosperete portfolio companies
Activity 4: Capacity Building	Activities across the ecosystem for sharing of best practices and increasing gender inclusivity in climate sectors	• Sub-Activity 4.1: Development of Action Plan and organization building • Sub-Activity 4.2: Participation in Management / Board Meetings of Portfolio Companies • Sub-Activity 4.3: Knowledge and best practices sessions • Sub-Activity 4.4: Holding mentorship sessions for women in climate ecosystem and focus on women in pipeline	o Formulation of Action Plan for portfolio companies o Participation in board meetings o Industry analysis basis portfolio companies, Prosperete sector expertise, industry advisors o Publication of reports and / or research pieces for public dissemination o Best practices and knowledge transfer sessions for portfolio companies and ecosystem o Mentorship sessions for women in climate sector

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Reporting schedule for GCF

The following outlines the reporting schedule that Prosperete Growth Fund will follow for GCF:

1. Fund quarterly and annual reporting
2. Annual Performance Report
3. Independent Interim Evaluation Report
4. Independent Final Evaluation Report
5. ESG Reporting

- Prosperete Growth Fund will provide quarterly financial statements as well as undertake Annual Performance Review for GCF.
- Given the nature of the programme, with Prosperete targeting impact through providing growth equity to climate positive enterprises, Prosperete will track the impact of these companies in its their focus geographies. Prosperete will ensure best practices are followed in reporting to both its investors as well as its national stakeholders. Climate targets will be the responsibility of ESG and Climate Lead. The ESG and Climate officer will guide the investment team in assessing potential impact of a company and ongoing engagement. The ESG and Climate Lead will take ownership of measuring and recording climate impacts of investee companies.
- To track that the Fund is achieving its mitigation and adaptation, the Prosperete team will work with each investee company and an external impact expert to develop and track several indicators that will measure progress at the fund and portfolio levels. The Fund will also initiate various surveys over the course of the Fund's life to evaluate improvements in climate resilience among beneficiaries, including improved income levels, income stability, access to climate information systems, and other

metrics. The Fund will consolidate data for analysis and form insights at Fund level on a regular basis. This will help track progress against set objectives and enable the Fund to provide timely feedback to investee companies where realignment in their business strategy is required.

- For adaptation, direct and indirect beneficiaries will be assessed by the portfolio companies, who are required to report data to Prosperete on a periodic basis. Prosperete will help its portfolio companies to build requisite capacity for accurate measurement and cogent communication of its impact on beneficiaries. Prosperete will conduct periodic surveys and audit to ensure accuracy of the data. As mentioned above, Prosperete will integrate reporting on impact and Action Plan into its investment's legal documents for each investment. Such requirements will be enforced through possible representation of Prosperete on board of the companies, as well as binding covenants.
- For Mitigation, Prosperete utilizes globally recognized methodologies such as CDM / Vera / Other methodologies to calculate GHG reduction outcome achieved by each of the companies. Such evaluation would be conducted by independent impact experts with disclosure to all Prosperete investors and will be guided by Prosperete's *Monitoring Reporting and Verification (MRV) Plan*. Such reporting will be done at two intervals:
  - Interim evaluation (end of investment period): During the Mid-term evaluation, Prosperete would have deployed its capital (excluding follow-on) but substantial development outcomes are not anticipated due to the portfolio's incomplete maturation. Consequently, the evaluation will primarily scrutinize the implementation of the investment strategy, encompassing metrics such as the number of portfolio companies invested by the Fund, GHG emissions reduction, capital mobilized in investment rounds, current countries of operation, total number impact to establish credible baseline.
  - Final Evaluation (end of fund life): For the final evaluations it is expected that the fund will have achieved maturity. The end of program evaluation of the Fund will comply with the GCF evaluation policy. An independent evaluation will track key performance indicators and results, as well as gender and other inclusion targets. Prosperete will conduct evaluations during exit discussions with the company and aggregate such information at the of fund life.
- ESG Reporting
  - Prosperete will annually provide investors with a comprehensive report on the Environmental, Social, and Governance (ESG) performance of both Prosperete and its investee companies. The Prosperete Growth Fund will diligently oversee ESG considerations in portfolio companies, encompassing the monitoring of ESG risk areas, tracking progress on the Action Plan, and assessing any business changes that may pose additional ESG risks. Prosperete benefits from an in-house Climate and ESG expert who will guide the ESG officer to make sure that ESG considerations and capacity in portfolio companies is up to par with the Fund's ESMS.
  - Annually, the Fund will commission an independent ESG review of each portfolio company conducted by an external expert. This review aims to evaluate the ESG performance of portfolio companies, pinpoint those encountering significant challenges in implementing ESG plans, highlight superior performance, and identify emerging ESG risks linked to business models. The insights garnered will facilitate in-depth discussions among the investment team and the Investment Committee (IC) to determine optimal support strategies for portfolio companies. Additionally, the Fund will conduct mid-term and completion date reviews of action plans to gauge progress in addressing ESG gaps identified during the diligence stage and to address any additional gaps or initiatives required to fulfil action items.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Selected Risk Factor 1 – Fundraising Risk

Category	Probability	Impact
Other	Medium	High

Description

There is limited availability of capital for such growth funds because of high-risk perception due to the perceived dual risks of emerging markets and limited adoption of climate solutions. Prosperete may not achieve such a sufficient size unless multiple commercial and development institutions that Prosperete is already engaging with, decide to invest in the Fund. These investors often look for a first-mover anchor contribution before providing binding commitments. For Prosperete this risk gets accentuated with it being a first-time fund.

Mitigation Measure(s)

An anchor contribution from GCF in the form of Junior equity would provide the necessary signal to other investors, alleviating fundraising risks to a large extent. The diligence by GCF will provide a stamp of approval required by investors to consider an investment in a climate fund. Further, availability of junior capital will alleviate their perception of risk with downside protection.

Prosperete is engaging with its investors (excluding GCF) to avail bridge financing but has received feedback that other investors will follow GCF lead. In the absence of bridge financing, Prosperete may only be able to do very small investments during the period of first close to final close, thereby limiting potential climate impact.

Selected Risk Factor 2 - Risks arising from emerging solutions in climate

Category	Probability	Impact
Technical and operational	Medium	High

Description

Prosperete Growth Fund will invest in growth stage companies. By definition, these businesses face risks relating to wider adoption of their product/solution, market dynamics, and competition from other players. These companies may fail or may take longer than anticipated to achieve scale and financially viable business models.

Prosperete may not be able to achieve mitigation target of GHG 9.2mn tonnes avoided and adaptation target of 3.2mn lives made resilient in case investee companies fail to scale up.

Series B and Series C are sub-stages of the growth stage. The companies are transforming into mature companies that have demonstrated stronger market traction and business model validation. These companies typically seek larger investments to scale operations, expand into new markets, and drive further growth and innovation.

Mitigation Measure(s)

The Prosperete Growth Fund implements a thorough due diligence procedures, encompassing comprehensive analyses of financial, operational, market, competition, and ESG factors. This meticulous process enables the Fund to evaluate exceptional investments, ultimately selecting companies distinguished by robust management teams which can scale their globally competitive climate solutions. Once invested, Prosperete works closely with investee companies to help them build organizations and grow their business.

Selected Risk Factor 3 - Risks arising from business uncertainty

Category	Probability	Impact
Technical and operational	Low	Medium

Description

Prosperete Growth Fund seeks significant minority stakes with strong contractual rights. As such, Prosperete Growth Fund cannot control the management and activities of its portfolio companies. This may result in having limited say in selecting the right strategy for the business or poor execution of the selected strategy.

Mitigation Measure(s)

As described above in Risk Factor 2, Prosperete conducts a thorough diligence of strategy and the management ability to execute the strategy. Once invested, Prosperete will have periodic meetings with management to discuss ongoing business and climate plans, and required pivots, if any. Furthermore, Prosperete will not only provide investment capital but expects to

provide strategic advice and additional resources through such actions, identifying and working with co-investors, and providing access to local networks of experts and value-add partners.		
Selected Risk Factor 4 – Valuation and Investment Risk		
Category	**Probability**	**Impact**
Technical and operational	Medium	Medium
Description		
Prosperete Growth Fund is focussed on making private investments, which creates limited liquidity options for exits. These companies would be able to provide such liquidity options only after achieving scale. Furthermore, there is a higher risk of price discovery and valuation as a fund operating in private markets. Additionally, the investment presents macroeconomic risks if economies in which these companies operate, face headwinds, funding for climate solutions dries up, or there is reduction in valuation of investments, all creating risks for investment returns. This risk also includes currency risk, as portfolio investments will be operating in local market currencies v/s USD, exposing the Fund's investments in portfolio companies to fluctuations in exchange rates.		
Mitigation Measure(s)		
The Prosperete Team has extensive experience of working with large institutional investors and expertise in what such investors look for while underwriting deals. The Team expects to maintain ongoing relationships with potential strategic acquirers of portfolio companies and growth stage investment firms to help improve exit opportunities for Fund investments. Prosperete will carefully monitor investments, including quarterly review of exit opportunities so that necessary action can be taken on given opportunities. In addition, the Fund may utilize alternative investment structures reflective of market conditions. Currency exposure arising due to company operations will be monitored closely. Part of this risk will be mitigated as Companies expand their business operations to overseas markets beyond their home country.		
Selected Risk Factor 5 – Availability of attractive investment opportunities		
Category	**Probability**	**Impact**
Technical and operational	Low	Medium
Description		
The Prosperete Growth Fund aims to invest in low-carbon businesses operating in target countries. However, the fund faces challenges in targeting strategic sectors and markets that are often in early stages, characterized by high technological and market risks. The fund's ability to find such pipeline is contingent upon companies being able to develop product market fit at early stage and move to growth stage. Risks include potential product failures or underperformance as well as market risks such as affordability.		
Mitigation Measure(s)		
Prosperete has been working in this space for more than 18 months and has been able to build a robust pipeline of attractive investment opportunities. In addition, Prosperete is engaged in deepening its understanding of relevant emerging technologies as well to make sure it can spot companies early and keep track of those as they become investible for Prosperete. Working across sectors and countries also helps mitigate this risk.		
Selected Risk Factor 6 – Risks coming from first time fund limited geographic spread		
Category	**Probability**	**Impact**
Technical and operational	Low	Low
Description		
Prosperete is perceived as a first time fund and has a wide geographic mandate. This may mean that the team is stretched and may not be able to have feet on the ground.		
Mitigation Measure(s)		
Prosperete team has worked together for 17 years and has been working on the Prosperete fund for more than a year. This helped brings stability to the team. Team's extensive experience in sustainability sector is unparallel. Given that climate sector itself is emerging set up of platforms like Prosperete are critical. Prosperete team is building up its team in a measured manner. Anchor investment from GCF in the form of junior capital along with extensive due diligence will help mitigate the risk of fund raise significantly. The fund will directly invest in Bangladesh, India, and Mauritius. These companies will be encouraged to invest across target countries along with partner funds including in Asia and Africa. This will allow multiplication of expertise and on ground presence. As Prosperete expands it will boost its presence across markets and open up its direct investments in other markets as well.		
Selected Risk Factor 7 – E&S risks coming from activities of portfolio companies		

Category	Probability	Impact
Technical and operational	Low	Low
Description		
Prosperete is investing in companies with medium to low ESG risk. There might be issues arising relating to customer safety, employment conditions etc that will need to be closely monitored.		
Mitigation Measure(s)		
Prosperete conducts an in-depth ESG assessment of companies prior to making investments. Any high risk / cat A project are not taken up by Prosperete. An ESM action plan will be agreed with the company and its implementation will be closely monitored. Prosperete assessment includes potential impact on Indigenous People, and Sexual Exploitation, Abuse, and Harassment (SEAH) practices etc. Separately, Prosperete also has gender policy and action plan to make sure portfolio companies enhance gender employment in target countries.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

1. As a Financial Intermediary (GCF category I-2) Prosperete will disclose information on each of its potential investees prior to making a decision to invest.

#	IFC Performance Standard	Risk Level in Companies	Risk in Supply Chain
1	Environmental and Social Risk Management	Medium	Medium
2	Labor and Working Conditions	Medium	Medium
3	Resource Efficiency and Pollution Prevention	Medium	Medium
4	Community Health, Safety, and Security	Medium	Medium
5	Land Acquisition/ Involuntary Resettlement	Low	Low
6	Biodiversity and Natural Resources	Low	Low
7	Indigenous Peoples	Low	Low
8	Cultural Heritage	Low	Low
9	Stakeholder Engagement and Information Disclosure	Low	Low
10	Climate change Resilience and Adaptation	Low	Low

2. It is Prosperete's endeavor to meet the highest standards of corporate stewardship by investing responsibly and engaging with communities where Prosperete works and invests. 'Responsible Investing' is a key guiding philosophy for Prosperete. Prosperete recognizes that ESG aspects are among the key influencers of the value and long-term performance of any company. Prosperete is committed to the implementation of ESG policies within its own organization and also organizations that it partners with and invests in.
3. Prosperete follows a comprehensive ESMS which ensures that all its operations are in strict compliance with globally accepted best practices on ESG related matters. Prosperete reckons that ESG aspects are also important determinants to the value of any company, and hence has integrated ESG aspects into the various stages of its investment process.
4. Prosperete invests in low-carbon mitigation and adaptation solutions, which are not expected to have material climate risks, but rather to contribute to climate mitigation and adaptation. Investee companies will be encouraged to monitor and manage their exposure to physical and transition risks of climate change, including in their supply chains.
5. Indigenous people are not likely to be directly affected through the activities of investee companies. Prosperete monitors exposure to and impacts on indigenous peoples in its prescribed ESG due diligence, operations and annual review.
6. Community health, safety, and security, and the environment may be impacted by use and disposal of electric vehicle technologies, HVAC systems, distributed solar etc. Prosperete will monitor and encourage best practices for managing e-waste disposal, responsible sourcing of materials for manufacturing, and employee wellbeing.
7. Prosperete will continue to strengthen its monitoring and ESG management in the supply chain of its investee companies. A particular consideration is forced labor and child labor in the whole value chain and in the target countries. Prosperete will continue to monitor human rights risk assessment, policies, and implementation.
8. Job creation is a key impact created as companies scale operations and increase their workforce and contractor networks. There is a continued focus on ensuring sound labor practices.
9. Any investment is undertaken only if it does not pose any significant risks to the project or the IPs etc.
10. Prosperete's annual report to Limited Partners will include its ESG practices and detailed ESG and impact performance of its investee companies.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Prosperete is committed to gender mainstreaming and enhancement of gender equality outcomes across its investments and operations. Prosperete has adopted a Gender Policy which serves as a governance framework for gender integration into Prosperete's investment decision-making process. The Gender Policy addresses gender integration in Prosperete's approaches, procedures, investment, and portfolio decision-making, as well as its internal functioning.

In order to arrive at a comprehensive gender assessment to understand the roles, rights, needs, and opportunities of women and men across target countries and focus areas, the team undertook desktop research, obtained feedback from stakeholder consultations and collated learnings from the experiences of its senior leadership. The team also reviewed gender-lens investing frameworks, such as the 2X Challenge, which supports increased funding for women across the investment value chain, specifically promoting female entrepreneurship, leadership, employment. Additionally, the team examined existing literature, including by other investing organizations to understand the unique gender challenges within the energy industry, with a particular focus on climate solutions.

Based on this gender assessment, Prosperete has created a Gender Action Plan setting out specific actions to be implemented at the Fund level, portfolio company level and ecosystem level by Prosperete during the Fund's life. **Prosperete will monitor and achieve the following gender outcomes:**

- **Output 1: Building the first women-led, growth stage climate focused fund in India**
  - 50% women workforce across the Fund/the Advisor/Sub-Advisor; and
  - Applying the gender lens in investment decision-making and portfolio management. Supporting activities to include:
    - Working closely with WinPE and other similar forums to build and maintain relationships with women entrepreneurs
    - Mentor a diverse team with high female representation
    - 30% investment pipeline qualifies under the 2x Criteria
- **Output 2: Partner with Fund portfolio companies to increase female workforce participation across their organizations, including in senior leadership**
  - Development of Gender Action Plans for each portfolio company. The GAPs will be formulated basis assessment at the time of investment due diligence.
  - Supporting portfolio companies in attracting, retaining and supporting a gender diverse workforce.
    - Implementation of non-discrimination as part of HR policies
    - Implementation of all gender-related legal and regulatory Mechanisms, including in respect of SEAH / sexual harassment policies
    - Conducting 1 annual training on gender sensitization
    - Adoption of at least 1 policy associated with building gender inclusive workplace that goes beyond legal and regulatory requirements
- **Output 3: Ecosystem level intervention to enable increased access to venture capital financing for women-owned/ women-led startups**
  - Supporting capacity building for female founders building technology solutions for climate; Creating avenues to help women founders access domain knowledge, mentorship and networks
- **Output 4: Transformative activities to help overcome gender norms**
  - Identify key regressive gender norms in each market, work with stakeholders in creating awareness and workshops to help in transforming gender norms

The Fund will support portfolio companies in enhancing their gender inclusion and diversity practices, driving greater women's economic empowerment outcomes through their business activities. This will be achieved through the development of Gender Action Plans for each investment, which will include measures to support increased female leadership in management and governance structures. Additionally, the team assists companies in developing policies and procedures to prevent SEAH and to provide gender-sensitive and survivor-centred incident responses. This will include formulating a SEAH policy that, among other things, emphasizes providing a safe and trusted environment for those affected by SEAH to step forward to report incidents and concerns, protection for those affected as well as whistleblowers and/or witnesses, and appropriate measures against any form of retaliation. Implementation will also be monitored by Prosperete's board representative on the portfolio company's board.

The Gender Assessment and Gender Action Plan are provided in Annex 8.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Prosperete has multiple governing bodies to oversee the operations of the Fund.

The Investment Manager (IM) prepares investment memos for consideration of the IC with the help of and inputs from Sub-Advisor. The IC oversees the diligence and make sure that investments are made on terms approved by the IC.

After investment approval, the primary responsibility of the IM is to monitor portfolio performance against the targets established during the investment phase, encompassing financial, climate, SDG, and ESS impacts. The IM's team will monitor investments, sit on boards of individual portfolio companies and maintain direct communication with company management through site visits and regular interactions.

The IM team will work closely with portfolio companies, helping with organization strategize, build out etc. The team will receive detailed management reports with relevant metrics on a regular basis. Monthly meetings will be held to discuss portfolio updates and progress, identify potential risks, review financial performance, and assess overall governance. Strategies and next steps will be agreed upon and implemented by the respective teams. Additionally, a comprehensive quarterly review of each portfolio company will be conducted both at the company as well as at IC level.

Portfolio performance will be monitored through the following:

- Monthly reporting from portfolio companies
- Periodic board meetings and ongoing communication with management to enhance company value
- Periodic Site visits
- Engaging with other co-investors
- Feedback from key stakeholders
- Monitoring news flow for the sector and the company
- Ensuring compliance with relevant agreements
- Monitoring compliances
- Performance reviews by the investment team against both commercial and impact-related targets

Based on this monitoring process, the IM will submit the following reports:

- Quarterly reports on Fund performance, including individual company performance
- Annual audited statements
- Annual ESS report
- Annual climate and sustainability impact report

The IM adheres to fiduciary duties according to PE industry best practices, reporting on Fund performance quarterly and annually to the LPAC and LPs. Independent service providers audit annual financial statements to ensure transparency and control of fund flows. Impact reporting is conducted annually, Environmental and Social Governance Review is carried out in accordance with Prosperete ESMS and IFC Performance Standards.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

☒	Annex 1	NDA no-objection letter(s) **(template provided)**
☒	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☒ Environmental and Social Management System (ESMS) ☒ Others: Indigenous Peoples (IP) Management Framework
☒	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**

H.2. Other annexes as applicable

☒	Annex 23	Climate Hazards and Country Scenario

Annexure 23: Climate Hazards and Country Scenario						
Climate hazard	Baseline Country Context			Future Country Context		
	Bangladesh	India	Mauritius	Bangladesh	India	Mauritius
Excessive rainfall/Heavy precipitation and flooding	Recent heavy precipitation events in Bangladesh have caused significant disruptions, particularly in the agricultural sector. Flooding has damaged crops and soil, leading to reduced agricultural productivity and disruptions in the supply chain. Urban slums in cities like Dhaka have faced severe waterlogging and flooding due to inadequate drainage systems, resulting in health hazards from waterborne diseases and damage to poorly constructed infrastructure. Healthcare facilities have also been strained by an influx of patients and access issues due to flooded roads. Additionally, the electricity supply has been frequently disrupted, impacting both urban and rural areas. Regions typically impacted by heavy precipitation include Chattogram, Cox's Bazar, Bandarban, Rangamati, and Feni (Chattogram Division); Chittagong, Bandarban, Rangamati, Sources: EM-DAT Database, (PLOS) (World Bank) (SpringerLink).	In India, heavy rainfall and subsequent flooding have had widespread impacts across several states, including Bihar, West Bengal, and Assam. The agricultural sector has seen significant crop damage and soil erosion, leading to a reduction in productivity and disruptions in the supply chain. Urban areas like Mumbai and Kolkata have experienced intense rainfall, resulting in severe waterlogging, damage to infrastructure, and increased health risks. The power grid has also been affected, with flooding causing damage to power lines and substations, leading to widespread power outages. These disruptions highlight the vulnerability of India's infrastructure and the need for robust disaster management strategies. Since 2019, flash floods have caused 435 deaths and affected 1,767,661 people, resulting in financial damage of 1,502,081,000 USD. Sources: EM-DAT Database, (Mongabay-India) (SpringerLink) (Down To Earth).	Increased urbanization in flood-prone regions has heightened flood risks and posed challenges for building resilience against recurring floods. Notably, in 2013, the capital, Port Louis, experienced flash floods that led to the deaths of 11 people. flooding accounts for 20%. of average annual losses for all hazards. (ReliefWeb, 2024)	Rainfall is expected to become more variable, with increases in the intensity and frequency of heavy rainfall events. This variability poses a risk to water management, agriculture, and urban planning. As per IPCC WGI Interactive Atlas, the projections for riverine and pluvial floods have medium and high confidence of increase, respectively. Furthermore, projected change in annual exceedance probability of largest 1-day precipitation of a 50-year event for SSP 5-8.5 for 2050 the "median change factor for occurrence/ year" is 2.07 times from baseline.	Future climate scenarios for India involve increased intensity of extreme weather events and significant variations in rainfall patterns. The uncertainty in rainfall projections remains high, though an increase in the intensity of extreme rainfall events is likely. Rainfall projections vary, with some models suggesting up to a 10% increase in monsoon precipitation by the end of the century under high-emission scenarios. As per IPCC WGI Interactive Atlas, the projections for riverine and pluvial floods have medium and high confidence of increase, respectively. Furthermore, projected change in annual exceedance probability of largest 1-day precipitation of a 50-year event for SSP 5-8.5 for 2050 the "median change factor for occurrence/ year" is 2 times from baseline.	As global temperatures continue to rise, the frequency and intensity of heavy rainfall events are projected to increase. This, combined with rising sea levels, will exacerbate flash flooding in Mauritius. The island's mountainous terrain and limited drainage systems make it particularly vulnerable to such events. Sea-level rise will increase coastal erosion and inundation, further disrupting drainage patterns and increasing the risk of flooding.
Drought or increasing water scarcity/stress	Bangladesh is currently facing a challenging drought situation, exacerbated by climate change and unsustainable water management practices. Recent studies indicate that the country's water resources are under severe strain, with a notable decrease in annual rainfall rates by approximately 10% over the past two decades. Bangladesh is highly	Droughts in India have affected 18,750,000 people since 2019. Furthermore, drought impacts buildings by causing the soil to dry and shrink, leading to foundation settling and cracking. This is particularly evident in regions with clayey soils. The lack of moisture also increases the risk of fires, which can damage buildings and infrastructure (Nature, 2023).	The island's seasonal water scarcity is exacerbated by the uneven distribution of rainfall throughout the year, particularly during the dry months of October to December. This shortage of water resources poses a significant challenge to meeting the increasing demand for water. Additionally, prolonged dry spells have emerged as a major	Climate projections indicate that Bangladesh will experience increased temperatures and more erratic rainfall patterns, which will intensify drought conditions. By 2050, the frequency and duration of droughts are expected to increase, leading to severe water shortages. The Intergovernmental Panel on Climate Change (IPCC) projects a rise in temperature of up to 2.6°C by the 2060s, which	Future projections indicate that climate change will intensify water stress in India. By mid-century, the flow of major rivers like the Indus, Ganges, and Brahmaputra could decrease by 8-20% due to reduced snow and glacier melt, further exacerbating water shortages. The frequency and intensity of droughts are expected to increase, leading to more	According to the UN report SIDS in Numbers, Mauritius is projected to become a water stressed country by 2025 and its agricultural production may decline by as much as 30%.

Annexure 23: Climate Hazards and Country Scenario						
Climate hazard	**Baseline Country Context**			**Future Country Context**		
	Bangladesh	**India**	**Mauritius**	**Bangladesh**	**India**	**Mauritius**
	susceptible to water stress and drought conditions due to its geographical and climatic characteristics. The country's dependence on monsoonal rainfall makes it particularly vulnerable to variability in precipitation. Approximately 30% of the population is affected by droughts, especially in the northwestern regions. These droughts lead to significant reductions in crop yields and water availability for both domestic and agricultural use. Additionally, groundwater depletion is a growing concern, further exacerbating water scarcity in drought-prone areas. Sources: (World Bank, 2021) (SpringerLink) (Mongabay).	Approximately 180 million people in India currently face chronic water scarcity, and this number is projected to grow due to decreasing water availability and increasing demand. The country's heavy reliance on monsoonal rainfall, which is becoming increasingly erratic, exacerbates these challenges. Many regions, particularly in northern and central India, already face high levels of water stress, impacting both rural and urban populations. Additionally, around 60% of India's cultivated area is rain-fed, making it highly susceptible to variations in rainfall patterns. This dependency on unpredictable monsoon rains leads to frequent droughts, which severely affect crop yields and rural livelihoods (World Bank, 2021).	constraint for the food sector in Mauritius.	will exacerbate evapotranspiration rates and reduce water availability. This will particularly impact agricultural productivity, with significant declines in yields for staple crops like rice and wheat, thereby threatening food security.	severe and prolonged periods of water scarcity. Rainfall patterns are projected to become more erratic, with some models suggesting up to a 10% increase in monsoon precipitation by the end of the century under high-emission scenarios. However, this increase will likely be accompanied by more extreme weather events, including severe droughts interspersed with intense rainfall, leading to greater unpredictability in water availability.	
Heat waves	Bangladesh has experienced a significant warming trend with a temperature increase of about 0.5°C since the early 20th century. The frequency and intensity of hot days and warm nights have increased throughout the country (World Bank, 2021). Bangladesh has faced unprecedented heat waves, with a severe event in April breaking a 76-year record. Temperatures soared to over 40°C, significantly impacting public health and agriculture. During these heat waves, heat-related illnesses such as heat stroke and dehydration surged, particularly among vulnerable	India is increasingly experiencing severe heat waves, with significant impacts on public health and mortality. A comprehensive study covering 2008-2019 across ten cities, including Delhi, Mumbai, and Chennai, showed a 14.7% increase in daily mortality during heatwaves (temperatures above the 97th percentile for two consecutive days). This translates to approximately 1116 deaths annually attributed to heat waves. The study observed that higher intensity and longer duration heat waves led to stronger associations with	Climate change-induced heat waves are posing a substantial threat to Mauritius' agriculture. The island's tropical climate, historically characterized by high temperatures, is experiencing a further intensification. This rise in temperatures can lead to crop stress, diminished yields, and alterations in plant growth cycles. Furthermore, heat waves can accelerate water evaporation and soil moisture depletion, making it more challenging to sustain healthy crops.	Future climate projections indicate a further increase in temperatures, ranging from 1.4°C to 2.6°C by the 2060s under different scenarios. These changes are expected to exacerbate the heat island effect in urban areas and increase the demand for cooling (World Bank, 2021).	Future projections indicate that India will see a significant increase in the frequency, intensity, duration, and area affected by heat waves. By mid-century, the frequency of heat waves is expected to increase by a factor of 2.5 compared to the 1976-2005 average. The number of summer heat wave events is projected to rise to about 2.5 per season by 2040-2069 and approximately 3.0 per season by 2070-2099. Additionally, the average duration of summer heat waves is anticipated to extend to about 15 days by mid-century and 18 days by the end of the	The percentage of hot days is projected to increase substantially from about 15% of all observed days on average in 1981–2010 (10% in 1961–1990). Under a high emissions scenario, almost 100% of days on average are defined as 'hot' by the end-of-century. If emissions decrease rapidly, about 65% of days on average are 'hot'. Note that the models tend to overestimate the observed increase in hot days (by about 4% on average for 1981–2010). Similar increases are seen in hot nights.[76](ClimaHealth)

Annexure 23: Climate Hazards and Country Scenario

Climate hazard	Baseline Country Context			Future Country Context		
	Bangladesh	India	Mauritius	Bangladesh	India	Mauritius
	populations. Crop yields dropped by up to 30%, threatening food security and the livelihoods of farmers. Urban areas, especially densely populated cities, experienced exacerbated heat due to the urban heat island effect, increasing energy demands for cooling by 15% (Down to Earth, 2024) (Environmental Challenges, 2024).	mortality. Cities like Hyderabad and Pune had the highest average number of heat waves per year, at 4.0 and 4.3 respectively (Environment International, 2024). Recent years have seen extreme heat events in 2016, 2018, 2019, and 2023 (Business Standard, 2024). Since 2019, over 400 deaths have been reported due to heat waves, and from 1992 to 2015 the death toll ~24000 (EM-DAT Database).			century under the IPCC RCP4.5/SSP2 emission scenario. These projections underscore the need for targeted policies and early warning systems to mitigate the severe health and socio-economic impacts of increasing heat wave events (Indian Institute of Tropical Meteorology)	
Tropical cyclone	Tropical cyclones have been particularly devastating, with Cyclone 'Fani' resulting in 39 deaths and affecting 10,045 people. Cyclone 'Bulbul' caused 40 deaths and impacted 251,506 individuals, with financial damage of 6,622,000 USD. Cyclone 'Amphan' led to 26 deaths and affected 2.6mn people, resulting in significant financial damage of 1,696,149,000 USD. Cyclone 'Yaas' caused 3 deaths and affected 1,300,000 people. Tropical storm 'Sitrang' resulted in 35 deaths and impacted 1mn individuals. Cyclone 'Mocha' led to 3 deaths and affected 750,012 people. Tropical cyclone 'Hamoon' caused 3 deaths and affected 1,500,000 people (EM-DAT Database).	Cyclone 'Fani' led to 50 deaths and affected 20,000,000 people, with financial damage of 2,071,934,000 USD. Cyclone 'Bulbul' resulted in 12 deaths and affected 5,000 individuals. Cyclone 'Amphan' was particularly devastating, causing 90 deaths, affecting 4,960,000 people, and leading to financial damage of 13,193,985,000 USD. Cyclone 'Tauktae' led to 174 deaths and affected 200,000 people, with financial damage of 8,315,164,000 USD. Cyclone 'Yaas' caused 9 deaths and affected 14,400,000 people (EM-DAT Dabase).	Tropical cyclones account for approximately 80% of the island's annual direct losses from extreme weather events in an average year, amounting to approximately $91 million in direct losses. In 2018, flooding, and high winds resulting from Tropical Cyclone Berguitta passing just south of Mauritius left 6,800 homes without power, destroyed approximately 80 percent of crops on the island, and left two people dead. In January 2024, Tropical Cyclone Belal passed south and west of Mauritius and brought sustained winds of 105 miles per hour, torrential rain, and storm surge, leading to one casualty and 8,400 people without power in the capital of Port Louis.[77]	In Bangladesh, which is highly vulnerable to tropical cyclones, projections suggest an increase in both the frequency and intensity of these events. The warming of the Bay of Bengal is expected to enhance the conditions favorable for cyclone formation, leading to more frequent and powerful cyclones impacting the region. This will exacerbate the already significant risk of flooding, storm surges, and wind damage (United Nations, 2024)	The frequency of severe cyclones is projected to increase by 10% by 2100 (World Bank, 2021). In India, studies show that the frequency of intense cyclones in the Bay of Bengal and the Arabian Sea is expected to rise, with models predicting a significant increase in the number of severe cyclones making landfall along the Indian coast. This is attributed to warming sea surface temperatures and changes in atmospheric conditions that favor cyclone formation (Climate Dynamics, 2021)	It is anticipated that the total number of tropical cyclones may decrease towards the end of the century. However, it is likely that human-induced warming will make cyclones more intense (an increase in wind speed of 2–11% for a mid-range scenario (i.e. RCP4.5) or about 5% for 2ºC global warming). Projections suggest that the most intense events (category 4 and 5) will become more frequent (although these projections are particularly sensitive to the spatial resolution of the models). It is also likely that average precipitation rates within 100 km of the storm center will increase – by a maximum of about 10% per degree of warming.[78]
Sea Level Rise	Bangladesh is highly vulnerable to sea level rise due to its low-lying topography and dense population. The current rate of sea level rise in the Bay of Bengal is approximately 3 mm per year. Coastal erosion,	India's coastline, stretching over 7,500 km, is experiencing varying rates of sea level rise, with the average around 3 mm per year. Key cities like Mumbai, Chennai, and Kolkata are particularly vulnerable to	The tourism sector accounts for around 20 percent of the economy and employs up to 22 percent of its workforce faces risks from sea level rise, loss of coral reefs, marine heatwaves, and tropical cyclones.	By 2050, sea levels in Bangladesh could rise by approximately 0.5 meters. By 2100, the rise could reach between 0.7 to 1.5 meters, depending on emission scenarios. Significant land loss, displacement of millions of	By 2050, sea levels along India's coastline could rise by 0.4 to 0.6 meters. By 2100, the sea level rise could be between 0.8 to 1.2 meters, based on different climate models. Major impacts include displacement	Sea level rise (SLR) of approximately 8 mm per year, which floods coastal communities and cause saltwater intrusion in Mauritius' freshwater aquifers. The United Nations (UN) forecasts that freshwater will be stressed by 2025. According to IPCC

Annexure 23: Climate Hazards and Country Scenario						
Climate hazard	Baseline Country Context			Future Country Context		
	Bangladesh	India	Mauritius	Bangladesh	India	Mauritius
	saltwater intrusion, and increased frequency of storm surges are already impacting the region (IPCC AR 6)	rising sea levels. Coastal erosion and increased frequency of extreme weather events are noticeable effects (IPCC AR 6)	The major impacts of sea-level rise in Mauritius are land loss, erosion of beaches, damage to coastal infrastructure, degradation of coral reefs and loss of wetlands. (IPCC)	people, and loss of agricultural land are expected. The IPCC projects severe impacts on food security and livelihoods, particularly in the coastal regions (IPCC AR 6)	of coastal communities, loss of infrastructure, increased flooding, and damage to ecosystems such as mangroves and coral reefs. Significant economic losses are anticipated, especially in the tourism, fishing, and agriculture sectors (IPCC AR 6)	assessment, sea level is expected to rise between 15 to 95 cm with a best estimate of 50 cm by the year 2100. (IPCC)

[1] Climate Change-induced Sea-Level Rise Direct Threat to Millions around World, Secretary-General Tells Security Council
[2] Water Scarcity
[3] Mauritius Biennial report - 2021
[4] Mauritius Meteorological Services: Climate Change
[5] BCG: The Sustainability Imperative in Emerging Markets
[6] CEEW: Reach for the Sun
[7] IFC: Supporting Climate Business Opportunities in Emerging Markets
[8] EDGAR - Emissions Database for Global Atmospheric Research
[9] India Environmental Portal
[10] IEA: Mauritius
[11] Prosperete Feasibility Study, basis Tracxn data
[12] IEA: Innovation needs in the Sustainable Development Scenario
[13] Impacts of Climate Change in Southeast Asia and Adaptation Measures in the Region
[14] Water pollution in Bangladesh and its impact on public health
[15] Temperature and rainfall extremes change under current and future global warming levels across Indian climate zones
[16] World Bank: Gearing up for India's Rapid Urban Transformation
[17] Hindustan Times: Climate-focused policies are key to building resilient infrastructure
[18] NITI Aayog: Composite Water Management Index
[19] ISSS Bulletin
[20] PIB: Effect of Climate Change on Agriculture
[21] IMF: Addressing Climate Change In Mauritius: Financing And Reform Options
[22] UNFCC: First Biennial Update Report - Republic of Mauritius
[23] SADRI: Drought Resilience Profiles | Mauritius
[24] ReliefWeb - Disaster Management & Climate Change Handbook - Mauritius (June 2024)
[25] Bangladesh NDC (August 2021)
[26] World Bank: Bangladesh Country Climate and Development Report
[27] EDGAR - Emissions Database for Global Atmospheric Research
[28] IMF: A Framework for Climate Change Mitigation in India
[29] Grant Thornton: Achieving 500 GW of renewable energy capacity by 2030
[30] CPI: Transforming India's Climate Finance through Sector-Specific Financial Institutions
[31] How India can tackle climate change and win the EV race
[32] IEA: Global Energy Review: CO2 Emissions in 2021 Global emissions rebound sharply to highest ever level
[33] UNDP: Developing a Comprehensive Strategy for Waste-to-Resource Transformation in Mauritius
[34] Our World in Data: Nigeria
[35] CPI: Nigeria Climate Finance Landscape 2022
[36] WHO: Nigeria strengthens capacity to address impact of climate change on health
[37] 70% of Nigerians consume contaminated water
[38] UNICEF: 25 million Nigerians at high risk of food insecurity in 2023
[39] Climate Risk Country Profile: Indonesia (2021): The World Bank Group
[40] Reuters: Indonesia launches $20 billion renewable energy investment plan
[41] Chapter 3: Indonesia
[42] UN: Advancing Indonesia's Food Systems Transformation: A Stocktaking Moment
[43] CPI: South Africa Climate Finance Landscape 2023
[44] Scoping the nexus between climate change and water-security realities in rural South Africa
[45] CEEW: Reach for the Sun
[46] Enerdata: Energy Intensity
[47] IEA: Energy Intensity
[48] UNEP - Transport
[49] BBVA: Economic Watch
[50] WEF: Why smallholder farmers are central to new food security interventions
[51] Access to water in developing countries
[52] WRI: IPCC 1.5° Report: We Need to Build and Live Differently in Cities
[53] IEA: Global Status Report for Buildings and Construction 2019

[54] WMO: State of Climate Services
[55] BCG: The Sustainability Imperative in Emerging Markets
[56] UNFCCC
[57] IMF: Emerging Economies Need Much More Private Financing for Climate Transition
[58] IMF: Emerging Economies Need Much More Private Financing for Climate Transition
[59] AFDB: Country Focus Report 2023
[60] SEI: Climate Finance for Indian Ocean Islands
[61] IPCC AR6: Vulnerability – Summary for Policymakers
[62] UNDRR: Vulnerability
[63] The Rockefeller Foundation and The/Nudge Institute Unveil Climate Change's Impact on Smallholder Farmers in India, Paving the Way for Resilient Solutions
[64] How does climate change risk affect energy poverty?
[65] Chapter 8: Poverty, Livelihoods and Sustainable Development
[66] Project Finance: Rising Solar Insurance Premiums and Shrinking Coverage
[67] IEA: World Energy Investment 2022
[68] Disasters could cost Asia-Pacific region $160 billion per year by 2030, UN warns
[69] LSE: Finance for climate action Scaling up investment for climate and development
[70] MIT: Climate tech is back—and this time, it can't afford to fail
[71] UN: Net-Zero Asset Owner Alliance raises expectations for members' real economy impact with updated Protocol
[72] Climate Risk Country Profile: Bangladesh (2021): The World Bank Group.
[73] Climate Risk Country Profile: India (2021): The World Bank Group.
[74] MIFC: Mauritius IFC Takes a Sustainable Leap with Inaugural Green Bond Listing
[75] https://www.epa.gov/sites/default/files/2016-12/documents/social_cost_of_carbon_fact_sheet.pdf
[76] ClimaHealth: WHO / UNFCCC Climate & Health Profile 2021
[77] Stimson: CORVI: Assessing Priority Climate Risks in Mauritius
[78] United Nations: HEALTH & CLIMATE CHANGE COUNTRY PROFILE 2021 Small Island Developing States Initiative

No-objection letter(s) issued by the national designated authority(ies) or focal point(s)

সচিব
অর্থনৈতিক সম্পর্ক বিভাগ
অর্থ মন্ত্রণালয়
গণপ্রজাতন্ত্রী বাংলাদেশ সরকার

Secretary
Economic Relations Division
Ministry of Finance
Government of the People's Republic of Bangladesh

No. 09.00.0000.000.105.05.0004.22.45 03 May, 2025

Subject: Issuance of No-objection Letter (NOL) in favour of the funding proposal 'Prosperete Growth Fund' submitted by Prosperete Investment Management Ltd. for the Green Climate Fund (GCF).

Dear Ms. Duarte,

We refer to the funding proposal titled 'Prosperete Growth Fund' in Bangladesh submitted by Prosperete Investment Management Ltd.

The undersigned is the duly authorised National Designated Authority (NDA) of Bangladesh.

Pursuant to GCF decision B.08/10, B.37/22, and B.41/02, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the funding proposal. By communicating our no-objection, it is implied that:

(a) The government of Bangladesh has no-objection to the programme as included in the funding proposal.
(b) The programme, as outlined in the funding proposal, aligns with Bangladesh's national priorities and strategic plans.
(c) In accordance with the GCF's environmental and social safeguards, the programme outlined in the funding proposal complies with applicable national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection policy applies to all projects or activities implemented within the programme's scope.

We acknowledge that this letter will be made publicly available on the GCF website.

Please accept, Excellency, the assurances of our highest consideration.

03.5.2025
Md. Shahriar Kader Siddiky

Executive Director
Green Climate Fund
G-Tower, Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

राजश्री रे
RAJASREE RAY

सत्यमेव जयते

आर्थिक सलाहकार
पर्यावरण, वन एवं जलवायु परिवर्तन मंत्रालय
भारत सरकार
ECONOMIC ADVISER
MINISTRY OF ENVIRONMENT, FOREST AND CLIMATE CHANGE
GOVERNMENT OF INDIA

Date: 29th July, 2024

To:
Ms. Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
Republic of Korea

Subject: Expression of no-objection for the application for the Green Climate Fund Project-specific Assessment Approach (PSAA).

Dear Madam,

We refer to the programme titled **"Prosperete Growth Fund"** under the Project-Specific Assessment Approach (**"PSAA"**) submitted by Prosperete Investment Management Ltd./ Prosperete Growth Advisors LLP to us on **23rd May 2024**.

The undersigned is the duly authorized representative of Ministry of Environment, Forest and Climate Change, the National Designated Authority of India.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as Focal Point, we hereby communicate our no-objection to the programme as included in the Funding Proposal.

By communicating our no-objection, it is implied that:

a. The Government of India has no-objection to the programme as included in the Funding Proposal;
b. The programme as included in the Funding Proposal is in conformity with the national priorities, strategies and plans of India;
c. In accordance with the GCF's environmental and social safeguards, the programme as included in the Funding Proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the Funding Proposal has been duly followed.

In the case that the Funding Proposal is for a programme, we also confirm that our no-objection applies to all projects or activities to be implemented within the approved framework.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Rajasree

(Rajasree Ray)
Economic Advisor
GCF Focal Point for India

ए-650, अग्नि विंग, इंदिरा पर्यावरण भवन, जोर बाग रोड़, नई दिल्ली-110 003, फोन : 011-20819197, 20819329
A-650, Agni Wing, Indira Paryavaran Bhawan, Jor Bagh Road, New Delhi-110 003, Ph. : 011-20819197, 20819329
E-mail : rajasree.r@nic.in

GREEN CLIMATE FUND

MINISTRY OF FINANCE, ECONOMIC PLANNING AND DEVELOPMENT

5th Floor, New Government Centre, Port Louis, Mauritius

Mafalda Duarte
CEO
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
Republic of Korea

Date: 9 December 2024
Reference: 50/70/85/v9
Page:

Subject: Expression of nomination and no-objection for the application for the Green Climate Fund Project-specific Assessment Approach (PSAA)

Dear Madam,

We refer to the programme titled Prosperete Growth Fund under the Project-Specific Assessment Approach ("PSAA") submitted by Prosperete Investment Management Limited to us on 29 October 2024.

The undersigned is the duly authorized representative of Ministry of Finance, the National Designated Authority Focal Point of Mauritius.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as the National Designated Authority focal point, we hereby communicate our no-objection to the programme as included in the funding proposal.

Additionally, pursuant to paragraph 47 of the Governing Instrument for the Green Climate Fund and the GCF Board decision B.31/06 on the implementation of the PSAA, in my capacity as the National Designated Authority focal point for Mauritius, I hereby nominate the entity below in connection with the funding proposal:

Legal name of the Prosperete Investment Management Limited
Contact person: Malcolm Moller / Anita George
Contact details: 7th Floor Happy World House, 37, Sir William Newton Street, Port Louis 11328, Mauritius, Tel:+230 203 4300
Email: Mmoller@applebyglobal.com and Anita.George@prosperete.com]

By communicating our no-objection, it is implied that:

(a) The government of Mauritius has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Mauritius;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

In the case that the funding proposal is for a programme, we also confirm that our no-objection applies to all projects or activities to be implemented within the approved framework.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

U. Beegun-Ramduny
Lead Analyst
Resource Mobilisation
Ministry of Finance

ESS disclosure report form for projects or programmes submitted under the Project-specific Assessment Approach (PSAA) Pilot

Environmental and social report(s) disclosure

Basic project or programme information	
Project or programme title	Prosperete Growth Fund
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Name of Entity	Prosperete Investment Management Ltd
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Republic of India, People's Republic of Bangladesh and Republic of Mauritius
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management System (ESMS) (if applicable)	
Date of disclosure on entity's website	Friday, May 23, 2025
Language(s) of disclosure	English, French, Hindi, and Bengali
Explanation on language	These are the official languages of the target countries.
Link to disclosure	English: https://drive.google.com/file/d/1JB12rHedk75kph_Q_AfNpIzIIZy-pJVp/view?usp=sharing French: https://drive.google.com/file/d/1S76AzrefGKzKsT0fZefjR1-5kMgE9SSG/view?usp=sharing Hindi: https://drive.google.com/file/d/1hT5cStBbJyyrdrmR06NcBM3oA-Ak22vG/view?usp=sharing

	Bengali: https://drive.google.com/file/d/18PfZABfhgcZYoVmpN5Z88ERBTTt5aVZn/view
Other link(s)	https://www.prosperete.com/contactus
Remarks	An ESMS consistent with the requirements for a Category I-2 project is contained in the Environmental and Social Management System and ESG Policy.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report	Framework for Indigenous Peoples
Date of disclosure on entity's website	Friday, May 23, 2025
Language(s) of disclosure	English, French, Hindi, and Bengali
Explanation on language	These are the official languages of the target countries.
Link to disclosure	English: https://drive.google.com/file/d/1c3GxHqLRJ0Ps7vo9SchwlN5crBx8GHll/view?usp=sharing French: https://drive.google.com/file/d/1tLZOlgQqQjxJBYGI_k7k815iULCyMFdz/view?usp=sharing Hindi: https://drive.google.com/file/d/1MdN5PS3WEgsTdZKrGA0GAPzYSjl6uS4m/view?usp=sharing Bengali: https://drive.google.com/file/d/1j06QuIlPlw7ZyyOj6QOAfAgw5KaPTj0F/view
Other link(s)	https://www.prosperete.com/contactus
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Friday, May 23, 2025
Place	The ESMS is also available at the Prosperete offices located at: 1. Mauritius: 7th Floor, Happy World House 37, Sir William Newton Street, Port Louis 11328, Mauritius 2. India: 1st Floor, D-29, Anand Niketan, New Delhi 110021, India Nationally Designated Authorities (NDAs) locations: Bangladesh Economic Relations Division (ERD), Ministry of Finance Block No. 8, Room No. 3 & 4, Shere-e-Bangla Nagar, Dhaka, Bangladesh

	India Ministry of Environment, Forests and Climate Change Indira Paryavaran Bhavan, Jor Bagh Road, New Delhi-110003, New Delhi, India Mauritius Ministry of Finance and Economic Development Government Centre, Port Louis, Mauritius
Date of Board meeting in which the FP is intended to be considered	
Date of entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, October 27, 2025

Note: This form was prepared by the entity stated above.

Secretariat's assessment of the Project-Specific Assessment Approach (PSAA) Applicant for FP264

Secretariat’s assessment of the PSAA Applicant

1. This report describes the updated assessment of Prosperete Investment Management Ltd (the “**Applicant**” or “**PIML**”) against the GCF accreditation standards as applicable to Project-Specific Assessment Approach (PSAA) applicants. Documents reviewed during the assessment process are summarized in Annex 1.

2. The Applicant’s funding proposal, including the PSAA Entity Assessment finalized in November 2024 (medium capacity rating), was submitted to the GCF Board for consideration at its forty-first meeting (B.41). Subsequently, it was withdrawn by the Applicant in order to “*further engage with the Secretariat on the feedback received from the stakeholders with the possibility of resubmission for consideration of the Board at a subsequent Board meeting*” (GCF/B.41/02/Add.12/Rev.02 : Consideration of funding proposals – Addendum XII Funding proposal package for FP264 | Green Climate Fund).

3. Since then, the Applicant has engaged with the Secretariat to address feedback received from stakeholders. In May 2025, the Applicant submitted documents to complement the Secretariat’s Entity Assessment of the Applicant which was completed in November 2024 for B.41 submission. With this, among other things, the Applicant addressed the conditions that had previously been proposed in the Secretariat’s Entity Assessment of November 2024.

4. The result of this updated Entity Assessment and the Secretariat’s recommendations for PSAA accreditation are presented below.

Overall capacity	Medium capacity The Applicant has in place a robust financial management system, sound governance structures, and a comprehensive suite of policies aligned with GCF requirements and industry best practices. This includes an internal control framework, risk management systems, and measures to prevent money laundering, terrorism financing, fraud, and corruption. Policies addressing environmental, social, and gender-related risks and impacts are also in place. The Applicant has engaged globally recognized third-party internal and external auditors. It is supported by a highly experienced team with a proven track record in managing similar investments which demonstrates its readiness and capacity to implement the project effectively. Submitted documentation confirms the Applicant's institutional capacity, functional governance bodies, and investment appraisal processes, including due diligence related to safeguards. These elements have been assessed as satisfactory to support the implementation of the entity’s policies and procedures. The Applicant has met all 13 areas of accreditation conditions proposed by the Secretariat in its November 2024 Entity Assessment, underscoring its commitment to operational excellence and adherence to best practices. As project implementation progresses, the Secretariat will continue to monitor the fund rigorously, in line with the commercial covenants outlined in the Term Sheet.

	Based on current systems, policies, procedures and staffing, there is a low risk of any adverse impact on the entity's ability to execute the project as designed.
Fiduciary functions	Basic fiduciary standards
	Specialized fiduciary standard for project management
	Specialized fiduciary standard for blending for equity
Maximum environmental and social risk category	Medium risk (I-2)
Conditions	No conditions

5. The Secretariat has augmented its capacity by using external experts in undertaking the Applicant's Entity Assessment review.

I. Applicant Entity Assessment summary report

1.1 Introduction and institutional assessment

1.1.1. Basic information about the project and the Applicant

6. The Applicant, PIML, is a Mauritius-based company holding a Mauritius global business licence and a collective investment scheme manager licence (see more company details in section 1.5 below). The organizational set-up related to the management of the funds include two other companies in addition to PIML. The second entity, called Prosperete Growth Fund I ("**PGF**") is a Mauritius-based company holding a Mauritius global business licence and authorized to act as a closed-end fund. PGF will be the underlying equity fund which will invest in portfolio companies in the host countries. The third entity, Prosperete Growth Advisors LLP ("**PGA**"), is an India-based company which will act as investment sub-adviser to PIML to support PGF's investment activities.

7. The initial proposal identified PGA as the Applicant for PSAA accreditation, while PIML was named as the executing entity. After receiving input from the Secretariat on the requirements of the PSAA accreditation, the Applicant determined that PIML was more suitable to act as the accredited entity rather than PGA. Subsequently, a proposal was resubmitted by PIML as the Applicant for PSAA accreditation, with PGA as the executing entity in investment sub-advisory capacity. PIML and PGA are affiliates as both are owned and controlled by the same principals and operated under the same framework of policies. All three entities (PIML, PGF and PGA) share the same suite of policies that have been developed to be specifically aligned with the GCF policy framework. These policies have been formally adopted and operationalized by the respective boards of each PIML, PGF and PGA.

8. GCF's planned investment in the project is USD 50 million as equity. PGF has a total target size of USD 220 million. PGF's expected lifetime of 10 to 14 years. Investments in the portfolio companies will be made in accordance with the agreed eligibility criteria.

1.2 Methodology

1.2.1. Overview of the process

9. The Applicant's Entity Assessment was conducted in parallel with the due diligence on the funding proposal. During the process, two Entity Assessment reviews were completed. The first assessment was completed on 21 November 2024, and the second on 20 May 2025. The Entity Assessments were supported by an External Review Team (ERT) and went through two rounds of Climate Investment Committee meetings. Overall, it took over 17 months from the initial PSAA questionnaire submission on evaluating the project and entity, including team, policies, and processes.

1.2.2. First Entity Assessment for submission to B.41

10. ERT assessed the Applicant's policies, procedures, and track records against GCF accreditation standards. It assessed the entity information and major governance frameworks and/or bodies, evaluating their compatibility with the GCF requirements and validating the information via interviews with Prosperete team members. Altogether, through the review procedures, the ERT conducted seven interviews including all five key staff members in different combinations, and reviewed documents submitted as evidence of operational, governance and management capacity.

11. The first Entity Assessment was completed on 21 November 2024. In it, the ERT identified 13 areas for improvement in meeting the GCF accreditation standards and recommended relevant conditions to address them.

12. Consistent with the ERT assessment, to address the 13 areas identified, the Secretariat proposed that the following processes and controls of the Applicants were to be reviewed once they are operationalized, for which respective conditions were to be included in the funded activity agreement to address them:

(i) Functional governing bodies;

(ii) Functional and effective annual planning and budgeting;

(iii) Functional external audit;

(iv) Well performing finance systems, finance functions and finance controls;

(v) Operational risk monitoring and reporting system;

(vi) Functional ethics committee and system;

(vii) Procurement;

(viii) Updating the Conflict of Interests (COI) Policy;

(ix) Functional COI system and process;

(x) Functional whistle-blowing, investigation and fraud detection;

(xi) Functional investment origination process including reporting systems;

(xii) Functional environmental and social management system; and

(xiii) Fully operational investment and environmental, social and governance teams.

1.2.3. Second Entity Assessment for submission to B.42 and B.43

13. After withdrawal at B.41, the Applicant submitted documents and provided information to the Secretariat in order to demonstrate progress in putting in place operational processes, controls and governance mechanisms that comply with the accreditation conditions proposed by the Secretariat in its first Entity Assessment.

14. The Secretariat engaged ERT to re-assess the Applicant based on the submitted documents and provided information. The second Entity Assessment was completed on 20 May 2025.

15. The ERT confirmed that the documents submitted and information provided by the Applicant are sufficient to demonstrate that the 13 gaps in meeting the GCF accreditation standards identified in the first Entity Assessment have been adequately filled. Hence, ERT recommended that the conditions that had previously been proposed be removed.

16. Based on the ERT re-assessment findings, the Secretariat has confirmed that the 13 areas for improvement identified previously, as set out in paragraph 12 items (i) through (xiii) above, have been filled by the Applicant and, therefore, there is no longer a need for conditions to be included in the funded activity agreement in order to address them.

17. Detailed description of evidence and updates that have been provided by the Applicant and confirmed by the ERT and Secretariat and comparison against the first Entity Assessment recommendations are set out in Annex 1.

1.2.4. Assessment methodology

18. The Applicant was assessed in accordance with the GCF policies and standards to the extent applicable to accreditation below:

(a) "Updated Strategic Plan for the Green Climate Fund 2024-2027" (B.36/13);

(b) "Matters related to the accreditation framework" regarding the accreditation process (decisions B.24/13 and B.26/01);

(c) "Guiding Framework and Procedures for Accrediting National, Regional and International Implementing Entities and Intermediaries, Including the Fund's Fiduciary Principles and Standards and Environmental and Social Safeguards" (decision B.07/02);

(d) "Policy on Prohibited Practices" (decision B.22/19);

(e) "Anti-Money Laundering and Countering the Financing of Terrorism Policy" (AML/CFT Policy) (decision B.18/10);

(f) "Policy on the Protection of Whistle-blowers and Witnesses" (decision B.BM-2018/21);

(g) "Environmental and Social Management System: Environmental and Social Policy" (decision B.19/10);

(h) "Comprehensive Information Disclosure Policy of the Fund" (decision B.12/35) regarding the disclosure of environmental and social (E&S) information;

(i) "Updated Gender Policy and Gender Action Plan 2020–2023" (decision B.24/12);

(j) "Revised Environmental and Social Policy" (decision B.BM-2021/18);

(k) "Evaluation Policy" (decision B.BM 2021/07); and

(l) "Updates to the Accreditation Framework" (decision B.31/06).

1.3 Contribution to the mandate of GCF

19. The funding proposal describes the Applicant's contribution to energy generation and access; low-emission transport; buildings, cities, industries and appliances; most vulnerable people and communities; health and well-being; and food and water security; as well as infrastructure and built environment GCF results areas. The Applicant intends to use GCF funding to foster private sector investment. It intends to participate in equity and equity-like

investment deals of private companies operating in target countries and possibly expanding to countries in sub-Saharan Africa.

1.4 Track record and implementation of similar projects

20. The Applicant's team is assessed to have ample track record of similar projects and asset classes. While the Applicant is a first-time equity fund, the team has extensive experience in similar funds and projects, which were reviewed and considered sufficient by the Secretariat. The referenced investments are similar in size, types of financing structures and instruments, status of development, E&S risk levels, E&S standards triggered, outcomes, and monitoring and evaluation (M&E) processes expected. The track record includes direct equity investments, loan investments and investments into funds.

21. The principals, as key persons in their previous roles, have managed investments in several climate change-related projects and companies, mainly in solar energy, power grid, wind energy, hydro energy, logistics, infrastructure and others. The track record covers over twenty investments valued at over USD 1 billion in similar asset classes with similar financial instruments as intended in the suggested project.

22. Based on the team's track record, the Applicant can be expected to add value in developing projects for countries of operations and address climate priorities in target countries. The pipeline presented by the Applicant fits with the GCF portfolio-level goals.

23. In respect of the track record, a third-party report prepared by one of the Big Four international audit firms and provided by the Applicant, was reviewed to assess the track record of the two principals, verifying their similar roles with their former employers. The external experts interviewed key informants from the Applicant, covering areas such as general management, legal compliance, financial administration, procurement, project management, E&S and gender, as well as transparency and accountability issues.

1.5 Legal status, registration, permits and licences

24. The constitution of PIML was adopted on 22 July 2024 and the certificate of incorporation was issued by the Corporate and Business Registration Department at Port Louis, Mauritius ("**CBRD**"), on 22 October 2024. PIML holds a Mauritius global business licence and a collective investment scheme (CIS) manager licence, both issued by the Financial Services Commission of Mauritius ("**FSC**") on 24 October 2024.

25. The constitution of PGF was adopted on 23 July 2024 and the certificate of incorporation was issued by CBRD on 21 October 2024. PGF holds a Mauritius global business licence issued by the FSC on 24 October 2024. PGF is authorized to act as a closed-end fund.

26. PGA was set up in India on 31 October 2023 as a limited liability partnership under the 2008 Limited Liability Partnership Act, 2008.

II. Accreditation assessment

2.1 Basic fiduciary standards

2.1.1. Key administrative and financial capacities

27. The key governing bodies include the Board of PIML, Advisory Committee of PGF, Board of PGF and investment committee of PGF. The key governing bodies and their functions are summarized below:

(a) Board of PIML – review investment manager operations, reporting, audits and oversight;

(b) Advisory Committee of PGF – investor supervisory committee to review fund operations and approve any deviations;

(c) Board of PGF – review fund operations and audits, and oversee fund operations; and

(d) Investment committee of PGF – approve investments, monitor portfolio, ensure alignment with strategy of investments.

28. The second Entity Assessment found that, except for the Advisory Committee of PGF which is to be formed at initial closing of the PGF and which will consist of investor representatives (including a GCF representative if appointed), other key governing bodies have appointed members who are investment professionals with relevant backgrounds and track records. The Boards of PGF and PIML each consists of independent external members.

29. PGF and PIML have also established Ethics Committee, investigation functions and a Risk Committee reporting to the Boards of PGF and PIML.

30. The Applicant has documented strategic direction as well as plans for target setting and reporting. The description of the objective-setting process has not been done in a documented manner, but further aspects related to setting objectives will be defined and endorsed by the investors through the PGF Advisory Committee. Based on the size of the first close, the Applicant will also complete its annual planning and budgeting. The Applicant has shown capacity for the management, reporting and monitoring of goals.

31. The Applicant has policies that apply to PIML, PGF and PGA. The responsibility of adherence to GCF policies is with PIML.

32. PGF also has finance and operations team consisting of Chief Financial Officer (CFO), Managing Partner, financial operations staff and Head of Compliance, which will supplement and oversee the work of the Administrator. One of the international corporate and fiduciary service providers has been appointed to be the Administrator. Financial statements will be prepared periodically and in accordance with International Financial Reporting Standards.

33. The PIML and PGF are regulated by FSC in Mauritius, which is a jurisdiction compliant with the Financial Action Task Force. The Applicant has provided a document on fund operations and finance that outlines processes for financial transactions. The Applicant has legal and operational capacity to receive international payments from GCF. The bank account for receiving payments to PGF has been set up in Mauritius and is controlled by PIML. The operationalization of the disbursements systems should be followed up during implementation.

34. There is no separate audit committee for the entities. Responsibility for the oversight of the PML and PGF are with the respective Boards.

35. An international accounting firm has been appointed to be the internal auditor of PIML and PGF. The internal audit function will operate in accordance with the audit plan prepared by the internal auditor, in line with the Internal Audit Policy and terms of reference, which have been developed according to industry best practices. The first audit report will be finalized at the end of 2025.

36. As a private sector entity, the Applicant is not subject to external audits carried out by a national audit institution. One of the Big Four international accounting firms is appointed to be the external auditor of PIML and PGF. The external audit function will operate in accordance with the External Audit Policy and terms of reference. The first audit report will be finalized at

the end of 2025. The external auditor will provide annual management letters observing audit and control frameworks.

37. The Applicant's internal controls are based on the following documents that are applied to PIML, PGF and PGA: Governance Architecture and Operations Manual, Compliance Management Policy, Accounting and Financial Policy Manual, a Framework for Key Fund Transactions with a control matrix. These documents define the internal control procedures in the core financial management of PIML, PGF and PGA. The Applicant does not use fiscal agents or trustees in their operations.

38. The Applicant's governance architecture establishes multiple lines of defence through maker-checker controls, independent governing bodies, Head of Risk, risk and environmental, social and governance (ESG) functions, operational efficiency, and external and internal audits by reputable firms. Based on this organizational structure, the duties are segregated. In addition, all functions will have involvement from teams from different departments.

39. The compliance and control functions are supported by the Administrator, which supports in adherence to the local laws of Mauritius through reporting and accounting of the company. The implementation of the control framework is also supported by the CFO and the finance and operations team. The Applicant has provided sufficient evidence that it uses best-in-class accounting management software and has the necessary controls related to financial management.

40. The Applicant manages its risks according to its Risk Management Framework and Policy that details the risks and procedures. A risk matrix for fund operations, which defines potential risks and mitigation measures, has been prepared. A Head of Risk is in place and oversees the risk function and the implementation of policies and processes. The Head of Risk also oversees the operations of the PIML, ensures that audits are conducted when needed and that action plans are implemented. A Risk Committee has been established which reports to the Board. It comprises the Head of Risk and CFO. Staff is and will be trained annually on risk management. The Applicant has demonstrated that the risk monitoring and management framework works as intended.

41. The Applicant has a procurement policy which applies to employees, consultants, officers or agents who are directly or indirectly involved in procurements. The policy highlights principles of efficient and effective procurement and impartiality, transparency and accountability. The policy includes scope, roles, responsibilities, thresholds, authorizations and code of conduct applied to the vendors. It also includes a short list of possible vendors for foreseen procurements. These vendors would be subject to a due diligence process implemented by the CFO and the finance and operations team. As a private entity, Applicant is not required to have a procurement committee or independent panel to evaluate proposals and will handle the procurement internally.

42. For the underlying equity fund, the Applicant does not need to disclose procurement activities. Procurement processes are subject to internal audit. The Applicant has provided evidence of application of the procurement policy. The memorandum of one procurement activity that has formally gone through the procurement process was reviewed and confirmed satisfactory by Secretariat.

43. The assessment finds that the Applicant has shown sufficient evidence for established and operational administrative and financial systems, capacities and human resources to manage the funds. The Applicant has adequate general and financial management capacity. The assessment notes that relevant team members tasked with applying these policies have the relevant experience.

2.1.2. Transparency and accountability

44. The Applicant has a Code of Conduct which is applicable to all employees and vendors. Confirmation that staff members are obligated to sign the Code of Conduct confirmation template has been provided. Staff are also required to undergo annual ethics training. An Ethics Committee has been established to function in line with the terms of reference. The organization has demonstrated conduct of an annual training.

45. The Applicant has procedures for COI under the Policy for Conflict of Interests, which outlines examples of COI and mitigation measures. The Applicant has additional supporting policies such as the Code of Conduct, Whistle-blower Policy and Anti-Corruption Policy and has submitted evidence that it has received annual COI declarations from employees and board members. For any decision-making, members and employees are expected to recuse themselves when any conflict of interests arises. The Ethics Committee oversees and enforces the implementation of the COI policy. Where there is non-compliance, sanctions may follow.

46. The Applicant has demonstrated evidence of zero tolerance for fraud, financial mismanagement and other forms of malpractice. Key manuals include the Code of Conduct, Anti-Bribery and Anti-Corruption Policy and Anti-Money Laundering (AML) Policy. The definition of fraudulent activities is the same as that of GCF. The Applicant's fraud detection is stipulated in the Compliance Policy and in the AML policy. The Head of Risk, supported by CFO and finance team, play an important role in detecting fraudulent activities in the investee companies through monitoring controls ex ante and during the active investment period.

47. The Applicant also has a Whistle-blower Policy and has a publicly available mechanism for raising complaints. The assessment observes that the website of the Applicant also includes a publicly available Grievance Policy and has an email address for complaints. Information regarding the grievance mechanism is available to the public on the Prosperete website. The email is received and handled first by the Ethics Committee managed by the Head of Compliance. The Applicant has expressed zero tolerance for retaliation in its policies.

48. The Ethics Committee oversees the investigations' function. According to the policy, the committee is responsible for determining when an investigation should be initiated. The Board can also decide to launch an investigation independently. Investigations are then outsourced to a third-party service provider who can provide impartial investigations support. The service provider has not been contracted yet but will be procured depending on the issue being investigated. The Whistle-blower Policy stipulates that GCF and the Advisory Committee of PGF, where GCF would be present as well, will receive information on the complaints and ongoing grievance processes quarterly and annually. The system has not yet received any reports (internal or external) of wrongdoings.

49. The Applicant has an Anti-Money Laundering Policy, that is based on the Mauritius FSC code for prevention of money laundering and financing of terrorism. Mauritius FSC expects that the companies operational in Mauritius with financial licences adhere to this code. Two staff are appointed to AML and compliance matters. Their operations are also supervised through international information exchange with other supervisory authorities. Based on the track record, and evidence provided on the proposed investors, pipeline companies and key personnel, the Applicant has demonstrated capacity to deliver customer due diligence and assess AML risks when applying their own policy.

50. The assessment finds that the Applicant has prepared policies on ethical and conflict of interest matters, as well as policies and functions related to the prohibited practices. The whistle-blowing systems, fraud detection and investigation's function have also been assessed to the degree possible. The Applicant follows an anti-money laundering and countering the financing of terrorism regime through their own policies, scrutinized under the FSC regulation. The FSC regulation of Mauritius follows Financial Action Task Force recommendations and is compliant with the recommendations.

2.2 Specialized fiduciary standards

2.2.1. Project management

51. The individuals and experts retained by the Applicant demonstrate a track record and experience in project management, with expertise in assessing project feasibility and viability against set criteria, and monitoring project performance during the development and operational stages. The Applicant has created an Investment and Portfolio Process Policy for a three-stage process in appraising projects and developed processes to select the best projects for the appraisal review. The final decision-making powers are with the investment committee, which has three members, including one of the founders of the companies, an ESG officer and one independent member. The operationalization of the investment process has been demonstrated to the Secretariat.

52. The Applicant plans to use a wide range of external service providers for the assessment of investee projects. According to the Investment and Portfolio Process Policy the deal diligence will be decided on a case-by-case basis and will be led by the investment manager of the case. The investment team that originated the investee projects will also act as the portfolio managers for them.

53. The oversight and control functions for managing the investment process from origination to exit are defined appropriately. The several segregated steps of control are put in place. The controls shared between the investments team and the compliance team, and the reporting lines are all clear. The Applicant has designed *ex ante* site visits for the due diligence process, as well as checkpoints with the investees every six months for risk management. The Applicant also considers AML, a know-your-customer (KYC) process and fraud in its initial background check of the potential investees before investigating the opportunity further, according to its policy.

54. The Applicant has capacity for financial reporting and planning.

55. The Applicant's team members have a track record of monitoring portfolio risks. Their track record includes monitoring risks, and evaluating projects aligned with best practices of the industry. Also, the track record monitoring includes quarterly performance reviews, follow-up of key performance indicators and budgets, and continuous risk mapping. The ESG officer is responsible for the M&E function and timely and appropriate M&E processes. The operationalization of most parts of the processes and systems related to M&E will be followed up by the Secretariat during the implementation stage.

56. Key documents guiding the M&E activities are the measurement and evaluation and the monitoring and evaluation plans which outline the methodology, frequency, independence, external/internal, scope and disclosure of the evaluation and verification results. The documents highlight good capacity and best practices in M&E, including risk monitoring. The Applicant plans to publish its impact reports. The track record of the team supports a knowledgeable and open evaluation approach. The operationalization of the M&E will be followed up by the Secretariat during the implementation stage.

57. The assessment finds that the Applicant, based on its current personnel and policies, has the appropriate experience and ability to implement effective project management including planning, managing, monitoring, verifying and evaluating the projects. While the Applicant as an entity has limited institutional track record for fund management, it has the policies and the personnel to undertake the programme and has demonstrated to the Secretariat evidence of undertaking key programme activities.

2.2.2. Grant award and/or funding allocation mechanisms

58. The Applicant did not apply for accreditation for the grant award and/or funding allocation mechanisms specialized fiduciary standard.

2.2.3. On-lending and/or blending for loans and equity

59. The Applicant has a well-planned system with defined roles in analysing, reviewing, recommending and decision-making for investments. The Applicant's investment process for equity involves thorough due diligence to evaluate potential investees' business models, market potential, and financial health. Reviewed by the Head of Risk and approved by the investment committee, this ensures that investments are aligned with the mission and risk appetite of PGF. Post-investment, the Applicant will provide strategic support to foster growth and sustainability, ensuring the investments drive impactful outcomes aligned with the goals.

60. The Applicant's business model and investment procedures allow it to process funds from organizations such as GCF and blend these with its funds and equity capital from its investors. Therefore, it can apply the specialized fiduciary standards for blending and equities. The Applicant's financing is derived from various sources of other funders, private and public.

61. The Applicant's team is experienced in routinely handling the relations with funders, based on their extensive experience in direct equity investing. The Applicant has good experience through its current staff on managing due diligence processes from sourcing to investment decisions. As the Applicant does not take any loans, and there is no other requirement for it to maintain a credit rating, this is not required from external parties.

62. Investees are analysed based on a specific process, summarized in the Investment and Portfolio Process Policy and supporting documents. The investment cycle process generally follows international best practices from deal sourcing to alignment and impact assessment, to pipeline discussion, to deal due diligence. The due diligence process includes several steps and assessments. After sourcing, screening and discussions on the recommendations committee, the Applicant undertakes legal, environmental, social and governance, and financial due diligence processes that lead to preparation of the project recommendation. In the next phase, the Head of Risk reviews the proposed investments and gives their recommendation to the investment committee. The final step is discussion in the investment committee, which might still require additional work from the investment team. The documentation and investment disbursement follow approval by the investment committee, after which the project is transferred to active portfolio management. The Applicant has demonstrated comprehensive and thorough process and investment analysis capability, including on know-your-customer, legal, environmental, social and governance, and financial aspects of investments.

63. The Applicant manages the risks related to the investments guided by their Investment Policies, Risk Management Policies and Procedures Manual, and a risk metrics document.

64. In the investment origination and portfolio management process, risks are managed according to the "three lines of defence" principle as stipulated in the Governance Architecture and Operations Manual. At the first level, the investment team manages risks by adhering to risk management and investment policies. The second line of defence is represented by the Head of Compliance, who not only oversees compliance but also participates in the in-house recommendation committee to ensure that investment proposals are compliant. Additionally, an independent investment committee in PGF, advised by a separate Head of Risk and a Risk Committee housed in PIML, provides further oversight. The third line of defence comprises both external and internal audit functions, which operate independently of the operational management of the company and under the advice of the PGF board. These auditors ensure objective assessment and adherence to established risk management protocols according to their terms of reference. The reporting lines for risk management in the investment origination and portfolio management process are clear and adhere to best industry practices.

65. The Applicant plans to release information on the investments as defined in their Measurement and Evaluation Policy and Environmental and Social Safeguards (ESS) Policy, excluding information that is under the non-disclosure agreement with investee companies.

66. The Applicant has a constitutional document that defines the company name, governance structure, share structure, management policies, risk management, compliance and regulations, financial policies, conflict of interest policies, investment criteria, investor relations, dispute resolution and amendment procedures. The constitutional document is based on the laws and regulations of Mauritius.

67. Besides the constitutional document, the other key policy defining the portfolio management is the Investment and Portfolio Process and Policy. Based on the policy, PIML is planning to manage the portfolio through their investment team based on the value creation plan developed during the investment process. This includes identified steps of growing and exiting the company in an orderly fashion.

68. The financial team and contracts with the external providers show that PIML has designed an appropriate financial risk management framework.

69. The assessment finds that for the different financial instruments used, the advisory staff has a track record of previously managed funds, and the team has the capacity to establish and manage investments and channel and track the funds. The team and its contracted parties have the capacity to manage the treasury and the financial risk. Financial systems, including payment systems, reporting systems and approval systems, are operational.

2.3 Environmental and social safeguards

70. The Applicant has an environmental and social management system (ESMS) and ESG Policy that describes the processes of E&S risk management and safeguarding. The policy describes the relationship between the ESG team, investment team (deal team) and the investee companies and the reporting requirements on ESG topics. The Applicant has an experienced ESG and Climate Chair, who is a member of the investment committee, and has stated that it is in the process of identifying and hiring an additional ESG officer. An external specialized consultancy company, which has worked on other GCF projects, is also supporting in management of the ESMS.

71. The ESMS and ESG Policy is a comprehensive manual of risk identification, management and mitigation. The track record of the staff of the Applicant is appropriate considering the planned fund and covers the relevant geographies and asset classes. The process being followed by the Applicant adheres to the international rules and standards, including the GCF interim environmental and social standards for risk identification and screening. The evidence provided includes personnel track record of performing E&S assessments of several projects from previous professional experiences. This evidence indicates that the Applicant's team has the capacity and knowledge to operate a transparent risk management system for E&S.

72. The Applicant has specific guidance on the ESMS for its future portfolio. Checklists for analysing and identifying an ESMS for the portfolio companies have been provided in the form of templates but also leave open the possibility for external ESG Audits. The investment team oversees the management and integration of ESG in the investment and portfolio management processes with the support of the ESG officer. The Applicant has demonstrated the ESMS has been operationalized, and the assessment finds that its capacity is adequate.

73. The assessment finds that the Applicant's E&S management programme meets the GCF revised Environmental and Social Policy applicable to accreditation and GCF interim ESS standards for maximum E&S risk Category I-2 projects/programmes with respect to

International Finance Corporation Performance Standards (PS) 1–8. Moreover, the Applicant has capacity to adhere to the PS7 and GCF's supplementary Indigenous People's Policy.

74. The investment team of the Applicant, together with the ESG officer, will oversee the monitoring of the E&S reporting and risks. During implementation, it is crucial to follow up on E&S operationalization, to ensure that the tracking and monitoring systems are being put into practice according to the Applicant's guidelines.

75. The Applicant has a complaints channel as described previously. The same channel is in use for all E&S grievances. These complaints are ultimately received by the Applicant's Ethics Committee. In the case of E&S grievances, the Applicant has stated that it will co-opt its ESG officer in handling the complaint(s). It is possible to submit complaints and grievances via the Prosperete website; the Grievance Redress Mechanism Policy, ESMS, ESG Policy, and policy on sexual exploitation, abuse and harassment are available online.

76. The Applicant's E&S operational framework includes policy elements on the requirements for stakeholder consultations and E&S information disclosure in line with the GCF Information Disclosure Policy requirements for E&S risk Category I-2.

77. The assessment finds that the Applicant has an adequate environmental and social policy, following international best practice. It is operating on a risk-based approach by mapping, screening, categorizing and managing E&S risks. The Applicant's team has capacity and understanding on PS 7, stakeholder engagement processes and consultations, and has the systems and capacity to meet PS 7 on Indigenous Peoples. The Applicant has an E&S management programme that aims to ensure that the related risks are managed properly and in a timely way. The monitoring and review are expected to be carried out through appropriate systems and tracked in proprietary software. As stated in the fiduciary section, the Applicant has the capacity to manage grievances and external communications according to GCF standards and are planning for additional human resources to monitor, follow up and manage E&S risks.

2.4 Gender

78. The Applicant, as a company, does not possess a track record of gender assessments, but it has a stand-alone gender policy framework, which is aligned with the GCF's Gender Policy, and is planning to use this in its operations. The Applicant's staff have track records in integrating and using gender goals in equity investments as shown in their curricula vitae and the presented track record document. Gender is integrated into the Applicant's ESG approach and is covered in most parts in the ESG Policy in addition to the gender policy. The Gender Action Plan shows how gender will be taken into account in screening, origination and portfolio management phases of the investment cycle. The Applicant applies the 2X challenge criteria and report against them. The Applicant has also provided a country and context-specific gender assessment document that highlights the roles, rights, needs, and opportunities of women and men across target countries and focus areas.

79. The Applicant's ESG officer has been named as the gender focal point, responsible for managing the policy and supporting the investment teams in gender assessments and in portfolio management follow-ups. The Applicant noted in interviews that it intends to hire a gender officer later, if necessary.

80. The Applicant has a stand-alone Policy on Prevention of Sexual Harassment at the Workplace that applies to the staff of the entities, vendors and investee companies. The policy outlines reporting procedures and processes. Moreover, the policy recognizes local laws related to reporting requirements.

81. The Applicant's Gender Policy is further supplemented by its Gender Action Plan, which sets the groundwork for the organization's approach to monitoring and reporting its impacts across multiple output areas. As the fund begins to deploy capital, the monitoring of gender-specific policies will be followed up.

82. The assessment finds that the Applicant has an adequate Gender Policy, in line with the GCF Gender Policy. The Applicant integrates gender into its overall ESMS, with specific monitoring and reporting indicators outlined in its Gender Action Plan. Country- specific gender assessments demonstrate the Applicant's acknowledgement of the different gender contexts in its target geographies. The team's track record demonstrates experience and capacity in gender considerations with equity investments. While the Applicant does not have a staff member dedicated to gender aspects, the Applicant's current staff possesses the competency to monitor gender considerations and risks and incorporate them within their investment work.

III. Conclusions and recommendations

3.1 Conclusions

83. Following the assessment, the Applicant has demonstrated its current capacity through policies, and systems and procedures. The Applicant's team has the track record to support GCF in implementing its updated Strategic Plan 2024–2027 in:

(a) The project that the Applicant has submitted to GCF within the scope of PSAA accreditation; and

(b) Enhancing private sector participation by fostering private sector investment in climate change mitigation and adaptation projects using financial instruments such as equity.

84. The Applicant has demonstrated that it has a medium capacity to implement the proposed project, the "Prosperete Growth Fund", and manage the GCF-funded activities in alignment with the relevant GCF policies. While the Applicant has limited institutional track record on managing a full cycle of a similar fund, the Applicant has demonstrated that it has put in place operational control frameworks, investment processes and governance mechanisms, including ESMS systems, to undertake the project. In addition, the Applicant's track record also benefits from the extensive experience of its principals, individual staff and independent members. The Secretariat therefore concludes that;

(a) The Applicant meets the requirements of the GCF basic fiduciary standards, the GCF Policy on the Protection of Whistle-blowers and Witnesses, the GCF Policy on Prohibited Practices, the GCF AML/CFT Policy, and the specialized fiduciary standard for project management, for blending equity to the extent applicable to PSAA and the funding proposal;

(b) The Applicant meets the GCF revised Environmental and Social Policy, the GCF interim ESS standards and the GCF Information Disclosure Policy on disclosure of E&S information in relation to the medium E&S risk Category I-2 and to the extent applicable to PSAA and the funding proposal; and

(c) The Applicant has demonstrated that it has policy, procedures and competencies in order to implement its gender policy consistent with the updated GCF Gender Policy to the extent applicable to PSAA and the funding proposal.

3.2 Recommendations on project-specific accreditation

85. **Accreditation type**: PSAA

86. **Fiduciary functions**

(a) Basic fiduciary standards; and

(b) Specialized fiduciary standard for project management, blending equity.

87. **Maximum environmental and social risk category:** Medium risk (Category I-2).

88. **Conditions:**

(a) No conditions.

89. As described above, in its first Entity Assessment the Secretariat proposed certain conditions for the Applicant. Since then, as reflected in this second Entity Assessment and Annex 1 hereof, the Applicant has successfully demonstrated, to the Secretariat's satisfaction, that it has put in place sufficient processes and controls, such that the previously proposed conditions are no longer required.

90. Given that this will be a first-time equity fund project implemented by the Applicant, the Secretariat will rigorously monitor these processes and controls during implementation of the project to ensure that they are functional and operational.

Annex 1

This Annex describes 13 areas for improvement in meeting the GCF accreditation standards identified in the first Entity Assessment (November 2024) and evidence submitted by the Applicant during the second Entity Assessment (May 2025) which has led to the clearance of previously proposed conditions

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
1. Functioning governing bodies (2.1.1(a))	Cleared	1.1. Governance body charter and board and committee minutes to approve all policies submitted to GCF. These key governing bodies present their functioning, which includes, inter alia and as applicable, completing the appointment of members, conducting preliminary assessments, reviewing of fund operations, approval of fund decisions, and overseeing reports and audits.	The Applicant provided minutes and/or evidence of meetings from each body for adoption of its charter, reviewed and confirmed as satisfactory by the Secretariat and External Review Team (ERT). The evidence includes: Board of PIML Risk Committee of PIML Board of PGF Investment Committee of PGF Board of PGA Recommendation Committee of PGA	After the initial closing and once Advisory Committee is constituted, the Applicant will submit to GCF minutes of the first meeting of the Advisory Committee. Included in the Term Sheet as a condition precedent to second Disbursement

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
2. Functional and effective annual planning and budgeting (2.1.2(g))	Cleared	2.1. Prosperete to provide the track record of the whole cycle in planning, approving, and using business plan/ financial budgets transparently.	With the submitted finance-related policy documents and the interviews, Secretariat and ERT concluded that the Applicant has the capacity for whole cycle planning, budgeting etc.	The Applicant will submit minutes of PGF Board meeting which approves the annual plan and budget of first two years, and the confirmation from PIML of the budget use approved by PGF Board. Included as a covenant in the Term Sheet.
3. Functional internal and external audit (2.1.3-B, 2.1.3-C)	Cleared	3.1. Evidence of appointing the third-party internal auditor to be provided.	Secretariat and ERT reviewed the signed and accepted engagement letter for the internationally recognized and reputable third-party auditor, which includes audit plan that outlines the priorities of the function and is consistent with PGF's goals.	The Applicant will submit to the Secretariat extracts of minutes of PGF board meetings which review internal audit report. Included as a covenant in the Term Sheet.
		3.2. Internal audit report toto be reviewed by PGF board.		
		3.3. Evidence of the appointment of third-party external auditor to be provided.	Secretariat and ERT reviewed the signed and accepted engagement	The Applicant will submit to the Secretariat extracts

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
		3.4. External audit report toto be reviewed by PGF board.	letter for the internationally recognized and reputable third-party external auditor.	of minutes of PGF board meetings which review external audit report. Included as covenant in the Term Sheet.
4. Functional ethics committee and system (1.2.1(c))	Cleared	4.1. Ethics Committee to be constituted and is functional.	Secretariat and ERT reviewed the certificate from Board of the Applicant that Ethics Committee has been constituted and confirmed that the Committee is functional with the already identified committee members.	None
5. Well-performing finance systems, finance functions and finance controls	Cleared	5.1. Confirmation of opening of the bank account including separate GCF Account.	Bank accounts opening including a separate GCF account by the PIML have been confirmed by Secretariat and ERT.	None
		5.2. Procured third-party financial systems for fund operations to be in place.	Certification of deployment and operation of the third-party financial systems are confirmed to be in compliance with the internal control	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
(2.1.2(e), 2.1.2(f), 3.3.8(a))			policy and financial governance framework of PIML and PGF.	
		5.3. Finance functions and controls to be well checked by internal and external auditors.	Terms of reference and engagement letter between PIML (as PGF's Investment Manager) and auditors were reviewed and confirmed that the scope of audit covers the key points of finance functions and controls.	None
		5.4. KYC, AML/FCT reports are being reviewed for co-financiers and investors.	Secretariat and ERT have reviewed the certificate from the Administrator confirming status of KYC checks	Secretariat will periodically request and check reports for compliance with KYC/AML/CFT requirements. Included as a covenant in the Term Sheet.
6. Operational risk monitoring	Cleared	6.1. Operational risk to be regularly monitored by Risk Committee.	Certified true copy of the first two discussion minutes between the investment sub adviser's team and the head of risk and members of the	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
and reporting system (2.1.4(i), 3.1.3(a), 3.3.9(a))			Risk Committee for evaluation of investment opportunities have been reviewed and the process in place is confirmed satisfactory.	
		6.2. In the regular investment process, ESG officer, risk officer and ethics committee related staff to be involved to check the operational risk monitoring.	Certification of appointments of the ESG Chair and Head of Risk has been confirmed. The role and key responsibilities of both are outlined in the document. Detailed E&S Screening Discussion Minutes (Dec 2024 and Jan 2025) on two potential investments have been reviewed and confirmed satisfactory. One was identified no red flags; the other one was held off its investment decision due to E&S concerns.	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
7. Procurement (2.1.4(j), 2.1.5(a), 2.1.5(b), 2.1.5(c), 2.1.5(d))	Cleared	7.1. Procurement policy established; Implementation of policies to be reviewed by auditors.	Establishment and update of the procurement policy was confirmed by Secretariat and ERT. Implementation of the policy will be regularly checked by auditors and any findings will be monitored by Secretariat.	None
		7.2. Pre-approved vendor list to be updated at least annually. Approval of vendors shall be based on a comprehensive review of quality and pricing.	Update of pre-approved vendor list as an annex of procurement policy has been reviewed. The regular update of the pre-approved vendor list adherent to the procurement policy will be checked and monitored by Secretariat.	None
		7.3. Evidence of implementing procurement procedures according to the Policy to be provided.	Secretariat and ERT reviewed one procurement document that has gone through procurement procedures according to the Procurement Policy. It has been concluded that the procedure is in place.	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
8. Updated the COI policy (2.2.2(a))	Cleared	8.1. The Policy on Conflict of Interest to have clear description of review and resolution procedures, and further guidance on disciplinary measures. Description of the mechanism to be in place in the policy to effectively review the declarations.	The COI policy has been confirmed updated, with a new section “Violations and Resolutions” added to the COI policy.	None
9. Functional COI system and process (2.2.1(b))	Cleared	9.1. Implementation of policy to be established through staff declaration and reporting of conflict	Certification of signed declarations regarding the Conflict of Interest from the employees of Applicant has been reviewed and found satisfactory.	None
		9.2. An annual training process to walk through all the processes and policies related to the Code of Conduct to be in place.	Confirmation of an annual training for personnel on the Applicant’s Code of Conduct, including the Policy on Conflict of Interest has been provided, and the actual training was conducted and confirmed.	None
10. Functional whistleblowing,	Cleared	10.1. Ethics Committee toto be set up and receives reports to be made under the Whistle-blower Policy.	Ethics Committee has been confirmed constituted.	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
investigation and fraud detection (2.2.3(c), 2.2.4(b), 2.2.4(c), 2.2.4(d), 4.5(a), 4.5(c))		10.2. Any reporting of whistle-blowing, ethics violations, misconducts and/or any kind of malpractice or prohibited practices to be taken with proper consideration and process, which includes protecting whistle-blowers and reporting individuals.	No reporting has been issued until the time of the second Entity Assessment. Any findings will be processed according to Prosperete's Whistle-blower Policy, which requires the Applicant to present all reports, investigations and taken actions to the Secretariat.	None
		10.3. The same Policy on Anti-Bribery and Anti-Corruption to be applied to all Portfolio Companies.		On an annual basis, the Secretariat will review the copy of annual certificate of compliance from portfolio companies as per Policy on Anti-Bribery and Anti-Corruption. Included as a covenant in the Term Sheet.
11. Functional investment origination process including	Cleared	11.1. Investment origination setup to refer to inbound and outbound communication by investment team, endorsed by the relevant committee with meeting minutes	Secretariat and ERT reviewed and found satisfactory the pipeline report of Q1 2025 providing an overview of the status on 24 companies currently in the pipeline.	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
reporting systems (3.3.2(a), 3.3.5(a), 3.3.7(a))			Detailed Recommendation Committee minutes have been shared considering pipeline companies, some of which were recommended for Investment and Risk Committee. The process of check and balance during the investment origination is confirmed satisfactory.	
		11.2. Portfolio management procedures to be in place to analyse the equity portfolio's valuation and robustness.	Based on the evidence provided, Secretariat and ERT have concluded that governance mechanisms bodies and investment / portfolio management procedures are in place.	Secretariat will regularly receive and review the portfolio management outcomes. Included as a covenant in the Term Sheet.
12. Functional ESMS (3.3.6(a), 4.2(a), 4.2(c), 4.3(a), 4.3(c), 4.3(d), 4.3(e), 4.3(f),	Cleared	12.1. ESMS and associated tools for E&S screening and risk assessment to be in place. ESAP to be prepared for portfolio companies that identifies and assesses ES risks and impacts and corresponding action plans to mitigate)	Secretariat and ERT reviewed the ESDD process, which is aligned with GCF requirements and covering assessment of ESMS, applicability of E&S laws, screening against IFC PS, ESAP with identified gaps,	None

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
4.4(a), 4.5(a), 4.5(b))			recommendations and monitoring indicators.	
		12.2. ES disclosure, disclosure feedback and redress mechanism to be put in place for the general public to access information about beneficiaries and result of projects and programmes	The ES disclosure of sub-projects will follow the standard disclosure process according to Information Disclosure Policy and Revised Environmental and Social Policy of GCF.	None
13. Fully operational investment and ESG Teams (3.4.1, 3.4.2, 4.6(a), 4.6(c))	Cleared	13.1. Hiring of risk officer and ESG officer dedicated to the climate have both expertise and relevant experience in the field, with relevant gender expertise, to beef up the capacity of the operational team.	Secretariat and ERT confirmed that the Risk Officer and ESG Chair have been hired and involved in the investment process	Once ESG officer is hired, the Applicant will submit relevant evidence. Included in the Term Sheet as a condition precedent to FAA effectiveness.

Areas for improvement in meeting GCF Accreditation Standards identified in the first Entity Assessment (November 2024)	Current Status	Actions proposed in the first Entity Assessment (November 2024) to clear the identified gaps, to be reflected as conditions in the funded activity agreement	Details confirmed in the second Entity Assessment (May 2025) that led to the clearance of the previously proposed conditions	Follow-up actions by the Secretariat during implementation phase
		13.2. The PGF to have fully operational teams	Secretariat and ERT have confirmed through provided evidence that the Applicant has operational teams in place	After the Final Close, the Applicant will submit to the Secretariat a staff chart. Included as a covenant in the Term Sheet.

Independent Technical Advisory Panel's assessment of FP264

Proposal name:	Prosperete Growth Fund
Accredited entity:	Prosperete Investment Management Ltd (project-specific assessment approach)
Country(ies):	Bangladesh, India, Indonesia, Mauritius
Project/programme size:	Medium

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. The Prosperete Growth Fund (Prosperete or PGF) is a USD 220 million equity initiative designed to advance climate mitigation and adaptation solutions across emerging markets. Prosperete's mission is to invest in businesses that provide innovative climate solutions, with the dual objectives of scaling these enterprises and facilitating technology transfer throughout emerging markets. By achieving these goals, PGF aims to accelerate the adoption of effective climate solutions and attract significant private capital to support such interventions.

2. PGF primarily targets late-venture and early-growth companies, offering investment sizes ranging from USD 5 million to USD 20 million. Its initial geographic focus includes Bangladesh, India, Indonesia and Mauritius, with plans to expand into broader African and Asian markets. Currently, Prosperete's pipeline encompasses over one hundred companies with a combined deal value approaching USD 1 billion.

3. Prosperete has been submitted to the independent Technical Advisory Panel (iTAP) under GCF's project-specific assessment approach (PSAA). The PSAA enables the GCF Secretariat to concurrently evaluate the project sponsor's implementation capacity and the proposal's suitability for GCF financing. The iTAP review assumes that the Secretariat assessment of the capabilities of the sponsor meets the necessary standards for evaluating this programme.

4. PGF will operate as a Mauritius-based closed-end fund, with GCF committing up to USD 50 million in first-loss junior equity. The fund incorporates robust protective measures for GCF, including:

(a) A maximum 1:1 junior-to-senior equity ratio;

(b) Co-financing requirements to ensure private sector leverage;

(c) A mandatory co-financing ratio of at least 3:1, ensuring that GCF's exposure remains capped at 25 per cent of the total fund size; and

(d) Tranched GCF contributions against milestones.

5. PGF will be managed by Prosperete Investment Management Limited (Prosperete IM), which serves as the accredited entity (AE) for GCF and the lead entity for this programme. Prosperete IM will engage Prosperete Growth Advisors LLP in India as a subadviser. Together with the Prosperete Growth Fund, these entities will function as executing entities, operating under shared policies, procedures, management systems, and personnel.

6. Prosperete's investment strategy focuses on identifying growth-stage businesses with scalable climate technologies. By collaborating with local accelerators, institutions and earlier-stage funds, Prosperete aims to:

(a) Support climate startups across target markets;

(b) Screen for high-potential businesses with technologies suitable for scaling and transfer;

(c) Leverage partnerships to amplify impact and create synergies across its focus regions.

7. The PGF's overarching objective is to channel investment into scalable climate solutions, promoting technology transfer and widespread adoption. By fostering the proliferation and exchange of advanced technologies, PGF seeks to contribute to a connected climate funding ecosystem across emerging markets, accelerating national development and delivering tangible benefits to local communities.

8. Investments will be screened for their potential to achieve significant climate mitigation and adaptation impacts. At least 80 per cent of investee companies are expected to develop concrete plans for technology transfer beyond their home countries.

9. The fund has identified the following four key thematic verticals for investment:

(a) Energy transition: Supporting energy storage, distributed systems, and grid modernization to advance the adoption of renewable energy;

(b) Low-emission transport: Focusing on battery technology, equipment manufacturing, and charging/swapping ecosystems;

(c) Food and water security: Promoting sustainable agriculture, advanced farming technologies, and energy-efficient water systems, thereby aiming to bolster productivity and resilience in these sectors;

(d) Urban environment and data systems: Developing sustainable urban infrastructure and climate information systems to enhance disaster preparedness and mitigate barriers like inadequate waste treatment.

10. Investments in the above verticals will be screened for (i) meaningful climate mitigation and adaptation impact outcomes within the relevant sector; and (ii) potential to achieve technology transfer, with at least 80 per cent of investees having concrete plans to export their technologies outside their countries.

11. Prosperete is currently engaged in a fundraising process.

1.2 Impact potential *Medium*

12. Prosperete is projected to achieve impactful outcomes in both climate change mitigation and adaptation. Over its 10-year programme lifespan, the fund estimates it will avoid 9.2 million metric tonnes of carbon dioxide (CO_2) equivalent in emissions and enhance the resilience and adaptive capacity of approximately 3.2 million people in emerging markets by reducing climate vulnerabilities.

13. The iTAP acknowledges the inherent complexities in accurately forecasting greenhouse gas (GHG) emission reductions and adaptation benefits from investment funds. These projections depend on multiple variables, including the final fund size, portfolio composition, and the ability of investee companies to achieve scalability and commercial success. Nevertheless, iTAP have some reservations regarding the methodology used to calculate emission reductions, as it appears to lack sufficient conservatism. This raises the possibility that the projected outcomes may overstate the actual emission reduction potential. We recommend a review or adjustment of the assumptions and parameters to ensure more realistic and robust

projections. For instance, the emission reductions from the transport sector (which accounts for approximately 40 per cent of projected emission reductions in this programme) appear to be unrealistic in our view. However, such uncertainties should not deter GCF support since even discounting expected reductions by a third would amount to reasonable climate impact. Currently, emerging markets face a shortage of growth capital for climate-aligned technologies, creating an need for initiatives like PGF.

14. Limited access to growth-stage equity significantly hampers the deployment of low-carbon and climate-resilient technologies. Historically, funding has favoured asset-light, fast-developing technologies, while climate solutions often require higher capital expenditures and longer timelines. This mismatch leads to:

(a) Restricted scalability of climate-positive businesses;

(b) Limited attractiveness to commercial investors;

(c) A fragmented climate technology ecosystem;

(d) High costs and reduced accessibility of solutions for vulnerable populations.

15. PGF aims to break this cycle by providing the growth capital (possibly across multiple rounds) to scale climate-focused enterprises, reduce costs through economies of scale, and make these solutions more accessible to underserved communities.

16. In many emerging markets, early-stage funding is available through sector-agnostic funds, but growth-stage capital remains scarce. Entrepreneurs often lack access to the networks and resources necessary for scaling. PGF bridges this gap by providing late-venture and early-growth equity, enabling businesses to attract institutional capital and expand their impact.

17. The iTAP notes that the potential impact of this funding proposal depends heavily on the fund manager's ability to originate high quality investment opportunities, assess those same opportunities and deploy capital promptly into portfolio companies that can achieve the targeted outcomes. The iTAP has a positive view of the PGF management team's ability to implement the fund successfully. Prosperete IM is a first-time manager but its strong individual track record, robust pipeline, and effective fundraising efforts suggest they are well-positioned to deploy capital into high-potential businesses, achieve impact objectives, and secure necessary co-financing.

18. PGF plans to allocate 30 per cent of its investments to adaptation-focused solutions, targeting an estimated three million direct and indirect beneficiaries. Investments are selected based on their potential to serve vulnerable and underserved populations. Examples include solar-powered water pumps for agricultural resilience, modular wastewater treatment systems addressing water scarcity, and affordable electric vehicles for income generation. These solutions aim to enhance climate resilience while generating economic benefits for target communities.

19. On the topic of climate impact potential, iTAP notes that, according to decision B.33/12, paragraph (c), resources will be allocated based on the ability of a proposed activity to demonstrate its climate impact potential. In annex VI to the same decision, the Board defines four principles for demonstrating adaptation impact potential and five principles for demonstrating the mitigation impact potential of GCF-supported activities. It is iTAP's view that Prosperete adheres to the GCF's principles for demonstrating climate impact potential, including the identification of climate risks, alignment with national policies, and the establishment of monitoring systems. While specific pipeline investments are in early diligence, the proposed framework for evaluating and monitoring investments aligns with GCF standards.

20. For instance, many in emerging markets aspire to acquire income-generating assets, such as electric vehicles, but are often hindered by high upfront costs and limited access to affordable financing. Prosperete's pipeline includes initiatives such as agricultural resilience

programmes, solar-powered water pumps, and modular wastewater treatment plants designed to promote water conservation, which are critical in regions facing water stress under projected climate scenarios. By facilitating these solutions, Prosperete seeks to boost incomes for these populations while achieving significant mitigation outcomes.

21. The principles for demonstrating adaptation impact potential in GCF proposals include identifying current and future climate risks; explaining how the proposed activities address these risks; aligning the activities with national climate policies and strategies; and outlining a monitoring and evaluation system to assess adaptation outcomes. The iTAP acknowledges that it is currently not possible to fully assess the climate adaptation potential of each specific investment in the pipeline, as these are still in early-stage diligence. However, the funding proposal presents a minimally adequate process to secure these principles in the future. This includes a general method to identify climate risks, link them to the appropriateness of the proposed investments and establish monitoring requirements for assessing adaptation outputs and outcomes.

22. The iTAP also views favourably the inclusion of a nominated climate expert on the Investment Committee. While it remains unclear whether this climate expert will have veto power over investments on climate grounds (which iTAP would prefer), their inclusion in the investment decision-making process is welcome.

23. PGF emphasizes cross-market expansion to scale climate technologies, reducing costs and accelerating adoption through larger customer bases and economies of scale. By breaking down market barriers, Prosperete aims to amplify the global impact of its investments and foster a more integrated climate technology ecosystem.

24. By demonstrating success, PGF could establish a replicable model for other fund providers, particularly those based in emerging markets. Local investors are better equipped to manage country-specific and currency risks, paving the way for more sustainable and impactful investment ecosystems.

25. PGF’s focus on scaling solutions such as electric vehicle infrastructure, renewable energy technologies, and sustainable building materials positions it as a potential catalyst for transformative climate action. Its efforts to lower costs and improve access to these technologies, particularly for underserved populations, are expected to deliver significant mitigation and adaptation outcomes.

26. The iTAP assesses the impact potential of Prosperete as medium, with good prospects for improving climate technology adoption across the targeted emerging markets.

1.3 Paradigm shift potential *Medium to high*

27. At the heart of a paradigm shift lies the belief that emerging markets can achieve economic growth that is aligned with a low-carbon, more resilient future. PGF is designed to scale and transfer climate technology solutions that facilitate this vision. Prosperete’s investment thesis centres on identifying the most effective solutions across emerging markets and expanding them to other countries, maximizing mitigation and adaptation impacts.

28. Unlike traditional public technology transfer programmes, which often fail to leverage market dynamics and are burdened by inefficiencies and missed opportunities, PGF employs a commercial strategy to drive meaningful outcomes. Prosperete IM collaborates closely with institutional investors, as it understands the scale, quality, and growth potential these investors seek. Currently, few companies offering climate solutions have reached the scale needed to attract significant private and institutional capital. By building a robust portfolio, Prosperete can serve as a pipeline for large funds, creating exit opportunities for its investments and enabling further growth in the sector.

29. A commercial fund approach offers the best mechanism to support effective technologies, making climate solutions more affordable and accessible. The need to generate competitive returns aligns the fund manager's interests with selecting and nurturing companies that have a realistic path to scalability and growth, thus driving substantial climate impacts. Moreover, the commercial structure is inherently better equipped to attract private capital and, if successful, could encourage replication, scaling and an expansion of funding sources for climate technology solutions.

30. The iTAP highlights that growth-stage companies often face significant challenges in securing affordable capital. According to the PGF funding proposal, between 2017 and 2022, developed market investors raised USD 270 billion for the energy transition, but only USD 50 billion (18 per cent) was allocated to growth-stage capital. This gap is even more pronounced in emerging markets, where limited capital flows are compounded by higher perceived risks and the novelty of climate-focused investments. Growth-stage investments also require larger ticket sizes to scale operations and demonstrate a path to profitability. This funding scarcity hampers the expansion of climate solutions and limits choices to incumbent technologies that are often reliant on fossil fuels and burdened with high societal costs.

31. However, if growth-stage companies aligned with climate goals gain access to sufficient capital, there is improved potential to shift growth paradigms towards cleaner, more sustainable models. While not guaranteed, the availability of growth capital increases the likelihood of success for climate solutions and creates opportunities for later-stage investments by commercial investors. Such investments can accelerate the adoption of climate technologies, reduce supply chain emissions, and support the greening of economies.

32. Based on our assessment, we are reasonably satisfied that the Prosperete team can establish an integrated platform to identify and scale solutions across emerging markets through technology transfer. This approach has the potential to create impacts, reduce costs, and improve affordability, fostering a virtuous cycle of climate innovation and adoption.

33. Funding alone is not sufficient to overcome the barriers to scaling climate companies. A successful paradigm shift requires more than investments; it necessitates hands-on support for portfolio companies. This includes providing access to strategic networks, guidance, and assistance in market expansion. The Prosperete team has demonstrated a deep understanding of this need and the capacity to help growth-stage companies become successful. Notably, they are already working closely with potential investees to support their expansion plans, even before securing the funds for investment.

34. We commend Prosperete's early engagement approach, which involves assisting companies in their pipeline with strategic support, providing direct "sweat equity" to investees, and partnering with other funds. For example, Prosperete team facilitated matchmaking between a climatetech entity in their pipeline and a potential customer resulting in a new joint venture investment.

35. Prosperete is also trying to build partnerships with funds across key markets to facilitate co-investment opportunities in emerging markets. In Indonesia and Bangladesh, they are collaborating with debt providers and early-stage climate investors to build a robust investment pipeline. In India, early-stage climate-focused funds are increasingly raising capital from domestic and multilateral sources. We understand that these smaller funds see Prosperete as a potential partner to help their portfolio companies secure growth capital, enabling scale and providing successful exits.

36. The emphasis on supporting and co-investing with other funds and development institutions is another positive point of the funding proposal. Such partnerships enable better underwriting of transactions and foster sector-specific expertise in areas like electric mobility, green supply chains, energy transition, and data analytics for infrastructure. Recognizing the hesitancy of commercial investors to engage in emerging markets due to perceived challenges –

such as limited scale and small ticket sizes – Prosperete seeks to leverage GCF's junior capital, sectoral expertise, and strategic focus on target countries to address these barriers. By demonstrating the scalability and financial viability of green technologies, Prosperete aims to attract broader investor participation and establish a self-sustaining investment ecosystem.

37. The iTAP believes that successful climate companies can catalyse broader climate action by serving as examples of the economic viability of sustainable practices. This would enhance the availability of climate solutions, reduce GHG emissions, and improve resilience to climate change. A successful Prosperete fund could also inspire other investors to enter the market, increasing the flow of climate finance into emerging markets. With its technical expertise and established network of growth and late-stage investors, Prosperete appears well-positioned to support such enterprises. Additionally, GCF funding provides critical de-risking for commercial investors.

38. We assess the paradigm shift potential of PGF as medium to high.

1.4 Sustainable development potential *Medium to high*

39. The PGF proposal aims to contribute to the achievement of Sustainable Development Goals 6, 7, 8, 9 and 13 by investing in water-use efficiency, clean energy, climate-resilient infrastructure and other low-carbon solutions. It aims to scale small and medium-sized enterprises from emerging markets into global enterprises, fostering economic growth.

40. Economic co-benefits: Prosperete is anticipated to significantly contribute to economic development and sustainable growth in participating countries by enabling companies to scale operations and expand into export markets. The programme will drive business development, foster job creation, and attract talent to climate-focused enterprises. Furthermore, its success could help de-risk the climate sector, inspiring larger institutional capital investments in local companies.

41. Environmental co-benefits: Prosperete adheres to International Finance Corporation Performance Standards for due diligence and monitoring. All portfolio companies are required to track emissions, develop impact action plans, and adhere to environmental, social and governance standards. These measures are expected to yield extensive environmental benefits, including the sustainable and efficient use of land, air and water resources, leading to enhanced biodiversity and improved soil, air and water quality.

42. Social co-benefits: Investments in Prosperete's portfolio companies will bolster income resilience for vulnerable populations most affected by climate change. These investments will also promote inclusive access to sustainable goods and services. Prosperete evaluates portfolio companies on critical social aspects such as workers' rights, gender equality, and workplace safety. By enhancing the affordability and accessibility of solutions like low-carbon green transportation, Prosperete supports livelihoods and resilience for underserved communities at the base of the economic pyramid.

43. The sustainable development potential is assessed as medium to high.

1.5 Needs of the recipient *Medium to high*

44. The climate vulnerability of Bangladesh, India, Indonesia and Mauritius underscores the urgent need for adopting climate solutions from businesses specializing in technologies that deliver both mitigation and adaptation benefits.

45. Technology and innovation are critical enablers for transitioning target countries towards a net-zero economy and a climate-resilient future. However, growth-stage climate technologies often struggle to advance due to insufficient access to private capital. Climate-

focused financing can bridge this gap by mobilizing private investment and integrating climate technologies into mainstream markets. Prosperete's participation in this initiative is expected to enhance credibility and attract a diverse range of funding sources, including venture capital, debt, grants and outcome-based financing. This approach is designed to address the shortage of patient, risk-tolerant capital essential for scaling innovative climate solutions.

46. The funding proposal provides tangible examples of how the target countries could benefit from the accelerated adoption of climate technologies. For example, clean drinking water and adequate sanitation remain critical challenges for large populations. Investments in decentralized wastewater treatment technologies and water purification systems can address these urgent needs while minimizing associated carbon footprints.

47. Agriculture presents another vital area for investment, particularly in countries like Bangladesh, where wheat cultivation faces medium to high drought risks. Climate-smart solutions, such as predictive analytics for weather, soil health and drought-resistant crop varieties, can bolster food security. Additionally, solar-powered water pumps offer a sustainable irrigation alternative, reducing reliance on erratic rainfall patterns.

48. Furthermore, the adoption and transfer of climate technologies are explicit priorities outlined in the nationally determined contributions (NDCs) of these countries. However, financing remains a critical barrier to achieving these goals. Funds like PGF could play a role in bridging the green financing gap by providing direct investments and facilitating access to complementary capital sources, such as partner-provided debt products.

49. One area of concern is that the funding proponents have not been able to obtain all the required no-objection letters (NOLs) (see section 1.6 on country ownership below). This implies a risk that PGF fails to obtains NOLs from countries, such as Bangladesh, that constitute a large part of their 'needs of recipients' argument. In this context, we assess the 'needs of recipients' as medium–high.

1.6 Country ownership *Medium*

50. The Prosperete funding proposal aligns closely with the NDCs of Bangladesh, India, Indonesia and Mauritius.

51. The iTAP notes that the funding proposal was developed after extensive stakeholder engagement by the Prosperete team, which included consultations with the governments of target countries as well as industry participants such as incubation centres, accelerators and venture capitalists. The PGF has received NOLs from the national designated authorities of India and Mauritius, and Prosperete continues to engage with the remaining target countries to secure the necessary NOLs.

52. Our review highlights that the Prosperete team possesses considerable experience in the target countries and maintains strong relationships with key ministry-level officials, regulators, and private sector stakeholders. The team is actively engaged with the target governments on multiple fronts, including participation in policy working groups focused on climate and blended finance.

53. The iTAP also recognizes the Prosperete team's engagement with a wide range of potential financial partners in the target countries, including incubators, venture funds, local development banks and commercial banks. Feedback from these partners appears positive and reflects a good level of collaboration. For instance, Prosperete is exploring a potential partnership with Infrastructure Development Company Limited (IDCOL), a GCF-accredited entity in Bangladesh, to support pipeline development and provide local expertise for companies looking to expand into other emerging markets.

54. Mauritius stands out as an example of country ownership. Prosperete has established both the fund and the investment management entity in Mauritius, where they are regulated by the Financial Services Commission of Mauritius.

55. The Prosperete team is also in discussions with officials in Nigeria and South Africa as potential future expansion markets for investment and technology transfer opportunities.

56. Despite these positives, iTAP acknowledges that two NOLs remain pending. However, iTAP does not interpret this delay as indicative of any negative views or misalignment of PGF with the respective countries' goals. Instead, it reflects a broader trend of slow or unresponsive NOL processes, which then leads to delays in the GCF process. This issue is particularly acute for programmatic private sector proposals and could benefit from reform. This systemic challenge has been factored into our evaluation of country ownership.

57. On a less optimistic note, we observe that most of the PGF's fundraising efforts are focused on international development finance institutions and non-emerging market institutional investors. There appears to be limited direct investment interest from public or private sources within the target countries.

58. Based on these observations, we assess country ownership of the funding proposal as medium.

1.7 Efficiency and effectiveness *Medium to high*

59. Prosperete proposes a GCF investment of USD 50 million in a junior equity tranche, aiming to catalyse additional private sector and development fund capital. The total targeted fund size of USD 220 million would result in a co-financing ratio of 1:3.4 for the GCF contribution.

60. The PGF structure is thoughtfully designed and aligns well with fund models previously supported by GCF. A common risk of concessional funding for private sector funds is that it may unintentionally signal a lack of commercial viability, deterring investors by implying high risk or an overly charitable approach. PGF addresses this concern effectively by balancing the benefits of concessional first-loss capital with a structured risk-sharing mechanism. For instance, the PGF distribution waterfall ensures that GCF recovers its initial investment before any party gets above initial investment. Additionally, the fund includes safeguards such as concentration limits on GCF contributions and mechanisms to prevent GCF funds from subsidizing risks for other development partners. This approach demonstrates a sound balance between mobilizing investment and maintaining commercial credibility.

61. During our assessment, we explored whether Prosperete's request for junior equity differed sufficiently from other GCF-supported funds in the region that utilized *pari passu* equity. We were satisfied that the unique characteristics of growth-stage climate funds – larger ticket sizes, fewer investments, longer return timelines – justify the need for junior equity. Unlike venture funds focused on early-stage companies, Prosperete targets companies with established product-market fit requiring substantial growth capital.

62. Notably, the PGF structure allows GCF investment funds to shift from junior-to-senior equity if Prosperete secures junior capital from other sources. While this is preferable to over-capitalizing the junior equity tranche, it raises the question of whether a reduced GCF commitment might better serve its objectives if other funders express strong interest in participating in the junior equity. We would suggest that the GCF Secretariat consider this alternative going forward considering the many other funding proposals that could benefit from freed up GCF funding.

63. Overall, iTAP agrees that by offering first-loss junior equity here, GCF's investment can be expected to catalyse interest from commercial investors. Additionally, GCF's imprimatur is likely to facilitate fundraising by enhancing Prosperete's credibility.

64. Prosperete's fees, hurdle rates, and incentives are well-aligned with the goal of achieving positive commercial outcomes. PGF's focus on commercial returns ensures strong product-market fit, sound pricing, and disciplined credit policies to scale impactful businesses and generate competitive returns. Without this commercial north star, PGF risks devolving into a low-impact grant facility. Instead, PGF offers an opportunity to build a track record that could attract replication by other impact investors and scaling into new rounds and geographies.

65. A commendable feature of this proposal is the General Partner equity contribution from Prosperete IM team members. This is standard and good practice in private equity funds and other similar vehicles but so often missing from GCF proposals. It is a signal to the market that this team is interested in generating investment and impact outcomes instead of primarily being focused on fundraising from the GCF.

66. A weaker area is the limited interest from local investors in PGF. Mobilizing domestic funds is critical for addressing climate challenges sustainably, as over-reliance on foreign currency-denominated investments for a climate transition is a fool's errand.

67. Prosperete has engaged local institutional investors and family offices in emerging markets but reports limited interest due to the perceived nascency of climate investments and concerns about commercial viability. For instance, PGF reported back that "Since there are very few successful investors that exist in the climate investment space (given the nascency of the sector), local investors who are focused on returns are currently not inclined to write big cheques towards climate and believe such investment is non-commercial in nature."

68. However, we recognize Prosperete's intention to attract domestic capital through initial successes and scaling. Prosperete's success in scaling, potentially evidenced by a few successful exits, should contribute to crowding in local currency investors over time.

69. While local investment interest at the fund level remains low, PGF has strong potential to mobilize local financing at the investee company level as a lead investor. As seen in India's renewable energy sector, initial global investments by development finance institutions catalysed domestic debt and equity interest over time. As strong returns become evident, domestic equity capital has shown increasing interest in such assets. Prosperete is actively collaborating with these institutions, and its ability to demonstrate robust returns is expected to attract even greater domestic investment into the sector. Prosperete anticipates that while it took a decade to mobilize large-scale capital for renewable energy, the timeline for scaling emerging climate solutions – supported by Prosperete's growth capital – will likely be shorter, estimated at four to five years.

70. The proposal includes plans for expansion into Nigeria and South Africa. These markets strike iTAP as natural opportunities for technology transfer and deployment of climate-friendly solutions sourced from other emerging markets.

71. The iTAP raised concerns of whether Prosperete may need to enhance its team for specific experience in target countries. A fundamental rationale for supporting emerging market fund managers is their presumed proximity to and understanding of the local legal, economic and cultural dynamics within target investment countries. This local familiarity is expected to enhance their capacity to originate, evaluate and manage investments effectively. However, emerging markets are not homogeneous; the expertise gained in India does not necessarily translate into a deep understanding of markets like Bangladesh, Indonesia or the planned expansion onto the African continent.

72. Prosperete IM has indicated that they have engaged advisors with local expertise to address the staffing gap. While these measures are promising, we recommend that the GCF

Secretariat closely monitor the implementation of these plans to ensure that Prosperete IM establishes the necessary on-ground presence to navigate the diverse realities of the target markets effectively.

73. The funding proposal requests an AE fee of XX per cent. In principle, iTAP applauds the trend (at least in Private Sector Facility (PSF) proposals) towards AE fees being more intricately linked to reasonable costs. In this instance, the fee would be the lowest for equity investments by GCF, which aligns with the PSAA nature of the proposal. In other words there is no third-party AE acting as a pass-through for GCF funds, and much of the fund operations can be supported for typical fund management fees. However, when the iTAP reviewed a breakdown of the activities specifically covered by the AE fee, there seemed to be room for further alignment.

74. The funding proposal projects a GHG reduction cost of USD 23.65 per tonne of CO_2 equivalent, which aligns with benchmarks for impactful climate finance.

75. Submitted under the PSAA framework, the proposal exemplifies the efficiency and effectiveness of this approach for PSF projects. The iTAP strongly encourages the GCF Secretariat to continue leveraging this approach to support PSF projects, particularly fund models. One of the significant challenges private sector proponents face at GCF is navigating the accreditation process, which often appears designed to hinder timely private sector participation. There is valid concern that requiring private sector funds to spend years in the accreditation process can lead to adverse selection. In other words, a fund capable of enduring the lengthy accreditation process or waiting years to secure a channel partner is not well-positioned to mobilize institutional investors effectively.

76. By leveraging the PSAA model, GCF can align its processes with private sector timelines, preventing investment pipeline deterioration and outdated investment theses while retaining co-investor interest.

77. The iTAP believes that this project has the potential to generate climate impacts by channelling resources towards growth-stage climate ventures. The iTAP assesses the funding proposal’s efficiency and effectiveness as medium–high.

II. Overall remarks from the independent Technical Advisory Panel

78. The iTAP recommends the following to the AE and the GCF Secretariat:

(a) Prosperete IM should improve its ability to originate pipelines in all the target countries by establishing on-the-ground presence to navigate the diverse realities of the target markets effectively.

79. The iTAP recommends that the Board approve this funding proposal.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP264)

Proposal name:	Prosperete Growth Fund
Accredited entity:	Prosperete Investment Management Ltd (project-specific assessment approach)
Country/(ies):	Bangladesh, India, Mauritius
Project/Programme size:	Medium

Impact potential
We acknowledge the ITAP assessment of the Proposal as Medium. We agree with the ITAP view that measuring climate impact is inherently complex and availability of appropriate methodologies needs to be examined closely. Prosperete will measure climate impact from the projects through rigorous assessment and application of internationally accepted methodologies. Investments with positive climate impact will be taken up by the Fund.
Paradigm shift potential
We agree that paradigm shift requires a multi-pronged approach beyond financing. Therefore, as ITAP has noted we are working on various facets including early engagement, working through partners across the globe and enabling policy environment. The Prosperete Team has demonstrated experience of working with companies beyond financing through a multi-pronged approach. We firmly believe, filling in the growth capital gap will have a large scale impact on mobilizing more climate finance for emerging markets.
Sustainable development potential
We agree that sustainable development is a key criteria for assessment of investment opportunities. We evaluate this in proposed investments and identify key monitorable items for economic and environment co-benefits. We also propose to work with other agencies to enhance outreach to vulnerable sections of society.
Needs of the recipient
We thank the iTAP for its suggestion. In May 2025, Prosperete received an endorsement and the requisite NOL from the NDA of Bangladesh. This was done after extensive engagement and stakeholder consultations, including several rounds of inter-ministerial consultations. Prosperete now has NOLs from 3 countries, in line with iTAP's recommendation, and continues to work on receiving more NOLs. As noted, we will also enhance the reach to other emerging markets through technology transfer.
Country ownership
As noted above, Prosperete has NOLs from Government of Bangladesh, Government of India, Government of Mauritius. These countries have strongly endorsed Prosperete Growth Fund and its interventions. We are working with domestic institutions who have expressed interest in joining GCF funding to enhance climate solutions in these countries. Also, we are working

with local financiers to provide additional financing to companies that Prosperete invests in. We will continue to have stakeholder consultations to make sure that activities of Prosperete align well with the respective countries' priorities.
Efficiency and effectiveness
We recognize that for climate projects to be effective, one needs to be efficient. We are designing the program to deliver high climate outcomes per dollar invested. We are also working on mobilizing financing from multiple pools of capital. In addition, we will also see that companies that Prosperete invests in, create efficient and affordable solutions that enhance development needs for the countries.
Overall remarks from the independent Technical Advisory Panel: We note the recommendation from ITAP. Given the urgency of providing adequate climate solutions and enable greater private capital mobilization timing is quite critical. Prosperete has strong endorsement and NOL from Bangladesh, Mauritius and India. All the governments have identified the need for growth funding for climate companies and Prosperete is well placed to provide this. Prosperete is working with partner funds and institutions to begin with and is already seeing a lot of opportunities in all its focus markets. Prosperete has already identified several key professionals to bolster its local presence in target countries. Prosperete will add such requisite team members as it builds its portfolio.

ProsperETÉ

Prosperete Growth Fund: Gender Assessment

Part I: Background and Introduction

Prosperete is setting up a USD 220mn growth equity fund to promote SMEs focused on climate mitigation and adaptation by leveraging technology to provide solutions at scale. Unlike developed countries, emerging markets are not able to mobilize the funding required to scale climate solutions with the required urgency.

Prosperete will create positive outcomes by investing in and scaling mitigation and adaptation solutions that use technologies that have achieved product market fit. The Fund will also invest in transitioning companies that have existing businesses and are looking to transition to greening their operations and reducing their carbon footprint, but face constraints in pivoting and scaling such solutions. The constraints include high risk perception towards relatively newer businesses, limited availability of capital, lack of understanding of global markets. These legacy businesses can utilise their expertise across different markets, complex supply chains, and customer understanding for efficient deployment of climate solutions.

Prosperete will promote gender equality and inclusion in the targeted countries and sectors by building the first women-led, growth stage climate focused fund that promotes transfer of technology across the global south and partnerships with funds across its target countries. Prosperete will work with its pipeline companies to increase female workforce participation across their organizations, including in senior leadership. Prosperete will also enable increased access to venture capital financing for women-owned/ women-led startups. These measures would include financially sustainable scale-up of investee companies, responsible capitalization and strong governance.

Prosperete's indicative focus areas are (i) low emission transport, (ii) energy access and power generation, (iii) cities, buildings and urban systems, (iv) climate information and early warning systems, (v) energy efficiency, (vi) water security, and (vii) agriculture and food security. Prosperete will invest across emerging markets with a focus on its target countries of India, Bangladesh and Mauritius.

Prosperete has carried out a Gender Assessment in respect of:

1. The macro level gender context for each target country
2. Gender linked vulnerabilities with respect to climate change in each country
3. The gender context in Prosperete's focus areas, in each target country, including the start-up ecosystem more generally

1. In order to arrive at a comprehensive gender assessment to understand the roles, rights, needs, and opportunities of women and men across target countries and focus areas, the team undertook desktop research, obtained feedback from stakeholder consultations and collated learnings from the experiences of its senior leadership. The Prosperete team brings several years of having worked on Infrastructure and Clean technology projects across the target countries with specific expertise and advocacy for gender diversity and inclusiveness.

Based on the assessment, Prosperete has created a Fund level Gender Action Plan (GAP). Prosperete's GAP sets out specific actions to be implemented at the Fund level and at portfolio company level by Prosperete (acting as the fund manager) during the fund's life.

Part II: Gender Assessment

A. Country Contexts

The OECD Development Centre's Social Institutions and Gender Index (SIGI) is a cross-country measure of discrimination against women in social institutions (formal and informal laws, social norms, and practices) across 180 countries. The SIGI covers four dimensions of discriminatory social institutions, spanning major socio-economic areas that affect women's lives: (i) Discrimination in the family, (ii) Restricted physical integrity, (iii) Restricted access to productive and financial resources, and (iv) Restricted civil liberties.

The SIGI's variables quantify discriminatory social institutions such as unequal inheritance rights, child marriage, violence against women, and unequal land and property rights.

As highlighted below, the countries that the Prosperete Growth Fund intends to invest in are ranked between 43 and 50 on the SIGI, where a "0" score indicates no discrimination and "100" denotes absolute discrimination. In these countries, in general, labour force participation rate is significantly lower for women than for men. Prevalent discriminatory social norms, which limit women to conventional roles, stand as one of the primary reasons for this disparity. Moreover, biased perceptions regarding women's capabilities and discriminatory educational practices hinder their access to quality employment opportunities and confine them to specific sectors of the economy. Biases concerning the abilities of boys and girls influence educational decisions, particularly regarding fields such as science, technology, engineering, and mathematics (STEM), thereby reinforcing gender-based segregation within the workforce. Additionally, discriminatory social norms and biases related to women's access to markets, finance, training, and networks impede their entrepreneurial endeavors in these countries.

Country	SIGI 2023	Discrimination in the Family	Restricted Physical Integrity	Restricted Access to Productive & Financial Resources	Restricted Civil Liberties
India	43	60.1	51.2	41.2	13.8
Mauritius	n/a	47.0	n/a	6.0	35.0
Bangladesh	49.3	81.9	27.4	42.5	36.1

Prosperete will apply an intersectionality lens to identify different groups of women and men facing intersecting vulnerabilities at country level and particularly in the areas relevant to the Prosperete's investment program.

Prosperete's intersectional gender lens will focus on both direct and indirect gender impacts of any intervention/solution. Direct impacts are those that have a direct and immediate effect on the status and position of women and other vulnerable groups. Usually, a direct impact occurs when the intervention affects people's access to resources (e.g. grants, loans, jobs) and/or people's participation in areas of decision-making (e.g. rules for the composition of committees, etc.). Direct impacts include employment for women and other vulnerable groups and/or increased or more stable income, where such persons are the intended consumers of a technology or service. Indirect impacts are when the planned intervention affects the means of provision of certain resources or services (e.g. procedure to qualify companies, regulation of environmental quality management of certain activities and facilities, incentives for certain projects, etc.), behind which there are people (e.g. managers, workers, users, etc.) as the ultimate beneficiaries. In other words, even though the policy is not directly targeted at them, they can be affected by it. This could include interventions that would have a positive outcome on women's lives including, access to clean energy, safer transportation, access to safe drinking water, green buildings etc.[1]

The expected impact on women and vulnerable groups through the fund's activities will include the following:

1) Empowerment of vulnerable groups and gender through enhanced livelihoods and job opportunities and minorities in each of the sectors covered by Prosperete.

2) Greater opportunities for women led businesses and enhanced job opportunities in Prosperete's pipeline and portfolio companies

3) Increased awareness, knowledge sharing opportunities across genders and groups in the field of climate tech across emerging markets to bring more gender parity in the sectors covered by Prosperete

4) Greater gender integrated product design, distribution and recycling starting at the design stage to end of product life stage.

5) Encourage pipeline and portfolio companies to have diversified workforce and improve access to low carbon technologies for women through gender integrated product design and distribution.

6) Reduce historical gender disparity in skills development across sectors such as energy transition, electrification of mobility, resource optimization, green buildings and new materials technologies; battery technology; electrical and mechanical engineering, among others. All of these areas generally have low participation of women.

Prosperete will take into account country specific sociocultural gender barriers related to the sector and these will be taken into account in the design of the specific Gender Action Plans being developed for its investee companies.

Prosperete will also consider potential sexual exploitation, abuse and harassment (SEAH) risks that may be relevant to a particular country or company and include relevant SEAH measures in the Gender Action Plan prepared for investee companies.

Prosperete will also strengthen the activities by including those that support transformative gender norms as well as sector specific gender equality milestones.

[1] https://georgia.unwomen.org/sites/default/files/2022-11/Gender%20impact.pdf

Prosperete has consulted with multiple stakeholders in preparing its Gender Assessment and Gender Action plan. Below are excerpts from a few of such consultations

Stakeholder & Country	Feedback	Action Items
WinPE A Leading network to promote gender diversity in PE industry Country: India	• Female participation in PE Industry is poor at below 20% • Females face multiple challenges – i) not enough guidance; ii) not enough clarity about career path in the PE Industry; iii) need to increase funnel at entry level • PE funds are willing to take female professionals	• Prosperete as a team is mentoring 4 industry female professionals • Prosperete working with WinPE in creating more awareness with PE players to enhance gender diversity • Prosperete team will assist WinPE in getting more female students attracted towards PE Industry
SEWA is a leading self help group for females in rural areas. Country: India; Bangladesh	• Females in rural areas looking for better education solution • As regards enhancing income participation - females have a particular issue with irrigation of their farms. Access to cheap and mobile irrigation solution is critical • Females need access to better income earning avenues where they could leverage existing network and provide better solutions for each other • Access to better financial solutions is critical	• Prosperete helped identify a Swedish solution that is mobile, quite efficient and helps in easy irrigation of fields • Prosperete team working with SEWA team to create referral income for females who help buy others. Now a selling agent program is being developed • Prosperete working with SEWA to create a financing solution wherein females can get loans for financing their capex needs (e.g. for this solar pump solution)
Talentnomics an organization to help promote gender diversity in legal industry Country: India; Bangladesh	• need to increase the number of women in leadership roles; eliminate the gender gap in leadership and pay.	• Prosperete will help Investee companies design programmes to ensure women are supported and trained to take on leadership roles.
Frontier Fund Bangladesh, first PE fund in Bangladesh Country: Bangladesh	• Gender diversity is critical to achieve better impact from investee companies • Several opportunities in the cleantech sector to improve the participation of women and vulnerable persons	• Prosperete will work with Investee companies to increase the participation of a gender-diverse work force together with providing them opportunities for skilling and growth

Set out below is the Gender Assessment by country that has already been undertaken by Prosperete based on publicly available sources of information, hands-on experience of Prosperete's team, inputs from consultation (as above) with Prosperete partners that are focused on empowering women and entities in each country focused on issues specific to a particular country.

1. India

The socio-economic status of women in India has been a subject of considerable concern and scrutiny over the years. While progress has been made in several areas, disparities and challenges continue to persist, in major part due to the ways in which social identities, economic status, caste and other disparities interact to create unique experiences of discrimination and oppression. Status of women, compared against the global averages, is presented below:

- **Social Status**: India is ranked 127 out of 146 countries in the 2023 in the WEF's Gender Gap Report 2023, with India's rank being 142/146 on the Health & Survival sub-index. World Bank data from 2021 shows that the sex ratio at birth was 1.08 male births to female births. These indicators show a continuing social bias against girls and women in India.

  Gender inequality in India is a complex issue. Despite the constitutional guarantee of equal rights for both genders, disparities persist across various aspects of life and society. There is pervasive gender discrimination, often favoring men, both (i) within families and homes, which are often patriarchal with family members holding conventional notions of a woman's role and their ability to work outside the house and pursue careers while fulfilling their obligations at home, and (ii) at the workplace, influencing career advancement and mental well-being. Although Indian laws are strong and protect women, and aim to prioritize women's safety, deeply entrenched discriminatory practices like rape and dowry remain prevalent.

- **Education**: World Bank data shows adult female literacy ie., above the age of 15, to be 69% in India in 2022, while the figure is 83% for males above 15 years of age. The National Family Health Survey – 5 (2019-2021) (NFHS-5) showed that 41% women and 50% men had more than 10 years of schooling and only 33% women had used the internet while the figure was 57% for men. These indicators reveal the disparity in education and related opportunity between women and men in India; and the gender gap along these aspects is wider in rural areas and among marginalized communities.

- **Healthcare and Maternal Mortality**: As per the UN Maternal Mortality Estimation Inter-Agency Group (MMEIG) 2020 report, the maternal mortality rate in India has declined from 384 in 2000 to 103 in 2020 whereas Global MMR has declined from 339 in 2000 to 223 in 2020. While India's average annual rate of reduction of MMR during the 2000-2020 periods was 6.36% compared to the global average of 2.07%, further improving access to quality healthcare and awareness among women of reproductive age and equipping them to have a greater say in reproductive decisions, especially in rural areas, is critical for India to make further progress towards the SDG MMR goal of 70.

- **Economic Participation**: According to World Bank data, in India, the labor force participation rate among females is 32.7% and among males is 76.8% for 2023. While female labor force participation has increased since 1990, compared with labor force participation in the lower-middle income group, the gap between men and women is higher in India. Further, while the "vulnerable employment" rate for women in India ie., workers that are least likely to have formal work arrangements, social protection, and safety nets to guard against economic shocks, has improved since 1990, it is still as high as 78% for 2022. The rate of vulnerable employment is higher for men and women in India compared to the average rate in South Asia. Tackling this aspect is vital to improve the socio-economic status of women in India.

According to data from the International Labour Organization (ILO), the gender pay gap in India was estimated to be around 34.5% in 2020, significantly higher than the global average of 20.2%. The WEF's Gender Gap Report 2023 reveals that India's progress in economic participation and opportunity remains a challenge, with only 36.7% gender parity achieved in this domain. While individual characteristics such as education, skills or experience explain part of the gender pay gap, a large part of the gender pay gap can still be attributed purely to discrimination based on one's gender or sex. Gender-based discriminatory practices include: lower wages paid to women for work of equal value; undervaluation of women's work in highly feminized occupations and enterprises, and motherhood pay gap — lower wages for mothers compared to non-mothers.

As regards account ownership, World Bank Data shows that, in 2021, an equal number of men and women (77.5%) had an account at a bank or another type of financial institution or report personally using a mobile money service in the past 12 months.[2] Another important metric of economic empowerment is asset ownership and provides protection in the case of marital dissolution or abandonment. In India, only 46.5% of women owned a dwelling either alone or jointly in 2021, while >76% men did. Given the compelling evidence that ownership of property by women has positive consequences for women's empowerment, nutritional and health outcomes, and children's schooling, under the Prime Minister's housing scheme (PMAY), the house is typically allotted jointly to husband and wife, unless the beneficiary is a single woman.

- **Political and Social Participation**: India has universal suffrage and women in India have the right to run for public office. However, only 14% of legislators in India's lower house of Parliament are women and in October 2023, a new law was passed reserving 33% seats in Parliament for women. The new law is expected to be implemented circa 2029 and is expected to increase female participation in the electoral process.

  In terms of decision-making, World Bank data from 2021 showed that 73.3% of currently married women participated in making major decisions in the household including decisions about their own healthcare, making major household purchases, and visits to family, relatives, friends. However, while social participation

[2] https://genderdata.worldbank.org/en/economies/india

is high, crimes against women and adherence to gender stereotypes remain rampant.

- **Impact of Climate Change on Gender**: Women and children are 14 times more likely to lose their lives during natural disasters compared to men – in the aftermath of the 2004 Indian Ocean Tsunami, where 70% of the 230,000 lives lost were women. Further, climate-induced migration and displacement can create opportunities for human traffickers to exploit vulnerable women and girls, subjecting them to trafficking for forced labor or sexual exploitation.[3] Acknowledging this disparity, the **G20 Delhi Declaration** resolved to **accelerate climate action with gender equality at its core**.

Women are also primarily responsible for securing food, water, and fuel for the households, and therefore more vulnerable to climate impacts affecting these aspects. Data from the India Human Development Survey-2 (IHDS), a national-level household survey on multiple development parameters, shows that women spend twice the amount of time (46 minutes) fetching water per day as compared to men (22 minutes).[4]

In Indian agriculture out of the 97.5 million females in the rural sector, 37.3% work as cultivators and 62.7% as agricultural laborers. A laborer is exposed to higher financial risks compared to a cultivator, primarily due to seasonality in employment and therefore is threatened by an irregularity in income, which is exaggerated in case of adverse climate conditions such as droughts and floods. In addition, lower wage rates for female laborers compared to males, make them economically more deprived.[5] Studies have examined the magnitude of the impact of floods on gender-wise employment in the rural agricultural and non-agricultural sectors found that flood damage creates differential impacts on employment by gender, with female agricultural workers more adversely affected than male workers.[6] Women farmers in India often have limited access to resources such as land, credit, and technology, which can make it difficult for them to adapt to the impacts of climate change.

Gender Aspects of Prosperete's Focus Areas

<u>India's Start-up Ecosystem</u>

According to a 2023 report by WISER (Women in India's Startup Ecosystem) Report, women-led startups have risen to 18% in India in the past five years.[7] This has come against the backdrop of strong government support to women entrepreneurs - The Women's Entrepreneurship Platform (WEP) is a Government of India-backed initiative launched by the NITI Aayog in 2017 to promote a conducive ecosystem for women's entrepreneurship in India. WEP serves as

[3] https://www.unodc.org/documents/data-and-analysis/glotip/GLOTIP_2020.pdf
[4] https://ihds.umd.edu/system/files/2020-03/05HDinIndia.pdf
[5] https://link.springer.com/article/10.1007/s10584-018-2233-z
[6] https://www.sciencedirect.com/science/article/abs/pii/S2212420922001005?via%3Dihub; see also: https://www.sciencedirect.com/science/article/abs/pii/S221242092200694X
[7]tps://ifmrlead.org/wp-content/uploads/2023/10/Women-in-India-s-Startup-Ecosystem-Report-WISER_October_2023.pdf

an accelerator, helps with funding, marketing and provides mentorship.

The WISER report highlights that startups are currently faring better than traditional enterprises, with 32% of women in managerial positions as against 21% in corporates. This gap widens further at the CXO level where corporates have only 5% of women in leadership positions against 18% in startups. Additionally, startups with a woman founder have 2.5x women in senior roles compared to male-founded startups. However, while the overall figures are promising, significant work lies ahead - 10 years into their careers, 8 out of 10 men in startups occupy Director-level positions or higher, compared to only 5 in 10 women.

As regards funding, the WISER report 18% of the total start-up funding in 2022 went to women-lead start-ups. Access to capital and funding remains a challenge due to unconscious biases, lack of gender diversity among investors and the "old boys club" / self-selection problem. Investors that bring not just capital but also better access to knowledge, resources and networks can become key enablers for women-lead start-ups to thrive. Equally, on the capital allocators side, increasing the representation of women in investment decision-making will help counter inherent gender biases.

Specific gender aspects of Prosperete's focus areas for investment are set out below, including specific challenges and opportunities that will ensure gender inclusivity.

<u>Energy Access & Power Generation; Energy Efficiency</u>:

The lack of access to energy or to clean cooking fuels particularly impacts women, limiting their work options, exposing them to health risks, and forcing them to forage for wood or other combustible materials. In addition to health risks, a lack of clean cooking methods prevents many women and girls from accessing education, earning a wage or starting a business that would deliver financial autonomy. While India has made concerted efforts in this regard and, in the last decade, halved its population without access to clean cooking fuels, it is still home to many people without such access – according to a IEA Report – *A Vision for Clean Cooking Access for All*, in 2022 approximately 448 million people in India lack access in India (approx. 25% of population).[8]

As regards representation of women in the energy sector, according to the WEF's *Global Gender Gap Report*, globally, the energy sector is one where there remains a wide gender gap, with only 1 in five senior positions in the sector being held by women. Women's participation in the sector is limited due to several factors, including limited training in science, technology, engineering, and management, lack of suitable job opportunities and flexibility, safety and security concerns, and societal challenges. For instance, women represent a mere 11% of the workforce in India's renewable energy sector, significantly lower than the global average of 32 %.[9]

To support women in the energy sector, the Indian government has taken various steps including the Women's Empowerment Scheme, which aims to provide skill development and training programmes aimed at women in the

[8]https://iea.blob.core.windows.net/assets/212dda1e-63ec-4f42-a530-f2ef3da74fdf/AVisionforCleanCookingAccessforAll.pdf

[9] https://energyalliance.org/gender-empowerment-in-the-renewable-energy-sector/

renewable energy sector. There are also various other schemes and incentives aimed at increasing women's participation in the energy sector, such as a subsidy for solar home systems installed by women.[10]

Increasing women's participation in the energy sector presents a significant opportunity as well – according to the Council for Energy, Environment and Water (CEEW), if women's participation in the energy sector is increased by 30%, it could create up to 3.2 million additional jobs by 2025. Increased representation of women in the sector will bring diverse perspectives, drive innovation and a more inclusive approach to decision-making with improved outcomes for both industry and society.

Water Security; Agriculture & Food Security:

In India, women play a crucial role in water collection, purification, and management - women and girls spend a collective 200 million hours collecting water, which has a disproportionate effect on their everyday lives and pushes communities towards poverty. In India in 2018, nearly 20% of households in urban areas lacked access to drinking water facilities within the household premises, and almost 28% of households did not use an improved source of drinking water.[11] Further, access to potable tap water is a fundamental necessity for every household for ensuring basic health and hygiene. However, despite the success of the government's "*har ghar jal*" (water in every home) scheme, in rural India, a significant portion of the population still lacks this essential amenity.[12] Therefore, water security is critical to improving women's lives and enabling their participation in gainful employment.

Furthermore, 50%+ districts in India will face critical water stress within two decades, and approximately 60% of cultivated area is dependent on rain for irrigation and therefore influenced by the climate. According to the Food and Agriculture Organization (FAO), women make up 43% of the agricultural labor force in India. Women are more likely to be involved in subsistence farming and small-scale agriculture, which makes them particularly vulnerable to the impacts of climate change, such as changing rainfall patterns and increased temperatures. The Indian Council of Agricultural Research (ICAR) reports that women are responsible for about 60-80% of food and nutrition-related activities, including seed selection, crop management, and food preparation. Climate-induced crop failures and reduced agricultural productivity can thus have a direct impact on women's food security and nutritional well-being.

Given the above, access to interventions and technologies that could help women weather climate shocks affecting farming and agriculture as well as enable better water management would have a significant impact on womens' lives and livelihoods.

[10] https://energy.economictimes.indiatimes.com/news/renewable/breaking-stereotypes-women-in-energy-are-transforming-indias-clean-energy-and-green-tech-space/100499649

[11] https://www.indiawaterportal.org/articles/gender-sensitive-water-management-cornerstone-equitable-outcomes

[12] https://www.drishtiias.com/daily-updates/daily-news-editorials/india-water-challenges-and-har-ghar-jal-scheme

Cities, Buildings & Urban Systems:

While climate change creates a shortage of affordable housing, lack of affordable green housing exacerbates climate change. Those who cannot afford to live in well-insulated and energy-efficient homes tend to rely more on carbon-intensive housing. In alone, residences emit 7% of the country's greenhouse gas emissions and consume more than 25% of the total electricity, making the sector the third-largest consumer of electricity. Mitigating the environmental impact of housing necessitates a shift towards more sustainable energy and water consumption practices, along with the utilization of eco-friendly construction materials. Implementing housing designs and construction methods tailored to climate-related risks can enhance resilience and contribute to mitigation endeavors. However, women are frequently excluded from participating in policymaking and decision-making processes concerning planning, design, and the construction of housing. However, increasing women's participation in infrastructure planning, management and design can also promote green and gender sensitive policies and projects. Women bring diverse perspectives and ideas, which, in turn, lead to more innovative and sustainable solutions.

Although women may trail men in terms of home ownership, they hold significant influence in climate adaptation and mitigation efforts through their adoption of sustainable practices within households. This includes investing in clean energy solutions like solar panels and environmentally-friendly cook stoves. Women often exhibit a propensity for sustainable consumption and demonstrate heightened sensitivity to ecological, environmental, and health-related issues.[13]

One reason why female home ownership is lagging is that most women work in the informal sector, therefore lacking the credit history and documentation required to access finance such as housing loans. Traditional social norms and inheritance practices also affect their ability to assert an ownership right.

Increasing women's participation in the green buildings sector and while addressing the need for affordable, green housing is vital both to improve women's lives and livelihoods and to improve emissions reductions outcomes. It also requires interventions to ensure gender-sensitive financing and technology-enhanced access to financing.

Low-emission Transport:

India's transport sector is responsible for 14 % of the country's energy-related CO_2 emissions—and the accompanying impacts on air quality, public health, road safety, and sustainable urban development. In recent years, increased vehicle use has lead to an augmentation in congestion, accidents, and local air pollution. If this trend continues, all of these problems will get worse. At the same time, access to affordable and reliable transportation is one of the biggest barriers to paid employment for women in India. Why and how women move through urban spaces is largely influenced by their disproportionate share of childcare and domestic responsibilities and real and perceived concerns around personal safety and security. There is a growing recognition of the need to align development and climate goals but also of the importance of gender-informed transportation policies to ensure growth is both sustainable and

[13] https://blogs.adb.org/blog/three-pathways-inclusive-green-housing-women-asia-and-pacific

equitable. In particular, in India where sexual exploitation, abuse and harassment (SEAH) and gender based violence(GBV) against women is a significant concern – in a 2021 study, 88% of the women that used public transport reported feeling unsafe while travelling, especially while waiting at congested interchanges and using transport facilities that do not have any technological add-ons for safety (for instance, a non-app-based taxi instead of an app-based one) or that requires physical proximity to strangers (shared riding).[14]

Electric vehicles, especially e-rickshaws, e-carts, or e-bikes, offer an affordable and eco-friendly mode of transportation that can be easily adopted by individuals and that encourage micro-entrepreneurship which is widely embraced by women. They thus enable women to enter various service sectors like last-mile delivery, transportation, and local commuting, empowering them to generate income and uplift their communities. Data indicates that an encouraging 25% of women in Tier 2 cities in India have already embraced EVs contributing to family incomes. Further investing and supporting the EV ecosystem will further unlock the potential of women's micro-entrepreneurship contributing to inclusive and sustainable growth.

2. Bangladesh

According to the 2023 Global Gender Gap Report by the World Economic Forum (WEF), Bangladesh has achieved the highest ranking in gender parity among South Asian nations. With a score of 72.2%, it is placed 59th worldwide, demonstrating considerable strides toward gender equality. This year, women in Bangladesh saw an improvement in gender parity, evidenced by a higher score and improved index ranking, up from 71st out of 146 countries in 2022.

This has been possible due to the significant steps taken by Bangladesh to bridge gender gaps, enacting laws aimed at bolstering women's rights and promoting equality. The nation's Constitution upholds the principle of equal rights for both men and women, reinforcing the government's commitment to enhancing female participation across education, employment, and political spheres. Despite these initiatives, challenges remain in fully overcoming gender disparities within various segments of Bangladeshi society.

The country's push towards gender equality is rooted in both its legal framework and adherence to international standards. Bangladesh's dedication to the Sustainable Development Goals and international conventions, like the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW), has guided its implementation of laws and policies designed to foster gender equality and empower women.

Central to these legal reforms is the Constitution of Bangladesh, which explicitly prohibits discrimination based on sex under Article 28(1) and serves as a foundation for gender-sensitive legislation. The government has also introduced several pivotal laws and policies, such as the Women Development Policy of 2011, which aims to boost women's socio-

[14] https://www.orfonline.org/wp-content/uploads/2021/05/ORF_Monograph_WomenOnTheMove.pdf

economic standing and encourage their involvement in education, healthcare, and politics. This policy is a clear manifestation of the government's strategy to integrate gender considerations across all sectors and enhance women's empowerment at multiple levels.

Demographic profile: Bangladesh, a densely populated country in South Asia. With a total population exceeding 165 million people (as per the 2022 Census), it stands as one of the world's most populous nations. The demographic landscape of Bangladesh is characterised by its youthful population, with a significant proportion under the age of 25.

Based on the latest census data from 2022, Bangladesh has experienced a notable demographic shift, with females now outnumbering males for the first time in the country's census history. The total female population stands at approximately 83.34 million, compared to 81.71 million males. The sex ratio is 98 as compared to 100 in previous census in 2011[15].

Social Status: Gender dynamics in Bangladesh are shaped by a complex interplay of socio-economic factors that influence opportunities, access to resources, and power relations between men and women. Household dynamics in Bangladesh are influenced by socio-economic factors such as poverty, urbanization, and access to resources. Patriarchal norms and traditional gender roles often dictate women's roles within the household, including caregiving responsibilities, household chores, and decision-making power. Socio-economic disparities exacerbate gender inequalities within households, as women from lower socio-economic backgrounds face greater restrictions on their autonomy and agency. Addressing socio-economic factors such as poverty, access to education, and women's economic empowerment is crucial for challenging traditional gender roles and promoting more equitable household dynamics in Bangladesh.

In Bangladesh, a predominantly male-dominated society, the majority of households are traditionally led by men. Currently, about 85 % of households nationwide are headed by men, with a slightly higher percentage in urban areas (85.5 %) compared to rural areas (84.6 %). Conversely, women head around 15 % of households, with rural areas seeing slightly more female-headed households (15.4 %) compared to urban areas (14.5 %).[16]
The Women, Business and the Law 2022 report by the World Bank concludes that Bangladesh while having made progress in building a legal framework that supports gender equality, there is still a need for substantial improvements in both the legal and supportive frameworks to fully empower women economically.

Access to healthcare: Healthcare access and utilisation are also shaped by socio-economic factors, with women facing barriers such as poverty, geographic remoteness, and cultural norms that prioritise male health needs. Limited access

[15] Population and Housing Census 2022: Preliminary Report
[16] Women And Men In Bangladesh Facts and Figures 2022. Demography and Health Wing, Bangladesh Bureau of Statistics, Statistics and Informatics Division Ministry of Planning

to maternal healthcare services contributes to high maternal mortality rates in Bangladesh, particularly among marginalised communities. Socio-economic disparities in healthcare access also intersect with gender norms, resulting in differential treatment and neglect of women's health issues.

Prevailing gender inequalities are exacerbated and are resulting in gaps in access to health services. According to a survey conducted by UN Women in April 2020, 61% of women in Bangladesh reported being unable to seek medical care when they needed it, and only 1% of women reported being covered by health insurance. The same survey reveals a concerning proportion of both women and men reporting difficulties finding medical supplies (78% and 61%, respectively). Results from the survey underline that a total of 62% of women reported that their mental and emotional health has been affected. These findings are in line with the Anticipatory Need Assessment by NAWG, which found that 49% of women and children are unable to access health and nutrition services at the health facilities.[17]

The expectations of life at birth for women and men were 54.5 and 55.3 in 1981. These increased to 74.5 and 71.2 years in 2020 over a period of 39 years[18]. As per the Gender Gap Index, Bangladesh achieved a parity rate of 96.2% due to higher parity in sex ratios at birth. In terms of healthy life expectancy, however, gender parity has been dropping as men's life expectancy has been increasing faster than that of women since the 2020 edition.

Education: The Census 2022 reveals a literacy rate of 74.66% for individuals aged seven and above, slightly increasing to 75.6% for those 15 years and older, with males at 78.2% and females at 73.0%. This represents a notable rise from the previous figures recorded in the last census, where the national literacy rate was only 51.77% and even lower for women at 49.44%. Moreover, 2023 Global Gender Gap Report indicates that Bangladesh has achieved a gender parity score of 93.6% in education. This reflects ongoing improvements in both women's and men's literacy and enrolment rates in secondary and tertiary education over the past decade.

Economic participation: Bangladesh's performance in terms of economic participation and opportunity remained one of the lowest globally. According to the latest report, Bangladesh ranked 139th globally, with a parity rate of only 43.8%. The World Gender Gad index for 2023, Bangladesh stands at 139 out of 146 countries showing marginal improvement over the last year (141 in 2022) in economic participation and opportunity. According to the World Bank data, the female work force participation in Bangladesh for the year 2023 is at 34.2%. Its ranking in the world for labor force participation rate is at 132 out of 146 countries.

Employment patterns in Bangladesh are heavily influenced by socio-economic factors, with women disproportionately represented in informal and low-paying sectors such as agriculture, garment manufacturing, and domestic work.

---

[17] COVID-19 Bangladesh Rapid Gender Analysis, 2020 UN Women

[18] Women And Men In Bangladesh, Facts and Figures 2022 by Demography and Health Wing, Bangladesh Bureau of Statistics, Statistics and Informatics Division Ministry of Planning

Despite constituting a significant portion of the labour force, women often face discriminatory practices, including unequal pay, limited access to formal employment, and lack of social protection.

The World Bank publication "Voices to Choices: Bangladesh's Journey in Women's Economic Empowerment" presents the following key conclusions about the economic empowerment of women in Bangladesh:

a) Land Ownership Disparity: Women own land at significantly lower rates than men in rural Bangladesh. Only 12% of rural women solely or jointly own agricultural land, and 7% own non-agricultural land, compared to 69% and 86% of rural men, respectively. About 96% of household land in rural areas is owned exclusively by husbands. This gender gap in land ownership is mainly due to male-biased inheritance practices.
b) Account Ownership Growth: From 2014 to 2017, men's account ownership in Bangladesh increased by 30 percentage points to 65%, while women's account ownership rose by only 10 percentage points to 36%. In rural areas, nearly three-quarters of women rely on NGOs for borrowing and saving, whereas men have a more diverse range of savings and borrowing sources, including formal and informal avenues such as friends, store credit, leasing land, or informal lenders.
c) Female Entrepreneurship: Despite efforts by the government and Bangladesh Bank to promote women entrepreneurs, Bangladesh has one of the lowest shares of female-majority ownership of formal enterprises globally, at just 1.7%. This is much lower than the South Asian and global averages of 9.6% and 14.5%, respectively. Including both formal and informal firms, women's ownership rates have increased from over 7% in 2013 to 10% in 2017. However, many women entrepreneurs remain in the informal sector due to barriers in registering enterprises.
d) Minority Women's Vulnerabilities: Ethnic and religious minority women face compounded economic vulnerabilities due to broader societal and institutional factors affecting women's economic engagement, as well as the overall marginalization of minority groups in Bangladesh.

These points highlight the ongoing challenges and disparities in economic empowerment for women in Bangladesh, underscoring the need for targeted interventions and sustained efforts to improve gender equity in economic participation and ownership

Women's Financial Inclusion report for Bangladesh mentions that "Outside of the RMG sector, most female economic activity is informal. Before the pandemic around one in nine women in both rural and urban settings (93.3 % in rural and 87.3 % in urban areas) were in informal employment[19]. Most women's enterprises in the country are Cottage, Micro, Small, and Medium-Sized Enterprises (CMSMEs), which tend to operate informally and are concentrated in a few sectors – mostly in the wholesale and retail trade of textiles (23.8 %). Among small businesses with above five

[19] UN Women, 2020. COVID-19 Bangladesh Rapid Gender Analysis.

employees, only 13 % of businesses are fully or partially owned by women, which is lower than average for the region. The highest proportion (69 %) of women's enterprises operate in commerce, followed by manufacturing (19 %) and services (12 %). 96 % of women enterprises, are sole proprietorships[20]. In the emerging space of e-commerce on big social media platforms, half of businesses are estimated to be owned by women. Poverty and limited economic opportunity represent obstacles to financial inclusion. Women are less likely to own businesses in Bangladesh than men, with one of the lowest rates of female entrepreneurship in the region. About 10 % of the country's registered micro-, small-, and medium- enterprises (MSMEs) are women owned or -led, most of which are microbusinesses. Access to finance remains a significant challenge; less than 20 % of women-owned/led MSMEs use formal services.[21],[22]

Gender based violence: Gender based discrimination and particularly Violence Against Women (VAW) is a major concern and an obstacle to higher studies for women in Bangladesh. According to the Violence Against Women Survey 2015, there are reports of as many as 80.2 % of currently married women have experienced some forms of violence by their husbands in their lifetime. A total of 21,688 women responded to the survey. Almost two thirds (72.6%) of ever-married women had experienced some forms of partner violence in their lifetime and more than half (54.7%) had experienced it in the last 12 months.

The OECD's Report on Social Institutions & Gender Index (SIGI) presents similar findings, highlighting that 50% of women in Bangladesh experience domestic violence, and 17% of women justify such violence. The report assesses the legal framework against domestic violence as incomplete, indicating that social norms significantly hinder women's fuller inclusion in society. These findings underscore the pervasive impact of entrenched societal norms on gender equality.

Political Participation*:* The constitution of Bangladesh since the beginning has provided reservation for women under Section 65, currently standing at 50 seats out of 350. While having reserved seats has proved to be an effective tactic for increasing female participation in politics, the progressive made by Bangladesh is quite slow to have a major impact.

According to the Gender Gap Report, Bangladesh is one of the ten countries with a political empowerment score above 50%, standing at 55.2%. Alongside Iceland, Bangladesh is notable for having had women in the highest political positions for more years than men over the past 50 years. Specifically, Bangladesh has had a woman head of state for 29.3 of the last 50 years, the longest duration globally. Despite this, the representation of women in ministerial (10%) and parliamentary (20.9%) positions remains low.

[20] Think Asia, Women Entrepreneurs in SMEs: Bangladesh Perspective. 2017
[21] HERProject. 2020. HerProject 2020 Highlights
[22] Women's financial inclusion, digital financial services, and covid-19 policy response: case of Bangladesh

Regional disparities: In Bangladesh, regional disparities based on gender exist across various socio-economic indicators. While progress has been made in improving gender equality nationwide, certain regions still face significant challenges:

1. Education: In rural and remote areas, especially in the southern and Southeastern regions, girls often have lower access to education compared to boys. Factors such as distance to schools, socio-cultural norms, and poverty contribute to this disparity.

2. Employment: Urban areas, particularly in the central and northern regions, may offer more opportunities for women's employment in sectors like garment factories and service industries. However, in rural and disadvantaged regions, women often face limited options for formal employment and are more likely to engage in unpaid agricultural work.

3. Health: Access to healthcare services varies across regions, with rural and remote areas facing greater challenges. Maternal mortality rates are higher in these regions due to limited access to quality maternal healthcare services, leading to disparities in maternal health outcomes.

4. Political Participation: While Bangladesh has made strides in promoting women's political participation at the national level, there are regional disparities in women's representation in local government bodies, with some areas experiencing lower levels of female political leadership and participation.

Gender Aspects of Prosperete's Focus Areas

Start-up Ecosystem:

Bangladesh's startup scene saw an increase in 2023 and jumped 4 spots from the previous year, outranking Qatar. Transportation is among one of the leading sectors for start-ups in Bangladesh, and this sector so significant growth in 2023.[23]

The startup ecosystem in Bangladesh is maturing, driven by several key factors, including a strong economy, fueled by a tech-savvy young population, with 62% under the age of 35 (8th largest in the world), burgeoning middle class, 98% mobile phone connection and 62% internet penetration. Apart from a youthful population, keen on embracing innovation and entrepreneurship it also boasts a skilled workforce (with over 5,000 IT graduates annually). In addition, Bangladesh's entrepreneurship ecosystem is at an inflection point - attracting over $200 million in international investments from renowned corporate investors and venture capitalists over the past four years. Key sectors attracting investment include

[23] https://www.startupblink.com/startup-ecosystem/bangladesh

FinTech, Logistics, and Mobility. The rise of active Angel Investment Networks, Impact Investing, and numerous local and international accelerators/incubators has fostered the growth of over 1,000 active startups, creating over 1.5 million jobs and integrating startup products and services into everyday life. Furthermore, the approval of small-cap stock exchange guidelines by the Bangladesh Securities and Exchange Commission (BSEC) represents a significant step towards providing viable exit strategies for investors in startups. Finally, the government has also been proactive in nurturing the startup ecosystem. Various initiatives, such as the IDEA Project and Startup Bangladesh Limited, supported by funds totaling 100 crore BDT (approximately $11.5 million), are geared towards enhancing the local startup landscape.

Against all odds, women are asserting their presence in the startup ecosystem, crafting their own tales of success in the contemporary world. Several of these startups are aiming for global markets, having already left a notable impression in Bangladesh.[24] However, they note the difficulty in raising capital as a key barrier to growth.

Investing with a gender lens in Bangladesh involves two key steps:[25] creating specialized accelerator and incubation programs for women entrepreneurs and establishing dedicated investment initiatives for startups and SMEs following the gender lens investment (GLI) framework. Utilizing existing platforms like iDEA, Startup Bangladesh Limited, and the SME Foundation can help set up these programs. Additionally, incentivizing private entities such as incubators, accelerators, universities, and funds to participate in pipeline development and investment efforts can help bridge the gap between male and female startups.

Energy Access & Power Generation; Energy Efficiency:

According to the 2022 Census, 97.61% of households in Bangladesh use electricity from the national grid as their main source of power. Only 1.45% of households rely on solar energy, and 0.19% use other sources such as generators. Nearly all households (99.25%) have access to electricity, leaving a very small percentage (0.75%) without this facility.

Bangladesh has achieved near-universal access to electricity due to electrification efforts that began more than two decades ago[26]. However, the country is currently facing an energy crisis, leading to widespread power shortages. This crisis is mainly driven by the growing demand for power and a shortfall in fuel supply, particularly natural gas, which is crucial for electricity generation. Contributing factors include the global surge in fuel prices, influenced by international events like the conflict in Ukraine, and local challenges such as cyclones disrupting fuel imports.

The installed generation capacity in Bangladesh has increased to 26,700 MW, including captive and renewable energy sources. Per capita power generation stands at 609 kWh. The power distribution network has expanded to 629,000 km, and the number of consumers has grown to 44.5 million. The system loss has decreased to 9.30% as of December

[24] https://thefinancialexpress.com.bd/national/theres-a-woman-behind-many-successful-startups-in-bangladesh-1615457652#google_vignette

[25] https://www.unescap.org/kp/2022/bangladesh-startup-ecosystem-assessment-report

[26] Gendered energy poverty and energy justice in rural Bangladesh by Md Moniruzzaman, Rosie Day

FY 2022-23, down from 14.73% in FY 2010-11[27].

According to World Bank data, only 27% of the population in Bangladesh has access to clean cooking fuel. The Bangladesh Demographic and Household Survey (BDHS) 2017-18 shows that 20.45% of households use advanced or cleaner cooking fuels, while 79.23% relied on traditional fuels. Only 0.57% use electricity for cooking, and 6.96% use LPG. Biogas is used by 0.11%, and 0.03% still use kerosene. The dominant fuel is wood, used by 46.25% of households. Other sources include charcoal (0.10%), straw/shrubs/grass (0.63%), agricultural crop residues (25.96%), and animal dung (6.39%).

Currently, there are 5.8 million SHSs in Bangladesh that generate around 327.14 MW of electricity in the country's off-grid area. Some 137,400 jobs have been created in Bangladesh's SHSs, representing about 80% of the total installed solar capacity, according to the latest figures released by the International Renewable Energy Agency (IRENA)[28].

Household air pollution is considered to be a serious health concern. This issue disproportionately affects women, who spend significant time collecting fuel and cooking while being exposed to harmful indoor air pollution. Several studies have established that indoor air pollution is linked to hypertension, respiratory and eye health, cardiovascular health, under-five mortality[29], and adverse obstetric outcomes among women exposed to biomass fuel.

As of December 2018, under IDCOL 1.65 million improved cook stoves (ICS) have been disseminated to reduce the use of solid fuels, indoor air pollution (IAP) and GHG Emission. By January 2017 its initial target of disseminating 1 million ICS was achieved almost two years ahead of the project completion period.

The Government of Bangladesh is promoting clean cook stoves through several initiatives. One major effort is the Country Action Plan for Clean Cook Stoves (CAP), which aims to provide clean cooking solutions to over 30 million households by 2030. To support this goal, the Household Energy Platform Program in Bangladesh was implemented from July 2016 to June 2021. This program focused on raising awareness about improved cook stoves, providing financial access for entrepreneurs, developing new business models, overcoming barriers, introducing new technology, establishing a testing lab, reducing greenhouse gas emissions, building capacity, and researching new cooking solutions.

<u>Water Security; Agriculture & Food Security</u>:

[27] Bangladesh Economic Review 2023
[28] European Union. Study On Women Engagement In Green Energy Transition In Bangladesh
[29] Household air pollution from cooking fuels and its association with under-five mortality in Bangladesh by Md Badsha Alam.

Bangladesh is a densely populated country with 171 million people. According to WaterAid, around 98% of the population has basic water coverage, but there is a significant gap between coverage and the quality of available water. The latest Joint Monitoring Programme (JMP) Report of 2022 states that only 59.11%[30] of Bangladesh's population has access to safely managed water, and just 15% have piped water supply. Water contamination is a major concern, with 86% of the poorest households showing E. coli contamination and 16.7% of the population consuming arsenic-contaminated water.

As per the 2022 Census, nationally, tubewells (both deep and shallow) are the primary source for 85.66% of households, followed by piped (supply) water at 11.74%. Among the divisions, Rangpur has the highest percentage of households using tubewell water at 98.83%, while Dhaka has the highest percentage using piped (supply) water at 26.64%.

In Bangladesh, the responsibility of water collection for household consumption primarily falls on women. The Joint Monitoring Program Report states that women are ten times more likely to collect water than men. Women typically spend 2 to 3 hours each day fetching water, time that could otherwise be devoted to education, economic opportunities, or other productive activities.

Bangladesh is an agrarian country, it's economic activities are largely agro based. But, with the pace of industrial revolution share of agriculture in GDP has been changed. Notably contribution of GDP from agriculture in current and constant prices over the last 12 years (2010 to 2021) has been following a declining trend[31]. Educational sector contributes about 11.38% to the country's GDP and employees around 45.33% of total labour force[32].

To ensure food security, Bangladesh is increasing the production of various crops, including rice and corn, by developing high-quality seeds through biotechnology and promoting the optimal use of surface water and solar-powered irrigation. Organic fertilizers are encouraged to maintain soil health, and farmers receive smart cards and weather forecasts through a climate-smart agriculture system. The government provides ongoing subsidies for agricultural inputs like fertilizers and seeds and makes agricultural machinery available to farmers. Initiatives include expanding synchronized cultivation, enhancing the production, storage, and marketing of vegetables and fruits, and utilizing fallow land for crop cultivation. The total production target of food grains in FY 2022-23 is 484.98 lakh MT, which was 465.83 lakh MT in FY 2021-22. In the revised budget of FY 2022-23, the target for domestic food grain procurement is 17.35 lakh MT. As of February 2023, the country has imported 11.56 lakh MT of food grains under government management. However, a total of 17.53 lakh MT (4.14 lakh MT of rice and 13.39 lakh MT of wheat) was

---

30 WHO/UNICEF Joint Monitoring Program for Water Supply, Sanitation and Hygiene (JMP)

31 Contribution of Agriculture Sector in the GDP Growth of Bangladesh bySushan Chowhana,b, Md. Moshiur Rahmanc, Razia Sultanad,e, Md. Abdur Rouff and Majharul Islam

32 Yearbook of Agricultural Statistics, 2022, Bangladesh Bureau of Statistics.

imported in the private sector[33].

Bangladesh is one of the most climate vulnerable countries in the world. Located between the Himalayas and the Bay of Bengal, the country is prone to natural disasters. Climate change accelerated the intensity and frequency of occurrences of salinity, storms, drought, irregular rainfall, high temperature, flash floods, etc. that resulted from global warming. Global warming is harmful for crops of the tropical countries.

The World Bank's report on Climate Change Risks and Food Security in Bangladesh highlights that the country faces significant threats to its food security due to climate change, including increased frequency and intensity of natural disasters like floods, cyclones, and droughts. These events disrupt agricultural production, damage infrastructure, and reduce crop yields. The report emphasizes the need for adaptive measures such as improving irrigation systems, developing climate-resilient crop varieties, and implementing sustainable land management practices. Strengthening early warning systems and investing in infrastructure to mitigate climate impacts are also crucial. Additionally, enhancing farmers' access to information, financial services, and technology is vital to build resilience against climate-induced risks. The study estimates that climate change will significantly exacerbate the negative impacts of existing climate variability, resulting in a projected cumulative reduction of rice production by 80 million tons from 2005 to 2050. This amounts to an approximate annual decrease of 3.9%, primarily driven by a decline in boro crop production[34].

Women in Bangladesh are heavily involved in agricultural activities, both as unpaid family labourers and independent farmers. They contribute significantly to food production, accounting for a substantial agricultural workforce. Women’s participation is particularly in labour-intensive tasks, such as planting, weeding, harvesting, and postharvest activities. They play a crucial role in transforming raw agricultural produce into marketable products through sorting, grading, cleaning, packaging, and preservation. Women’s contributions extend beyond on-farm activities and encompass the entire agricultural value chain, including the marketing and distributing of agricultural products.

The impact of climate change on agriculture is felt differently by women. The review "Impact of Climate Change on Agricultural Production and Food Security: A Review on Coastal Regions of Bangladesh" by M.S. Hossain and A.K. Majumder highlights the disproportionate impact of climate change on women in these regions. Climate change exacerbates existing vulnerabilities, with women being particularly affected due to their roles in agriculture, household food security, and caregiving. Additionally, they have limited access to resources, decision-making processes, and adaptation strategies, further hindering their ability to cope with climate impacts. The review emphasizes the need for gender-sensitive policies and programs to address these disparities and support women's resilience in the face of climate change.

[33] Bangladesh Economic Review 2023

[34] World Bank. 2010. Climate Change Risks And Food Security In Bangladesh

Cities, Buildings & Urban Systems:

Bangladesh is one of the fastest urbanising countries in the world, with an average annual Rate of Urbanisation (RoU) of 5.34 since 1974 (BBS, 2015c). Although there is a decreasing RoU during the last few decades, the Level of Urbanisation (LoU) is still rising at an alarming rate[35]. In Bangladesh the percentage of the population living in urban areas rose from 24 % in 2000 to 38 % in 2020. By 2050, an estimated 60 % of the population will live in urban areas. Based on pre-pandemic urbanization and poverty reduction trends, more than half of poor households are projected to live in urban areas within a decade. As a result, cities face significant congestion and negative externalities, including air and water pollution, elevated exposure to health risks such as infectious and vector borne diseases, and environmental degradation. Urbanization also has resulted in the loss of

Urbanization brings numerous challenges, such as air and water pollution, noise pollution, and land degradation. In cities like Dhaka, air pollution ranks among the highest globally, with traffic jams worsening both air quality and economic productivity. Rapid urbanization has led to poor urban planning and weak management[36]. Most cities in Bangladesh lack the road infrastructure necessary to accommodate the increasing volume of traffic. This deficiency leads to severe congestion, frequent traffic jams, and prolonged travel times, which negatively impact both economic productivity and the quality of life for residents.

In addition to the infrastructure challenges, a significant portion of the urban population lives in substandard conditions, often residing in densely populated slums. These slum areas are characterized by overcrowding, inadequate sanitation, and limited access to clean water and essential services. The poor living conditions in these areas exacerbate health risks, making residents more vulnerable to diseases and infections.

Women migrants made up 4.12 % of all migrant workers from Bangladesh in 2004, with the percentage gradually increasing in the years that followed up to 2013. With relatively sharp rises in 2014 and 2015, women made up 18.66 % of all Bangladeshi migrant workers by 2015[37]. The urbanization presents women with several challenges, such as: limited access to formal employment, income inequality and poor living conditions in slums that are overcrowded. Women therefore often experience considerable security concerns, high rates of violence and many difficulties accessing affordable healthcare options. Moreover, they tend to shoulder a double burden in their homes and at work. Although better educational facilities exist in the cities cultural barriers still inhibit most women from accessing higher education and vocational training.

[35] Urbanisation in Bangladesh: Challenges and way froward by Shilpi Roy

[36] https://www.researchgate.net/publication/351427159_URBANIZATION_IN_BANGLADESH_EMERGING_CHALLENGES_AND_THE_WAY_FORWARD

[37] UN Women. Policy Brief on Women and Migration in Bangladesh

Low-emission Transport:

In 2021, Bangladesh adopted the Automotive Industry Development Policy to establish a clear roadmap for developing the country's automotive production base over the next decade. The goal is to create robust domestic supply chains for a modern, competitive, and viable automobile and auto-parts industry by 2030 (Ministry of Industry, 2021). As part of this policy, Bangladesh plans to develop an energy-efficient vehicle (EEV) hub. According to the Automobile Industry Development Policy 2021, EEVs are vehicles that meet specific carbon emission and fuel consumption standards. This category includes fuel-efficient internal combustion engine (ICE) vehicles, hybrid vehicles (HVs), electric vehicles, and alternative-fuel vehicles such as those powered by CNG, LPG, biodiesel, ethanol, hydrogen, and fuel cells. The government offers tax incentives for purchasing electric vehicles. According to the 2021 Fuel Economy report, 11.5% of diesel consumed in Bangladesh is locally produced, while 88.5% is imported, primarily from the Middle East. Since 2020, diesel imported into Bangladesh has a sulfur content of no more than 50 ppm[38], according to BRTA regulations.

Prosperete will take into account the specific challenges for gender equity in Bangladesh which may require some country level interventions working with the Government and Non-Government Organisations to bring about transformative change at the country, community, and company level in Bangladesh.

3. Mauritius

According to the Global Gender Gap Report 2023 by the World Economic Forum (**WEF Report**), Mauritius ranks 98th out of 146 countries. The country's Global Gender Gap Index (GGGI) score is 0.689. The Republic of Mauritius continues to make progress in advancing women's and girls' rights and the attainment of gender equality in the country. While significant progress has been made towards removing formal barriers to achieving gender equality, a lot remains to be done before gender equality is achieved.

The Republic of Mauritius has signed and ratified different treaties to protect women's rights and prevent discrimination against women. Mauritius has passed domestic legislation to give effect to most of the treaties it has signed. The Children's Act 2020 has been in force since 24 January 2022 and this will enable Mauritius to address earlier reservations to some of the Articles of the Maputo Protocol. The Act brings an end to child marriages and cohabitation in the country, where girls who are the main victims of these practices will be better protected.

The Constitution of Mauritius enshrines the right to equality under Article 3 and 16 and the amendment to Article 16(3) of the Constitution added sex as another characteristic which ensured that women have the same legal rights as men. Everybody is equal before the law and nobody can be discriminated against, directly or indirectly, on grounds including age, sex, creed, ethnicity or even religion. Women and men have the right to equal enjoyment of rights and freedom, including opportunities and responsibilities in the social, economic, cultural and political spheres (Task Force

[38] 2021. Fuel Economy Baseline and Trends in Light Duty Vehicles in Bangladesh

Report, 2001). Yet, in spite of the elimination of sex discrimination in the legal framework and increased educational and economic opportunities for women, Mauritius remains a patriarchal society, one where deep-seated patriarchal norms and values continue to hinder women's progress, emancipation and empowerment. Whereas Mauritius has made major progress towards creating de jure equality between women and men, there is still a lot to be done before de facto equality between men and women is attained in the country.

Mauritius' new National Gender Policy (2022-2030) provides a framework for collective action by public- and private-sector stakeholders to achieve gender equality, empower women and girls, and ensure their full enjoyment of all human rights. In line with the SDG No. 5, the policy outlines the government's commitment to gender equality as a development and human rights concern. Among its objectives, the policy aims to promote inclusion of gender equality in legislation and policies, to ensure equal participation of women in decision making at all levels, and to eliminate all forms of gender-based violence. The government is also drafting a gender equality bill designed to accelerate the country's progress toward gender equality in the social, economic, and political arenas.

The World Bank's Women, Business, and the Law (WBL) legal frameworks score for Mauritius is 87.5 out of 100 which is higher than the global average (64.2) and significantly higher than the Sub-Saharan Africa regional average (57.4) and Middle East & North Africa regional average (38.6). It is interesting to note that Mauritius received a score of 100 for five indicators: Mobility, Workplace, Pay, Childcare, and Assets. It received a score of 75 on Safety, Marriage, Parenthood, Entrepreneurship, and Pension because the law in Mauritius does not address femicide, restricts a woman's right to remarry, does not provide maternal leave benefits paid solely by the government, and lacks provisions on gender-sensitive procurement for public procurement processes and on the accounting of periods of absence due to childcare in pension benefits. As a result, the Women, Business and the Law 2.0 legal frameworks score for Mauritius is 87.5, which is the unweighted average of the 10 indicator scores on a scale of 0–100[39].

Demography and Social Status: As of 2024, Mauritius' total population is approximately 1.3 million people[40]. The population is fairly evenly split between genders, with the female population being approximately 0.64 million, and the male population approximately 0.62 million. In 2023, approximately 40% of Mauritius' population lived in urban centres, and 60% lived in rural areas.

In 2023, Mauritius did not receive an overall SIGI score due to missing data. The country obtained a score of 47 in the "Discrimination in the family" dimension, followed by "Restricted civil liberties" (35), and "Restricted access to productive and financial resources" (6).

Education: According to the Global Gender Gap Index 2023, Mauritius achieves a high score of 99%, indicating near parity in access to education between men and women and it ranked 71 out of 146 countries. The same report shows finds that more women than men were enrolled at all levels of education, with the gap being nearly 5% in secondary education and as high as 18% for tertiary education.

---

[39] World Bank's Women, Business and the Law 2024 report
[40] United Nations Population Fund

Enhanced access to higher education has not always translated into improved career opportunities for women. Although both men and women enrol for a Bachelor's Degree, fewer women are involved in higher degree research at PhD, MPhil and DBA levels. In 2019 there were 244 women enrolled in research degrees whereas the number of men was 259. As a result, women are underrepresented in research. Women tend to be under-represented in science-related fields such as Engineering (2.0% against 10.6% for men) and Information Technology (5.6% against 16.0% for men).[41]

Health: As the Global Gender Gap report 2023, Mauritius is ranked 1st with a score of .98. In 2023, maternal mortality was at 61 deaths per 100,000 live births.

The comprehensive welfare state provides free health care, universal pensions, state provision of free education at all levels as well, thereby enabling women and girls who may have been disadvantaged by patriarchal culture and/or precarious income situations to benefit.

Economic Participation: In Mauritius, the labor force participation rate among females is 43% and among males is 68.5% for 2023. Since 1990, female labor force participation has increased. Compared with labor force participation in the upper middle-income group, the gap between men and women is higher in Mauritius. However, women represented only 27% of those employed in senior and middle management in 2022.[42] This is despite unemployed women being generally more qualified than their male counterparts, with about 60% of them holding at least a School Certificate compared to 48% among males.[43] However, thereafter, women tend to follow gendered livelihood pathways with more women were enrolled in topics such as administration, accounting, as compared to information technology and engineering, which in turn skews their career and financial opportunities.

While gender pay gap data is not available for Mauritius in either the ILO or the WEF's database, a 2018-2019 time use survey carried out by Statistics Mauritius shows that on the average, men spend 4.7 hours at work (all income earning activities) per day, almost twice that of women (2.5 hours). On the other hand, women spend more time on household chores (housework and care of household members) than men (4.4 hours against 1.7 hours). At the level of the employed (those having paid jobs or working in their own businesses), men spend 6.8 hours per day at work and women 6.0 hours. Employed women spend 3.6 hours on household chores compared to only 1.7 hours by men. These statistics indicate that in Mauritian society, domestic chores are still overwhelmingly borne by women, although men do take on a certain degree of domestic duties. The unequal division of labour within the household implies that women spend less time at work in paid activities and more time at home in unpaid activities.[44]

In 2021, 89.4% of women and 91.7% of men in Mauritius had an account. The female rate in Mauritius is higher than both Sub-Saharan Africa and the upper middle income group. Asset ownership data for women, an important metric

---

[41] https://africa.unwomen.org/sites/default/files/2023-11/mauritius_gender_equality_profile.pdf
[42] https://genderdata.worldbank.org/en/economies/mauritius
[43] https://www.undp.org/mauritius-seychelles/blog/unfinished-business-journey-womens-equality-mauritius
[44] https://africa.unwomen.org/sites/default/files/2023-11/mauritius_gender_equality_profile.pdf

of economic empowerment which provides protection in the case of marital dissolution or abandonment, is not available for Mauritius.

Political and Social Participation:

20% of seats in national parliament were held by women in 2023 in Mauritius. The proportion of seats held by women in Mauritius has remained roughly the same as 2010. The current rate is lower than the average rate in upper middle income economies. Mauritius, to date, has had only 2 female heads of state according to the WEF Report. As these statistics show, women remain underrepresented in politics and at this level, Mauritius still has a significant gender deficit. Politics in Mauritius remains highly male dominated and very few women have been able to make inroads into the political system. Some progress has been made at local government level, especially through the Local Government Act, which provides that every group presenting more than 2 candidates at a Municipal election should ensure that not more than two-thirds of the candidates should be of the same sex. However, further changes are needed to further embed the need to have candidates from both sexes - although the number of women elected at Municipal Council elections has increased following the promulgation of the Local Government Act in 2011, the number of women mayors has remained low. In 2018, there was only one woman mayor whereas in 2020, there was no woman mayor in the five municipalities. Electoral reform is therefore a major opportunity for Mauritian women to claim their space in parliament and politics, but garnering consensus on this has been a challenge.[45]

Impact of Climate Change on Gender: Mauritius is highly vulnerable to adverse impacts of climate change. The 2021 World Risk Report has ranked Mauritius as the 51st country with the highest disaster risk, out of 181 countries. Flooding is the second largest risk after cyclones, causing 20% of direct economic losses associated with disasters (World Bank, 2020) - Mauritius has been experiencing floods, including flash floods with increasing frequency. These have affected many families, causing damage to homes and household and for some families, even food supplies were affected. The time use survey showed that women spend longer hours on household chores and the floods would have contributed to the triple burden on women especially for clean-up purposes. There is also the issue of renewing food supplies and women having to handle these domestic duties. Women are often responsible in the mitigation of the effects and adaption of climate change by supporting their families and societies. While impacts of climate change have a negative impact on both women’s and men’s health and livelihoods, the impact on women is more detrimental if gender inequalities are not addressed.

To this end, the Climate Change Act 2020 has made provision for gender to be taken into consideration, in line with the 2005 Paris Agreement of Climate Change and the Sendai Framework for Disaster Risk Reduction 2015-2030. The Ministry of Environment, Solid Waste Management and Climate Change (MESWMCC) is incorporating the gender dimension of climate change in awareness raising activities, targeting as well as involving women as agents of change in on-going mitigation and adaptation programmes. In addition, further focused studies are still needed to be done to assess the impact on women of climate change together with targeted programmes that mitigate these impacts.

[45] https://africa.unwomen.org/sites/default/files/2023-11/mauritius_gender_equality_profile.pdf

Gender Aspects of Prosperete's Focus Areas

Start-up Ecosystem

Mauritius boasts a small but vibrant startup ecosystem, supported by a close community of freelancers and entrepreneurs. The country has a well-developed physical infrastructure that provides a strong foundation for new businesses. Both the public and private sectors are committed to nurturing this ecosystem, providing funding, competitions, and networking opportunities for entrepreneurs. Mauritius is also recognized as a tax haven for offshore investments, featuring Double Taxation Avoidance Agreements and Investment Promotion and Protection Agreements (IPPAs). Additionally, the country has established an Occupation Permit available to investors, freelancers, and startup founders alike.[46]

Recent policy developments, such as the Business Facilitation Act, have streamlined the process of starting a business in Mauritius. The country has rolled out various financial support programs for entrepreneurs, including the Business Development Scheme, which provides loans to startups, and the Booster Microcredit program for projects in sectors like ICT. Furthermore, the Economic Development Board (EDB) has launched a Regulatory Sandbox Licence (RSL) that enables companies to test innovative fintech initiatives in a controlled environment prior to full launch. Mauritius is committed to fostering its innovation economy by revising the national curriculum and offering research funding to PhD students. Given its small population, the nation faces challenges in attracting and retaining talent within its startup ecosystem. The 10-Year Master Plan for the SME Sector reflects the public sector's awareness of these challenges and outlines strategies to address them. Support for startups and entrepreneurship is essential for driving the country's innovation economy, with resources such as business incubators, targeted policies, and investment opportunities fueling growth and success. Mauritius's emphasis on nurturing talent and innovation is evident in its policies, making it an appealing destination for startups seeking a supportive business landscape.

Energy Access & Power Generation; Energy Efficiency:

Globally, women are underrepresented in the energy sector, making up only 22% of the workforce. In Mauritius, the figure is even lower, at 5% of the workforce. This situation spans the energy sector including production through renewable sources such as solar, wind, hydro, tidal, geothermal and biomass energy. Another pervasive gender issue playing against women in the energy sector is the global calamity of female poverty and the subsequent feminization of energy poverty10. Mauritius is no exception, with 11% of women living below the poverty line compared to 9.6% of men.[47]

In a bid to empower women in RE and economically, the UNDP supported a Green Climate Fund (GCF) project entitled "Accelerating the transformational shift to a low-carbon economy in the Republic of Mauritius". This programme helps

---

[46] https://www.startupblink.com/startup-ecosystem/mauritius
[47] https://www.undp.org/sites/g/files/zskgke326/files/migration/mu/GV-02---Green-Energy--web.pdf#:~:text=Energy%20is%20not%20gender%20neutral.%201%20Globally,of%202000%20employees%20(0.4%%20of%20total%20employment).

the Government of Mauritius achieve its renewable energy (RE) targets including by providing grant support of USD 28 million, alongside over USD 162 million in co-financing from stakeholders and government partners. This grant will be used to (i) review and update national RE policies; (ii) purchase and install advanced technologies to improve the national grid's capacity for integrating RE sources; and (iii) implement 25MW of rooftop photovoltaic (PV) systems, particularly benefiting low-income households and financially struggling women-headed households. Basic training on solar PV installation for female entrepreneurs who can then potentially integrate RE in their business activities has also been provided by the programme. While awareness and training sessions are critical for women entrepreneurs to understand the benefits of transitioning to renewable energy sources, financing is crucial for renewable energy in Small Island Developing States (SIDS) like Mauritius, which are heavily reliant on imported fossil fuels resulting in high costs and climate risks. However, despite growing interest in diversity and gender equality among funders, insufficient funding is allocated to close the gender financing gap and address the SIDS climate challenge.

Water Security; Agriculture & Food Security:

The agricultural sector's contribution to the GDP of the Republic of Mauritius, which includes the main islands of Mauritius and Rodrigues, has decreased over the years. While it averaged 30% in the 1960s, it now stands at just 4.1% (Statistics Mauritius, 2024). Nevertheless, agriculture remains crucial for food security, job creation, and generating export revenue, particularly through sugar and tea.

Mauritius has a total of 186,500 hectares, with agriculture occupying about 44% of the arable land. However, land dedicated to agricultural production has significantly declined. In 2002, around 80,000 hectares were used for sugarcane, crops, and orchards, but by 2024, only about 42,000 hectares are under sugarcane cultivation, with an additional 8,000 hectares for other crops and orchards (MCIA, 2024; MAIFS, 2024). Rodrigues, which has a total area of 10,800 hectares, has faced a drastic reduction in its agricultural land, losing approximately 3,000 hectares over the years. Currently, only 175 hectares are actively cultivated. However, Rodrigues has a greater livestock capacity than Mauritius.[48]

Mauritius faces significant challenges in achieving food security. The country imports a highly significant quantity of its food requirements, making it vulnerable to global market fluctuations and disruptions. The agricultural sector, though crucial, has seen a decline in its contribution to the GDP, exacerbated by factors such as climate change, loss of agricultural land, labour shortages, and water scarcity. Recognizing the local crop production capacity helps identify opportunities for increasing output and decreasing reliance on imports. However, suitable agricultural land has decreased in both Rodrigues and Mauritius. High production costs, driven by a lack of economies of scale, combined with a significant labor shortage, have resulted in abandoned agricultural activities. Additionally, climate change and water availability for irrigation, despite heavy rainfall, significantly affect cultivation.

Food security also encompasses health and the availability of safe and nutritious food. Mauritius has a high prevalence

[48] https://agriculture.govmu.org/Pages/About%20Us/Overview.aspx

of non-communicable diseases affecting half of the population. They bring to the forefront the necessity to create awareness and the consumption of nutritious food. Since consumers are at the core, and most decisions in households on what is eaten are made by women, women have to be involved and exposed to a diverse range of quality food and educated to make the right choices and have an understanding of the endeavour to increase local food production and reduce imports.

Further, promoting the adoption of climate-resilient crops and technologies, such as hydroponics and agri-voltaic systems, to mitigate the impacts of climate change and enhance food production. Further, investing in modern farming techniques, including sheltered farming and controlled environment agriculture, to improve yields, reduce pesticide use, and ICT integration could attract young entrepreneurs. Finally, a study by the Mauritius Academy of Science and Technology[49] recommends that facilitating investments from foreign entrepreneurs in agricultural production is an option to be considered in the endeavour for enhanced food security. Eligible young entrepreneurs, especially women, can be supported in the preparation of enterprise development plans and produce bankable business plans. Initiatives in the dairy sector, goats and sheep, and specialized forage production can be envisaged.

<u>Cities, Buildings & Urban Systems</u>:

As a SIDS, Mauritius has a limited natural resources and one of the main objectives of the government is to promote Mauritius as a 'Sustainable Island State'. 'Vision 2030 - Transforming Our Future for the Better' is the long-term vision of the Government of Mauritius, aligned with the Sustainable Development Goals and Agenda 2030.

The island of Mauritius is 1864 km2 in size and has an overall population density of 634 inhabitants per km2 per area of land as of 2021.[50] The population density has been increasing, almost doubling since 1970 and is even higher than the world's most populous middle income countries such as India and Nigeria. Some of the urban areas such as Beau Bassin/Rose Hill in Mauritius are even more densely populated than the megacities such as Shanghai and Lagos where population density is 3,800 p/km2 and 3,200 p/km2 respectively.[51] The reason for the high population density is the limited amount of land resources available. However, according to World Bank data, urbanisation has remained about constant at 41% over the past few years and has actually declined in the past decade. Juxtaposed with the growing population size and density, this means urbanisation is occurring outside the legally defined urban boundaries, which need identification in order to ensure sustainable development.[52] The Government of Mauritius is taking steps to identify and plan these areas. For instance, it has launched a smart city development scheme with a view of developing self-sufficient sustainable cities. These smart cities are being built on undeveloped land in rural areas. The Economic Development Board of Mauritius has granted 15+ permits for smart cities which are essentially mixed-use, green urban

---

[49] https://www.interacademies.org/sites/default/files/inline-files/BOOKLET_Empowering%20Food%20Security%20in%20Mauritius%20online%20reduce.pdf
[50] https://data.worldbank.org/indicator/EN.POP.DNST?locations=MU
[51] REVISITING THE URBAN DEFINITION FOR THE ISLAND OF MAURITIUS , in the Sustainable City, XIV available at https://www.witpress.com/Secure/elibrary/papers/SC20/SC20002FU1.pdf
[52] REVISITING THE URBAN DEFINITION FOR THE ISLAND OF MAURITIUS , in the Sustainable City, XIV available at https://www.witpress.com/Secure/elibrary/papers/SC20/SC20002FU1.pdf

spaces across the country, that manage resources and contribute to social welfare and nature conservation and are aimed at boosting innovation and helping businesses set up in Mauritius.[53]

In the construction sector, the government of Mauritius, in collaboration with private sector stakeholders and international partners, has been actively promoting green building practices. These initiatives are aimed at reducing the environmental footprint of the construction sector, which is a significant contributor to greenhouse gas emissions and resource consumption. Key policies and programs have been introduced to encourage the adoption of sustainable building standards. The Building Control Act has been revised to incorporate green building codes, mandating energy-efficient designs, the use of renewable energy sources, and sustainable materials. Additionally, financial incentives such as tax rebates and subsidies are provided to developers who meet these green criteria.

A critical aspect of Mauritius's green building initiatives is the integration of renewable energy sources. Solar energy, in particular, plays a pivotal role and wind energy is also being harnessed. The combined use of solar and wind energy is positioning Mauritius as a leader in renewable energy adoption within the region.

The national strategy also includes retrofitting existing buildings to improve their energy efficiency and sustainability. By upgrading older structures, Mauritius can accelerate its progress toward reducing carbon emissions and conserving resources.

According to the United Nations, women make up approximately 80% of the people who are displaced from their homes by climate change-related factors, such as extreme weather events, natural disasters, and environmental degradation.[54] Women and children are overwhelmingly more likely to die of or be severely affected by indoor air pollution given the additional time they spend indoors due to social-economic and cultural factors.[55] Data from a 2018-2019 time use survey in Mauritius shows that on average, women spend more time on household chores than men (4.4 hours against 1.7 hours). Therefore, it is clear that green buildings can play a significant role in facilitating gender equality by addressing various aspects of the built environment that impact women's lives and the Government of Mauritius is leading the way with its multi-pronged approach to greening the construction sector.[56]

[53] https://residency.mu/acquire/smart-city-scheme/
[54] https://www.ohchr.org/en/stories/2022/07/climate-change-exacerbates-violence-against-women-and-girls#:~:text=It%20is%20estimated%20that%2080,women%2C%20according%20to%20UN%20Environment.
[55] https://www.who.int/news-room/fact-sheets/detail/household-air-pollution-and-health#:~:text=Women%20and%20children%20disproportionately%20bear,from%20polluting%20stoves%20and%20fuels.
[56] https://www.remax24.com/news/green-building-initiatives-in-mauritius-leading-the-way-in-sustainable-development/

GENDER ACTION PLAN

Activities	Indicators/Targets	Timeline	Responsibilities	Costs[1]*
Impact Statement: Increasing participation of and decision-making by women in the emerging markets climate ecosystem, particularly in Prosperete's focus areas mentioned above				
Outcome Statement: 1) Enhancement of gender diversity, livelihoods/economic potential of women by driving women's participation in the workforce, including at senior levels 2) Enhancement of successful outcomes, through capital access and value-addition, for women-owned/ women-led startups. These outcomes would include financially sustainable scale-up, responsible capitalization, strong governance. **Rationale for Targets and baseline:** Targets have been assigned based on current situation identified in our gender assessments, giving a stretch target for achievability, and stakeholder feedback. Baselines will be measured in respect of each investment using data provided by the relevant company and this will inform the development of the specific company gender action plan, including the targets. Qualitative Targets are provided in italics in table below.				
Fund Level				
Output 1: Building one of the few women-led, growth stage climate focused fund in EM				
Employ gender diverse workforce at Prosperete	achieve gender balanced workforce	To be maintained through the life of the Fund.	Prosperete team	-
Applying the gender lens in investment decision-making and portfolio management. Supporting activities to include: a) Working closely with WinPE and other similar forums to build and maintain relationships with women entrepreneurs **b)** Mentor Maintain a diverse team with high female representation	i) 30% investment pipeline qualifies under the 2x Criteria	To be maintained through the life of the Fund.	Prosperete team	-

[1] To be paid from the fund manager's management fee.

Portfolio Level				
Output 2: Partner with Fund portfolio companies to increase female workforce participation across their organizations, including in senior leadership				
Development of Gender Action Plans for each portfolio company. The GAPs will be formulated basis an assessment at the time of investment due diligence. *It must be noted that the GAP shall not be used as a screening tool but as a baseline to support portfolio companies in improving gender performance. Company specific GAP shall include inclusivity in design of products and services as required.*	1 GAP per portfolio company, progress to be measured against agreed timelines	To be developed 90 days after investment closure	Prosperete team and portfolio company	US$ 30,000
Supporting portfolio companies in attracting, retaining and supporting a gender diverse workforce. This would include the following activities: - building a culture of inclusivity at portfolio companies - ensuring a conducive work environment, including supportive policies and practices that foster a safe work environment and address potential GBV issues	i) Implementation of non-discrimination as part of HR policies. Implementation of Grievance redressal, including in particular a GBV grievance mechanism. *(Tracking of grievance received)*	180 days from GAP adoption	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	US$ 10,000
	ii) Implementation of all gender-related legal and regulatory Mechanisms, including in respect of SEAH / sexual harassment policies *(Compliance reports to identify any lapses)*	180 days from GAP adoption	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	US$ 10,000
	iii) Identification of gender specific risks in the context of the specific country, sector and operating environment and outlining measures to address and mitigate those risks	180 days from GAP adoption	Prosperete's deal team (Lead, Impact Specialist) + portfolio	US$ 10,000

	(*Conducting a detailed study to inform the formulation of relevant measures; tracking sof implementation of measures*)		company	
	iv) Conducting 1 annual training on gender sensitization *(Satisfactory feedback from training sessions)*	Annual	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	US$ 10,000
	v) Adoption of at least 1 policy associated with building gender inclusive workplace that goes beyond legal and regulatory requirements	Annually	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	US$ 10,000
	(vi) Atleast 30% women in the work force across the Fund portfolio at an aggregate level	To be tracked and measured from Year 5 (2029)	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	
	(vii) Help portfolio companies have gender diverse board	To be tracked and measured from Year 5 (2029)	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	
	(vii) Implement additional measures as may be identified during program implementation	Annually	Prosperete's deal team (Lead, Impact Specialist) + portfolio company	
Output 3: Enable increased access to venture capital financing for women-owned/ women-led startups				
Supporting capacity building for female founders building technology solutions for climate Creating avenues to help women founders access domain knowledge, mentorship and networks	i) 1 session a year for women climate founders ii) 1 Women in Climate networking session yearly iii) 1 Ecosystem wide event per year to support gender sensitization for climate tech companies, beyond Prosperete portfolio iv) 1 event for gender awareness across portfolio companies (to sensitize both genders) *(obtain good feedback from such sessions)*	Annually	Prosperete team-Impact Specialist	US$10,000

Output 4: Transformative activities to help overcome gender norms				
Identify specific societal / workplace norms which are regressive for genders. Help create awareness and deliver trainings to sensitize people about such norms so that they can overcome such barriers	i) Applying the intersectional lens, for each focus country, identify specific socio-cultural barriers (eg., economic status, financial literacy, education, healthcare etc) that contribute to discrimination against women and vulnerable groups *(Commission a study, as needed, per focus country to identify these socio-cultural barriers)* ii) Conduct awareness programs to help people overcome the above identified barriers / norms iii) Use the results of the study in (i) to identify steps to be undertaken by investee companies to overcome identified socio-cultural barriers, set targets and track the achievement of those targets (for eg., number of women in STEM roles employed; number of women in unskilled roles who have been given financial literacy training, number of women in leadership positions etc)	First 3 years Annual To be tracked and measured from Year 5 (2029)	Prosperete team- Impact Specialist	US$10,000